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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Belgium

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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BELGIUM

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Belgium, officially the Kingdom of Belgium, is a small and densely populated country in Western Europe, covering a total area of 30,528 km². It is bordered by the North Sea to the north-west, the Netherlands to the north, France to the south and west, and Luxembourg and Germany to the east. Belgium is one of the founding members of the European Community, with Brussels, the capital, being also the capital of the European Union (EU) and NATO.

Belgium is a federal constitutional monarchy, like the neighbouring Netherlands; the head of state, King Philippe, inherited the throne from his father King Albert II in 2003. The country is divided into three regional (governmental) areas: Flanders, Wallonia and Brussels. Flanders consists mostly of Dutch (Flemish) speakers, while the Wallonia region is French-speaking. Brussels, the capital, officially has bilingual status, although French is mostly spoken (80%). Some tensions have risen between the Dutch and French-speaking regions in recent years, due to the political and cultural divisions in these two regions, which resulted in the country taking more than 500 days to form a six-party coalition government after the 2010 elections. Since 27 October 2019, the Prime Minister is Sophie Wilmès. She was elected months after the legislative election of May 2019, after Belgium did not have a proper government since December 2018.

There are three geographical regions in Belgium: the coastal plain, the central plateau and the Ardennes. The coast consists of sandy beaches, polders and dunes, whereas inland, the country is flatter, with several canals, dykes, caves and small gorges. East of the Meuse (de Maas), the hills rise to become the mountains of the Ardennes region, in the central and south-eastern parts of the country. Notable features of the Belgian countryside are the historical cities, castles and churches.

Like the Netherlands, Belgium enjoys a temperate climate with cool summers and mild winters. Rain is almost equally divided throughout the year. Differences between the seasons are relatively limited, with temperatures varying between 4°C in the winter and 19°C to 22°C in the summer.

Belgium is one of the smallest countries in the EU, and one of the most densely populated. The largest urban areas include: the capital, Brussels; Antwerp, home to the largest port of Belgium; Bruges; Charleroi; Ghent; and Liège (Luik). The population of Belgium stood at 11.37 million on 1 January 2018, almost evenly divided between both sexes, with a population density of 363 people per km². The population density is significantly higher in Flanders than it is in Wallonia. The Belgian population was split as follows: 6.51 million (58%) in the Flemish region, 3.61 million (32%) in the Wallonia region, and 1.19 million (10%) in Brussels.

Belgium has three official languages – Dutch, French and German – although these languages are not officially recognised across all regions. The only official

language of Flanders is Dutch, and Brussels, as previously mentioned, has both Dutch and French. French is the only official language of Wallonia, although in nine municipalities, including Eupen, German is spoken.

English is not an official language in Belgium, but nonetheless widely spoken, particularly by younger people in the Dutch-speaking region of Flanders, but less spoken by the French speakers in the south.

Macroeconomic Overview

Typically for a West European country, Belgium has a well-developed economy, based on the service and industrial sectors. Belgium's economy is the sixth-largest in the euro area and its performance relies heavily on international trade, particularly exports to other EU countries. Exports of goods and services account for a major part of Belgium's GDP. Overall, Belgium's economy benefits from the country's geographical location at the crossroads of Europe, its highly skilled and multilingual workforce and, in particular, its membership of the EU. Economic growth expectations for Germany, France, the Netherlands, the UK and the US should positively affect the growth forecast for Belgium, since these countries are important trading partners.

The Belgian economy has grown relatively slowly in recent years after the strong contraction seen in 2009. This has been caused by weak international demand from its major European trading partners such as the Netherlands and France and this has hampered economic growth since 2012. Belgium's economy is recovering but the pace of Belgium's economic recovery slowed in 2018, and it is expected to continue witnessing modest growth rates in the coming years in comparison to other European countries. GDP grew at a similar rate in 2019 compared to 2018. The latest IMF forecasts indicate that GDP should fall by 6.9% in 2020, amid the COVID-19 crisis, before recovering by 4.6% in 2021, subject to the post-pandemic global economic recovery.

The unemployment rate has continuously fallen in recent years, from 7.9% in 2016 to 6% in 2018, and continued its downward trend, to 5.4% in 2019. The IMF expects the unemployment rate to be negatively affected by the economic impact of the COVID-19 pandemic, the rate being currently estimated to increase to 7.3% in 2020 and decrease slightly to 6.8% in 2021. Inflation remained relatively high in comparison to other European nations, up to 2.3% in 2018 from 2.2% in 2017.

Residential Construction

New Housing

The Belgian residential construction market witnessed successive increases since 2017. According to EUROCONSTRUCT's latest report (June 2020), even without COVID-19, the Belgian economy was facing the prospect of weak growth throughout the coming years, with this being forecast to be potentially less than 1.4% per annum for the next five years. The European Commission's Spring

Economic Forecast indicates that the Belgian economy is expected to contract by 7.2% in 2020 and then rebound by 6.7% in 2021. Moreover, it seems that it may return to its initial growth trajectory in 2022, but not the level of activity that was expected at that time (two to three years' growth will have been lost).

In terms of the outlook for construction, EUROCONSTRUCT states that it should not only be the impact of the COVID-19 crisis on the economy and the effects of this on the sector, but also the direct impact of the virtual lockdown on the construction sector, where more than 50% of employees went into temporary unemployment. Given the fact that it appears that the easing of the lockdown will mean only a gradual recovery and that the rules that have to be followed to combat the spread of the virus reduce companies' productivity, this mechanical downturn in activity is expected to amount to some 15% of annual output. EUROCONSTRUCT forecasts indicate that there is reason to believe there could be a 13% decline in the number of new building permits accompanied by a corresponding decline in new housing activities in 2020. The expectation is that there should be a recovery as early as 2021, but this segment is not anticipated to return to 2019 levels of activity by the end of 2022.

The new housing market should be positively impacted throughout the forecast period by the expected impact of tightening energy performance of building (EPB) requirements, according to EUROCONSTRUCT. New homes will have to be nearly zero-energy buildings (NZEBS) from 2021 onwards. Accordingly, energy performance requirements will have to head in that direction. Changes will be imposed in different ways in the country's three administrative Regions. The Brussels-Capital Region already requires NZEBs, whereas Wallonia is set to seriously tighten its requirements in 2021. And in Flanders, where requirements have become stricter in phases, every two years, since 2014, the bar will again be raised in 2021.

Regardless of the anticipated EPB effect, the building permit statistics indicates a tendential increase in the number of new homes expected to be awarded planning permission. This clearly has to do with an economic climate that remains favourable for investing in residential real estate, being characterised by an increase in households' disposable income, mortgage rates hovering at around 2% for 20-year fixed rate loans (and even quite significantly less than this at the beginning of the period) as well as low unemployment.

Overall, total residential completions increased in 2019, both for new apartment buildings and individual house completions. As it was previously expected, the high number of building permits issued in late 2019 to avoid the stricter EPB requirement should lead to a decrease in completions for 2020. This decrease could also be amplified due to the ongoing COVID-19 crisis, which caused a strong slowdown in construction works for several weeks during March and April 2020. Projections, however, remain positive for the rest of the forecast period, with year-on-year growth thanks to the reasons explained above.

During the last ten years, Belgium has recorded a sharp increase in the number of apartments built, and one of the main reasons for this is the rising price of building land. Brussels counts 91% of apartments among the new dwellings, Flanders 64%, and Wallonia just less than 48%.

Housing RMI

Housing RMI increased over the 2016-2019 period, and demand from the housing RMI sector has been the main driver for growth on the overall Belgian bathroom market in recent years. However, the increased VAT rate (for renovation work in dwellings aged between five to ten years, from 6% to 21%), on 1 January 2016, had a slightly negative impact on the market in 2016 and 2017. However, the increase in the VAT rate on the renovation market should not significantly impact the evolution of the market in its entirety. In fact, the market for the renovation of housing units aged five to ten years, which is the only one affected by this VAT amendment, represents only about 3% of the total renovation market.

The RMI market, which was negatively affected in 2018 by the disappearance of tax breaks in the Flanders regions, previously awarded for roof insulation, should continue to grow at a base rate close to its trend level (an annual increase of 2.5%). Between 2020 and 2022, like new housing, it should also benefit from lower social security contributions for construction, according to EUROCONSTRUCT. Overall, more home renovations are also expected throughout the forecast period. Momentum in this segment is being driven by a structural rise in demand (an ever larger housing stock and ever higher quality standards). Furthermore, and according to EUROCONSTRUCT, it is worth noting that Belgium's regional governments have all, to varying degrees, declared their intention to speed up the energy renovation of buildings. Naturally, it is still too early to specify exactly what impact this can be expected to have on trends in home renovation. That said, it seems reasonable to expect a steeper growth curve for residential renovation than is indicated by the figures presented in this outlook.

The home renovation segment is surrounded by fewer uncertainties as this market currently benefits in Belgium from both a growing housing stock towards reaching higher quality standards and the extension of energy renovation. The RMI market, which was affected in 2018 by the total disappearance in Flanders of tax breaks previously awarded for roof insulation, should continue to grow at a base rate close to its trend level (an annual increase of 2.5%). Nonetheless, the slow pace of renovation works in Belgium is a real problem for the country. Indeed, it is believed that 2.5% of the dwellings should be renovated on a yearly basis in Belgium, while the country only manages 0.7%. The set climate objectives require a high amount of renovation.

Non-Residential Construction

Following growth since 2016, non-residential construction output continued to increase in 2019. The renovation segment grew rather strongly, whereas the new non-residential construction segment picked up in 2019 after experiencing residual

growth in 2018.

According to EUROCONSTRUCT figures, 2019 was a difficult year for new office buildings and new schools and this is the third year running school-building construction has fallen significantly. School-building construction is closely intertwined with the 'Scholen van Morgen' ('Schools of Tomorrow') project, which generated work worth in excess of €500 million in 2016, and the project's completion in 2017-18 is behind the past three years of decline. However, school building construction should gather momentum in 2020 with the 'Scholen van Morgen' follow-up project. Both new office buildings and new schools are predicted to grow in 2020. The momentum should be different for both sectors in 2021, with office buildings predicted to grow whereas school projects should decline again.

Future projects include a number of 'iconic' buildings for audio-visual operators (the new headquarters of Flemish public radio and television provider VRT, the French-language radio and TV operator RTBF's Media Square building and the Media Park project), which represents a total investment of around €500 million. Based on the current construction schedules, work on these buildings was expected to increase year by year between 2019 and 2021, before slowing considerably in 2022. In addition, Wallonia plans to invest in hospital infrastructure (with a total budget of €2.4 billion between 2019 and 2024). In practice, most of the associated work can be expected to involve renovation, since the plan is mainly geared towards modernising existing buildings and ensuring their compliance with regulations.

Before 2017, an application for a building permit for non-residential buildings in Belgium only applied to offices and schools, which were subject to primary energy requirements. Other specific non-residential building types were not then covered by primary energy requirements. This has changed, as now all non-residential buildings with permit applications dated later than 1 January 2017 are subject to EPB requirements. Since 2017, all non-residential buildings must reach a given energy performance level.

Amid the COVID-19 crisis, EUROCONSTRUCT's scenario suggests that new builds will decline by around 5% to 6% in 2020 and that the recovery anticipated in 2021 and 2022 will just about manage to make up the lost ground. The predicted decline for non-residential building renovation in 2020 is expected to be sharper (around 8%), as this segment benefited less from non-COVID-19 growth potential than new builds. Having said that, there should be a more marked recovery for renovation, which can look forward to growth over the period, since it should benefit from the momentum in renovation already mentioned for the residential segment and also from the ramp-up of a hospital renovation plan in the Walloon Region.

II.2 Key Figures

BE - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

BE - KEY MACROECONOMIC INDICATORS

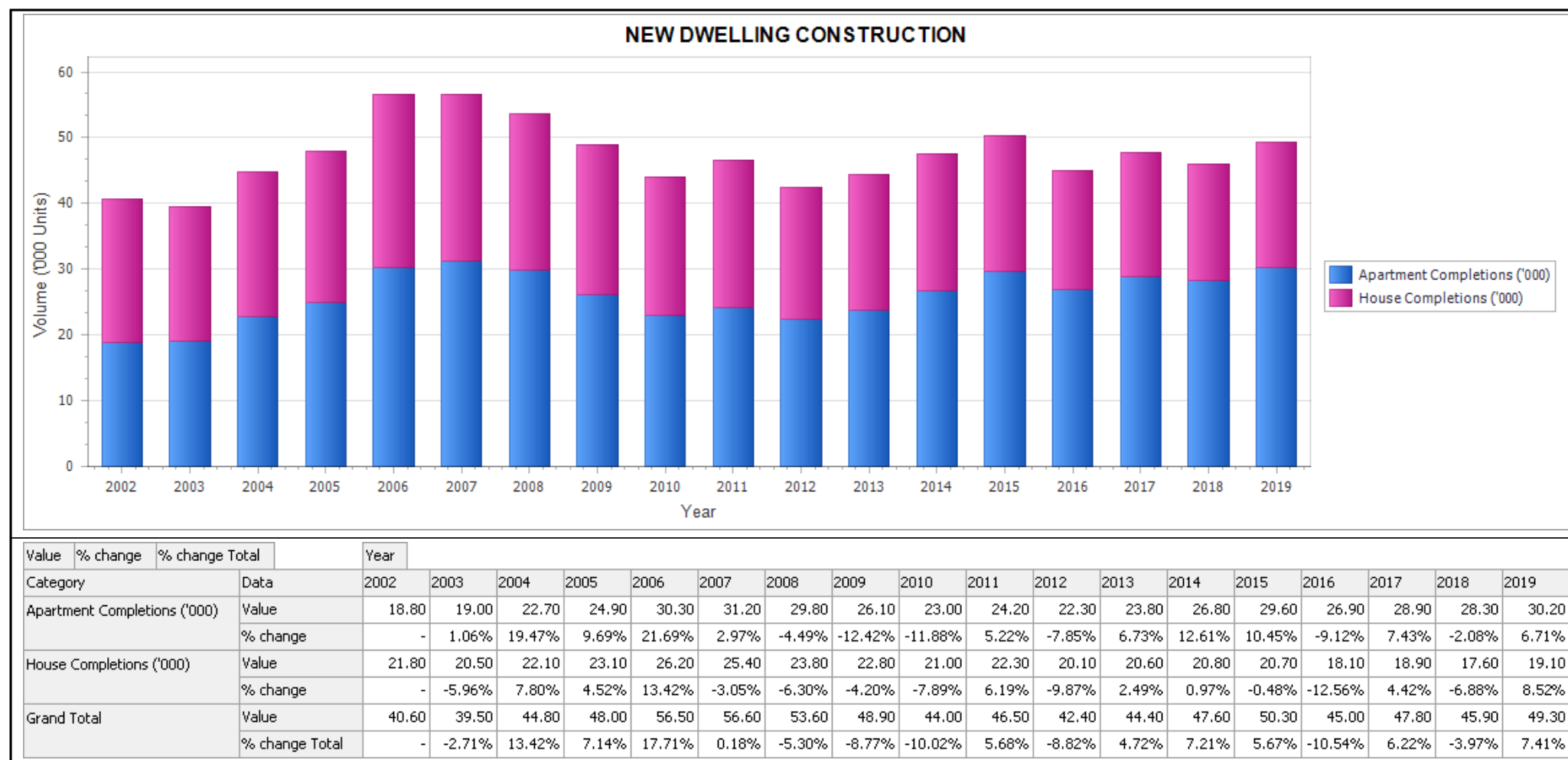
Value	Year																			
Category	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	1.55	1.52	1.86	2.54	2.33	1.82	4.49	- 0.01	2.33	3.35	2.63	1.25	0.49	0.62	1.77	2.22	2.31	1.25	0.25	1.09
GDP (% change)	1.56	1.04	3.57	2.32	2.55	3.68	0.45	- 2.02	2.86	1.70	0.74	0.46	1.58	2.03	1.51	1.97	1.46	1.37	- 6.92	4.56
Government Balance (% of GDP)	0.06	- 1.86	- 0.24	- 2.72	0.24	0.07	- 1.10	- 5.43	- 4.09	- 4.33	- 4.32	- 3.13	- 3.06	- 2.41	- 2.37	- 0.71	- 0.74	- 1.66	- 8.88	- 6.05
Household Saving Rate (% of Disposable Income)	12.21	11.77	10.48	10.18	10.86	11.24	11.89	12.17	9.26	8.35	7.87	6.58	6.41	5.53	5.41	5.21	4.84	5.11	5.18	5.16
Private Consumption (% change)	0.45	0.72	1.06	1.44	1.78	2.09	1.38	0.58	3.01	0.87	1.47	1.67	0.55	2.03	1.48	1.90	1.49	1.40	- 8.92	6.43
Unemployment Rate (%)	7.62	8.18	8.38	8.48	8.27	7.49	6.97	7.91	8.33	7.15	7.55	8.45	8.55	8.49	7.84	7.11	5.96	5.36	7.30	6.80

Source : IMF and OECD.

N.B. No data available beyond 2021 at the time of publication

II.4 New Dwelling Construction

BE - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
BE - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	29.67
	Apartments ('000)	1 623.62
	Houses : Rural (%)	7.86
	Houses : Rural ('000)	430.00
	Houses : Urban (%)	62.47
	Houses : Urban ('000)	3 418.58
Dwelling Stock by Tenure	Primary Owned (%)	60.25
	Primary Owned ('000)	3 297.00
	Primary Rented : Private (%)	23.92
	Primary Rented : Private ('000)	1 309.20
	Primary Rented : Public (%)	6.21
	Primary Rented : Public ('000)	340.00
	Secondary (%)	2.39
	Secondary ('000)	131.00
	Vacant (%)	7.22
	Vacant ('000)	395.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts

BE – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Lockdown period	Belgium entered lockdown on 17 March. The easing of the lockdown started in early May. From 11 May, shops were allowed to open again, while respecting strict rules. Cafés, restaurants, cultural and tourist venues have now re-opened. From 18 May, schools partly reopened, and as well as markets, museums, hairdressers, etc. As from 1 July, event halls, theatres, cinemas, amusement parks, concert halls, casinos, wellness centres and public pools re-opened. As from 1 September, dance halls, nightclubs and large events such as festivals will be allowed again.
Number of officially confirmed cases General measures in place to support the economy	As of 15 July, Belgium counted over 63,000 confirmed cases and 9,792 deaths. The Belgian government set up a first set of measures on 6 March to support the economy, including: temporary part-time work for cases of emergency and for economic reasons; delayed tax payment; payment plans for VAT, taxes for individual and companies; supporting help for sole traders, etc. On 20 March other measures came into force including the simplification of applications for part-time work; extra measures for sole traders; extra measures for companies. All three regions (Walloon, Flanders, Brussels) also offer financial help to people and companies. Measures to facilitate the entry/exit of employed people in neighbouring countries were also put in place.
Statistics on affected employees Measures in place to mitigate economic impact on INDIVIDUALS	It is believed that around 1 million workers were in temporary unemployment at the height of the crisis. The Belgian government facilitated temporary unemployment (or temporary part time work), without having to provide any justification. Income tax payments were delayed by two months. Workers on temporary unemployment received 70% of their last gross salary, with the limit of €2,754.76, minus taxes, i.e. €1,412.50 net. €5.63 per day not worked were also given to temporarily unemployed people.
Statistics on affected companies (% of total forced to suspend activities)	On 23 April, it was estimated that 24% of all Belgian companies entirely suspended their activity. The main reasons came from the loss of sales, followed by supply issues. It was estimated that 25% of workers worked from home, and 29% still went to work. 36% were temporally-unemployed. 7% were off sick or had to look after their children. 3% were on holidays. According to the construction industry, 4 out of 5 construction companies had to suspend partly or entirely their activity.
Specific measures affecting BUILDING CONSTRUCTION and RMI	Construction companies had to respect social distancing, which caused many problems, especially for SMEs. Companies had to provide soap, disinfectant for tools, etc. Workers could not car pool, eat in the same room, etc. The construction association “Confédération Construction” details all legal rights and mandatory schemes to follow in order to benefit from help and subsidies offered by the federal government.
Measures in place to mitigate economic impact on COMPANIES Support measures from international organisations (EU, IMF, World Bank, other)	A large set of measures was put into place including the suspension of penalties for companies having agreed on public tenders if the job is delayed; delayed payment of all taxes, social benefits, etc. Suspension of the EU’s deficit limits , so member states can boost spending. €750 billion EU Recovery Fund agreed in July 2020. The Corona Response Investment Initiative : €37 billion from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.

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BELGIUM

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of bathroom products in Belgium is mainly in the hands of merchants and wholesalers, with a few large groups in each sector being in competition with a multitude of small local merchants. Sanitary ware products are, for the most part, handled by specialists in the field, who often operate as importing agents, as well as distributors, for major European manufacturers.

There is a clear separation in Belgium between plumbing merchants and builders' merchants. Importers and agents play an important role in the Belgian market, and often act as the local subsidiary and/or wholesaler for non-domestic manufacturers. They distribute some, and at times all, of their products directly to installers and retailers.

Heavy construction materials are handled by heavy side merchants, which also play a major role in the distribution of ceramic tiles and a small role in the distribution of heating and sanitary ware products. The typical client mix of Belgian builders' merchants is 80% traders and 20% private consumers. Builders' merchants have a minimal role in sanitary products (<5% of turnover) and probably none in heating and, therefore, are not considered further in this report.

Direct supply, on the other hand, is relatively strong in Belgium compared to other European countries, such as the neighbouring Netherlands and France, as a large number of manufacturers also supply directly to installers. These are sometimes dedicated brand installers, who only install products from certain manufacturers.

The number of DIY stores and chains in Belgium has risen significantly over the last 10 years. These stores have seen their share of the bathroom market increase strongly. Bathroom products are often sold through the DIY segment, as a large share of the products can be installed by the homeowners themselves.

Within the distribution of bathroom products in Belgium, there are some differences within the distribution patterns. The following have been noted:

Firstly, wholesalers play an important part in the first stage of the distribution of baths and shower trays, with the majority of bath sales going through the wholesale trade. Via the wholesale segment they often get distributed and installed by installers. This is due to the involved nature of fitting a new replacement bath (removal, or modification, of surrounding tiles and grouting the edges of the bath, for example). The penetration of DIY in the bath market used to be below the average DIY involvement in bathrooms. However, this situation has changed, with more and more installers purchasing baths in the DIY sector due to the lower prices, particularly in the synthetic bath sector. In DIY stores, bath displays are dominated by synthetic products, with as many as 15 different models being on display. More limited ranges of basic steel baths are stocked by DIY stores, although sales have fallen behind those of synthetic baths.

Secondly, the first stage of distribution of ceramic sanitary ware is dominated by merchants/wholesalers. Sanitary ware products, for the most part, are handled by specialists in the field, who often operate as importing agents as well as distributors for major European manufacturers. Many wholesalers in Belgium are selling products under private labels, as they are trying to differentiate themselves from competitors. Moreover, private labels are usually exclusive to the wholesaler and consumers are less likely to find them online. This makes the products more interesting for wholesalers, who suffer from cheap offers on the internet. Often, a consumer visits a wholesaler to learn more about branded products. After having decided on a product, the consumer goes home and orders the products online for a lower price. Therefore, wholesalers increasingly promote private labels that cannot be found cheaper online.

There is a certain amount of direct supply to DIY, although the majority is via merchants/wholesalers. Some DIY outlets carry three price ranges of ceramic sanitary ware: upper, medium and low. It is expected that more sales will go via internet retailers, and this is most likely to affect sales in DIY stores, especially with bathroom products requiring less technical knowledge in terms of installation. However, this is still a long way off, due to the significance of the wholesale segment. The role of specialist retailers is relatively small, and they have been criticised for not offering the range of products found in merchant/wholesaler showrooms.

Also, as is the case with most bathroom products, taps and mixers are heavily distributed through wholesalers. Direct supply to installers is only marginal, but still a certain number of taps and mixers are supplied directly from manufacturer to DIY chains and specialist retailers. The importance of DIY retailers, mostly supplied by wholesalers and merchants, should not be underestimated. DIY superstores sell unbranded taps and mixers, often Chinese imports, as well as branded products. Branded products can often be seen fitted to ceramic sanitary ware or displayed on purpose-built racks, and are frequently on sale for well below the manufacturers' recommended selling price. Internet sales are particularly growing in the taps and mixers segment, due to the relatively small size of the product; these sales are most likely to be sales that would have gone through the DIY segment previously. Nevertheless, a growing share of online purchases is at the expense of showroom sales. Belgian consumers are internationally oriented and tend to go through German, Dutch or UK web shops in order to buy a cheaper option; this is enforced by the price difference that occurs between the markets in the different countries.

Furthermore, the role of wholesalers is strong in the Belgian shower wall market. The importance of wholesalers is somewhat stronger for shower enclosures than for bath screens and shower cubicles. Shower wall products, for the most part, are handled by specialists in the field, who often operate as importing agents as well as distributors for major European manufacturers. The importance of specialist retailers is greater for shower cubicles than for bath screens and shower enclosures, due to the installation process. In terms of value, the role of the specialist shop is more important, as they sell mostly upper segment and luxury

products. DIY involvement in the shower wall market is relatively high, and most DIY stores are supplied through wholesalers. Shower enclosures, in particular, are heavily distributed through DIY stores. Conventional shower cubicles are generally less interesting for the DIY trade, as the individual service level (advice/installation) required is higher.

Wholesalers no longer have an important share in the distribution of hydrotherapy products. The market has phased out, and shower panels are mainly cheaper products sold by specialists, DIY and online stores. Hydrotherapy products, for the most part, are handled by specialists in the field, who often operate as importing agents as well as distributors for major European manufacturers. Nowadays, most hydrotherapy products go through the DIY sector. Shower panels, in particular, are mostly distributed within the lower segments of the market where it is hard to distinguish brands – as they often go unbranded through retailers. Hydromassage baths remain relatively difficult to install for the DIY enthusiast, in comparison to a shower tray, for example.

The share of sales of bathroom furniture through furniture retailers and department stores is limited. In Belgium, the purchase of bathroom furniture is seen much more as an ‘investment’, as Belgian consumers are very attached to their homes; therefore, a considerable share of bathroom furniture is sold via specialist retailers. However, considering the high cost of retail space, specialist retailers supply furniture mainly in the middle/higher or luxury segments, and thus do not compete directly with DIY stores.

The professional channel plays a marginal role in the distribution of bathroom accessories. This differs from the distribution of most other (larger) bathroom products. The wholesale part of the market is still large in terms of value, since many products can be found at considerably lower rates at DIY stores or furniture/department stores. As there has been a slight increase in the interest for high-end products, this has had some positive effects on bathroom accessory sales going through the professional channel. DIY stores are particularly relevant in the distribution of bathroom accessories and are expected to increase further in the coming years, although internet penetration will probably affect sales significantly. Sales through department stores remain limited and are not expected to increase significantly in the future.

Finally, the share of shower accessories going through Belgian DIY stores is high. The overall share of bathroom specialist retailers in the shower accessories market is relatively low, due to the importance of wholesalers and DIY stores. Consumers often go to DIY stores for shower accessories. Although internet sales are increasing quickly in a European context, shower accessories sold via online retailers are still relatively uncommon in Belgium, and sales are falling sharply behind those achieved in traditional high street stores. It is hard to determine the share of shower accessories that are sold via the internet, as these are often for replacement purposes. The share of products sold directly remains negligible.

Wholesale Level

Belgium does not have the strict manufacturer-wholesaler-installer mentality of other European countries, such as the Netherlands and Germany. The Belgian builders' merchant industry is fragmented in nature, consisting of around 700 merchants, and most are local or regional merchants with just one or two depots.

The largest building materials manufacturers have taken a noticeable share of the import market, particularly in bathrooms, and supply the retail trade. They mostly carry second-line brands.

The largest individual merchant is VERHELST, but it is small compared to VAN MARCKE, the leader in lightside distribution. Although the group's main activity is the distribution of heating and sanitary products, these figures also include all other activities by VAN MARCKE.

The two main buying groups are ADIMAT-BOUWPUNT and PMO BIGMAT, both under the BELGAMAT umbrella, which in turn is part of EURO-MAT. Most BELGAMAT outlets carry both heavyside and lightside building products.

With the notable exception of VAN MARCKE, and to an increasing extent FACQ, the Belgian heating and sanitary wholesale sector is highly fragmented and regionally concentrated. VAN MARCKE is easily the largest group, controlling 118 outlets/showrooms in Belgium. LAMBRECHTS, SUPERSANIT, and VAN OIRSCHOT are other important medium-sized wholesalers in the heating and bathroom products industries.

It is notable that Belgian wholesalers have a tidy online presence; this is in order to assist prospective customers during purchasing, aided with a tool to compare certain products on the list of desired products. Furthermore, an appointment can be scheduled in a nearby showroom to further assist the customer with practical enquiries, and to give the extra dimensions of feeling and viewing the product within a visible, exemplary setting.

Retail Level

Specialists and wholesalers, as well as pressured DIY retailers, are looking into a multi-channel product mix with an online strategy. Although the internet is used by everyone in an informative way to present their companies and catalogues, several players are also using it as a new sales channel in the form of web shops. Nevertheless, the advantage of being able to touch and feel the product at retailers' outlets continues to play an important role.

DIY Retailers

The Belgian DIY trade sells, among other products, tools, hardware, construction materials, garden materials, decoration materials and sanitary products. In Belgium, there are more than 1,600 DIY stores, of which some 590 are larger DIY

centres, 220 are small format DIY stores, 370 are DIY chains, and 430 are hardware stores. The DIY retail trade employs approximately 14,100 people.

COMEOS represents the Belgian DIY trade, and other industries such as health and beauty, e-commerce, fashion, and food. The DIY sector of COMEOS includes leading DIY retailers such as GAMMA, BRICO, HUBO, and MAKRO.

The Belgian culture in the retail trade is a combination of three complex characteristics: the different languages, different mentalities or cultures, and different levels of knowledge about how the trade is driven.

The Belgian DIY market, compared to the Dutch market, has remained relatively stable, which can be linked to developments on the Belgian housing market.

The largest DIY chains in Belgium include BRICO and PLAN-IT (MAXEDA), GAMMA (INTERGAMMA), and the franchise organisation HUBO; they all have similar product ranges, local head offices and centralised purchasing processes. The origins of the DIY superstore sector date back to 1973, when the leading department store and supermarket chain GIB-BRICO set up its first two BRICO stores. The French DIY chains LEROY MERLIN and BRICORAMA had some presence in the Belgian market in the past. Their involvement ended when MAXEDA (previously VENDEX) bought the six existing LEROY MERLIN stores in 2003, and the last BRICORAMA store in Kortrijk. It is believed that these DIY superstores account for almost 55% of the DIY sector's total turnover. BRICO is the clear market leader, followed by GAMMA and then HUBO, which has an estimated market share of around 20–22%. Besides these larger DIY chains there are also several independent DIY retailers, the so-called retail corporations, which include ORGA and CREA-HOME. However, a trend towards forming buying groups and combinations in this segment can be observed, as these independent DIY retailers need to join forces in order to compete with DIY superstores. The number of independent retailers has been declining in the last few years.

Specialist/Other Retailers

Specialist and 'other' retailers are most important for consumers looking to buy or renovate their whole kitchen or bathroom. Specialists use showrooms to present the latest novelties, features and innovations within the industry. Consumers looking to renovate or refurbish their bathroom or kitchen through a professional are best off with a specialist.

Specialist bathroom retailers generally play an important role in the distribution of bathroom products in Belgium, with bespoke projects at a high level of service. Yet their importance is considerably smaller in the shower and bathroom accessories markets. Within this sector, there are several important franchise chains of installer-owned retailers, such as X2O and VAN HECK. There are also some smaller chains that have been set up by wholesalers. The main Belgian wholesalers, such as VAN MARCKE, LAMBRECHTS, DESCO, and FACQ, are also equipped with showrooms to expand their client reach and approach. Additionally,

SANITAIRWINKEL, as an online market player, possesses a showroom to reach out to potential clients and deliver more customer experience and service. Also, tiling companies and contractors often offer bathroom renovation works for bathrooms, and these include VAN CALSTER, TEGELS VERHEIJEN, DIRKHEIRWEGH, and STEYLAERTS.

The main benefits of specialist retailers are the consumers' ability to touch the product and the full-package, bespoke installation. Although the online environment requires every business to reinvent itself, only a few specialists – such as X2O – have online web shops.

The importance of furniture retailers is estimated to be small but growing. A large share of this segment is taken up by IKEA, which has significantly increased its presence in bathroom and kitchen product distribution in Belgium and is forecast to continue to grow, mainly due to its popularity among the younger generation. Direct supply from manufacturers or importers to consumers is marginal.

Internet Retailers

An overall trend is visible at the retail level, whereby the DIY segment is slowly shifting towards being an online segment. However, offline segments will not entirely shift to an online environment any time soon, because certain values, such as touching the product, remain important. Nonetheless, the online segment is winning over share, although this shift is less visible than it is in the neighbouring Netherlands.

The key players in the online retail landscape are SANITAIRWINKEL, BADKAMERWINKEL, BADKAMERXXL, SANIDEPOT, X2O, BESLIST, SANIWEB, and VERWARMING-SHOP-ONLINE. These players apply different strategies: DIY companies such as HUBO, GAMMA, and BRICO provide online purchasing and ordering – with collection at a showroom or home delivery in order to limit overall overhead expenses. However, other players, such as BADKAMERXXL, X2O, and BADKAMERWINKEL, provide a combination of an online web shop and, usually, at least one showroom to assist customers in every possible way in their search for a new bathroom or kitchen – with a focus on customer service and experience.

Slowly the online retail landscape has been reforming the traditional market, allowing brands to gain access to a larger target audience. Involved players within the distribution flow, including wholesalers, DIY stores and, to a lesser degree, specialists, have entered the online retail landscape with web shops.

Pure internet players are increasing in importance, taking share of the wholesaler, and especially the DIY, industries. Since online sales require a higher level of product knowledge, the specialist retailers are not expected to lose as much share. The advantage of specialists is their ability to sell locally and allow consumers to touch and experience the product.

Buyer level

The traditional way of how supply and demand worked has been changing. The methods of how the customer does research and makes purchases have changed, and as a result, the supply side has had to answer to these changes – creating fiercer competition between retailers.

A disruptive trend is occurring on the internet market as DIY retailers, specialists and wholesalers are joining in with internet selling. All parties are seeking direct consumer reach and have increased target audiences. Yet although the consumers' product needs stay the same, their shopping behaviour and research have changed. Customers' primary research is done online, and consumers can be distinguished between the ones who possess product knowledge (DIY shoppers) and the ones who do not (specialists' clients).

The clients possessing product knowledge used to go to DIY industries, where they also made their purchases. Nowadays they use the DIY retailer as a showroom and order the products online afterwards, in the online pool of internet retailers. These clients do not require a lot of trust concerning the installation, since it is done by themselves.

Another kind of customer is the one lacking product information. To this customer the specialist with a showroom, for a full bathroom, remains important. They rely on the service and trust provided by the specialist. Several specialists offer full bathroom installations online and use their local level of trust to win over sales from online DIY retailers.

III.2 Summary of Leading Distributors
BE - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												Buying Group Affiliation
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Specify	
CALODAR	CALODAR	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	26.6	2	National	100%	3%	86%		11%		0%						
FACQ	FACQ	Wholesaler	Heating and Sanitary/Plumbing	2018	301	43	National	100%	23%	75%		2%		0%						
DESCO	DESCO SANITAIR VERWARMING	Wholesaler	Heating and Sanitary/Plumbing	2018	215	30	National	95%	17%	71%		7%		5%						
SUPERSANIT	SUPERSANIT	Wholesaler	Heating and Sanitary/Plumbing	2018	17.7	2	National	100%	20%	79%		1%		0%						
VAN MARCKE	VAN MARCKE	Wholesaler	Heating and Sanitary/Plumbing	2018	385.2	123	National	78%	25%	45%		8%		22%	9%	5%	6%	2%		
CRH	LAMBRECHTS	Wholesaler	Heating and Sanitary/Plumbing	2018	115.4	14	National	81%	15%	54%	10%	2%		19%	15%	4%				
SAX SANITAIR	N.V. SAX SANITAIR	Wholesaler	Heating and Sanitary/Plumbing	2018	140.8	26	National	100%		85%	15%			0%						
METRO	MAKRO	General Retailer	DIY Assortment	2019	767.7	10	National	14%	7%	7%				86%	10%	12%			Food, Office Supplies, Furniture	
MAXEDA	BRICO	DIY Retailer	DIY Assortment	2018	487.8	143	National	37%	5%	22%	5%	3%	2%	63%	20%	18%	1%	1%	Gardening	
HUBO	HUBO BELGIE S.A.	DIY Retailer	DIY Assortment	2018	447.9	140	National	42%	5%	29%	6%		2%	58%	15%	18%			Gardening	
INTERGAMMA	GAMMA BELGIE	DIY Retailer	DIY Assortment	2018	178.1	83	National	47%	5%	32%	4%	1%	5%	53%	18%	20%			Gardening	
MR BRICOLAGE	MR BRICOLAGE	DIY Retailer	DIY Assortment	2018	139.2	45	Wallonia	39%	4%	25%	6%	1%	3%	61%	10%	20%			Gardening	
REXEL GROUP	REXEL BELGIUM	Wholesaler	Heating and Sanitary/Plumbing	2018	422.5	36	National	100%	35%		20%	45%								
SC MENUQUIN CV	MENO-GROUP	Buying Group	DIY Assortment	2018	166.3	130	National	40%	6%	27%	6%		1%	60%	17%	18%			Gardening	

Source : BRG Based on Company Financials

BELGIUM

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



1.1 Market Overview : Baths and Shower Trays

To note: A considerable upward revision has been made to the market sizes for synthetic and hydromassage baths. Please see table 1.8 for more details.

Market Characteristics and Product Mix

Despite being one of the smaller countries in Western Europe, Belgium still has a relatively large market for both baths and shower trays. Baths were installed in all dwellings between the 1970s and 1990s. Since then, they have been losing share to shower trays as well as wet rooms or walk-in showers, although the latter have not proven extremely popular. Indeed, wet room showers have taken share from the traditional bath and shower tray market. Many Belgians perceive these showers as somewhat unsanitary, as mould can form between the tiles. The trend is further limited as tiles need to be installed by a dedicated tiler, in addition to the installer, who needs to be hired to install the shower drain – which makes the whole installation rather costly. Furthermore, distributors of sanitary products do not usually sell tiles, and tend to promote shower trays over tiled showers.

Since the early 1990s, the overall bath and shower tray market has been dominated by synthetic products. The strong upturn in sales of both synthetic baths and synthetic shower trays is one of the main reasons for the strong decline in sales of steel and cast iron products during the last few decades. Steel baths, in particular, have fallen victim to the increasing trend for acrylic baths in Belgium. There is a strong continuing trend towards synthetic baths, away from steel and cast iron. The rising steel prices have also weakened the overall competitive position of steel within the bath and shower tray market. Cast iron baths have become a niche product in the Belgian market; the majority are used in the higher end of the market as they are significantly more expensive than their steel and synthetic counterparts. The variety of shapes and features has increased, such as corner and freestanding baths, but the traditional rectangular bath still accounts for most synthetic bath sales. According to industry feedback, almost all free-standing baths are made from mineral casts – and they account for just under a fifth of the total baths market.

Ceramic shower trays barely feature in the Belgian market and have been in decline for the last two decades. The shower tray market has been characterised by a general decline in sales of steel / cast iron products, whereas synthetic shower trays have fared a lot better. The synthetic product segment includes products such as cast marble, polyconcrete and imitation stone trays, all of which are becoming increasingly popular in the modern bathroom. Mineral cast and solid surface composite shower trays have rapidly increased in popularity over the last few years, due to their high durability, ecological and natural appearance, and comparative ease of installation. Several manufacturers have developed their own solid surface or mineral cast material brand to produce a type of synthetic shower tray range. On the other hand, there has been an increased share of cheaper synthetic materials visible in the market, which includes plastics such as ABS. Nonetheless, acrylic remains the most popular material, especially in the

economy/lower price segments, while demand is declining in the middle price segment and increasing at a slow pace in the upper price segment.

Recent Market Trends

The Belgian baths market experienced a second year of decline in 2019, despite a consequent increase in housing completions. This trend continues to reflect the ongoing move away from bathtubs in Belgian bathrooms. The decline of baths sales was felt throughout all types of categories, with the exception of cast iron baths, and with the synthetic variety accounting for the strongest loss in terms of volume.

On the contrary, sales of shower trays increased in 2019, although at a slow pace. The market increase was driven by sales of synthetic shower trays, and in particular by mineral cast and solid surface models. Sales of acrylic shower trays declined, highlighting the growing preference of Belgian households for modern materials. This goes along with the trend of modern and minimalist bathrooms, equipped with designer bathroom furniture.

In 2019, the trend towards showering remained unchanged in Belgium, with sales of shower trays increasing while baths decreased. Consumers continue to display a strong preference towards showering; many baths are being displaced by luxurious showers. Belgian consumers prefer slim and floor-levelled shower trays, and this trend is supported by the high share of home ownership in Belgium – which allows consumers greater freedom to install their product of choice (in contrast to the rental segment). The shift toward showers, and in particular larger shower areas instead of baths, also persists. As previously explained, bathroom products distributors seldom offer tiles, and promote shower trays instead of walk-in showers.

Despite a trend towards showering in Belgium, baths continue to hold a significant share within this market segment. Baths remain an important feature in Belgian bathrooms. Many are equipped with both a bath and a shower tray, and this is not expected to change in the near future, especially when surface area is in abundance. This is further enforced by legislation that makes it obligatory to install a bath in the social housing sector, which is a relatively important factor in the housing RMI sector.

In terms of product mix, trends in the bath and shower tray market in 2019 remained largely consistent with those witnessed in the previous years – with synthetic models comprising the bulk of baths and shower trays. Materials such as steel and ceramic have only a marginal role in Belgium, as they are selective products. Steel baths and shower trays are important within the non-residential segment, due to their longer lifespans. Sales of iron cast baths, virtually all of which go into replacement, still represent a marginal part of the market. Sales of hydrotherapy cubicles declined slightly again in 2019 and the market should stabilise in the coming years. Sales of hydromassage baths continued to decline in 2019 when compared to the previous year. Hydromassage baths are losing

popularity, mostly due to their associated high cost.

The product mix of synthetic shower trays has started to change in recent years. Acrylic shower trays are increasingly replaced by resin shower trays, which look like a solid surface, and by mineral cast. What started off mainly in the upper price market has spread to the more economic price ranges. Wholesalers in Belgium now offer private label products, which they source from various manufacturers. Usually, these products are marketed as 'solid surface' products, which is not a material but rather a marketing term. The strong growth in demand has led to a great variety of products, which differ in quality levels. Some end users have complained about poor quality, and shower trays have been reclaimed from wholesalers. Since this involves high costs, an increasing number of wholesalers stopped taking the risk, and removed solid surface products from their showrooms.

An upcoming trend seen in RMI activities is the two-in-one shower baths that can be installed in a couple of days instead of a week, avoiding most negative aspects such as having no access to the bathroom during the renovation works and high labour costs. An additional upcoming trend seen across the bathroom market, and the market for baths and showers, is the increased use of smart controls, aiming to reduce energy use and especially water wastage. Also, the individualisation of Belgian consumers, regarding personal needs and spaces, has become more important. Not the individual products, but rather their functions, are key. Comfortability, user-friendliness and the adaptation of digital, smart water technology are working their way into the Belgian bathroom.

Prices and Market Values

Overall, the total market value for baths and showers decreased slightly in 2019, while most average manufacturer prices increased. Manufacturers are constantly trying to increase their prices, but competition is still fierce and has kept prices from changing too dramatically. Prices for steel baths decreased due to manufacturers pushing prices down in the middle and upper segments, whereas volumes remained quite similar compared to the previous year.

Average prices for cast iron baths have grown slightly, to compensate for inflation and material costs. The average price remains high in total, because the product is niche and valued for its old-fashioned and luxurious design.

Generally speaking, sales in the middle and upper segment continue to increase, as consumers opt for alternative materials and demand is moving away from acrylic, which is considered to be the cheapest option. This development is reflected in the MSPs of synthetic shower trays and baths.

New Housing

On the contrary to the previous year, the residential construction market grew in 2019, both for apartments and houses. This increase positively affected the baths and shower trays' market growth, which was positive for both products over the

year in this end-use segment. In terms of product mix, and reflecting the overall market structure, synthetic baths and shower trays recorded the strongest increase in terms of volume.

The average size of bathrooms, although decreasing, is relatively large in Belgium, with many bathrooms having both a bath and shower tray. The increasing share of apartments is negatively affecting the bath market, as apartments have smaller bathrooms in general and are often only equipped with a shower tray. This trend is supported by the ageing population and the increased popularity of luxurious showering products. Regardless of this, a large share of new build houses still have both a bath and a shower tray, due to legislation within the social housing segment and a general consumer preference for installing both if possible.

Housing RMI

Sales of baths in the Belgian housing RMI segment decreased substantially in 2019, and most surprisingly those for shower trays as well. Despite improved macroeconomic conditions, as many homeowners took advantage of more favourable borrowing conditions, including low interest rates, 2019 was a slow year for bathroom makeovers.

However, an increasing market preference for showering, as well as the Belgian tendency to install both a bath and a shower tray in dwellings, also increased the scope for discretionary replacements during refurbishment work. An upcoming trend seen in RMI activities is the two-in-one shower baths that can be installed in a couple of days instead of a week, thus avoiding most negative aspects – such as having no access to the bathroom during the renovation works, and high labour costs.

Nevertheless, this trend is marginal when compared to the overall trend for larger walk-in showers, which are often installed with a shower tray instead of tiles. According to industry feedback, almost every Belgian consumer who renovates his/her bathroom desires a large walk-in shower. If this end consumer goes to a tile wholesaler to inquire about their products, she/he will be presented with a shower solution with just tiles and no shower trays. If the same consumer goes to a sanitary wholesaler, it will be explained that it is also possible to have a walk-in shower with a shower tray. In most cases, the wholesaler will offer a synthetic shower tray.

Non-Housing

In the non-housing sector, baths are still popular in the hospitality industry, but cannot really be found in offices, industrial and/or commercial buildings. Most baths in the non-housing segment are synthetic, but steel baths are also installed, as some project developers prefer these for their longer lifespans. The healthcare industry has also started to show its interest in wet shower rooms due to their ease of accessibility, which might erode sales into this sector. Sales in the non-housing segment mainly come from synthetic shower trays, which are most important in

terms of volume. Overall construction and renovation activity in the hospitality sector decreased in 2019, as the hospitality segment traditionally receives a high number of baths and shower trays, this has had a considerably impact on the overall bath and shower tray market going to non-housing, resulting in slight decrease.

Supply Structure

The ceramic shower tray market is small and dominated by ceramic sanitary suppliers, of which the most notable one is GEBERIT. The Belgian market for cast iron baths is mainly dominated by VAN HECK, which sells by private label. Another Belgian installer company selling by private label is ANTIEKBOUW, while KENNY MASON is distributed through three Belgian installer companies.

The steel bath market segment is dominated by German suppliers KALDEWEI and BETTE, which both produce their products in Germany. Also, ROCA and LAFINESS are two important players on the market. The steel / cast iron shower tray market is led by the same manufacturers that offer steel baths on the Belgian market. KALDEWEI is the clear market leader, holding almost half of the total market, followed by LAFINESS and BETTE.

The supply structure for the synthetic shower tray market is similar to that of the synthetic bath market, with IDEAL STANDARD, VILLEROY & BOCH, and LAFINESS leading the market. Although the synthetic bath market is much more fragmented than the cast iron and steel bath markets, with many OEM agreements in place, the market is clearly led by four market players, with IDEAL STANDARD, LAFINESS, VILLEROY & BOCH, and ALLIBERT holding more than half of the market. In recent years, the synthetic shower tray market has started to become more diversified along with the development of new materials. For example, products from FIORA have been gaining market shares, as well as private label brands from local wholesalers, who offer solid surface shower trays.

Domestic supply of synthetic shower trays (IDEAL STANDARD and LAFINESS) is strong, although these products are often not produced domestically. Important supplying countries are China and Egypt, where IDEAL STANDARD, ROCA, and DURAVIT have production facilities. Imports from the Netherlands include RIHO.

The most important export destinations are Germany, France and the Netherlands, which probably includes many IDEAL STANDARD products and possibly SEALSKIN.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a decline in sales of baths and shower trays. Belgium faced a two-months lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of such products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. Sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

An ongoing trend is taking place to opt for showers instead of baths, especially when renovating a bathroom. However, the baths market is supported by demand from families with young children, who frequently fund whole bathroom renovations through mortgages. The uptake of baths by these consumers, therefore, often depends on the availability of loans and developments in the new build market. Economic climate conditions, along with consumer spending and apartment renovations, should return to growth during the forecast period, after the COVID-19 crisis. In all years, when new housing completions are expected to increase strongly, demand for baths is likely to be positive. A strong increase in housing completions is expected towards the end of the forecast period and it should contribute to a significant growth in baths sales from 2021 onward. Furthermore, the non-housing segment is expected to contribute some growth to the bath market between 2021 and 2023.

Demand for cast iron baths should remain stable at low levels and demand for hydromassage baths is expected to decline in 2020 before picking up slightly towards the end of the forecast period. Demand for steel baths should also decline in 2020 before increasing to 2019 levels by 2024. Sales of synthetic baths is expected to decline in 2020, before growing again until 2024, mostly driven by demand from new housing to compensate for the loss of RMI sales.

The shower trays market should also be affected by the COVID-19 crisis in 2020. However, this segment is expected to show more significant growth over the course of the forecast period. While demand from new housing is expected to fluctuate according to the number of new dwellings, the RMI segment is believed will generate stronger and more consistent growth. Demand for ceramic and steel shower trays is expected to be positive throughout the forecast period (with the exception of 2020). Steel shower trays should decline, as they are rarely displayed in showrooms and promoted by wholesalers. Only in 2021 should sales pick up slightly, mostly to compensate for the sales lost in 2020.

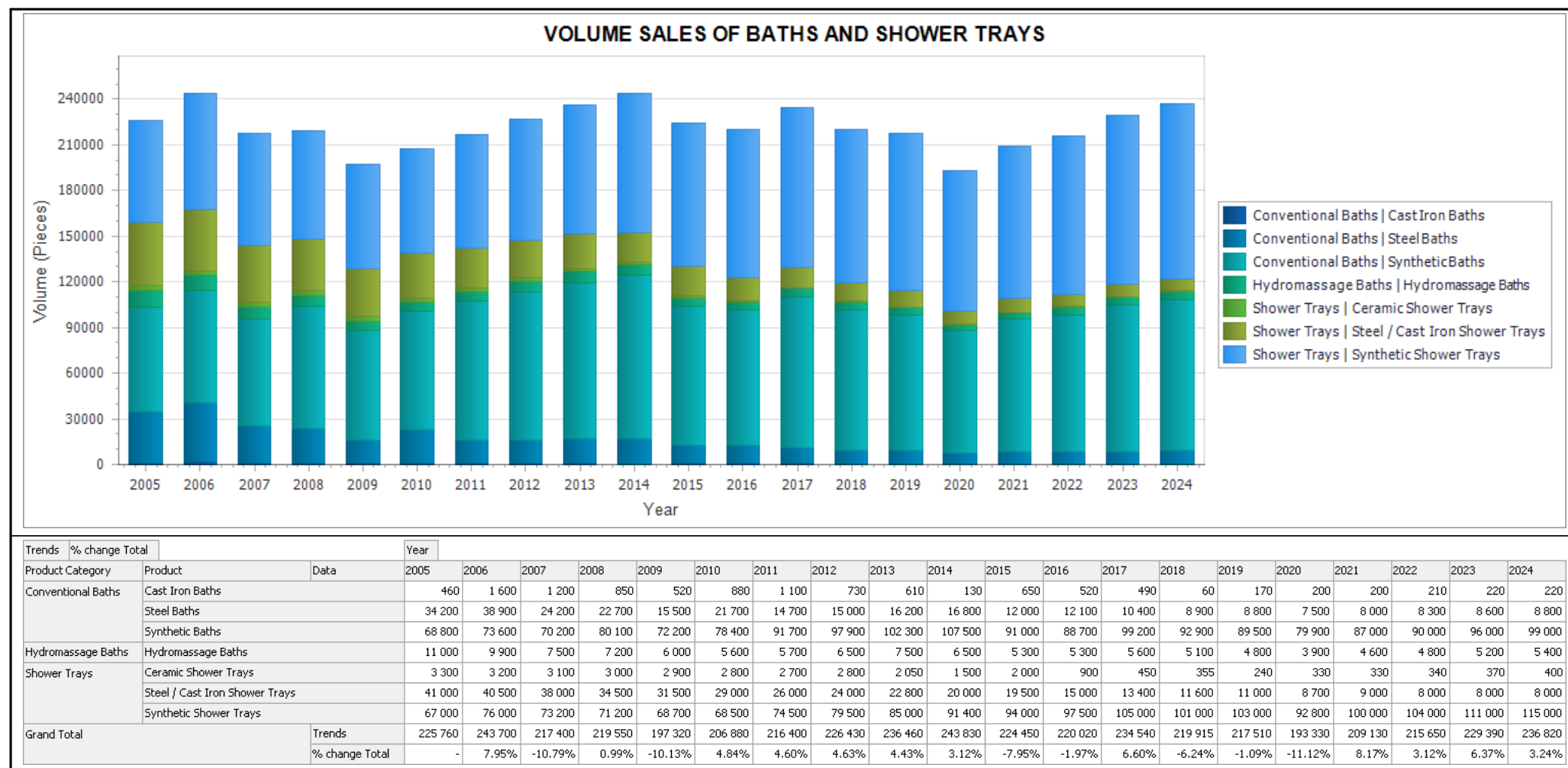
While the market continues to face competition from walk-in showers, it is believed that the market division, with wet shower rooms disrupting the existing market, has slowed down. Consumers increasingly prefer shower trays, particularly the thin shower trays. Moreover, new product innovations such as solid surface shower trays, which offer more variety in terms of colours and design, are quickly gaining market shares. Overall, the bath and shower tray markets are believed will benefit

from RMI activity, low interest rates, positive consumer confidence and an improved macroeconomic outlook. The upward new construction trend will positively affect market development even further. All these drivers could however depend on the future outcome of the COVID-19 crisis.

In terms of value, it is likely that the market will show a significantly slower development, as consumers and project developers have grown accustomed to low prices – and it seems unlikely that manufacturers will be able to increase the values as quickly as the volumes.

1.2 Historical Trends and Forecasts

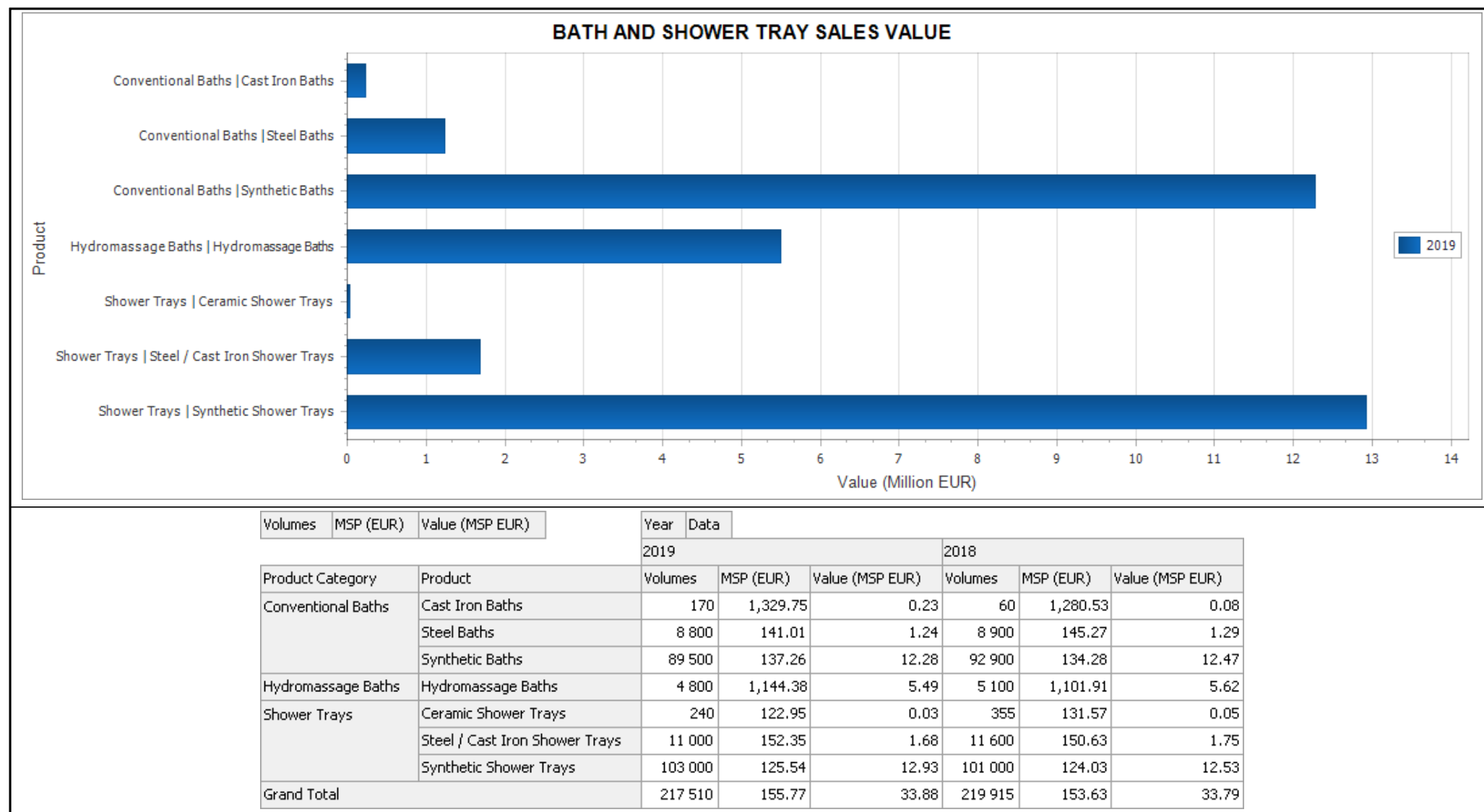
BE - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

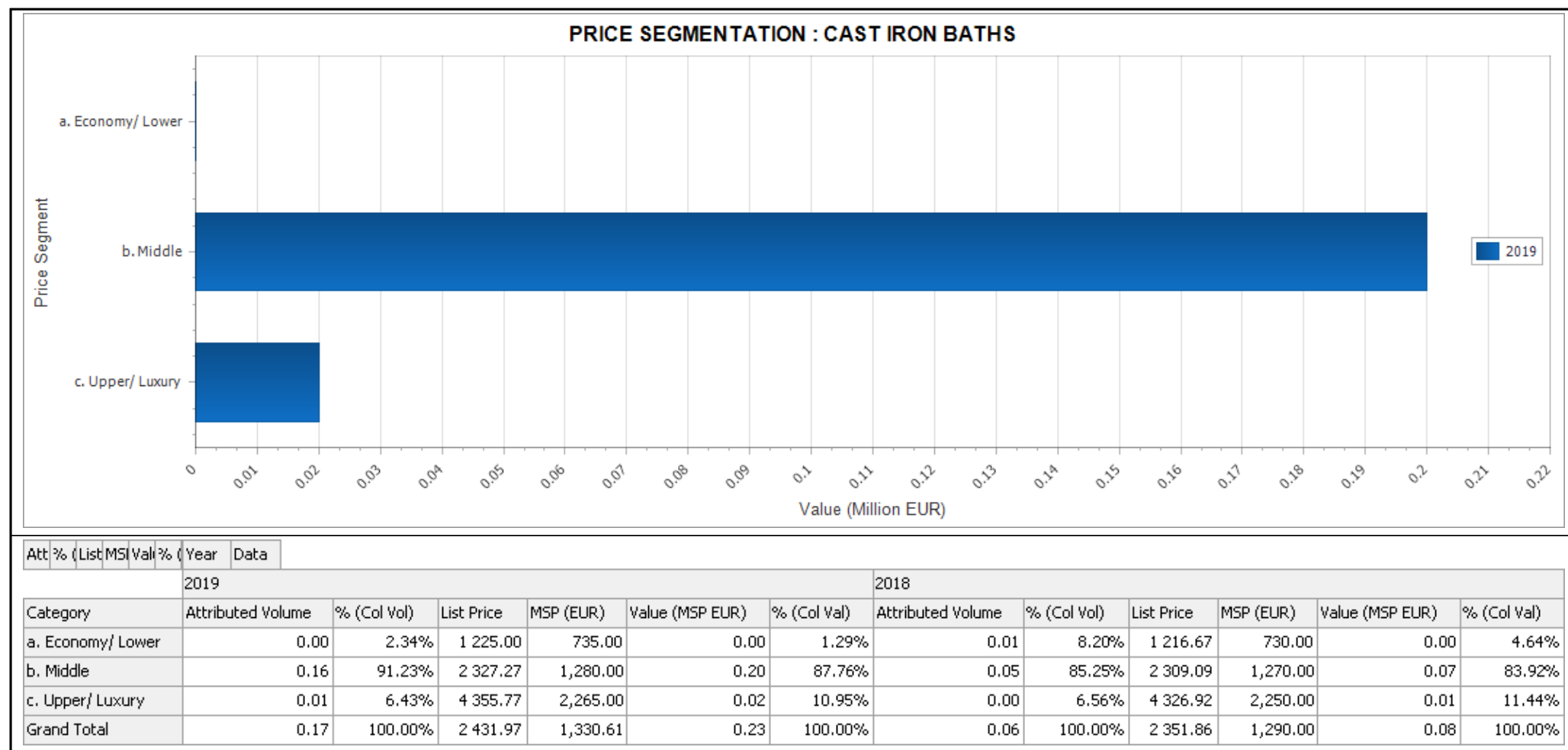
BE - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

BE - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

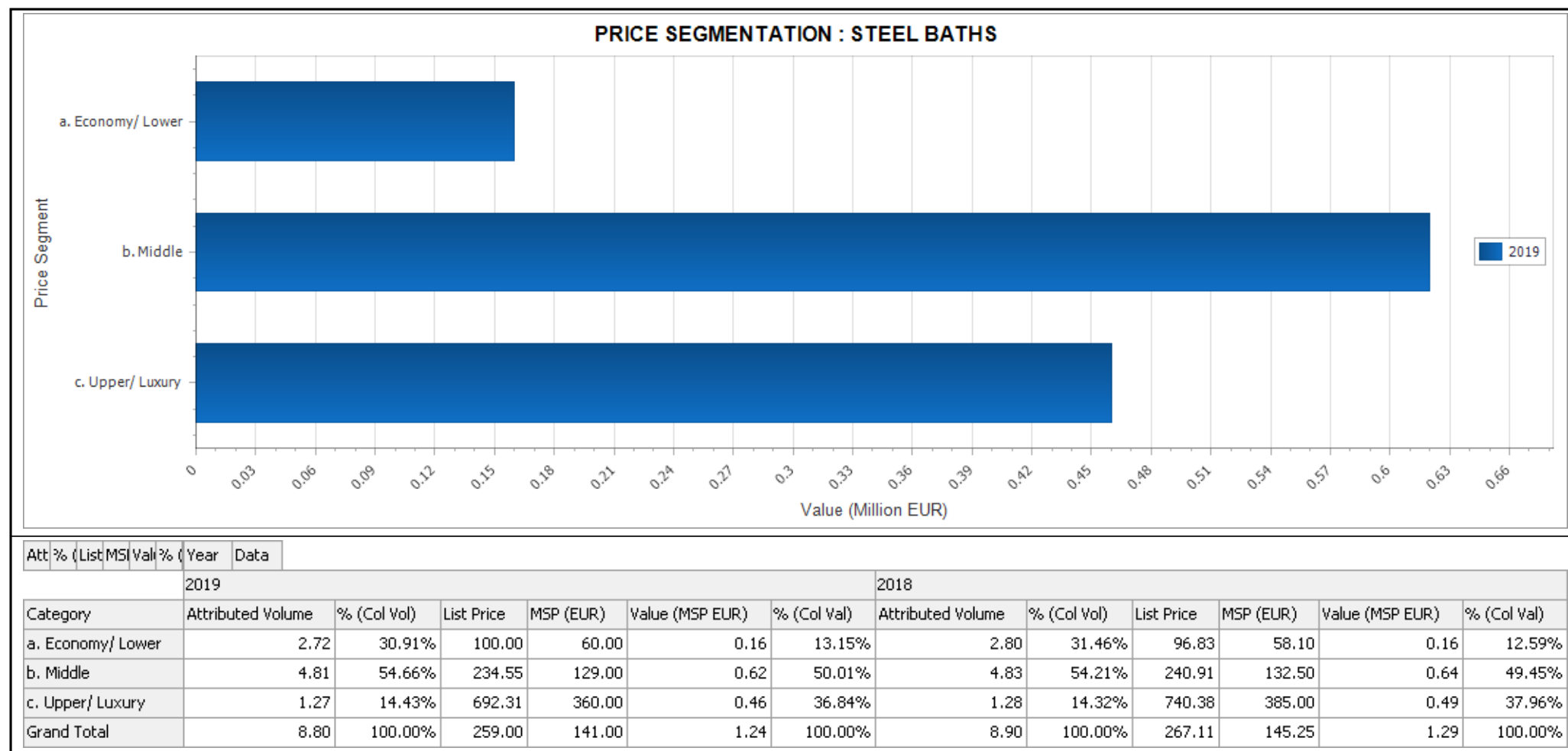


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1,000, Middle €1,000-€1,500, Upper/ Luxury >€1,500

1.3.3 Price Segmentation : Steel Baths

BE - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

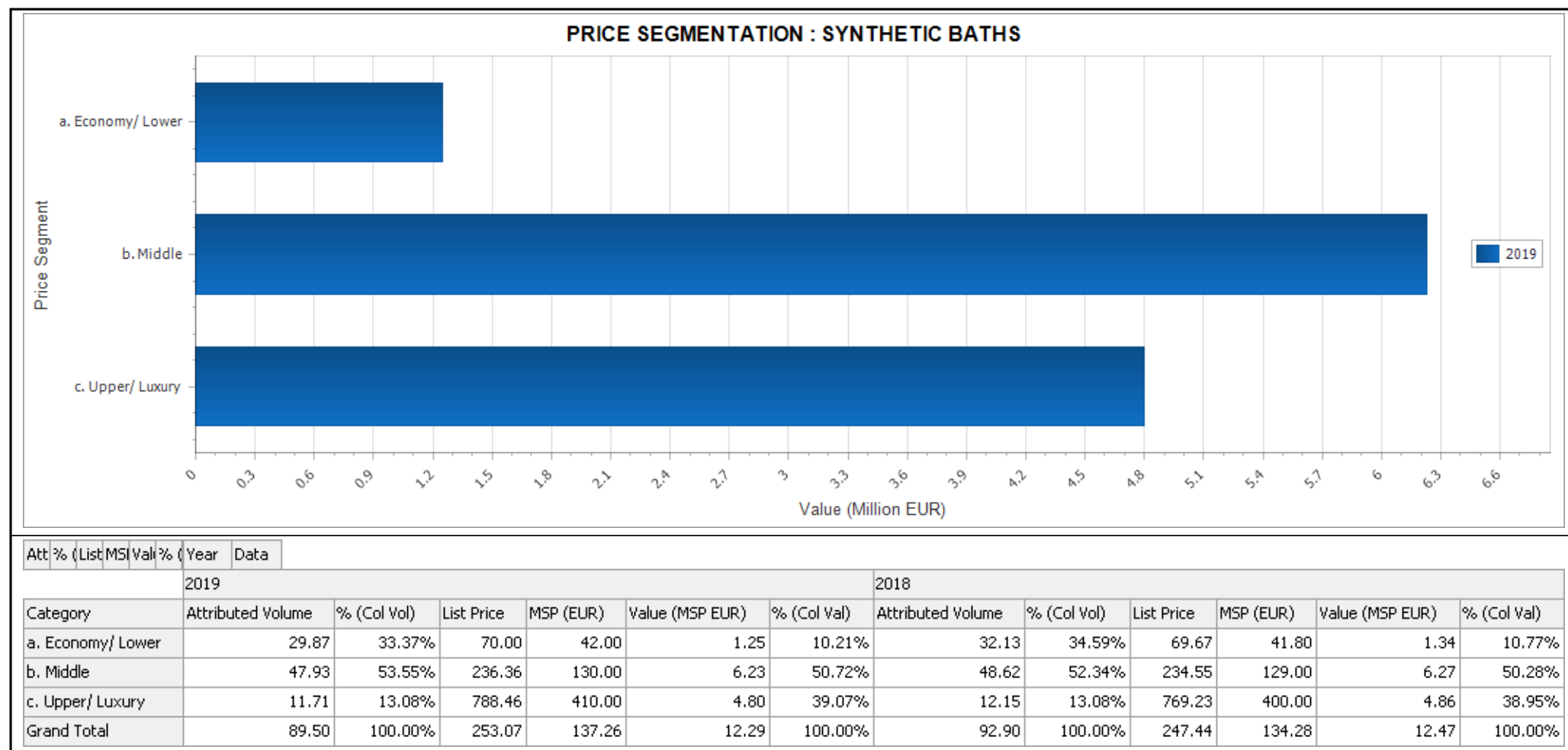


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.4 Price Segmentation : Synthetic Baths

BE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

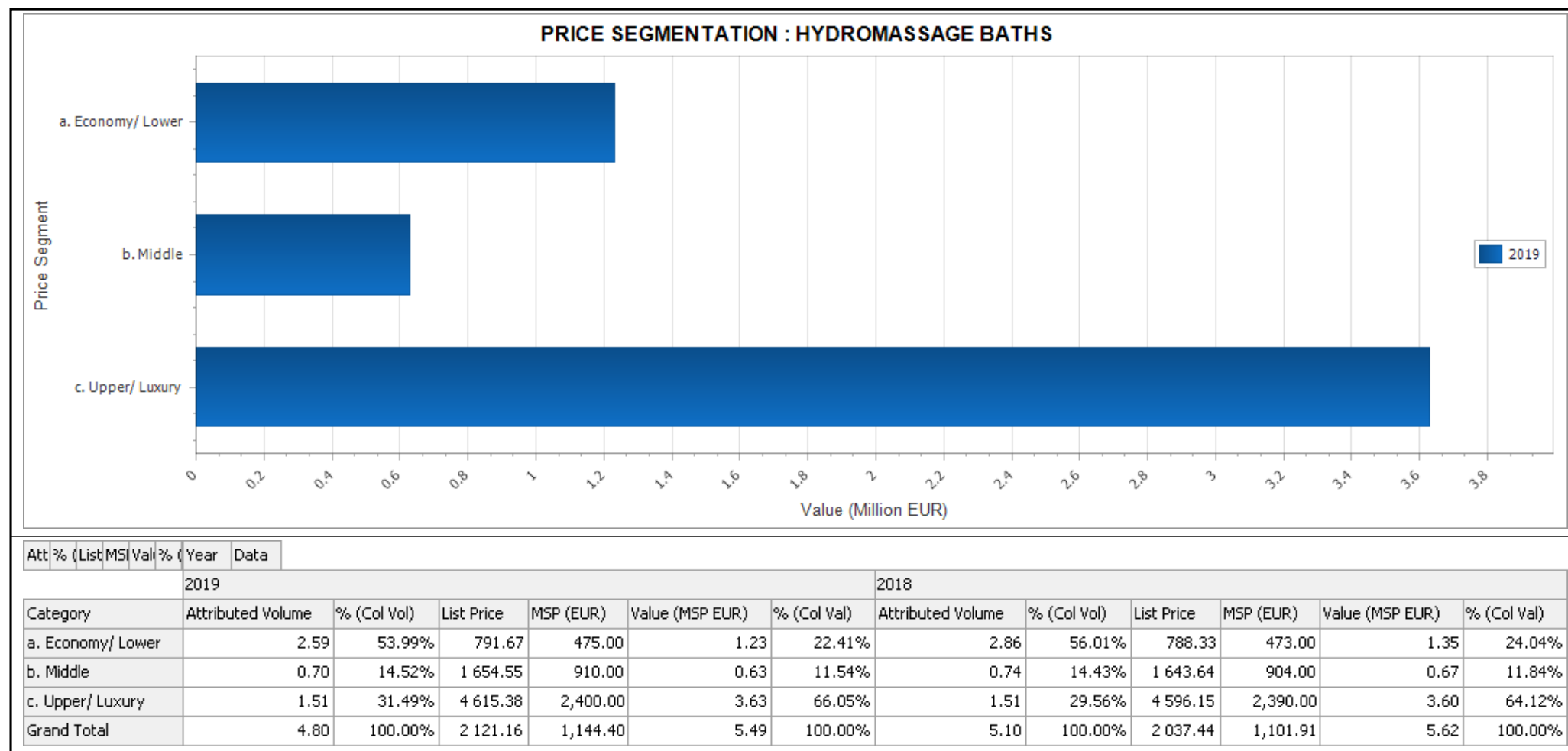


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.5 Price Segmentation : Hydromassage Baths

BE - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

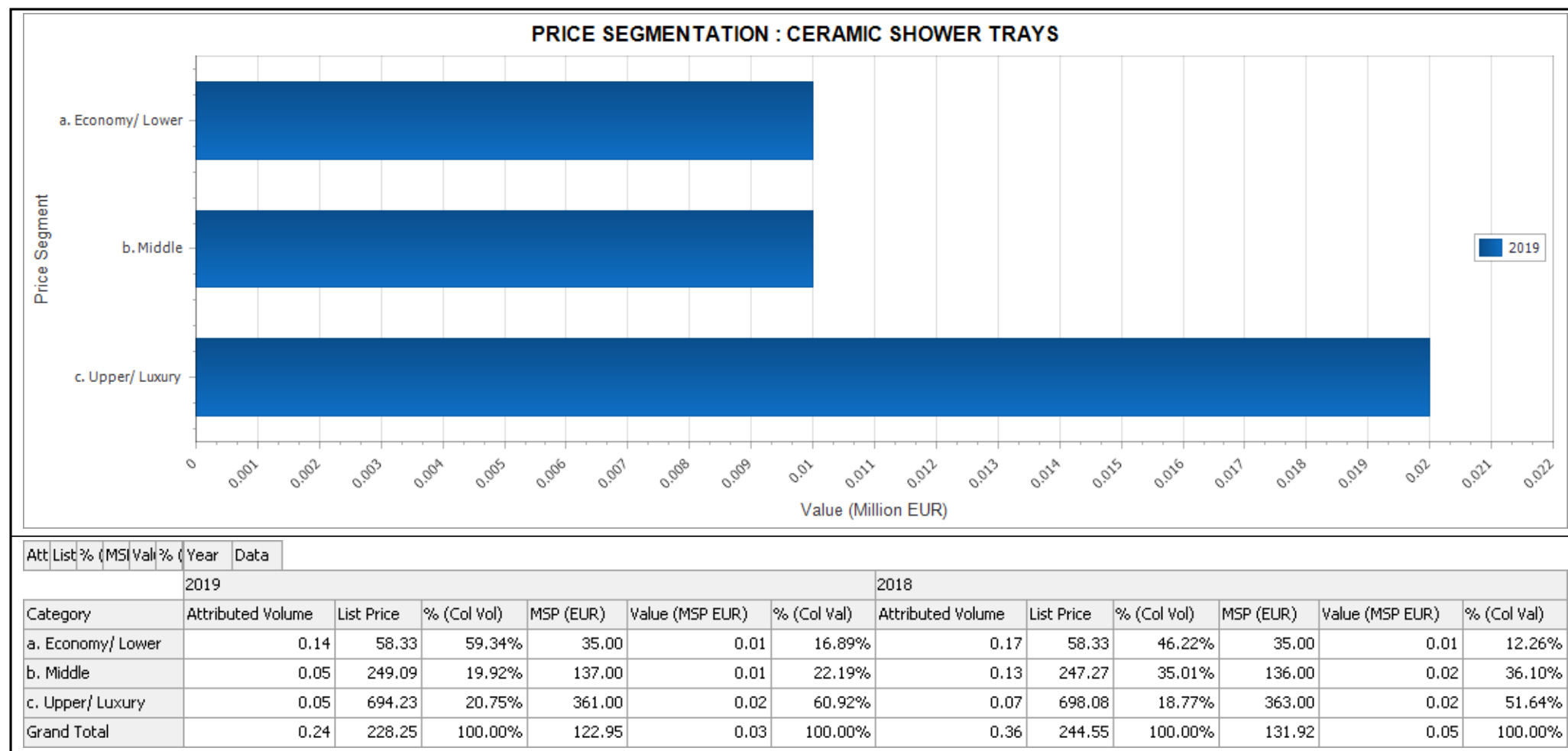


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

1.3.6 Price Segmentation : Ceramic Shower Trays

BE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

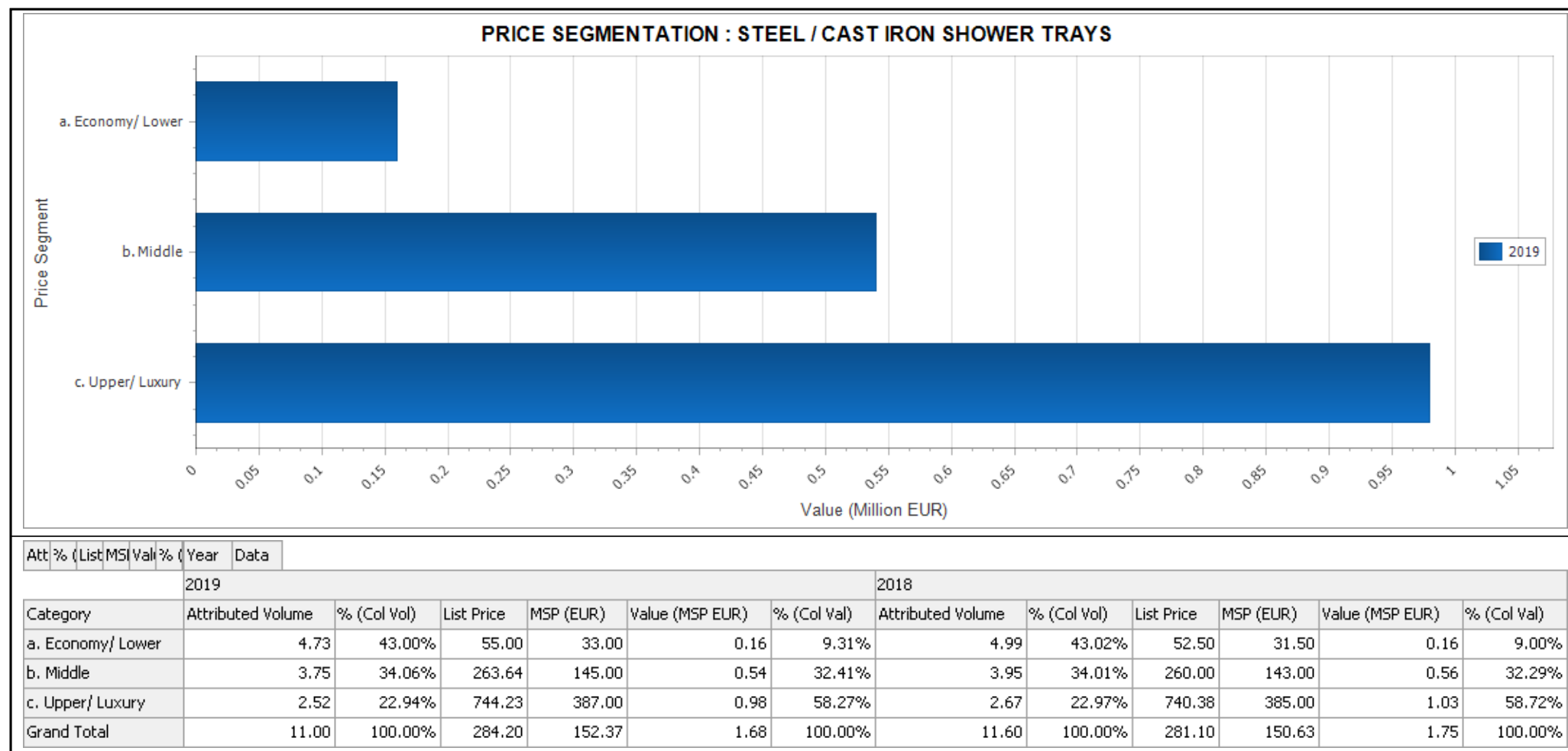


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

BE - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

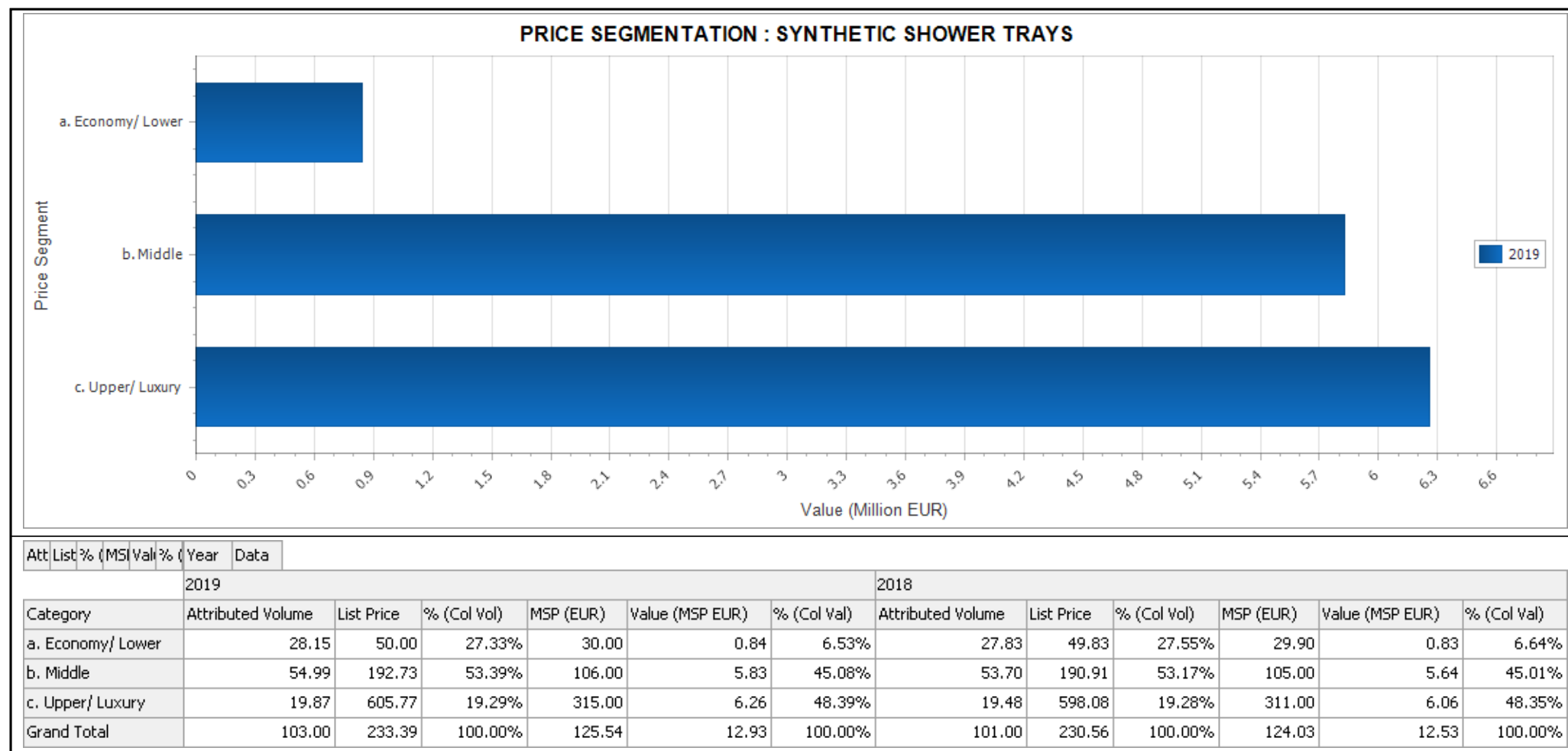


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.8 Price Segmentation : Synthetic Shower Trays

BE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

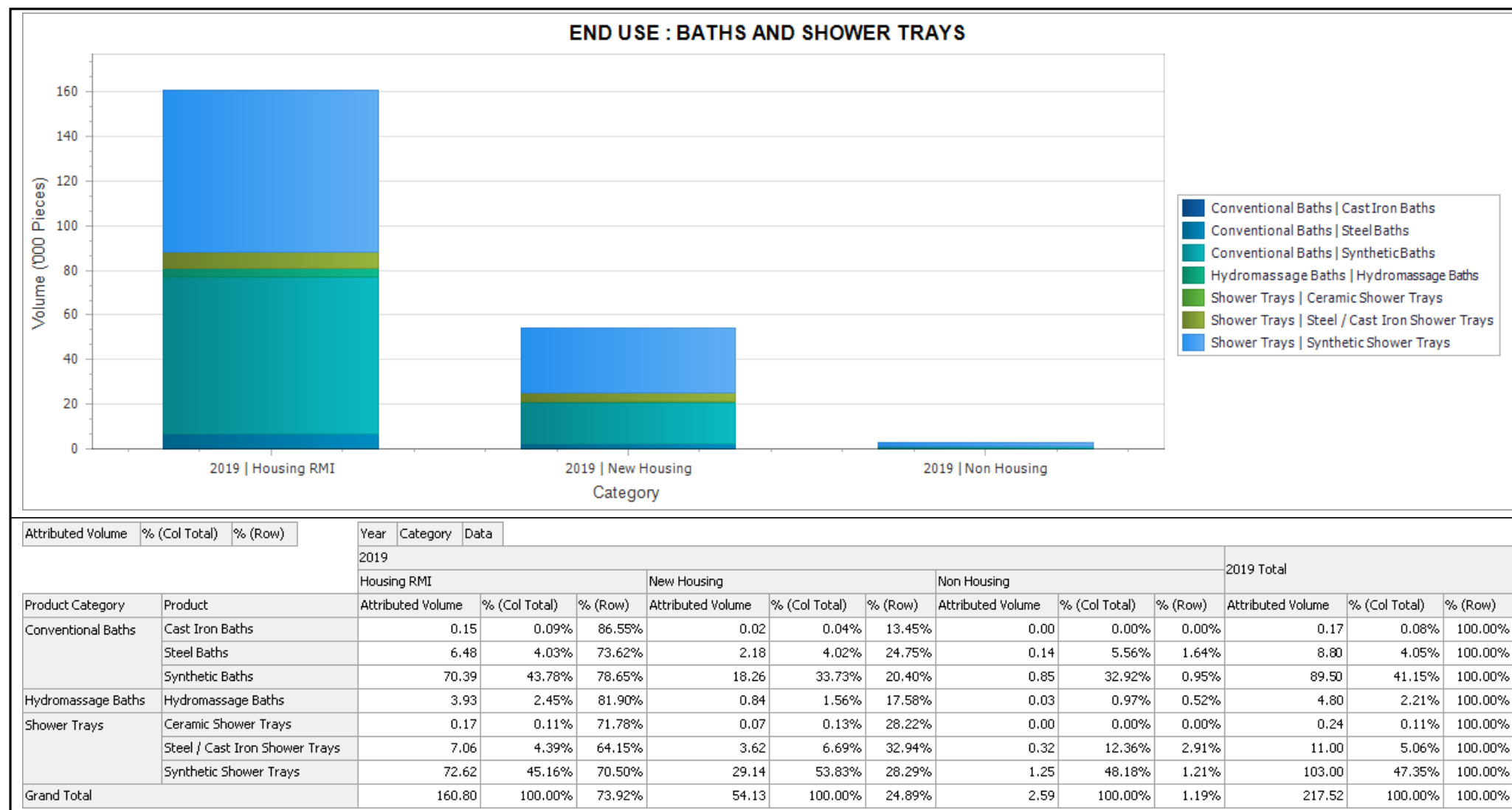


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.4.1 End Use : Base Year

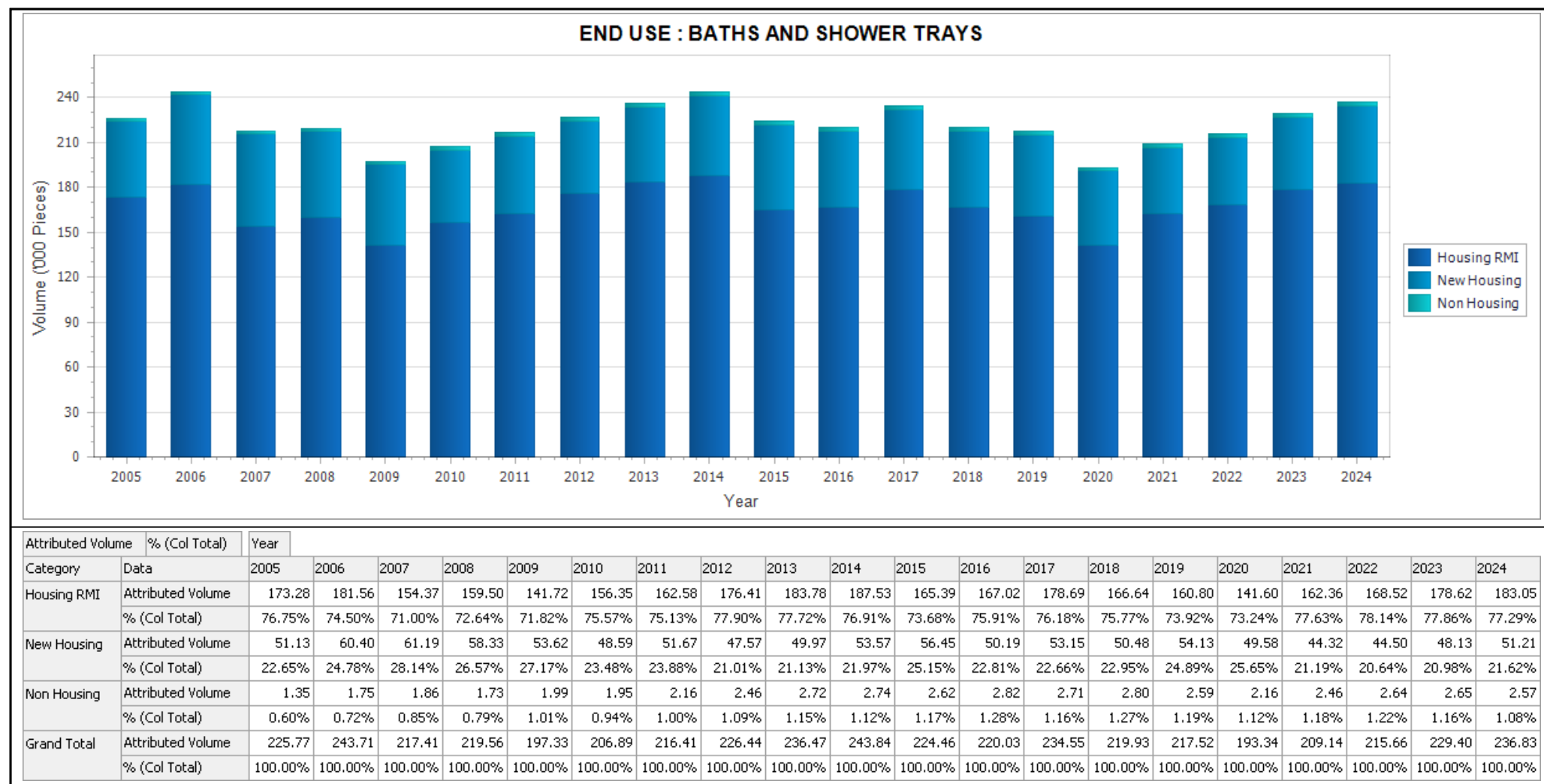
BE - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

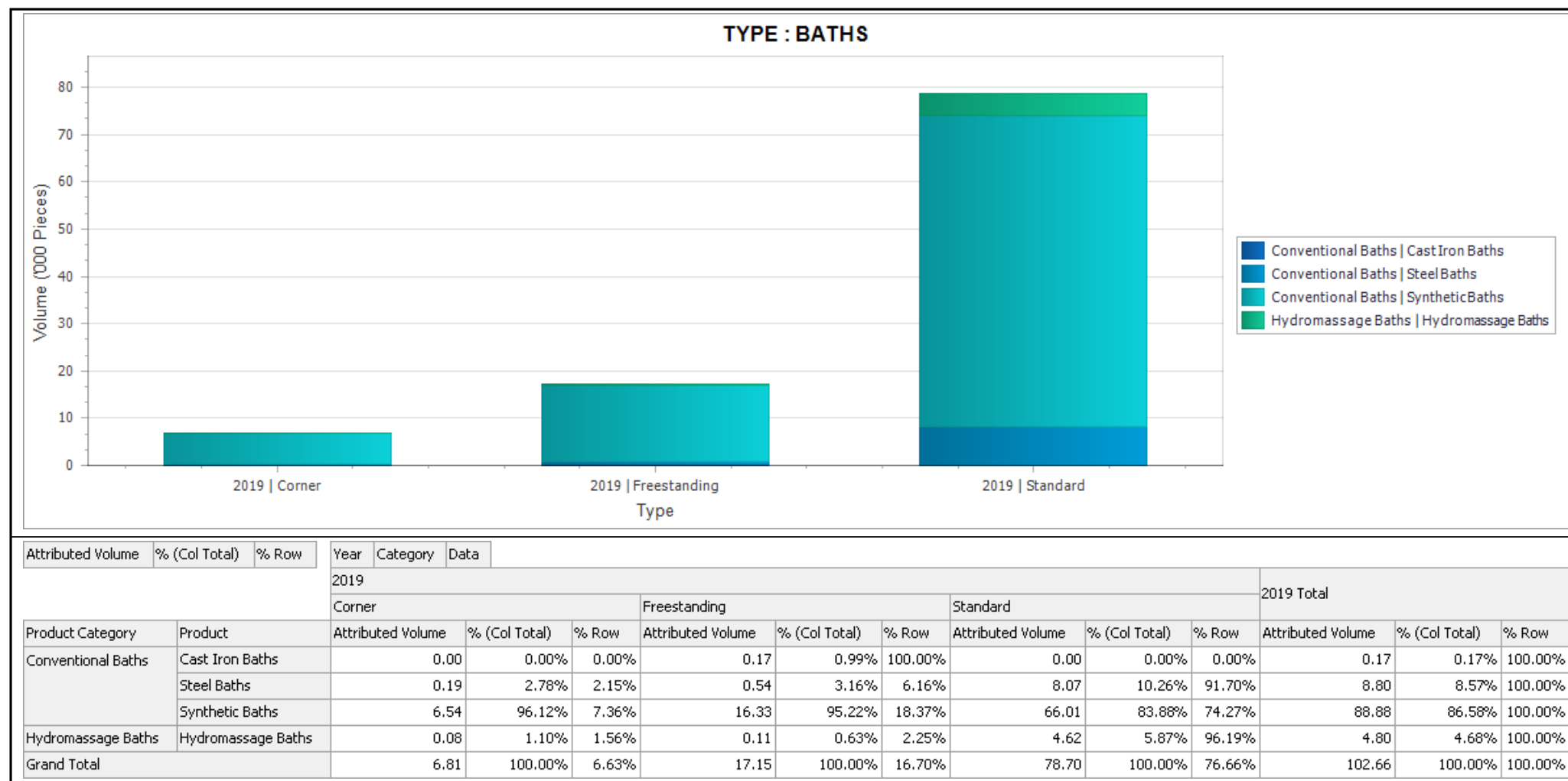
BE - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

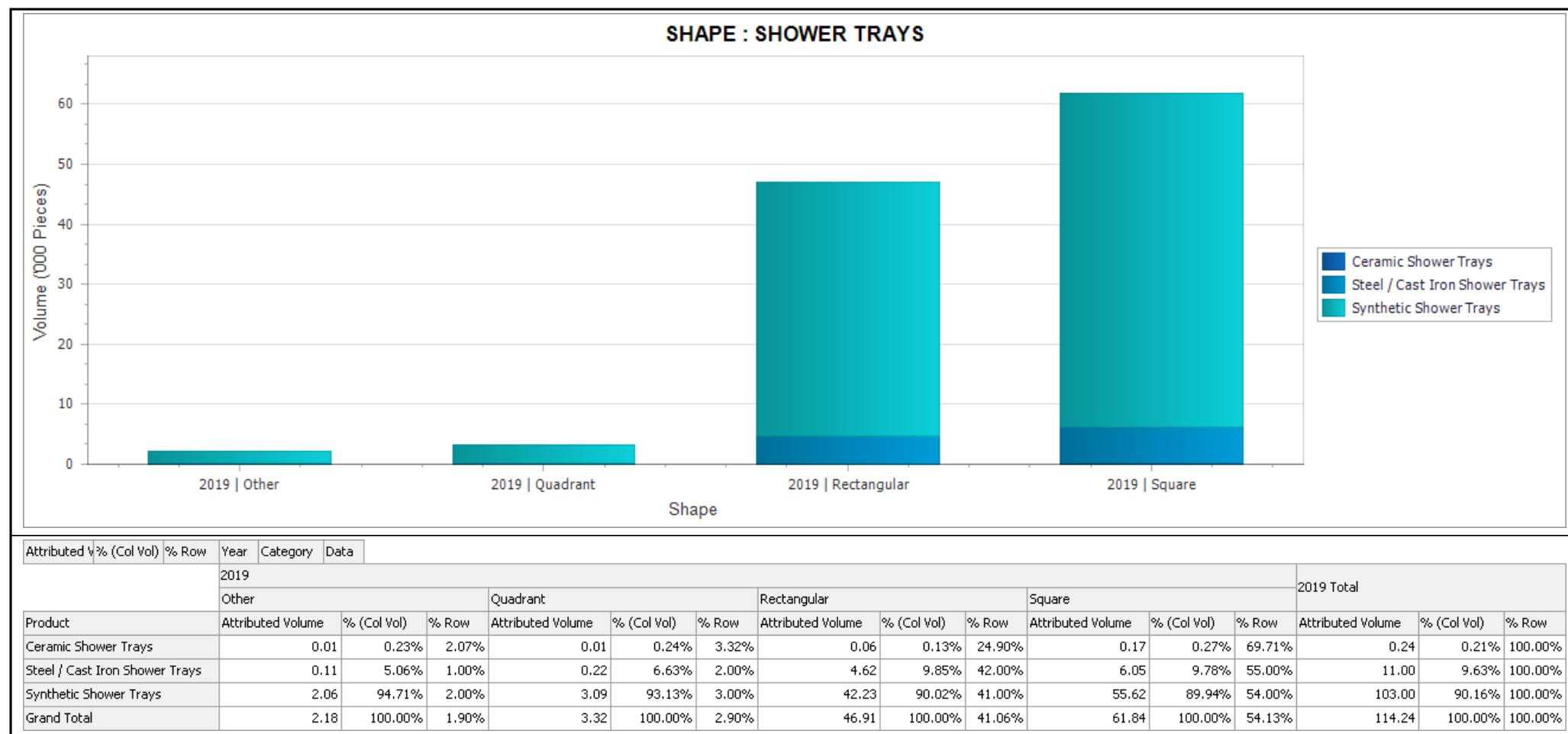
BE - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

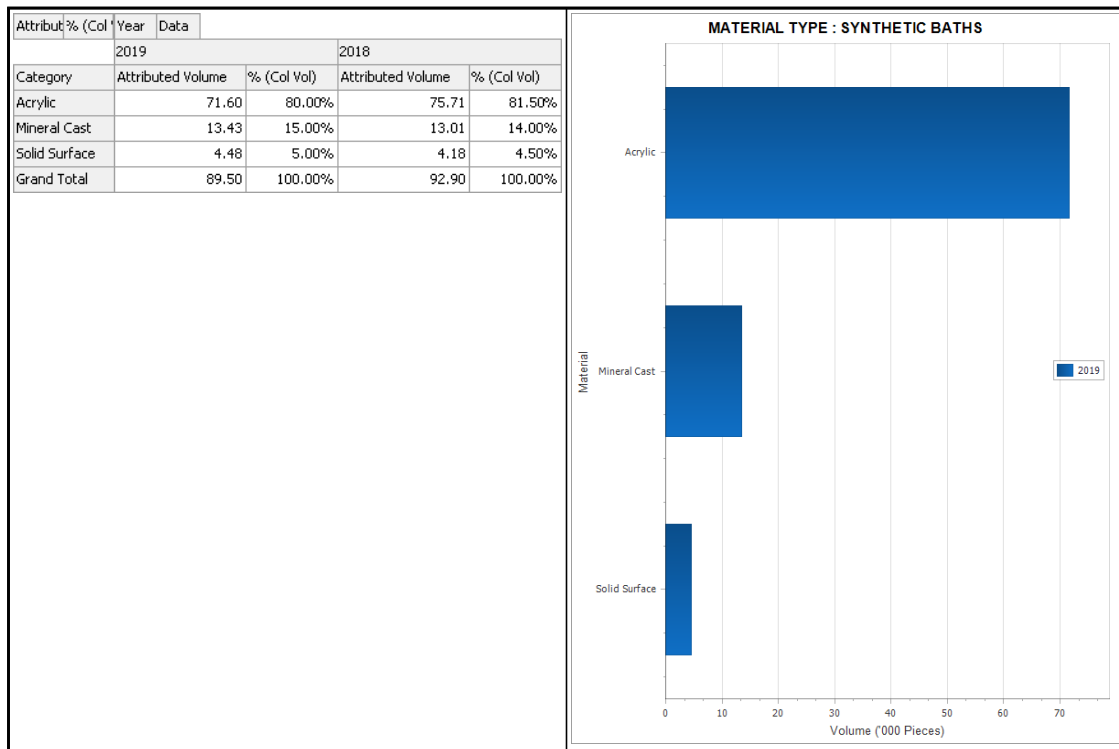
BE - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

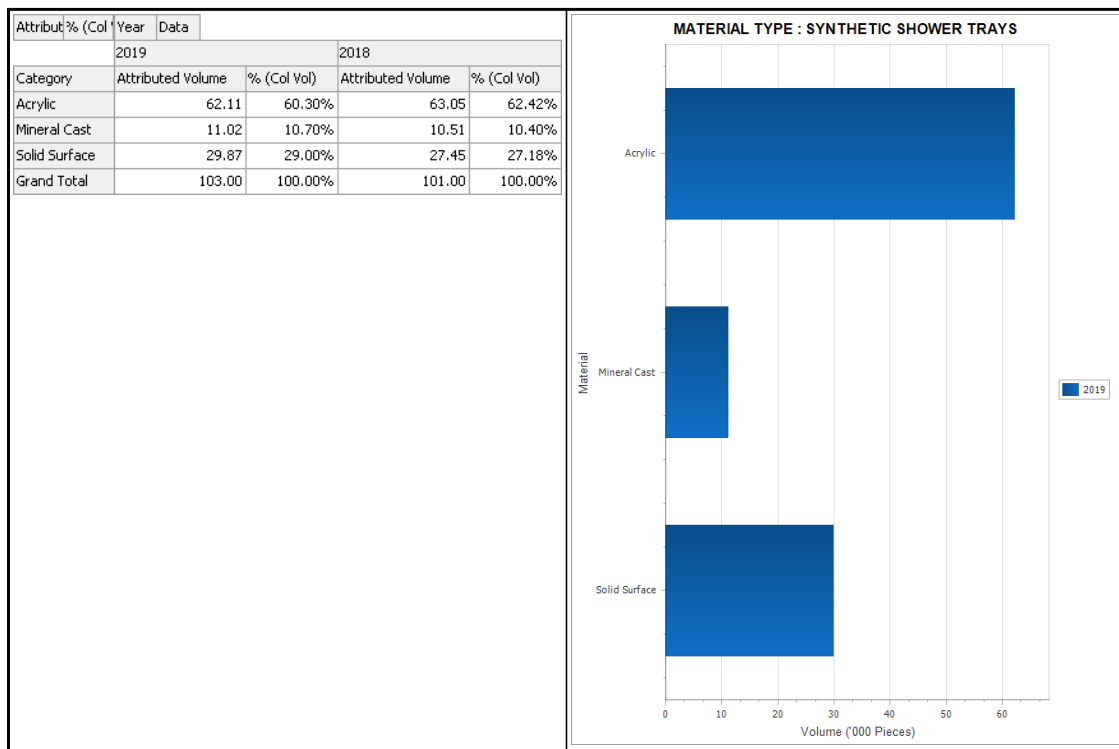
BE - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

1.4.6 Sales by Material : Synthetic Shower Trays

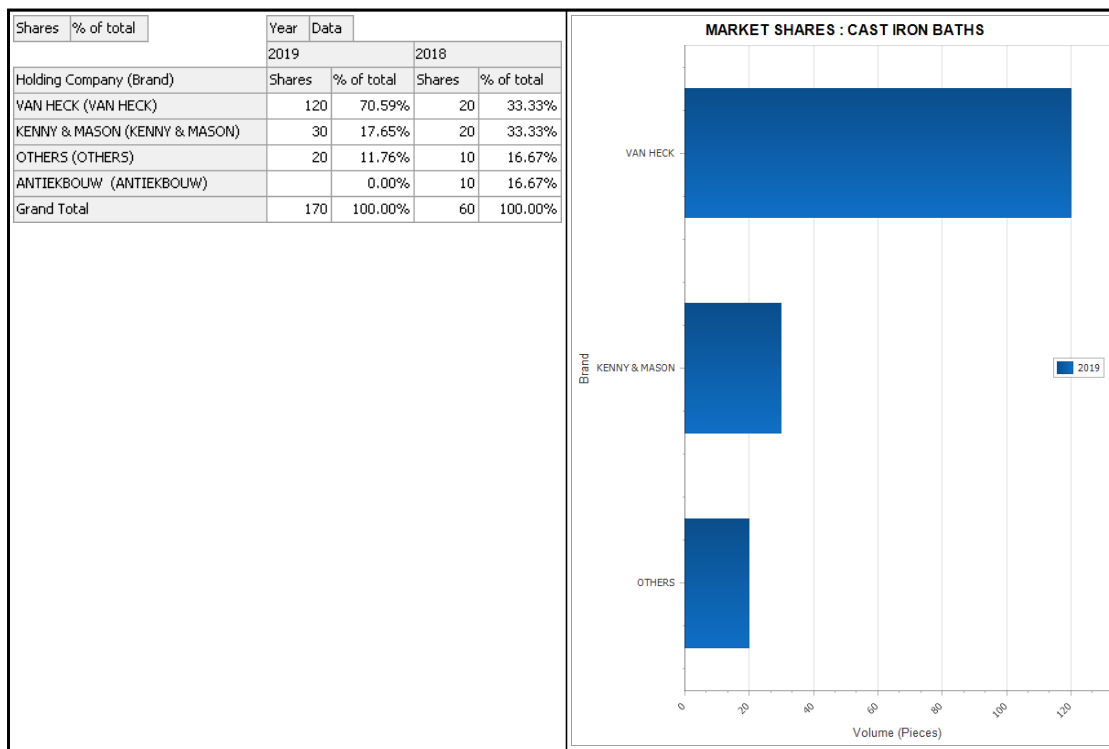
BE - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

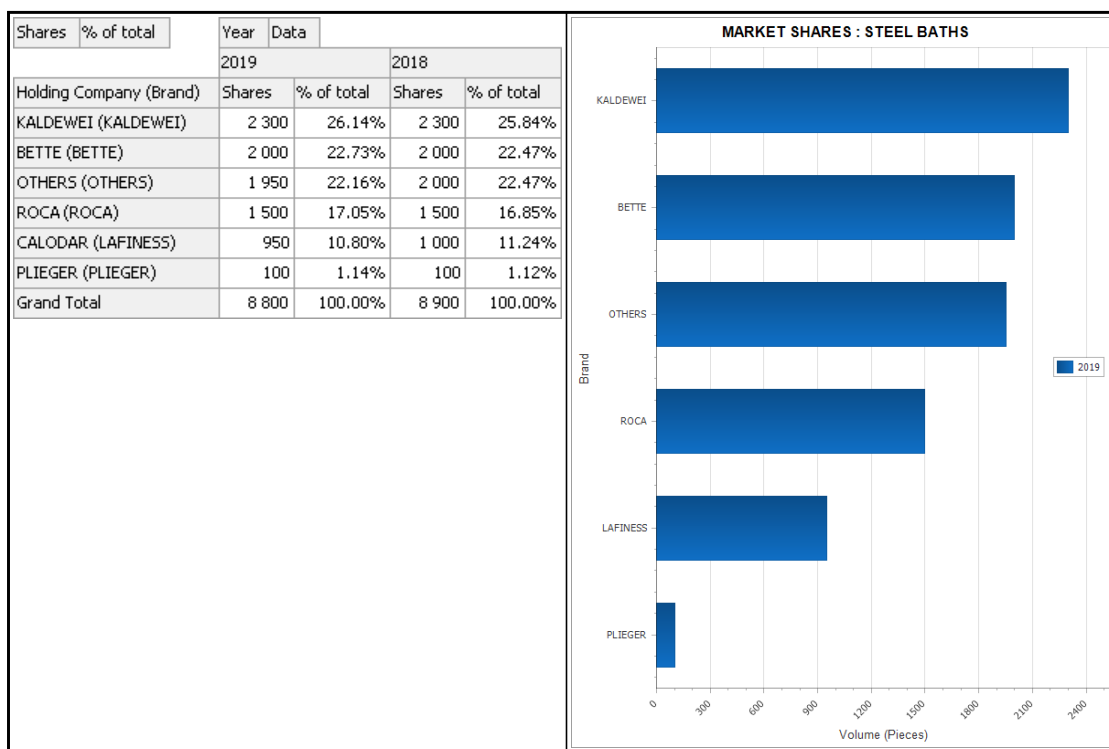
BE - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

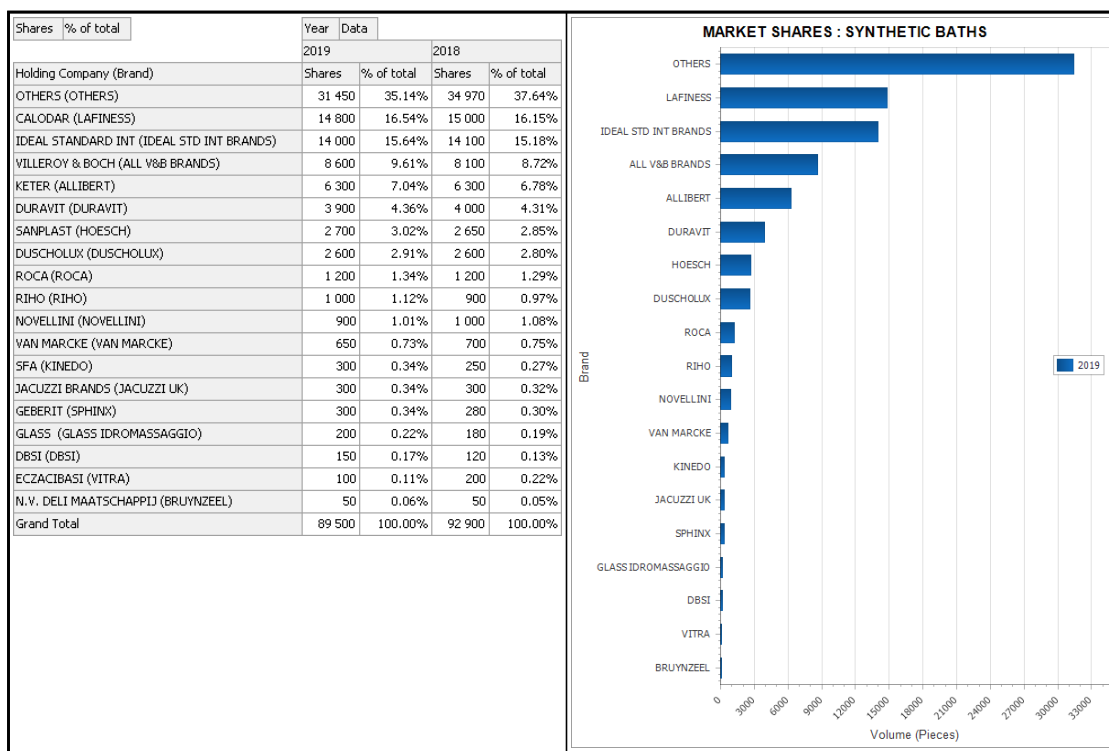
BE - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

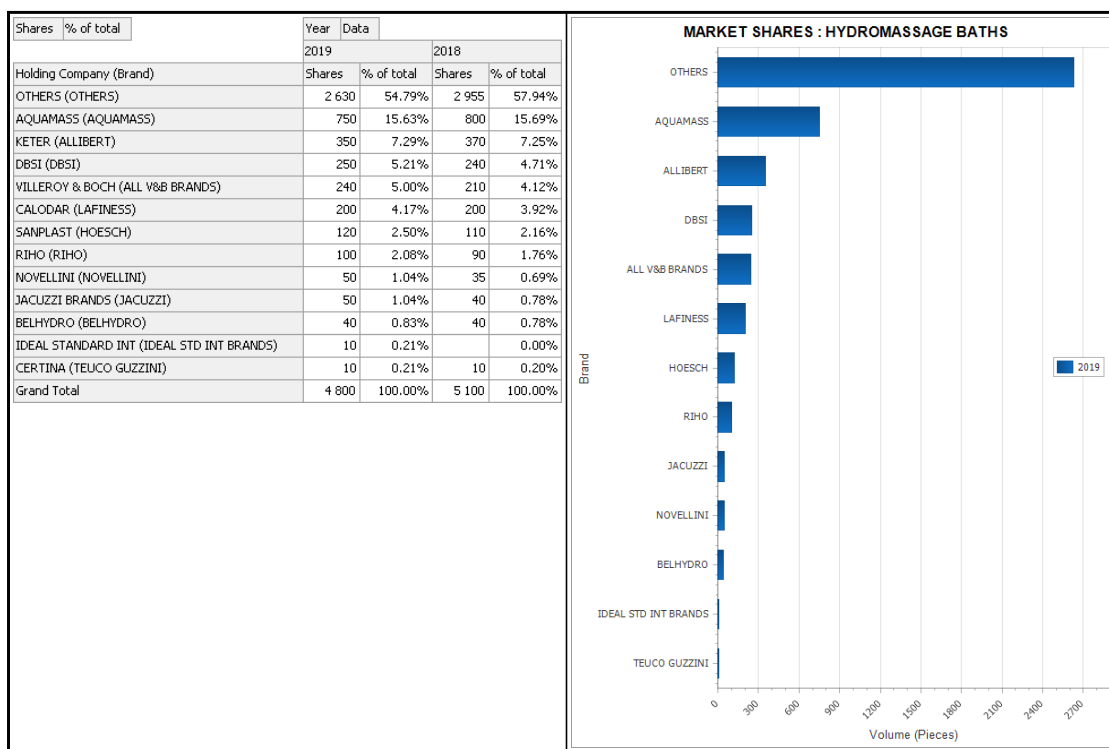
BE - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

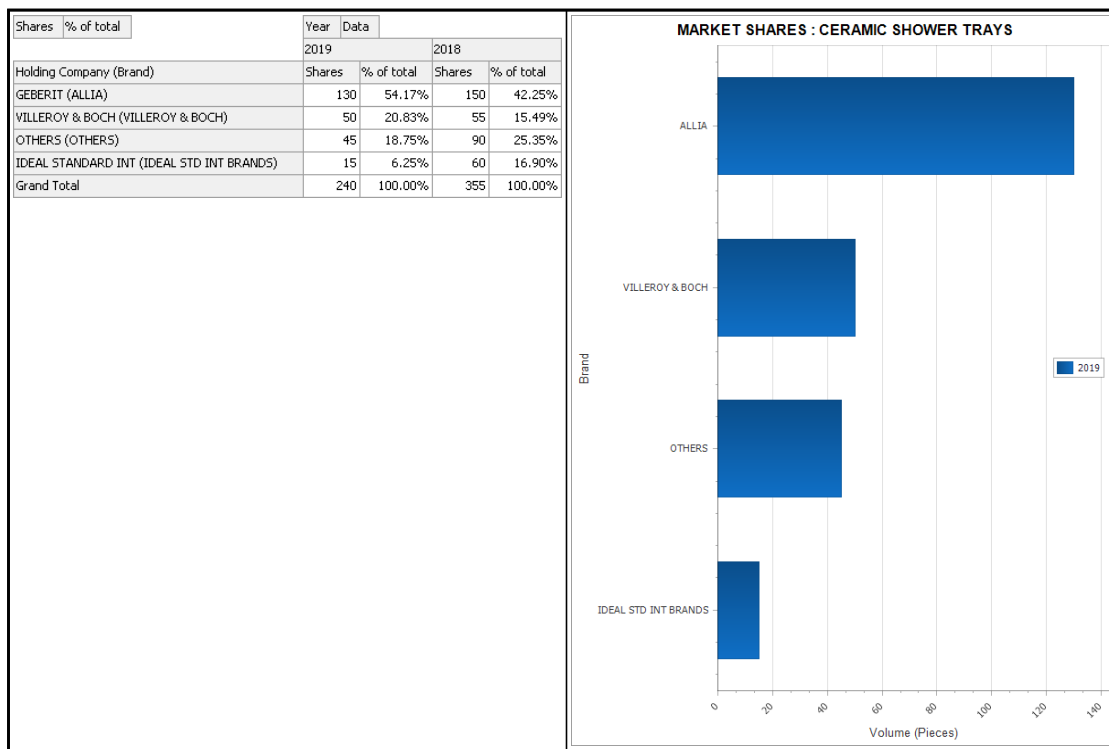
BE - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

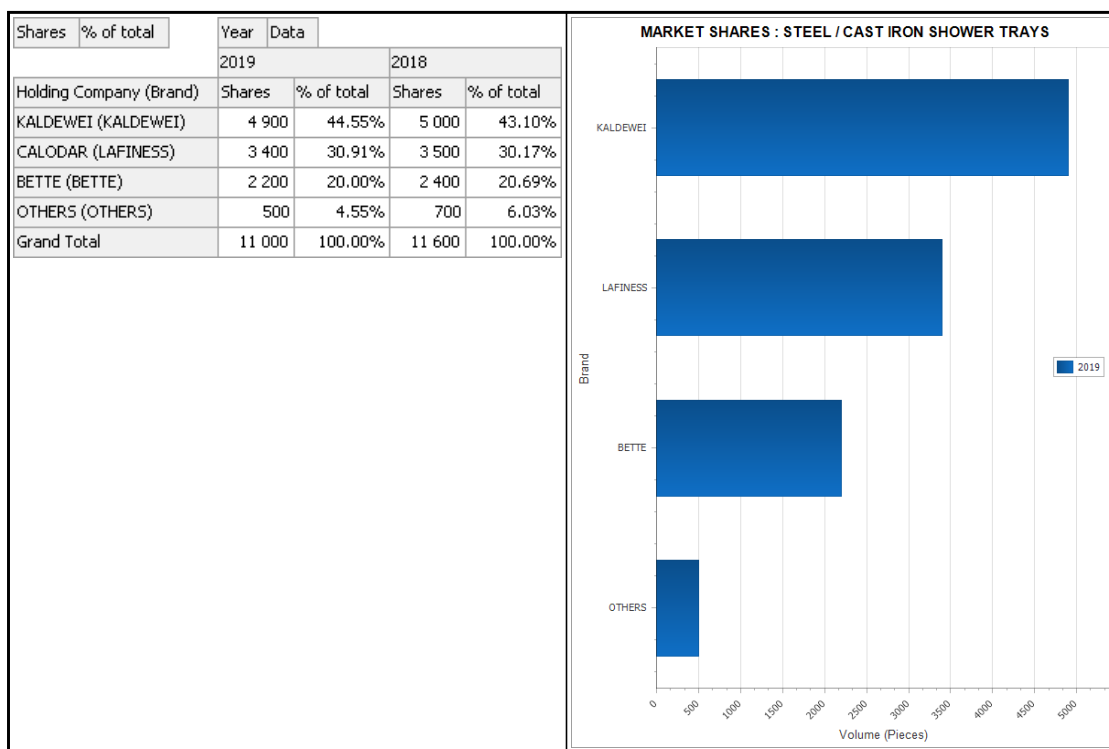
BE - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

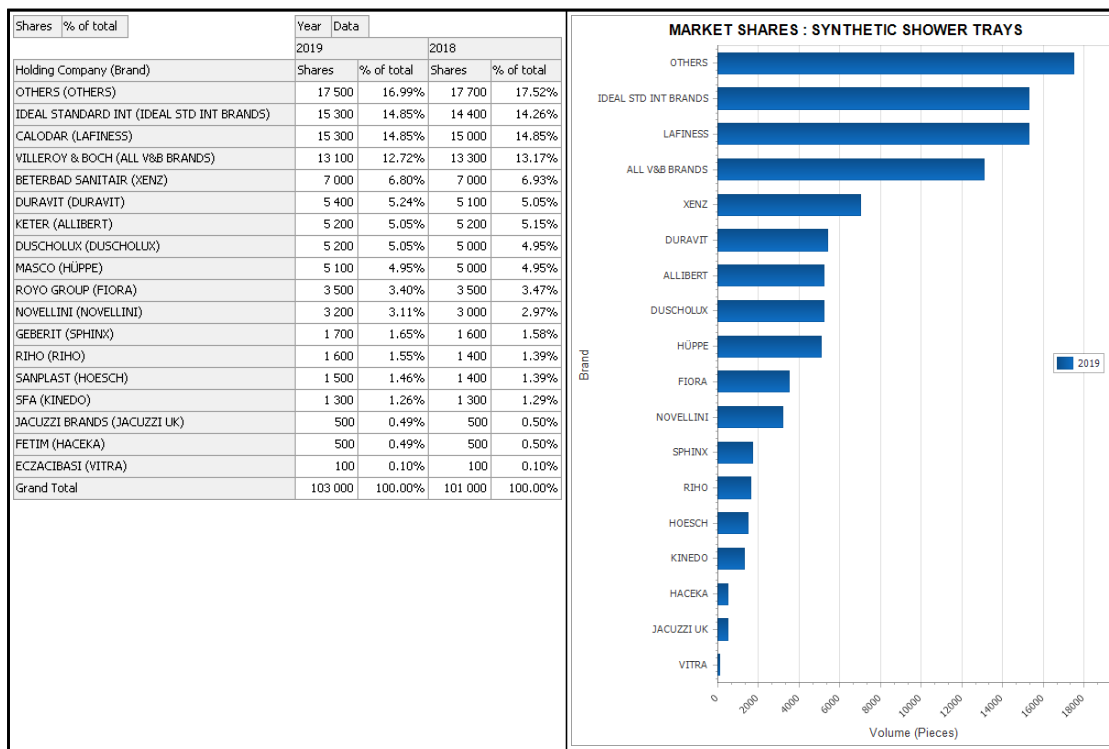
BE - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

BE - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 BE - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	17	94.0%	48	87.3%	1	39.7%	3	21.4%
United Kingdom	1	3.3%	6	10.9%	1	22.7%	4	28.6%
Luxembourg	0	2.7%	1	1.8%	0	15.4%	1	7.1%
OTHERS	0	0.0%	0	0.0%	1	22.2%	6	42.9%
Total	18	100.0%	55	100.0%	3	100.0%	14	100.0%

Source : Trademap

1.6.2 BE - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	8	65.8%	34	77.3%	1	29.0%	4	36.4%
Luxembourg	4	28.4%	4	9.1%	3	71.0%	6	54.5%
Guinea	1	4.0%	3	6.8%	0	0.0%	0	0.0%
Egypt	0	1.8%	3	6.8%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	0	0.0%	1	9.1%
Total	12	100.0%	44	100.0%	4	100.0%	11	100.0%

Source : Trademap

1.6.3 BE - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	126	43.5%	1 281	67.3%	160	56.0%	1 368	72.0%
Italy	75	26.0%	75	3.9%	47	16.4%	64	3.4%
China	43	15.0%	288	15.1%	28	10.0%	161	8.5%
France	27	9.5%	134	7.0%	33	11.5%	218	11.5%
Spain	9	3.0%	18	0.9%	5	1.7%	10	0.5%
OTHERS	8	2.9%	108	5.7%	12	4.4%	78	4.1%
Total	288	100.0%	1 904	100.0%	285	100.0%	1 899	100.0%

Source : Trademap

1.6.4 BE - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	33	42.6%	178	41.2%	28	44.7%	109	43.4%
Netherlands	19	24.9%	103	23.8%	24	38.1%	101	40.2%
Germany	16	21.0%	83	19.2%	4	5.8%	5	2.0%
Luxembourg	2	2.9%	8	1.9%	3	5.5%	14	5.6%
Nigeria	2	2.6%	1	0.2%	1	1.7%	2	0.8%
United Kingdom	2	2.5%	19	4.4%	0	0.4%	1	0.4%
Hungary	1	1.0%	9	2.1%	0	0.0%	0	0.0%
OTHERS	2	2.6%	31	7.2%	2	3.9%	19	7.6%
Total	77	100.0%	432	100.0%	63	100.0%	251	100.0%

Source : Trademap

1.6.5 BE - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	4 509	32.8%	14 448	20.0%	3 559	26.3%	11 668	16.9%
Egypt	3 163	23.0%	10 705	14.8%	3 633	26.8%	12 639	18.3%
Netherlands	1 424	10.4%	19 181	26.5%	1 997	14.7%	17 837	25.8%
Germany	1 075	7.8%	8 449	11.7%	1 094	8.1%	7 645	11.1%
Italy	942	6.9%	5 876	8.1%	859	6.3%	5 286	7.7%
France	869	6.3%	4 710	6.5%	1 016	7.5%	5 041	7.3%
Spain	706	5.1%	2 669	3.7%	372	2.7%	1 815	2.6%
Poland	532	3.9%	2 160	3.0%	445	3.3%	1 527	2.2%
Bulgaria	141	1.0%	693	1.0%	139	1.0%	656	1.0%
OTHERS	373	2.7%	3 473	4.8%	433	3.2%	4 902	7.1%
Total	13 734	100.0%	72 364	100.0%	13 546	100.0%	69 016	100.0%

Source : Trademap

1.6.6 BE - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	4 521	49.6%	21 440	47.2%	4 506	56.7%	20 906	48.5%
France	2 711	29.8%	8 646	19.1%	1 964	24.7%	7 330	17.0%
Netherlands	1 371	15.0%	9 086	20.0%	836	10.5%	7 393	17.1%
OTHERS	509	5.6%	6 212	13.7%	646	8.1%	7 507	17.4%
Total	9 112	100.0%	45 384	100.0%	7 953	100.0%	43 136	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
BE - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.4%
	Wholesalers / Merchants
	55.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.5%	4.3%		25.6%		0.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.8%		26.5%		34.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	23.8%	0.0%	4.0%	12.2%
Installers				
41.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	5.2%	7.8%	22.6%	22.7%	40.8%	0.0%	0.0%	0.0%	0.0%	0.0%	1.0%			
	Residential						Non-Residential								
	99.0%						1.0%								
New Build				Residential RMI				New Build				Non-Residential RMI			
20.6%				78.4%				0.6%				0.3%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
13.4%		7.2%		6.3%		72.1%		0.5%		0.1%		0.2%		0.1%	

1.7.2

Route to Market: Baths
BE - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	54.9%
	Wholesalers / Merchants
	54.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.0%	4.9%		24.9%		0.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.9%		25.7%		35.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.4%	23.7%	0.0%	3.9%	20.4%
Installers				
49.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	4.9%	8.9%	21.8%	15.0%	48.4%	0.0%	0.0%	0.0%	0.0%	0.0%	0.9%
	Residential						Non-Residential					
	99.1%						0.9%					

New Build				Residential RMI			
16.9%				82.2%			
Project	Non-Project			Project	Non-Project		
11.0%	5.9%			6.6%	75.6%		

New Build				Non-Residential RMI			
0.6%				0.3%			
Project	Non-Project			Project	Non-Project		
0.5%	0.1%			0.2%	0.1%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

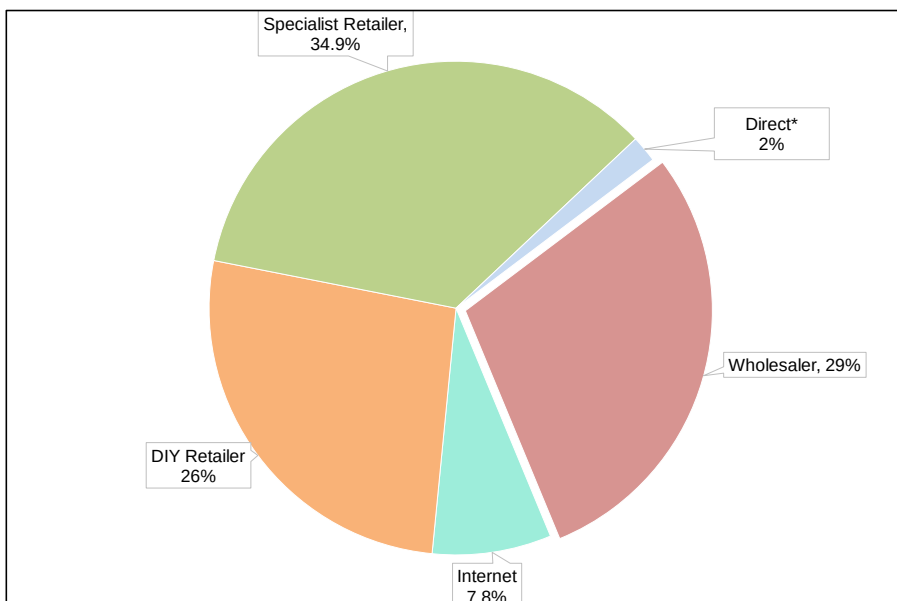
1.7.3 Route to Market - Consolidated View : Baths
BE - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.0%	7.8%	26.5%	34.9%	1.7%	19.7%	0.8%	79.3%	0.2%
100%					20.4%		79.6%	

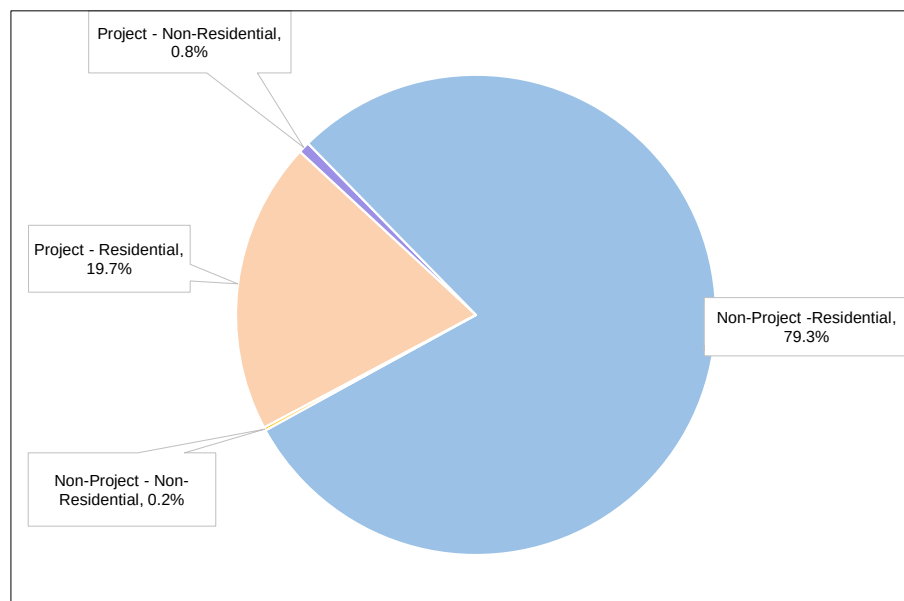
1.7.4 Route to Market - Consolidated View : Baths
BE - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.6%	8.9%	25.7%	35.4%	1.4%	17.6%	0.7%	81.5%	0.2%
100%					18.3%		81.7%	

BE - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
BE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	62.4%
	Wholesalers / Merchants
	62.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.9%	3.6%	23.7%	7.1%	6.1%	13.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.5%		30.8%		19.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	34.3%	0.0%	4.6%	6.8%
Installers				
46.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	3.9%	10.5%	26.2%	12.6%	45.5%	0.0%	0.4%	0.0%	0.0%	0.0%	1.0%			
	Residential						Non-Residential								
	98.6%						1.4%								
New Build				Residential RMI				New Build				Non-Residential RMI			
28.7%				69.9%				0.9%				0.5%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
18.7%		10.1%		5.6%		64.3%		0.8%		0.1%		0.3%		0.2%	

1.7.6 Route to Market: Shower Trays
BE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.7%
	Wholesalers / Merchants
	60.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	8.0%	4.1%	22.9%	6.8%	6.8%	13.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.0%		29.7%		20.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	31.9%	0.0%	4.5%	7.1%
Installers				
44.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
	0.91%	4.1%	12.0%	25.2%	13.3%	43.3%	0.0%	0.3%	0.0%	0.0%	0.0%	0.9%	
	Residential						Non-Residential						
	98.8%						1.2%						
	New Build			Residential RMI				New Build			Non-Residential RMI		
	26.0%			72.8%				0.8%			0.4%		
	Project	Non-Project		Project	Non-Project			Project	Non-Project		Project	Non-Project	
	16.9%	9.1%		5.8%	67.0%			0.7%	0.1%		0.3%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

BE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

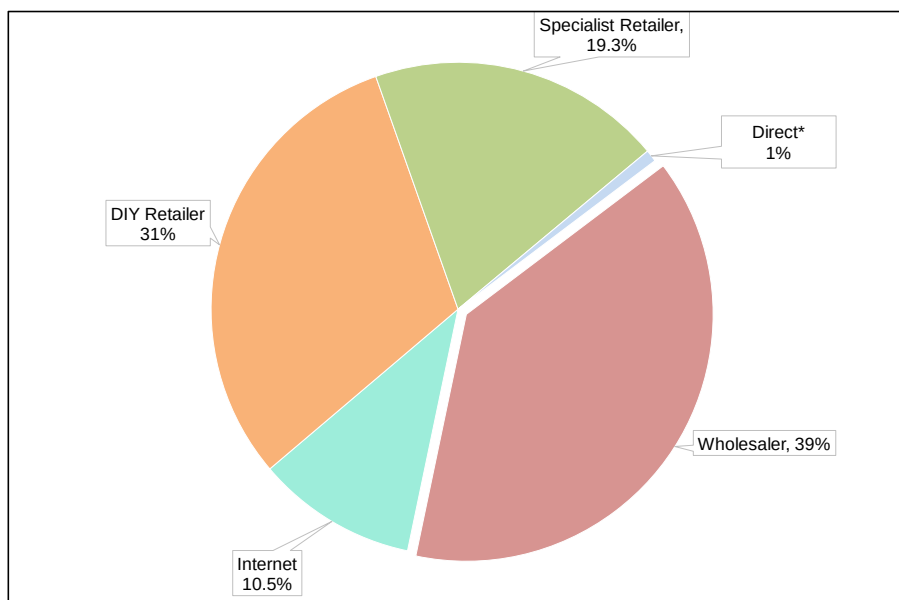
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
38.6%	10.5%	30.8%	19.3%	0.8%	24.3%	1.1%	74.4%	0.3%
100%					25.3%		74.7%	

1.7.8 Route to Market - Consolidated View : Shower Trays

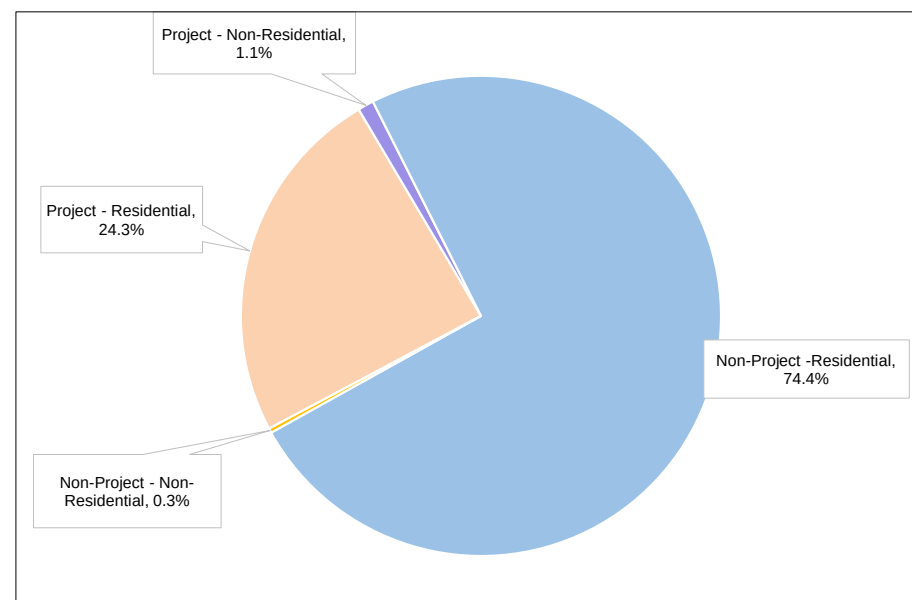
BE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.3%	12.0%	29.7%	20.4%	1.6%	22.7%	1.0%	76.0%	0.3%
100%					23.7%		76.3%	

BE - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



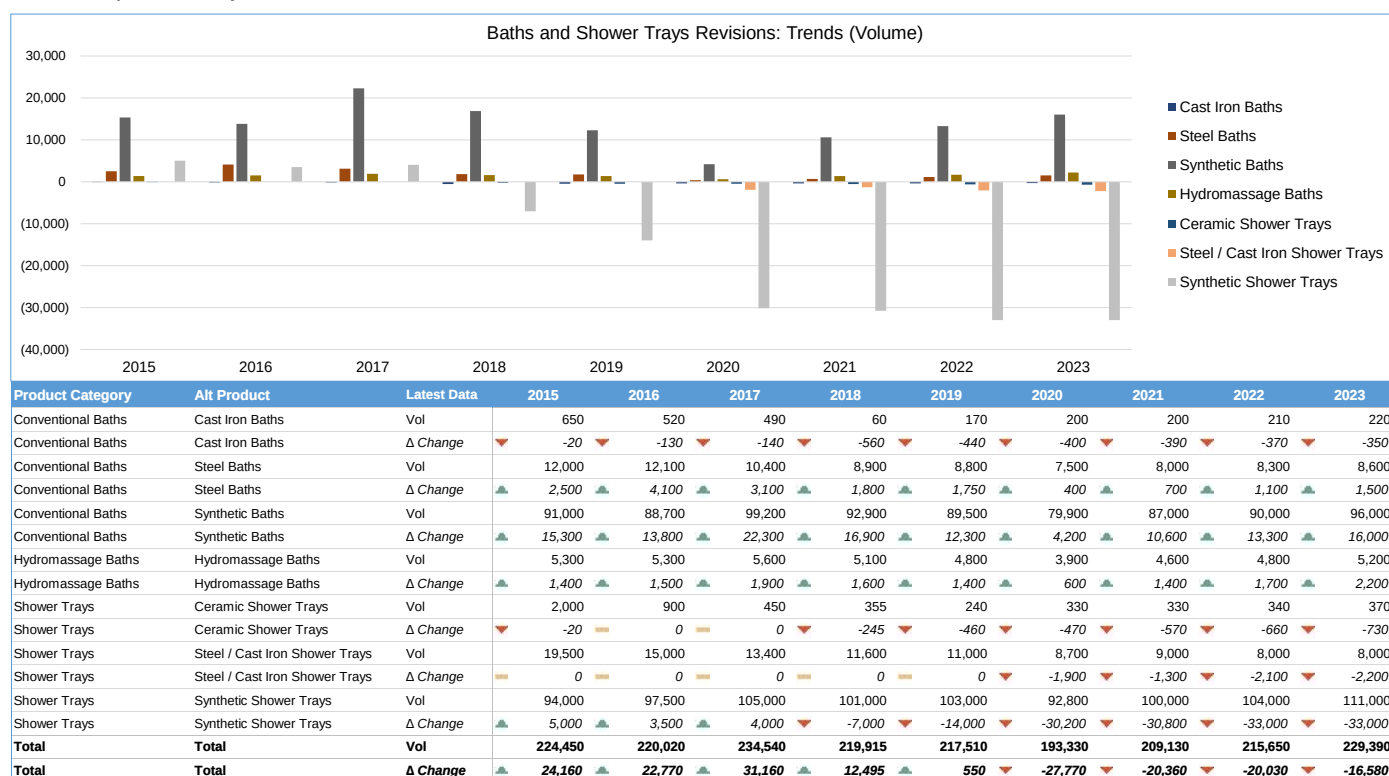
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Belgian Baths and Shower Trays Market (July 2020)

BE - REVISIONS IN THE BELGIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



Considerable revisions were made to the market sizes for all types of baths, but in particular in synthetic models, for both conventional and hydromassage baths. The Belgian market, similar to neighbouring Netherlands, has seen an influx of rising imports, mostly from China and, but to a lesser extent, Egypt and Poland, which were previously not all accounted for. Chinese imports (in value) only accounted for around 0.6% of total imports in 2002, by 2008 this had already risen to 4% and had continued to rise strongly, to reach 22% by 2019. Chinese imports particularly increased during the peak of the crisis in Belgium, during 2011-2015.

Baths imported from countries with low labour costs are predominantly sold through DIY stores, such as BRICO, HUBO and GAMMA, but are also sold through bathroom retailers, such as X²O, and wholesalers, including VAN MARCKE, under private label agreements. Bathroom retailer X²O, which was established in 2004, mostly sells baths under its own private label range (LUCA VARESS, BALMANI, LINIE and HOUSE OF ASCOTT) and hardly offers any other brands (e.g. only VILLEROY & BOCH bath). X²O has gained market share rapidly since it was set up and is now considered to be the market leader in the retail sector, operating 20 showrooms across Belgium and with a turnover of €76.1 million in 2019. In previous data, X²O's market presence was understated. VAN MARCKE, the leading wholesaler, also has a private label range – VAN MARCKE ORIGIN, VAN MARCKE and VAN MARCKE COLLECTION – which it has been selling since the early 2000s and believed to be sourced from either Egypt or China.

Revisions were also made to the estimated average number of bathrooms installed in both new houses and new apartments, which had an impact on the estimated number of baths going into the new housing segment. Whereas historically new build dwellings in Belgium only had one bathroom installed, over the last 15 years an increasing number of new build properties have been fitted with two bathrooms, one master bathroom and one additional bathroom. Whereas in the mid-2000s only around 8% of dwellings had two bathrooms, by 2018/2019 this share had risen to 33%. The master bathroom tends to be more luxurious, often including a bath, whereas the second bathroom is often a lot more basic, only fitted with a shower, not a bath.

Downward revisions were made to the market size for cast iron baths. Cast iron models are very expensive, only used in private bathroom renovation projects, and sales developments are rather volatile, often imported based on consumer demand.

Minor revisions were made to the market sizes for ceramic and synthetic shower due to revised manufacturer sales data received.

BELGIUM

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



2.1 Market Sector Overview : Sanitary Ware

To note: A major upward revision has been made to the market sizes for all products. Please see table 2.8 for more details.

Market Characteristics and Product Mix

The Belgian market for sanitary ware is a mature one, mainly driven by new housing construction and discretionary displacement. Historical developments on the Belgian sanitary ware market have been rather static, with no major fluctuations recorded over the last two decades. The market peaked in the early 1990s, and although a small revival occurred in the late 1990s, the level of sales never returned to those levels. The main reasons for the sluggish developments on the overall market include the poor bathroom market conditions and falling sales in general for ceramic products.

The market for ceramic sanitary ware is clearly dominated by water closets (WCs). The wall hung WC market, in particular, has increased strongly in the last few years, to the detriment of sales of floor standing WCs and close coupled WCs. This trend is expected to continue in the coming years, as wall hung WCs are perceived as more sophisticated as well as more convenient for cleaning purposes, in both residential and non-residential applications. The share of concealed plastic cisterns in the overall cisterns market has strongly increased in recent years, as these are often installed with wall hung WCs. As a result, exposed ceramic cisterns are reportedly losing share, as the market for concealed plastic cisterns continues to grow strongly. Also, by the time an exposed ceramic cistern needs to be replaced, it might already have been phased out by manufacturers. Therefore, exposed plastic cisterns are usually bought for replacement because they are universal and fit most WCs. Of the exposed ceramic cisterns, a large share are sold as close-coupled cisterns (more commonly referred to as *duoblock*). Although moving towards plastic cisterns, many ceramic WC manufacturers have come up with design-oriented WCs that include a specially-designed cistern. These cisterns can only be replaced with identical cisterns, and not with plastic counterparts.

Ceramic washbasins are another growing segment of the Belgian sanitary ware market. An increasing share of this segment nowadays consists of countertops, which are mounted on bathroom furniture. In Belgium, virtually all bathrooms are equipped with furniture, and the increase in countertop sales is because bathroom furniture is often supplied without a countertop. Nowadays, there is also a trend towards washbasins being put on top of the furniture (*vasques*), for design reasons. Hand washbasins are mainly used in toilets, e.g. guest toilets. Hand washbasins are also used in separate cloakrooms (*vestiaires*). A significant number of non-ceramic washbasins, as well as hand washbasins in which the washbasin is mainly integrated into bathroom furniture, are now sold on the Belgian market. Sales of ceramic kitchen sinks have been declining, as the market is moving towards stainless steel sinks, with synthetic kitchen sinks also rapidly losing share.

The bidet market is very small in Belgium, and gradually disappearing, often restricted to luxury bathrooms. Some plastic bidets may be sold, but this share is thought to be negligible. WCs with a bidet function, so-called 'shower toilets', are increasing in popularity, mainly in residential settings. The relatively high level of sales of urinals can be attributed to the large number of cafés and brasseries in Belgium. There is a small share of stainless steel urinals in the market, virtually all destined for the non-residential market. Domestic urinal sales are believed to be practically non-existent.

The cistern market is becoming increasingly dominated by synthetic products. The synthetic market has grown almost consistently since the early 1990s, and has rapidly gained majority share. In the early 1990s, the market was primarily made up of exposed cisterns. Sales of concealed cisterns took off after their introduction at the beginning of the 1990s, with this segment overtaking sales of exposed cisterns for the first time in 2004. Plastic exposed cistern sales have been decreasing annually ever since. Cisterns are often used for residential applications, whereas flushing valves are more commonly used for commercial applications.

Recent Market Trends

The total sanitary ware market experienced an overall decline in 2019, following strong growth in the previous year. Even though new dwelling completions observed a positive year, the market is believed to have suffered from the trend towards the installation of bathroom furniture, and towards minimalist bathrooms. The industry believes there are fewer pieces of ceramic sanitary ware installed in Belgian bathrooms year-on-year, as people opt for alternatives.

Demand for WCs continues to lead the way in this market, along with other ceramic sanitary ware. Other ceramic sanitary products, such as bidets and pedestals, have disappeared from showrooms in line with the decreasing average surface area of Belgian living spaces. These products are rarely found in new housing, and most demand is from replacement sales. Bathroom furniture is used instead of pedestals and offers a double functionality, covering the plumbing pipes and capable of storing items, unlike pedestals, which solely cover the pipes. Bidets are believed to have shifted towards the increased popularity of alternative products such as shower toilets and bidet showers. Most demand growth is generated by urinals, and to some extent by ceramic WC cisterns exposed. Concealed plastic cisterns contributed to market growth in 2019, while exposed plastic cisterns continued to slightly decline in volume.

Demand for ceramic washbasins slightly decreased in 2019, again affected by the higher penetration of non-ceramic washbasins. Even though non-ceramic washbasins recorded some decline in 2019, these products are now quite popular. This is mainly the case for mid- to luxury product segments, with materials such as mineral cast, solid surface and glass. However, there is also a trend towards acrylic washbasins, which are more common in the economy price range. The main driver for demand of non-ceramic washbasins is design. Moreover, washbasins are increasingly bought together with furniture; BRG identifies this product as base

units, which are composed of a washbasin and a piece of furniture. Furniture manufacturers prefer to create a product range by using synthetic washbasins as opposed to ceramic ones. The reason for this is economies of scale, which make it more economic to produce furniture in low quantities – using non-ceramic washbasins as opposed to ceramic ones.

Prices and Market Values

There is a trend away from middle price range products to the benefit of either lower/ economy or upper ranges products. While the ratio of quality and price is the most important factor for end consumers, there is a growing tendency to choose products that are more design appealing. On the other hand, the two lowest ranges have experienced a significant improvement of quality over the past few years, for toilets and washbasins. Therefore, some end consumers opt for cheaper alternatives that still fulfil their quality expectations.

The MSP increased for all non-ceramic products while other CSW, WCs and ceramic washbasin prices decreased in 2019. The 'other CSW' product category experienced a slight drop, as it is facing competition from bathroom furniture alternatives. Prices for WCs decreased mostly due to the drop in prices of economy and lower price categories, which account for a significant chunk of the market. Similar development was seen for ceramic washbasins as well. The price increases for the other product categories followed the inflation of the country, while further growth was limited due to the competitive environment for sanitary ware.

Regarding CSW prices, the shift away from the middle price range continues as it loses some of its appeal, making the market continue to move to the economy and lower ranges. The economy and lower segments increasingly include products that can compete with the middle segment in terms of quality, but at much lower prices. Consumers who prefer design are more likely be drawn to the upper and luxury price segments.

New Housing

The new build segment accounts for almost one fifth of total ceramic sanitary ware sales per annum and, therefore, it has a relatively important influence on the total market development. In 2019, demand from new housing for ceramic sanitary was up when compared to 2018. The main reason to that is the increase in dwelling completions. Even though bathrooms tend to be equipped with fewer pieces of ceramic sanitary ware, there will always be some demand as CSW answers the need of some categories of the population looking for cheap alternatives to the more recent designer bathrooms. The social housing sector, although quite small in Belgium, also contributed to demand of ceramic sanitary ware.

On average, around four pieces of CSW are installed in new houses, including usually two WCs, a hand washbasin in the separate toilet, and one larger countertop or two washbasins. New apartments are smaller and tend to be equipped with a separate toilet, a hand washbasin and a washbasin. Concealed

plastic cisterns often go into owner-occupied homes in combination with a wall hung WC, whereas cheaper exposed ceramic cisterns often feature in social housing projects. It is estimated that more than 90% of WCs in new housing are wall hung nowadays. As they are available across all price segments, even in low budget projects, wall hung WCs are increasingly preferred. According to industry feedback, exposed plastic cisterns rarely exist in new housing and their demand mainly comes from the replacement segment. The number of cisterns exceeds total housing completions, as more multifamily houses nowadays have two or even three WCs, whereas apartments generally only have one.

Housing RMI

The overall economic situation in Belgium has performed rather well, with a continuous, improving GDP as of 2014 onwards, an improving employment rate, and an improvement of consumer confidence. However, the overall economic condition did not have that much positive effect on growth of RMI in the sanitary ware market in 2019, and sales remained relatively static. This was due to the continuing trend to installing bathroom furniture in refurbishment projects, thus leading to less demand of CSW products. The preference for non-ceramic washbasins among Belgian consumers also affected replacement sales.

The RMI segment is the main driver for the overall bathroom market, especially the sanitary ware market. 2017 and 2018 saw significant uptick in RMI activity while 2019 developments were more stagnant owing to the waning number of discretionary renovations. Important part of demand is typically generated from apartment renovations, especially in Wallonia and Brussels regions, where living space is in high demand.

Non-Housing

In terms of non-housing, hospitality buildings, public buildings and semi-governmental institutions, sports-related buildings, and buildings for culture and recreation are the main segments for sanitaryware, while farm buildings and parking garages are equipped with minimum amounts of sanitary ware. Sanitary ware products installed in the non-housing segment depend on the final end use. In public places and prisons, the chosen robust material can preferably withstand longer wear and tear. DELABIE is an example of an active player in this segment.

Hospitals and schools are usually equipped with ceramic sanitary products that tend to be better designed. In high-end hotels, on the other hand, prestige, image and design play a more important role, causing sanitary ware products to be more elegant-looking and more often made of non-ceramic alternatives. Overall, the non-housing industry prefers concealed systems to exposed cisterns. Additionally, virtually all urinals go to the non-housing sector and are hugely reliant on the performance of the non-housing industry.

Demand for ceramic sanitary ware in this segment decreased in 2019 when compared to the previous year. While demand from office buildings continued to

remain strong, the market decline is thought to be due to lesser demand from hotel constructions and renovations.

Supply Structure

The Belgian market for ceramic sanitary ware is dominated by five key players: VILLEROY & BOCH, DURAVIT, LAFINESS, GEBERIT (with the former SANITEC brands), and IDEAL STANDARD.

The market leader, VILLEROY & BOCH, offers several brands, of which the VILLEROY & BOCH brand operates at the higher end of the market, whereas their second brand, GUSTAVBERG, targets the lower price segments. LAFINESS, the private label of wholesaler/importer CALADOR, sources its products from several different countries such as Italy and Spain. Sales of DURAVIT mainly go through the FIMS group of wholesalers, whereas GEBERIT is active on the Belgian market through its brands SPHINX (lower, middle and upper markets) and KERAMAG (middle and upper markets). IDEAL STANDARD INTERNATIONAL mainly sells under the brand names IDEAL STANDARD and PORCHER.

In 2015, GROHE entered the Belgian ceramic sanitary ware market with WC packs, and added more products such as washbasins and exposed ceramic cisterns in 2017. In 2019 another production line was added, which covers washbasins, WCs and other ceramic sanitary ware such as bidets, shower trays, sinks and urinals. About 10 years ago, GROHE stopped selling exposed plastic cisterns.

The plastic cistern market is dominated by specialist manufacturers and all products are imported, mostly from Germany, with little change expected to this supply structure, despite increasing East Asian imports. GEBERIT is the main supplier of plastic cisterns; it has recently tried to push its concealed cisterns onto the market, in combination with the previous SANITEC products. GROHE has been part of the Japanese LIXIL since 2014. Other smaller players include the Dutch WISA (since April 2016, part of FLUIDMASTER), the German VIEGA, and SIAMP (SIAMP). SIAMP cisterns are reported to be sold under CALODAR's LAFINESS brand.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a significant decline in sales of sanitary ware products. Belgium faced a two-month long lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a

backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

After the expected decline in sales for 2020, sales should resume growth until the end of the forecast period, with the exception of 2023, and get back to 2019 levels around 2024. However, this should be taken with caution, as consumer habits are rapidly changing in Belgium, with the trend toward minimalist bathrooms requiring less pieces of sanitary ware.

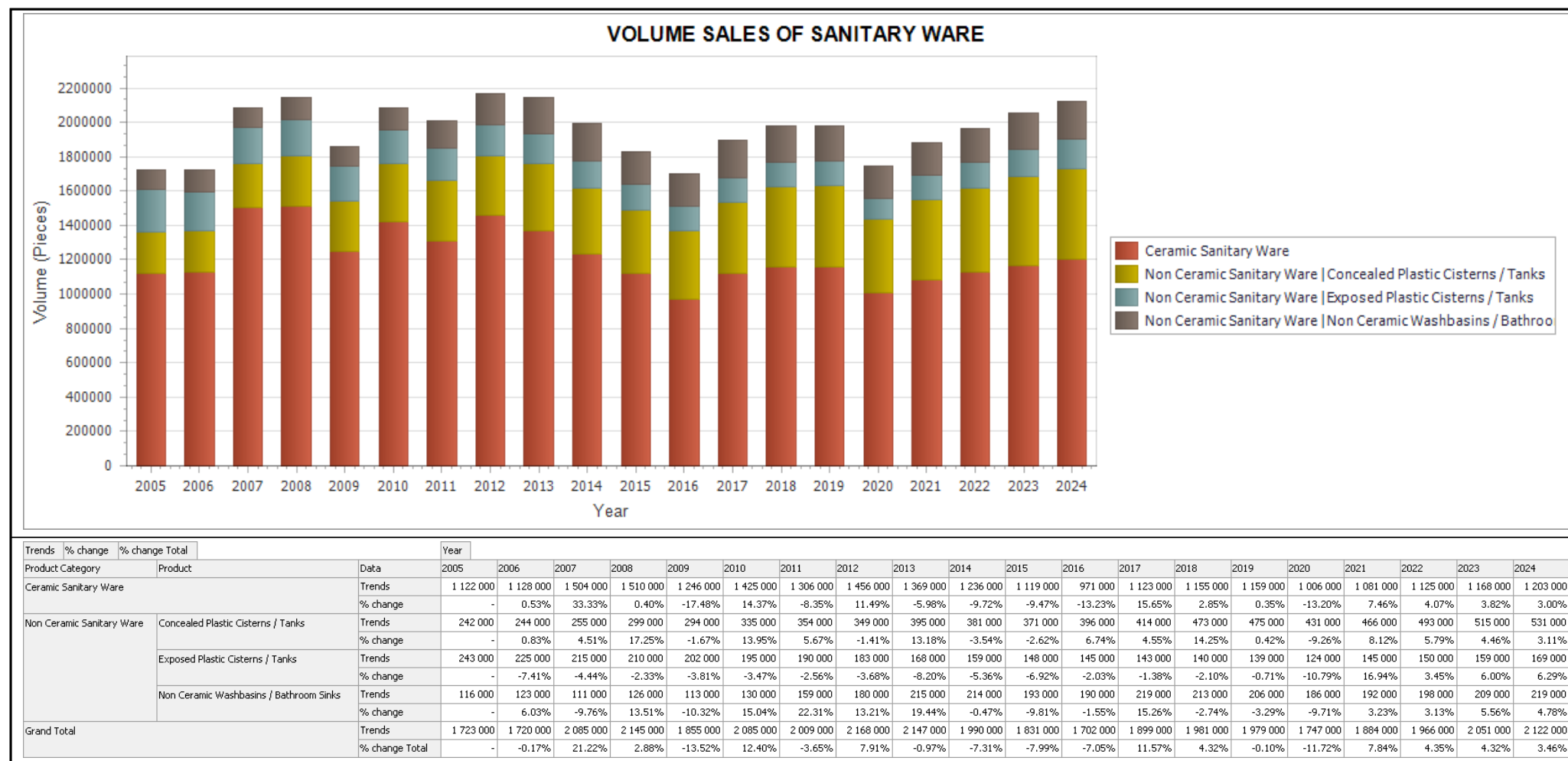
Demand for WCs should continue to grow steadily, driven by demand for wall hung WCs. Demand for washbasins, both ceramic and non-ceramic should also contribute to the market growth.

The main drivers for market growth should include the output of new dwellings, and overall macroeconomic indicators that will driver RMI demand and favour sales of sanitary ware products. As the sanitary ware market moves towards concealed plastic cistern installations, exposed plastic cistern sales are expected to drop further.

In terms of distribution, online sales are expected to gain market share in this segment in the following years. The presence of online retailers has been increasing, and demand is likely going to grow from replacement demand. Consumers increasingly make use of online shops after having sought advice in physical stores, from experts and from product displays. As a result, wholesalers increasingly introduce exclusive private labels that compete with branded products. While this development might be more pronounced for other products, ceramic sanitary ware products benefit from a strong brand affinity among Belgian consumers. This is particularly the case in the middle and upper market segments. However, when looking at the price entry, economy level, larger wholesalers are gaining market share by producing their own products, which they can sell for lower prices.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

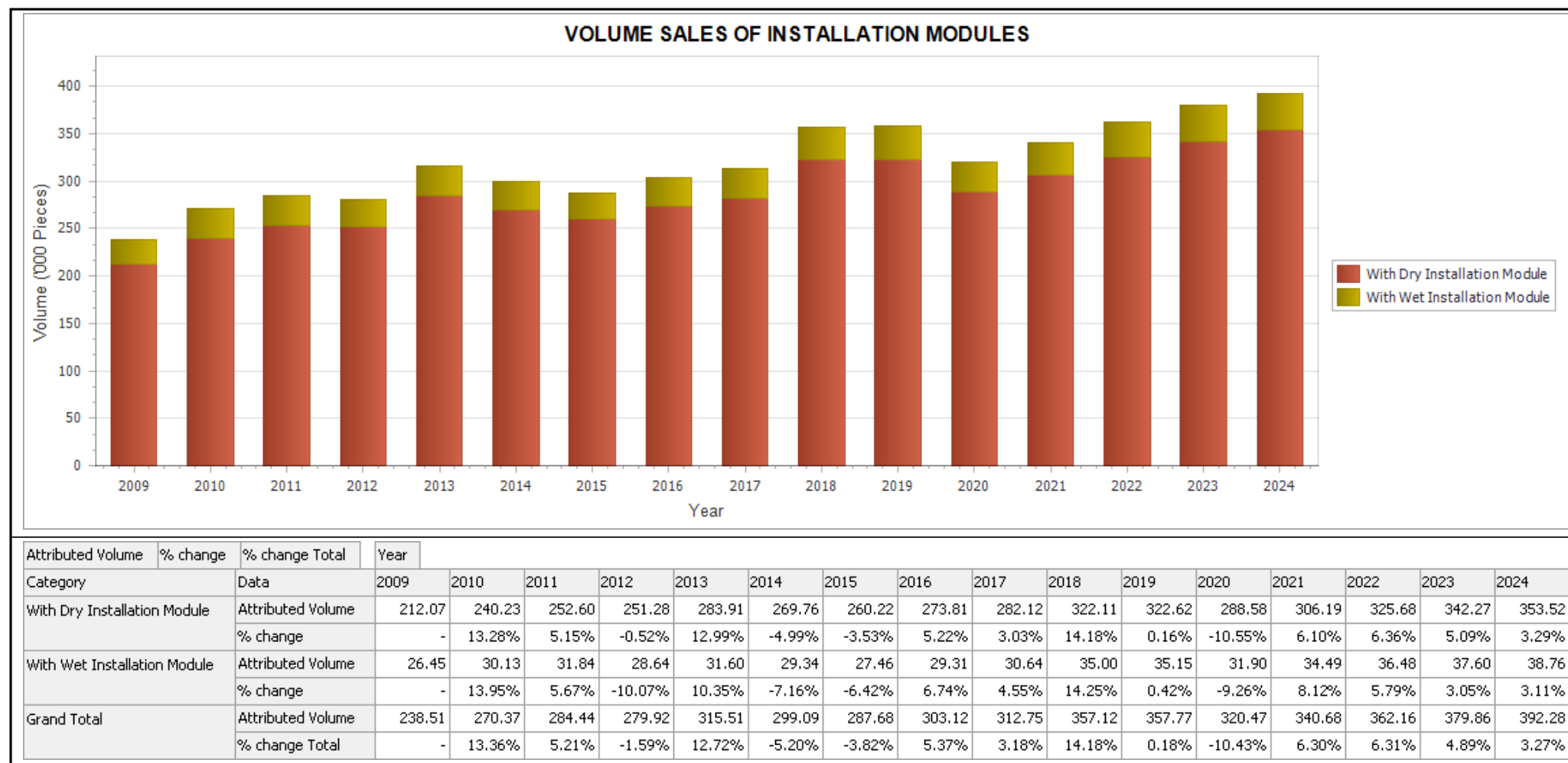
BE - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

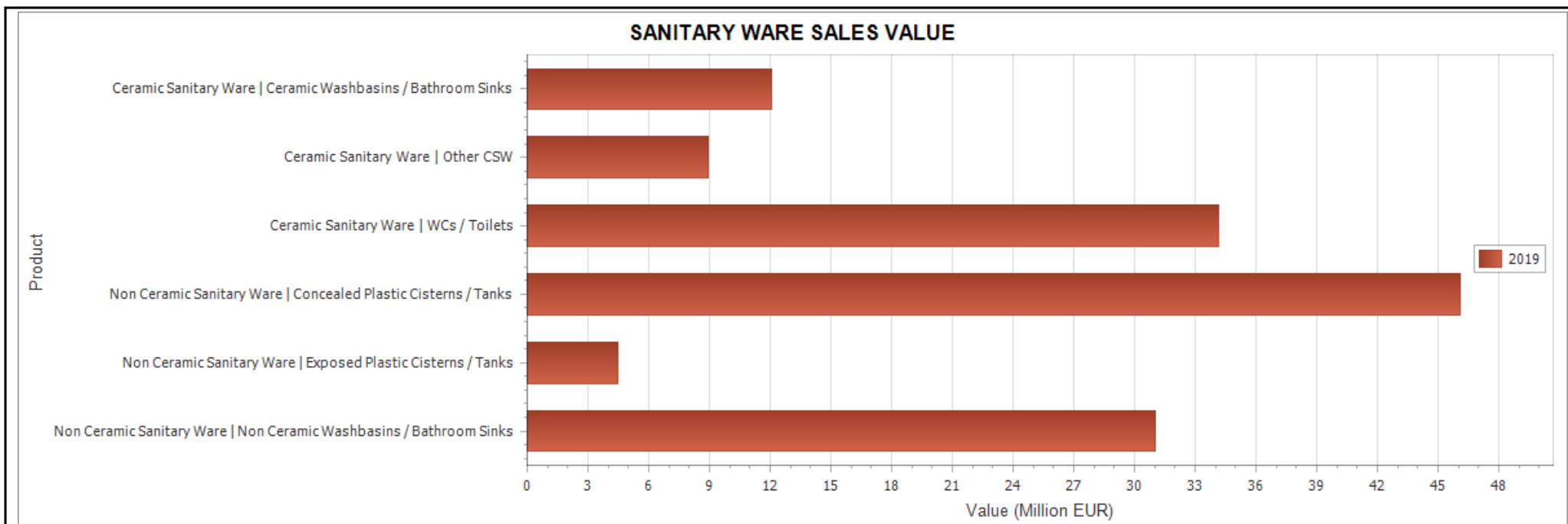
BE - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

BE - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
			2019			2018		
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	272 000	44.37	12.07	274 000	44.81	12.28	
	Other CSW	184 000	48.44	8.91	185 000	48.78	9.02	
	WCs / Toilets	703 000	48.61	34.17	696 000	49.52	34.47	
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	475 000	96.99	46.07	473 000	95.78	45.30	
	Exposed Plastic Cisterns / Tanks	139 000	32.19	4.47	140 000	30.98	4.34	
	Non Ceramic Washbasins / Bathroom Sinks	206 000	150.52	31.01	213 000	147.03	31.32	
Grand Total		1 979 000	69.08	136.71	1 981 000	69.02	136.73	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

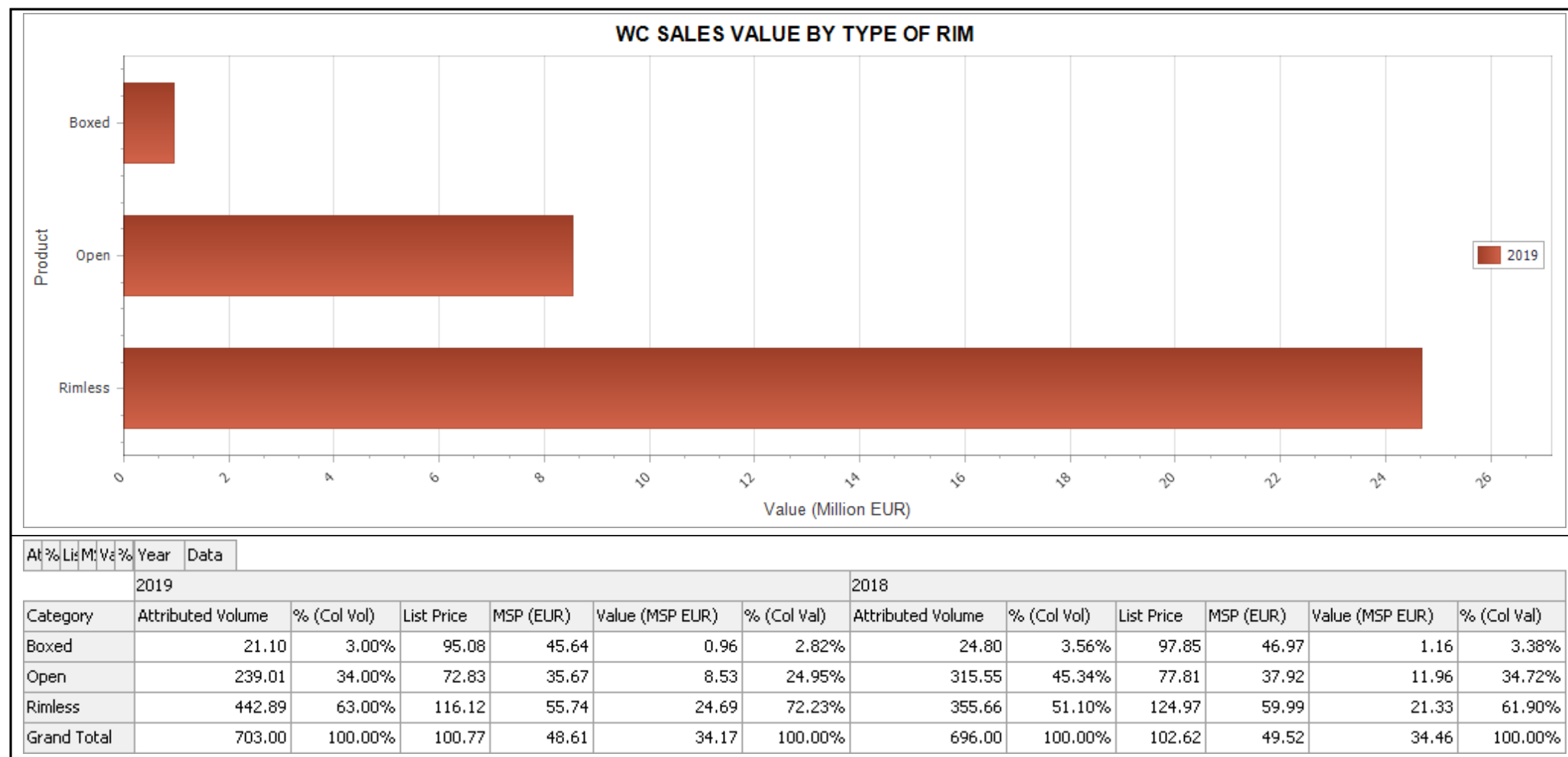
BE - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2019								2018					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	69.65	25.61%	118.75	57.00	3.97	32.89%	70.77	25.83%	121.88	58.50	4.14	33.72%
	Hand Washbasins	55.62	20.45%	44.23	23.00	1.28	10.60%	55.76	20.35%	44.04	22.90	1.28	10.40%
	Inset Washbasins	18.48	6.79%	107.11	51.41	0.95	7.87%	18.54	6.77%	104.17	50.00	0.93	7.55%
	Pedestal Washbasins	22.77	8.37%	75.00	39.00	0.89	7.36%	23.07	8.42%	76.92	40.00	0.92	7.51%
	Semi-Recessed Washbasins	5.97	2.19%	128.07	61.47	0.37	3.04%	5.34	1.95%	135.42	65.00	0.35	2.83%
	Undermount Washbasins	17.46	6.42%	154.17	74.00	1.29	10.71%	17.52	6.39%	150.00	72.00	1.26	10.27%
	Wall Hung Washbasins	82.05	30.17%	84.38	40.50	3.32	27.53%	83.01	30.29%	85.42	41.00	3.40	27.72%
Other CSW	Bidets	2.21	1.20%	377.78	170.00	0.38	4.21%	2.41	1.30%	375.56	169.00	0.41	4.50%
	Close-Coupled Cisterns	112.81	61.31%	72.92	35.00	3.95	44.30%	111.70	60.38%	73.54	35.30	3.94	43.69%
	Kitchen Sinks	3.90	2.12%	376.73	238.21	0.93	10.42%	3.90	2.11%	372.04	235.61	0.92	10.18%
	Others	0.42	0.23%	150.00	72.00	0.03	0.34%	0.43	0.23%	148.96	71.50	0.03	0.34%
	Pedestals & Half Pedestals	22.35	12.14%	85.75	41.16	0.92	10.32%	24.00	12.97%	84.50	40.56	0.97	10.78%
	Shower Trays	0.24	0.13%	228.96	123.32	0.03	0.33%	0.46	0.25%	243.87	131.57	0.06	0.66%
	Urinals	33.31	18.10%	127.08	61.00	2.03	22.79%	33.30	18.00%	127.09	61.00	2.03	22.51%
WCs / Toilets	Utility / Laundry Sinks	8.77	4.77%	154.33	74.08	0.65	7.29%	8.82	4.77%	156.25	75.00	0.66	7.33%
	Close-Coupled WC Bowls	95.19	13.54%	90.00	45.00	4.28	12.53%	97.12	13.95%	92.00	46.00	4.47	12.96%
	Floor Standing WC Bowls	145.17	20.65%	77.08	37.00	5.37	15.72%	141.57	20.34%	76.67	36.80	5.21	15.12%
Wall Hung WC Bowls		462.65	65.81%	110.42	53.00	24.52	71.75%	457.31	65.71%	112.91	54.20	24.78	71.92%
Grand Total		1 159.01	100.00%	98.18	47.59	55.16	100.00%	1 155.01	100.00%	99.60	48.28	55.77	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

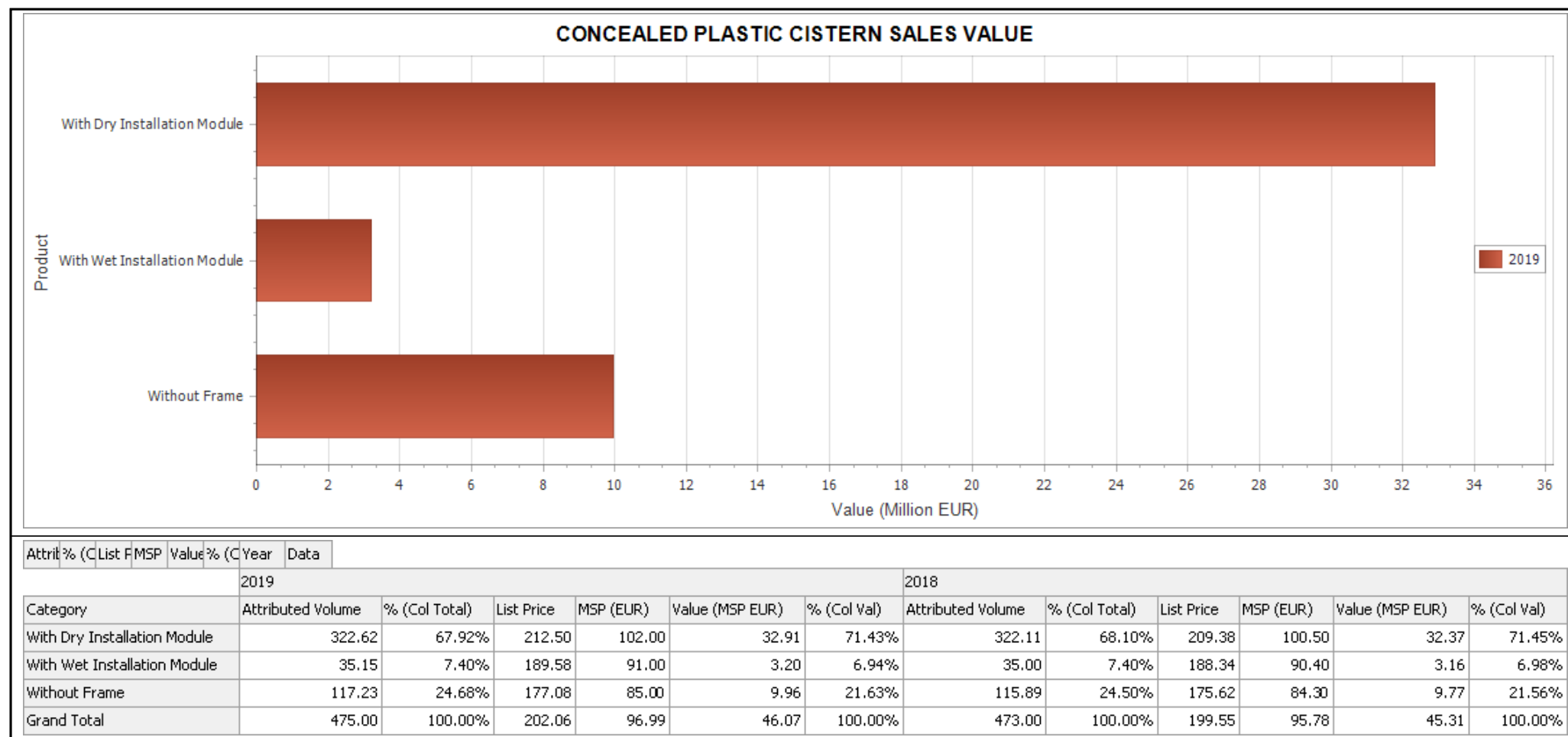
BE - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

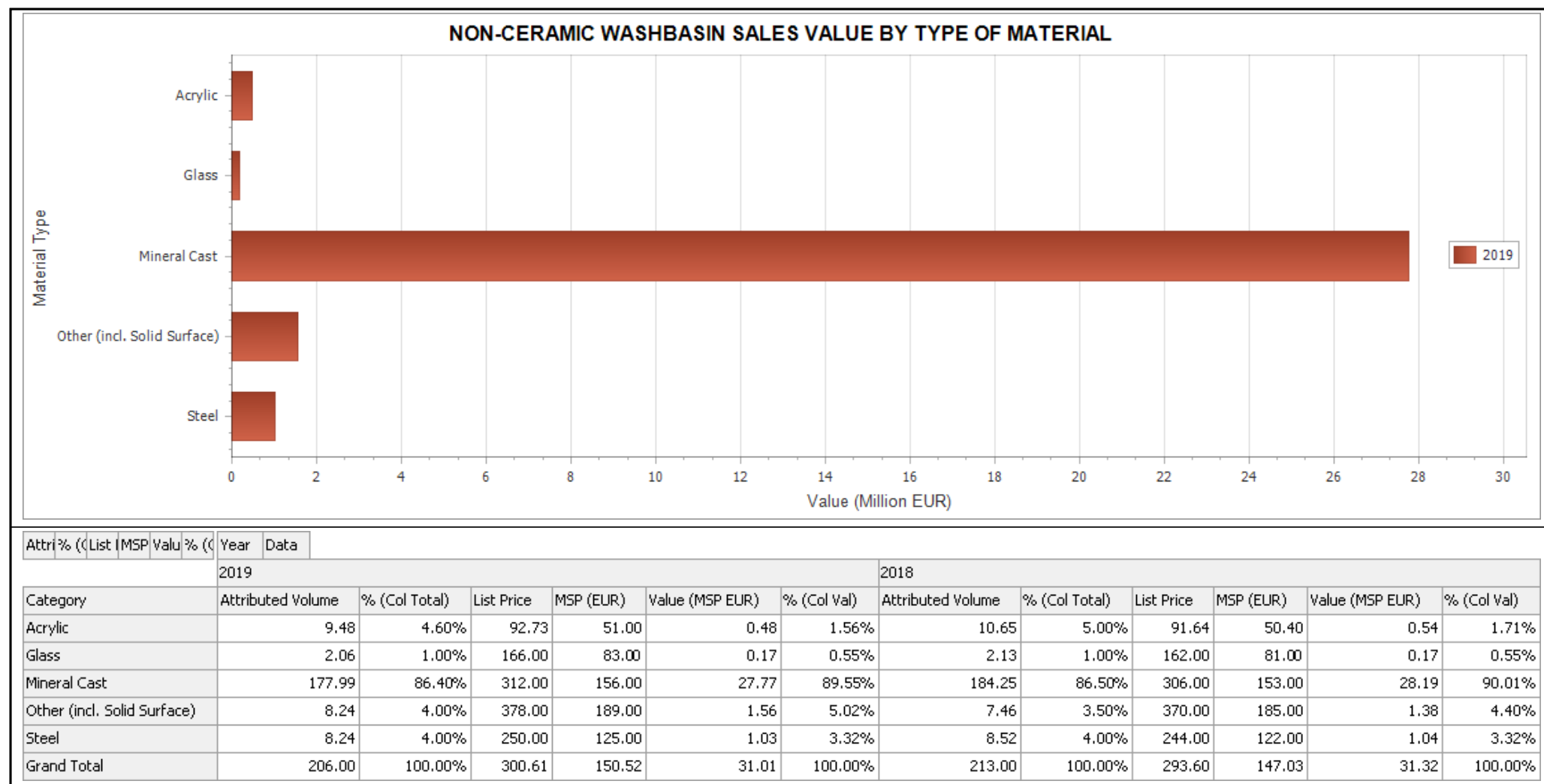
BE - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

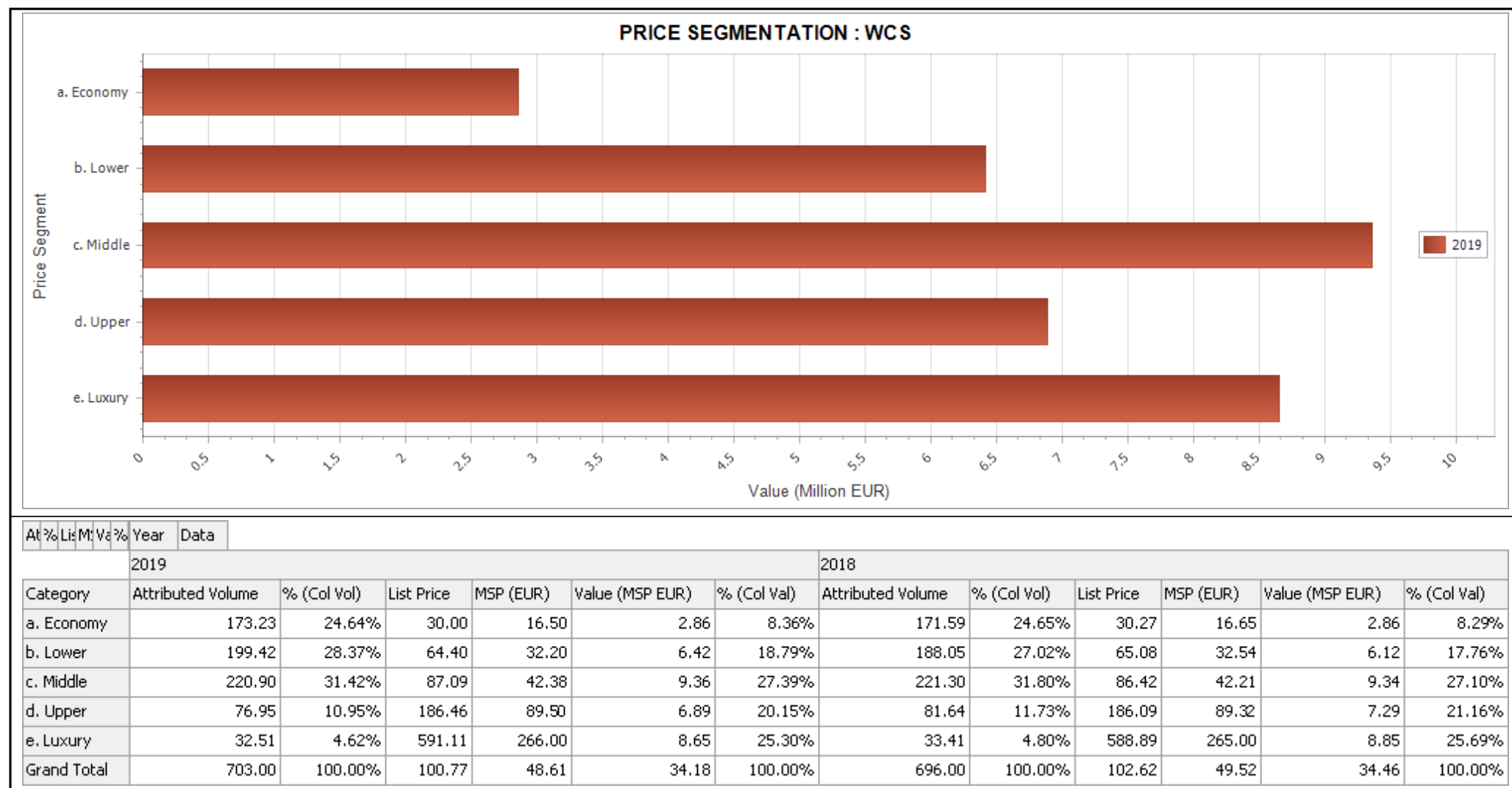
BE - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

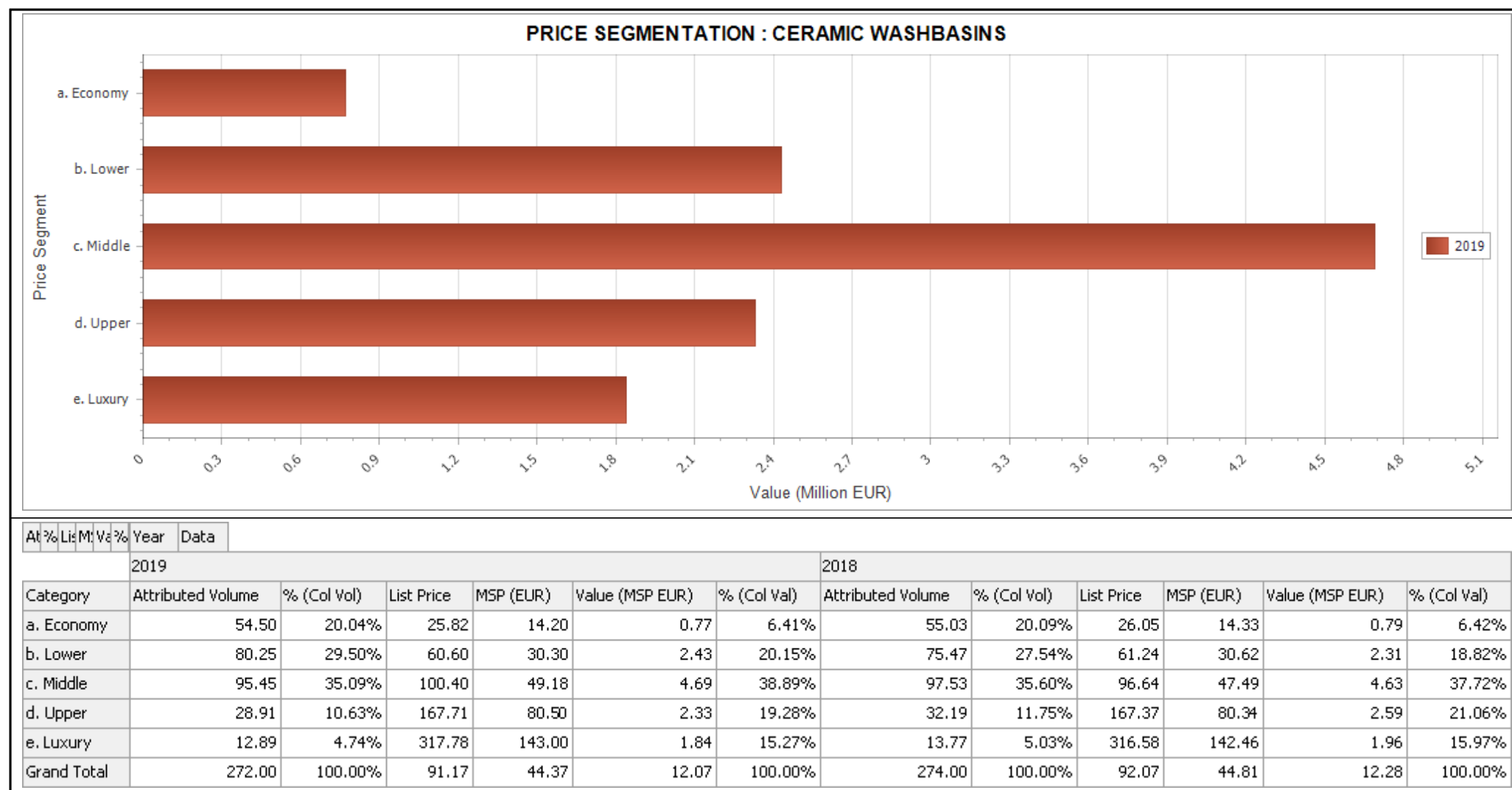
BE - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

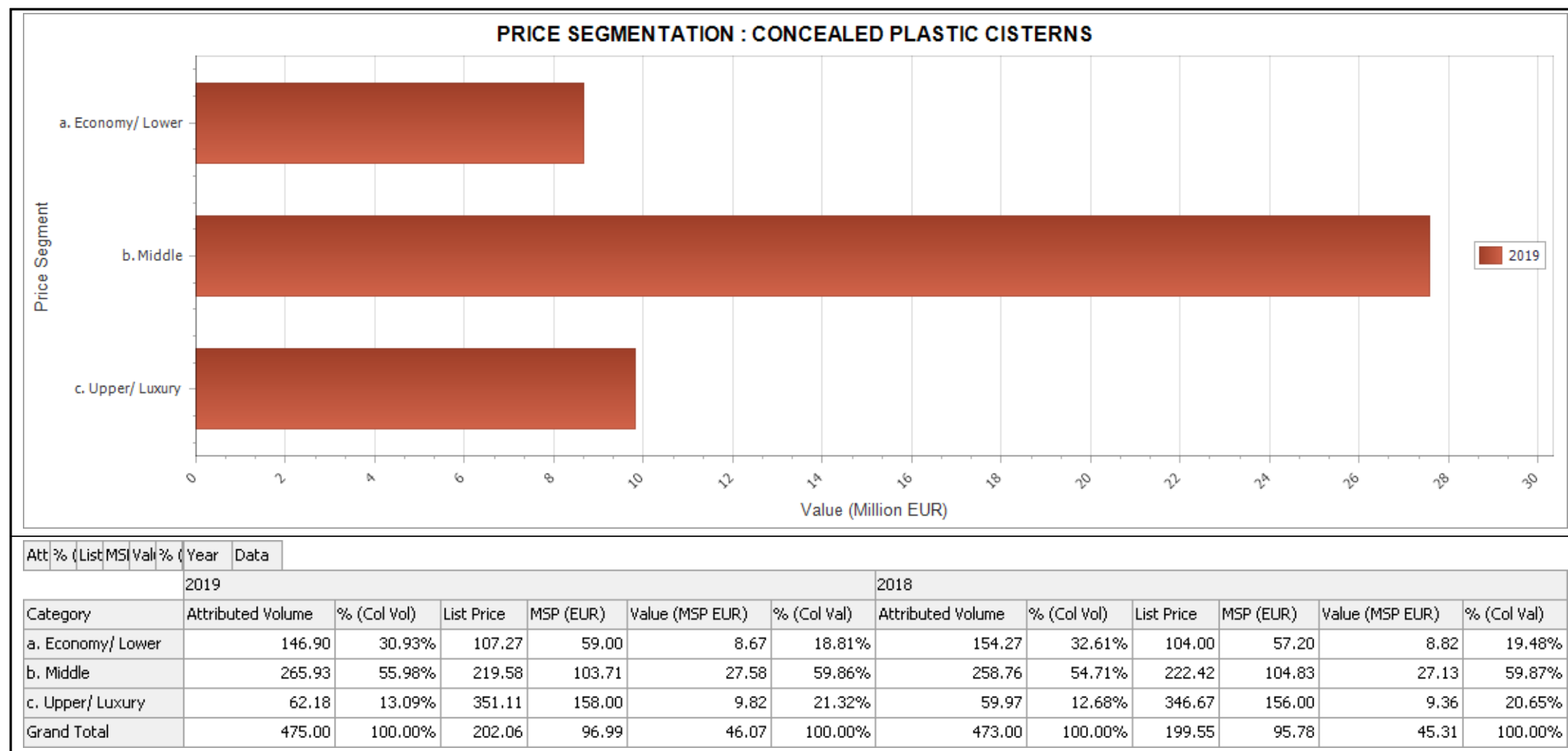
BE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€120, Luxury >€120

2.3.8 Price Segmentation : Concealed Plastic Cisterns

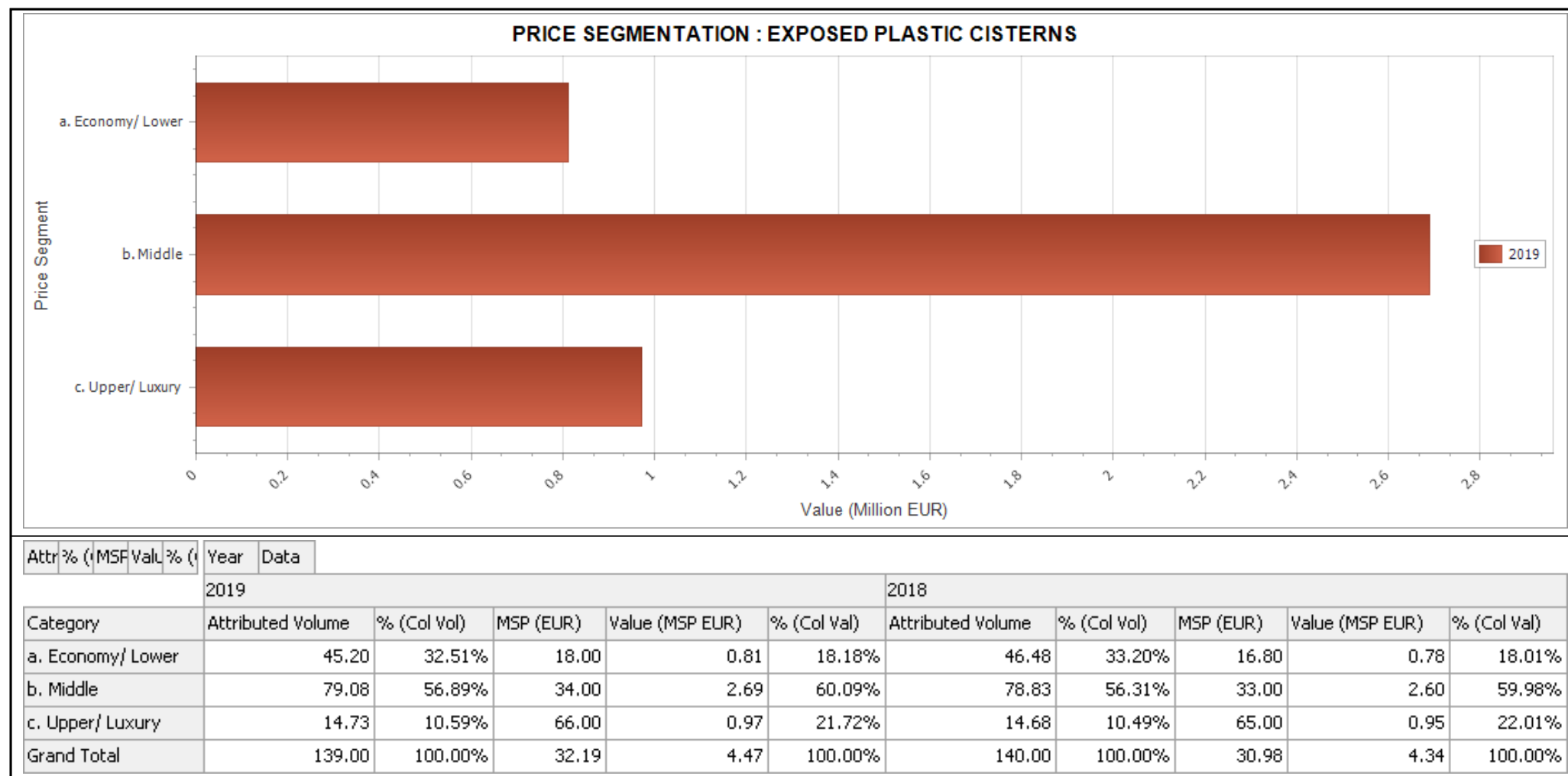
BE - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

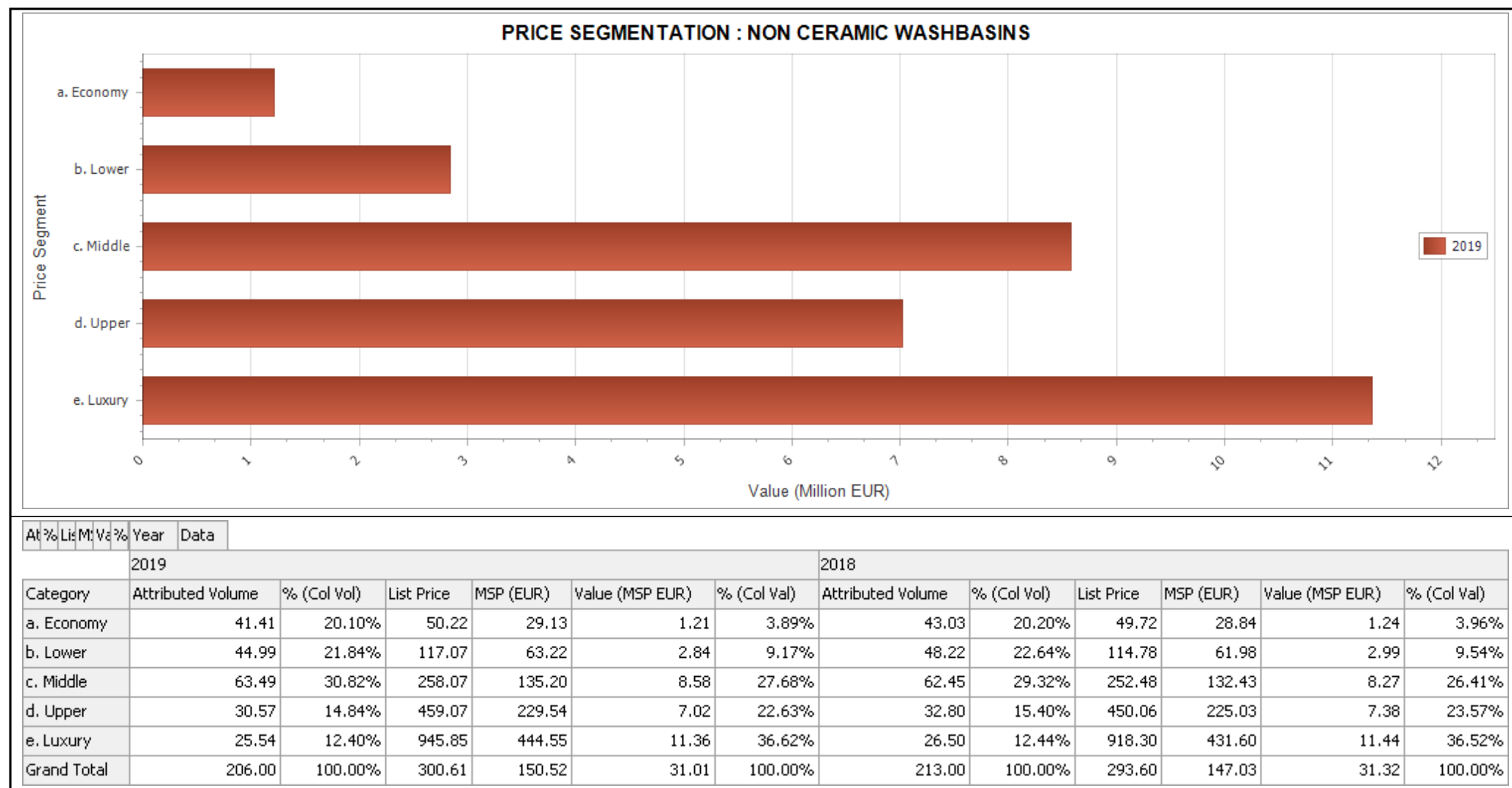
BE - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€25, Middle €25-€50, Upper/ Luxury >€50

2.3.10 Price Segmentation : Non Ceramic Washbasins

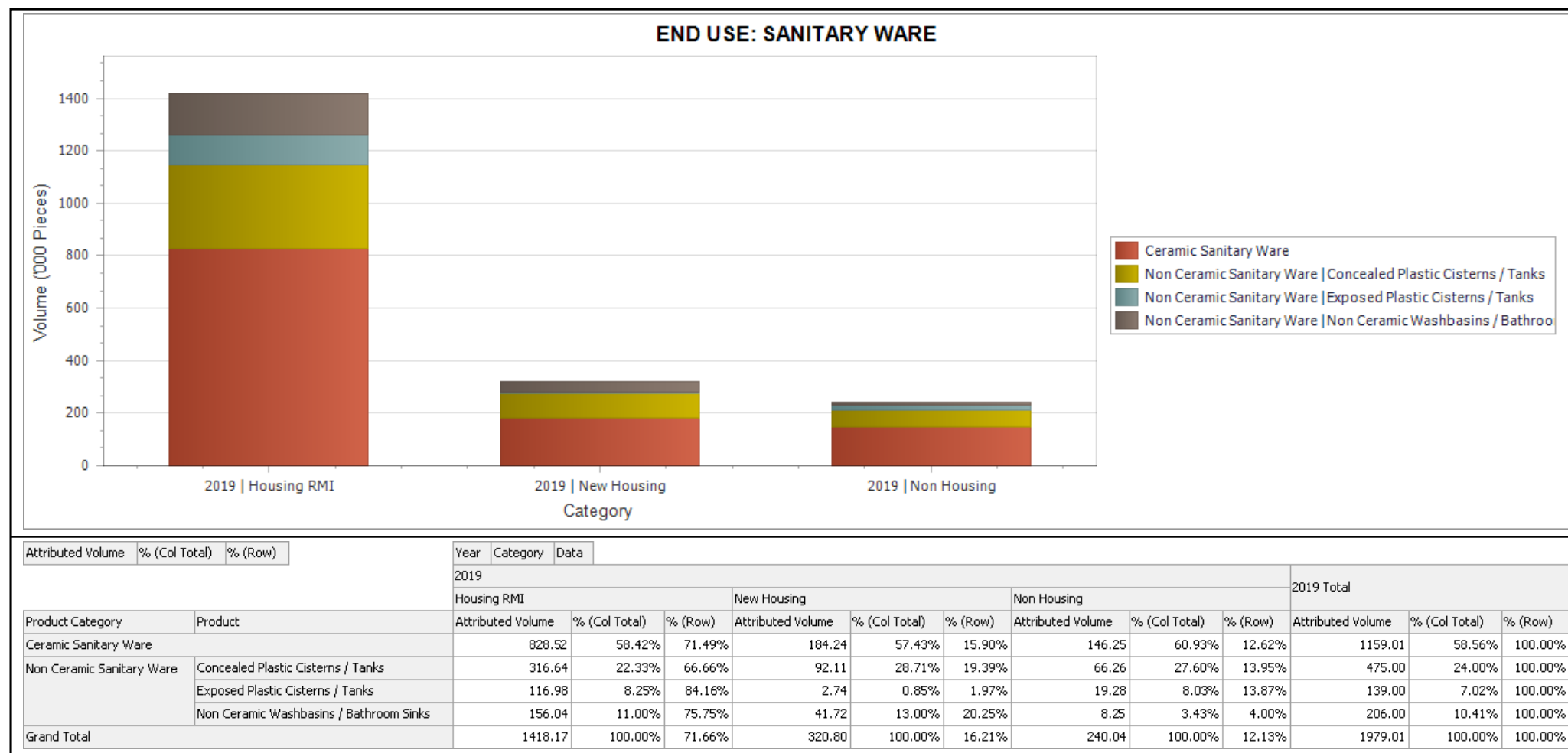
BE - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€200, Upper €200-€300, Luxury >€200

2.4.1 End Use : Base Year

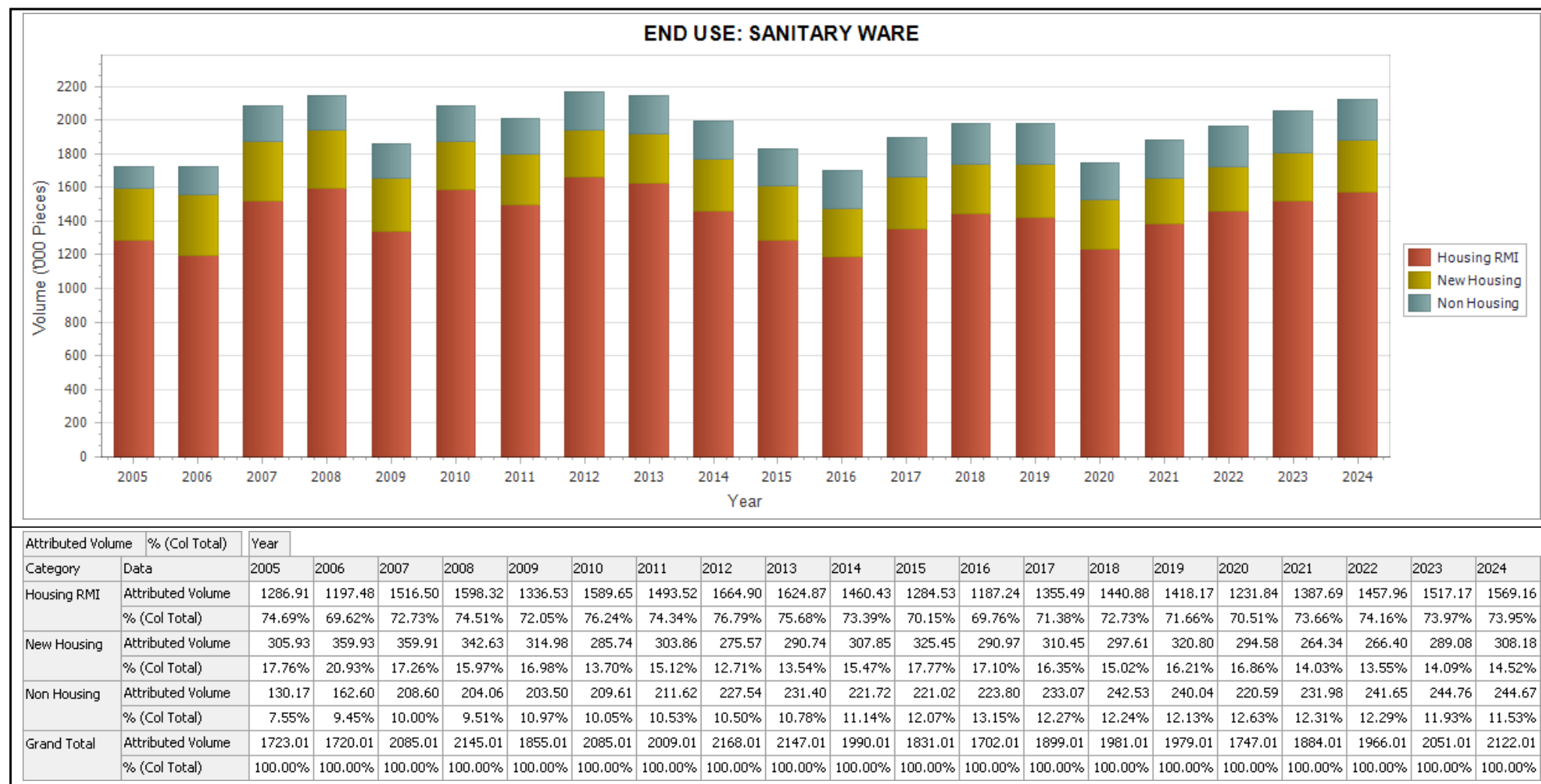
BE - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

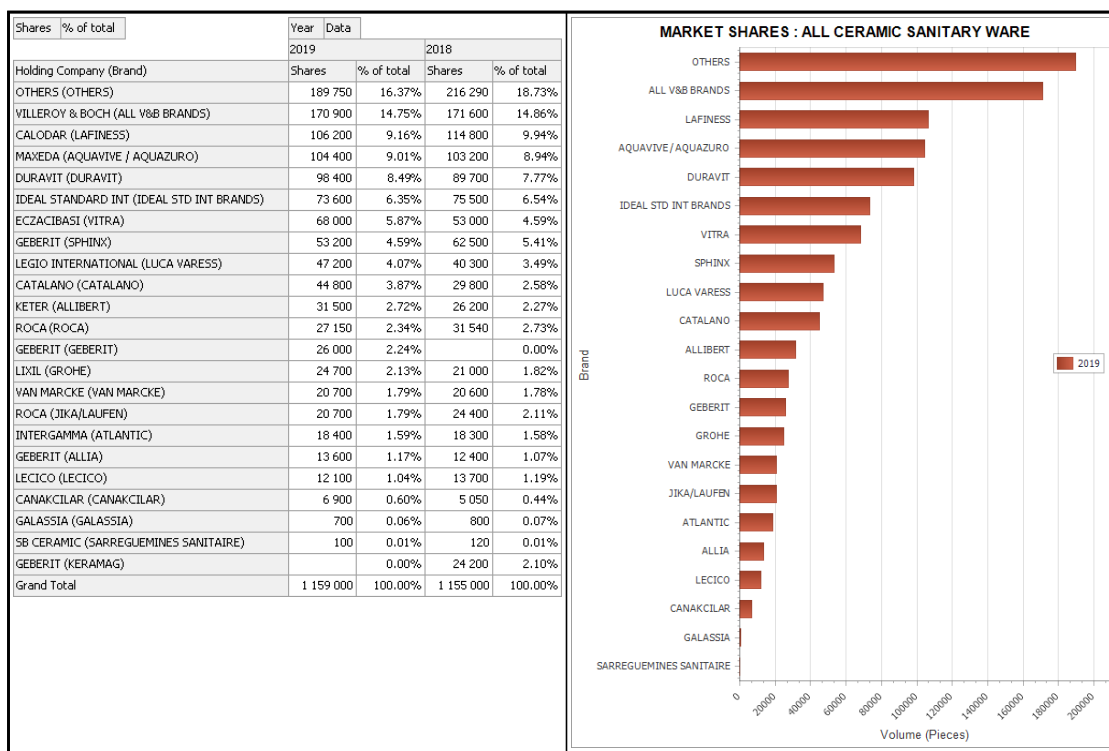
BE - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

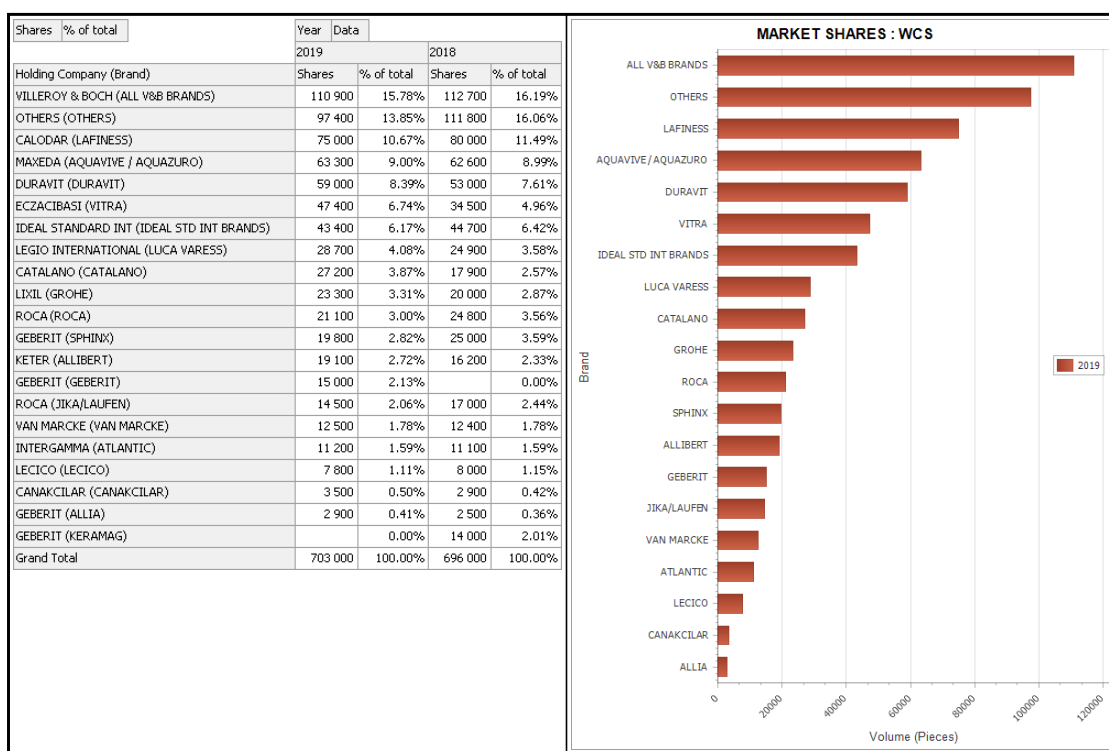
BE - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

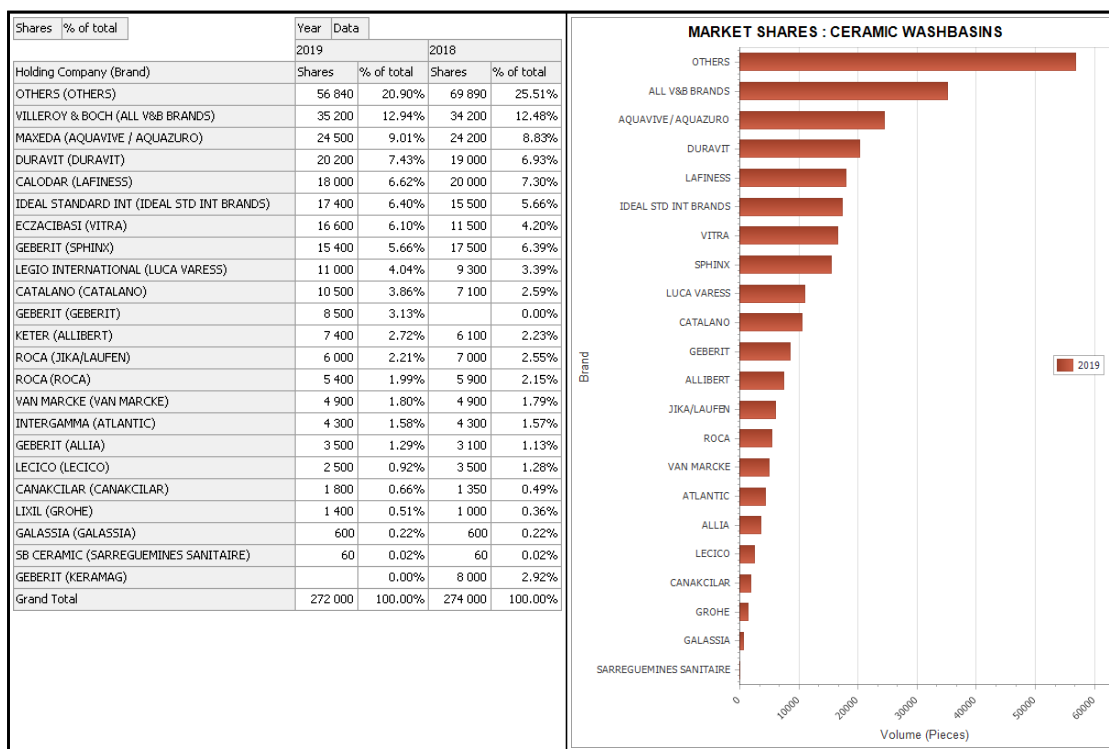
BE - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

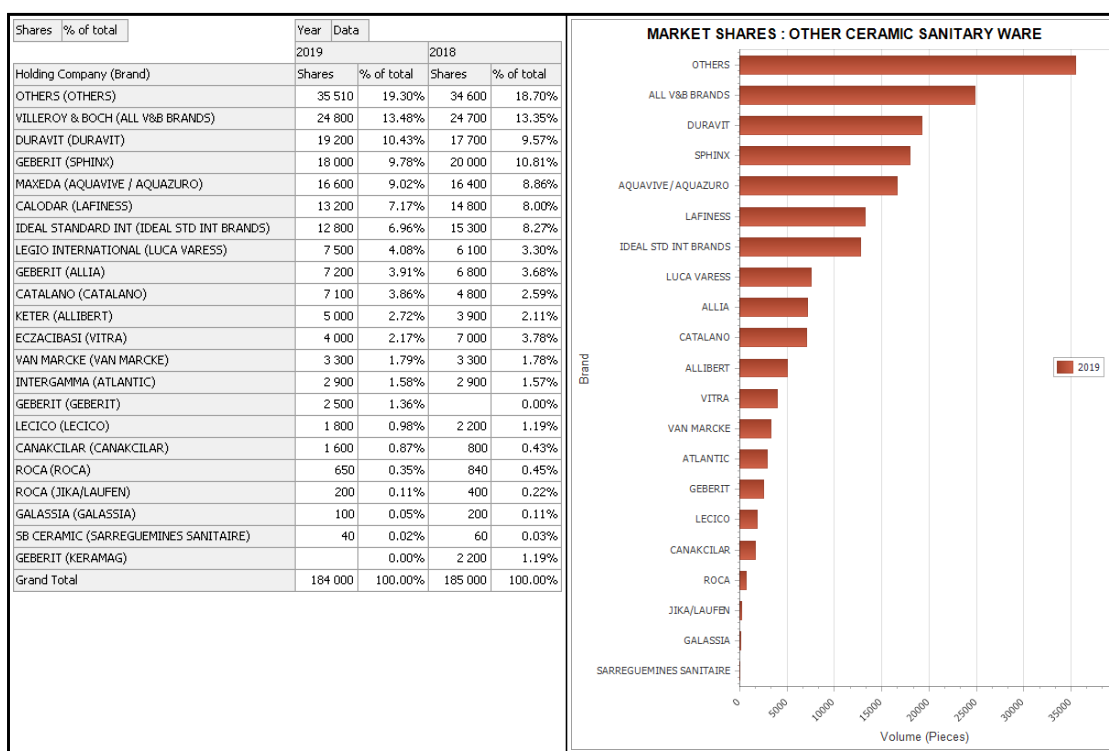
BE - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

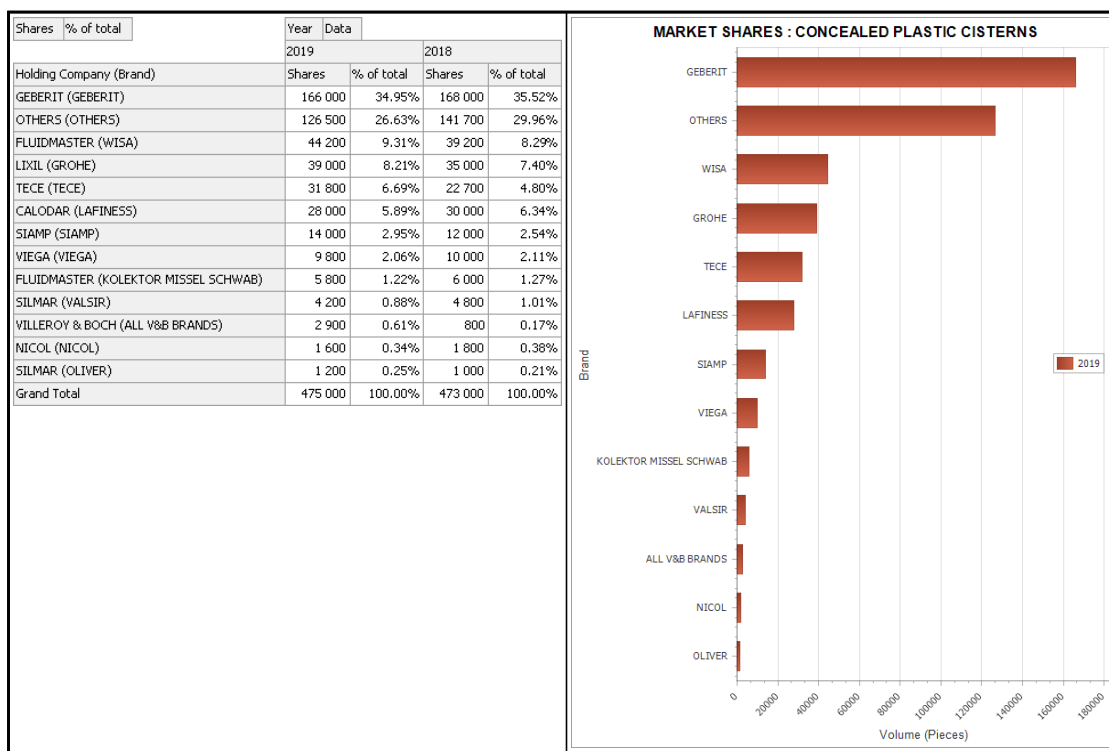
BE - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

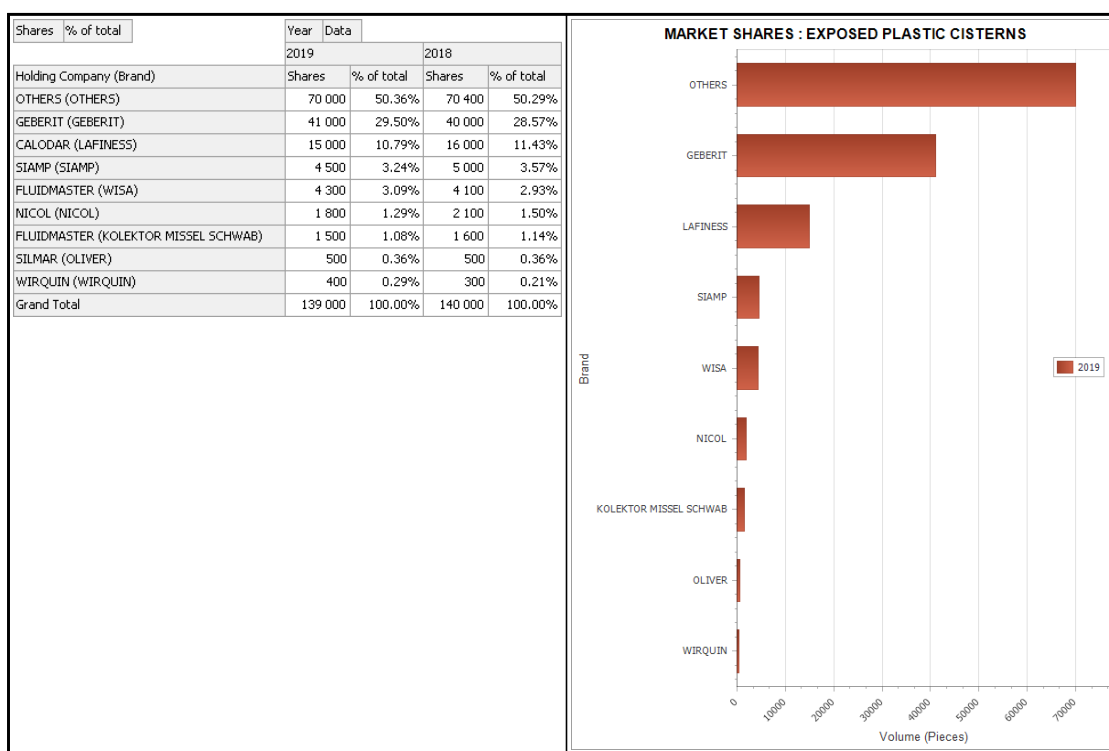
BE - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

BE - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 BE - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Egypt	13 384	33.4%	15 742	18.2%	11 242	26.3%	13 542	15.5%
Germany	7 419	18.5%	31 422	36.2%	7 074	16.6%	30 495	34.8%
China	5 982	14.9%	10 208	11.8%	7 925	18.6%	11 608	13.3%
Netherlands	4 452	11.1%	8 662	10.0%	5 616	13.2%	10 261	11.7%
Turkey	3 335	8.3%	6 154	7.1%	4 422	10.4%	8 001	9.1%
Italy	2 011	5.0%	5 711	6.6%	1 882	4.4%	4 212	4.8%
France	1 388	3.5%	4 339	5.0%	1 206	2.8%	4 195	4.8%
India	640	1.6%	1 025	1.2%	1 550	3.6%	2 650	3.0%
OTHERS	1 520	3.8%	3 423	3.9%	1 782	4.2%	2 581	2.9%
Total	40 131	100.0%	86 686	100.0%	42 698	100.0%	87 545	100.0%

Source : Trademap

2.6.2 BE - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	15 068	62.5%	19 700	36.1%	14 394	53.6%	20 876	38.5%
France	5 095	21.1%	18 318	33.5%	6 787	25.3%	17 933	33.1%
Netherlands	2 817	11.7%	11 689	21.4%	3 142	11.7%	9 302	17.2%
Spain	285	1.2%	588	1.1%	856	3.2%	1 444	2.7%
Luxembourg	270	1.1%	2 257	4.1%	198	0.7%	1 599	3.0%
OTHERS	592	2.5%	2 085	3.8%	1 480	5.5%	3 032	5.6%
Total	24 127	100.0%	54 637	100.0%	26 856	100.0%	54 186	100.0%

Source : Trademap

2.6.3 BE - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	4 743	67.9%	34 580	70.6%	4 814	66.1%	34 355	70.5%
Netherlands	620	8.9%	4 180	8.5%	549	7.5%	3 986	8.2%
France	438	6.3%	4 299	8.8%	576	7.9%	4 749	9.8%
Poland	318	4.6%	1 409	2.9%	227	3.1%	911	1.9%
China	286	4.1%	1 137	2.3%	255	3.5%	1 060	2.2%
Turkey	234	3.3%	724	1.5%	226	3.1%	749	1.5%
United Kingdom	103	1.5%	270	0.6%	334	4.6%	235	0.5%
OTHERS	242	3.5%	2 394	4.9%	298	4.1%	2 660	5.5%
Total	6 984	100.0%	48 993	100.0%	7 278	100.0%	48 705	100.0%

Source : Trademap

2.6.4 BE - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Netherlands	351	39.1%	3 420	39.4%	392	18.4%	3 596	25.9%
France	162	18.0%	1 362	15.7%	339	15.9%	2 358	17.0%
Germany	98	10.9%	1 218	14.0%	450	21.1%	2 439	17.6%
Israel	76	8.5%	346	4.0%	13	0.6%	94	0.7%
Luxembourg	49	5.4%	615	7.1%	75	3.5%	714	5.1%
Senegal	25	2.8%	32	0.4%	7	0.3%	16	0.1%
United Kingdom	24	2.7%	154	1.8%	221	10.4%	833	6.0%
Macedonia, North	24	2.7%	598	6.9%	18	0.8%	434	3.1%
China	19	2.1%	247	2.8%	0	0.0%	0	0.0%
Côte d'Ivoire	10	1.1%	10	0.1%	0	0.0%	4	0.0%
OTHERS	61	6.7%	681	7.8%	612	28.8%	3 377	24.4%
Total	898	100.0%	8 683	100.0%	2 127	100.0%	13 865	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
BE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

61.4%
Wholesalers / Merchants
61.4%

Retail Level

Manufacturer	Wholesaler
2.5%	5.4%
Internet Retailers	
7.9%	

Manufacturer	Wholesaler
24.1%	7.5%
DIY Retailers	
31.6%	

Manufacturer	Wholesaler
9.2%	21.0%
Specialist Retailers	
30.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	20.4%	0.0%	4.7%	10.6%
Installers				
37.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	5.9%	7.9%	26.8%	19.6%	26.4%
Residential					
87.4%					

New Build			Residential RMI		
15.9%			71.5%		
Project	Non-Project		Project	Non-Project	
10.3%	5.6%		5.7%	65.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	1.3%	0.0%	0.0%	0.0%	11.0%
Non-Residential					
12.6%					

New Build			Non-Residential RMI		
5.7%			6.9%		
Project	Non-Project		Project	Non-Project	
4.8%	0.9%		4.5%	2.4%	

2.7.2

Route to Market: Ceramic Sanitary Ware
BE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

60.8%
Wholesalers / Merchants
60.8%

Retail Level

Manufacturer	Wholesaler
3.1%	7.2%
Internet Retailers	
10.3%	

Manufacturer	Wholesaler
23.2%	6.9%
DIY Retailers	
30.1%	

Manufacturer	Wholesaler
11.2%	18.8%
Specialist Retailers	
30.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.3%	19.6%	0.0%	4.5%	15.0%
Installers				
40.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	6.8%	10.3%	25.6%	15.0%	29.3%
Residential					
87.0%					

New Build			Residential RMI		
13.9%			73.1%		
Project	Non-Project		Project	Non-Project	
9.0%	4.9%		5.9%	67.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	1.5%	0.0%	0.0%	0.0%	11.1%
Non-Residential					
13.0%					

New Build			Non-Residential RMI		
5.6%			7.4%		
Project	Non-Project		Project	Non-Project	
4.6%	1.0%		6.2%	1.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

BE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

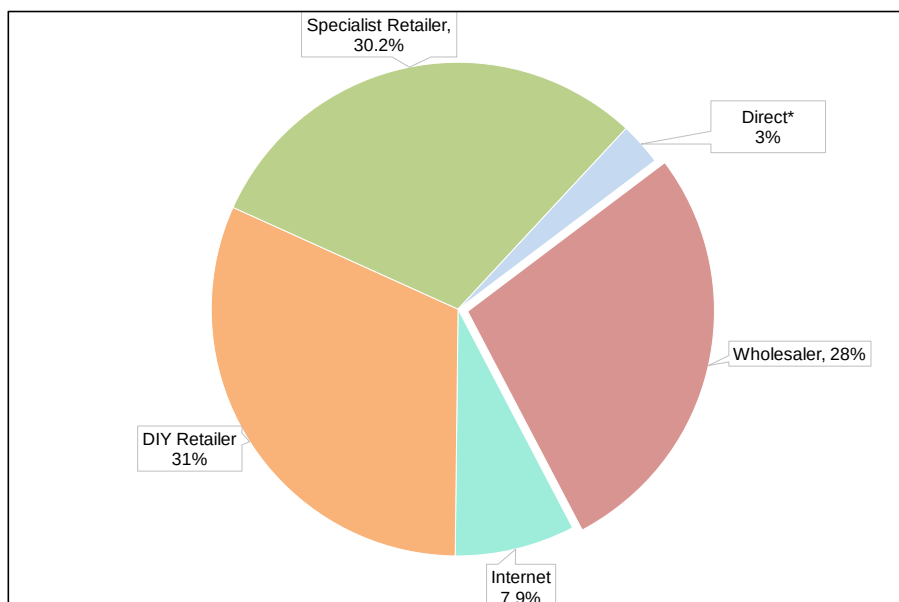
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.6%	7.9%	31.6%	30.2%	2.8%	16.1%	9.3%	71.3%	3.3%
100%					25.4%		74.6%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

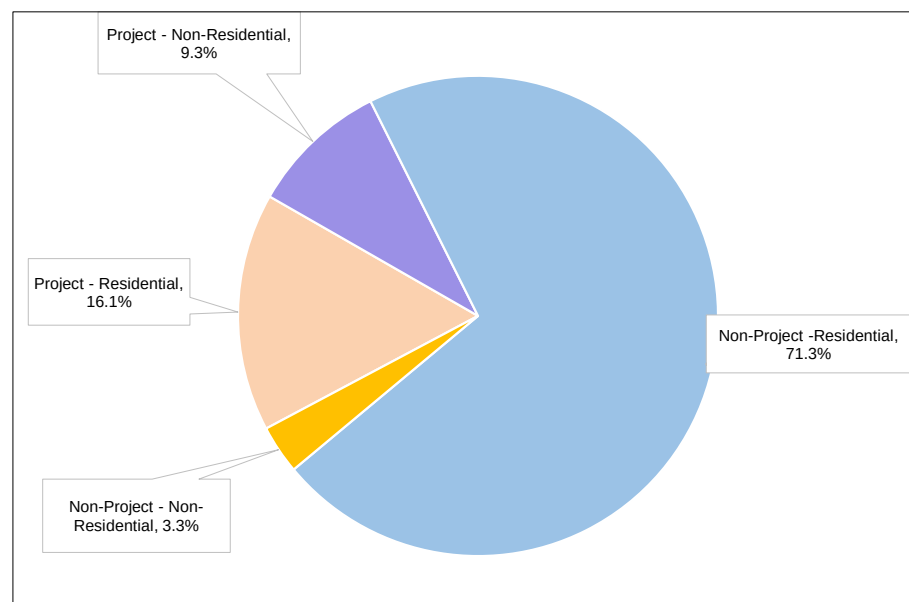
BE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.9%	10.3%	30.1%	30.0%	1.7%	14.9%	10.8%	72.8%	1.4%
100%					25.7%		74.3%	

BE - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
BE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.5%
	Wholesalers / Merchants
	60.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	5.1%	13.4%	6.0%	6.4%	22.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.1%		19.4%		29.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.8%	18.1%	0.0%	2.9%	10.2%
Installers				
36.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	6.6%	6.4%	5.1%	16.5%	19.0%	32.4%	8.3%	2.0%	0.0%	0.0%	0.0%	3.6%
	Residential						Non-Residential					
	86.1%						13.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.4%			70.6%			6.3%			7.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	10.0%		5.4%	5.6%		65.0%	5.3%		0.9%	5.0%		2.7%

2.7.6 Route to Market: Plastic Cisterns
BE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.1%
	Wholesalers / Merchants
	60.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	6.8%	12.8%	5.6%	7.2%	22.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.8%		18.4%		29.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.6%	16.7%	0.0%	2.8%	10.4%
Installers				
34.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	7.4%	6.4%	6.8%	15.6%	19.4%	31.8%	7.9%	2.0%	0.0%	0.0%	0.0%	2.7%
	Residential						Non-Residential					
	87.4%						12.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	13.6%			73.8%			5.4%			7.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.8%		4.7%	5.9%		67.9%	4.6%		0.8%	4.7%		2.5%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

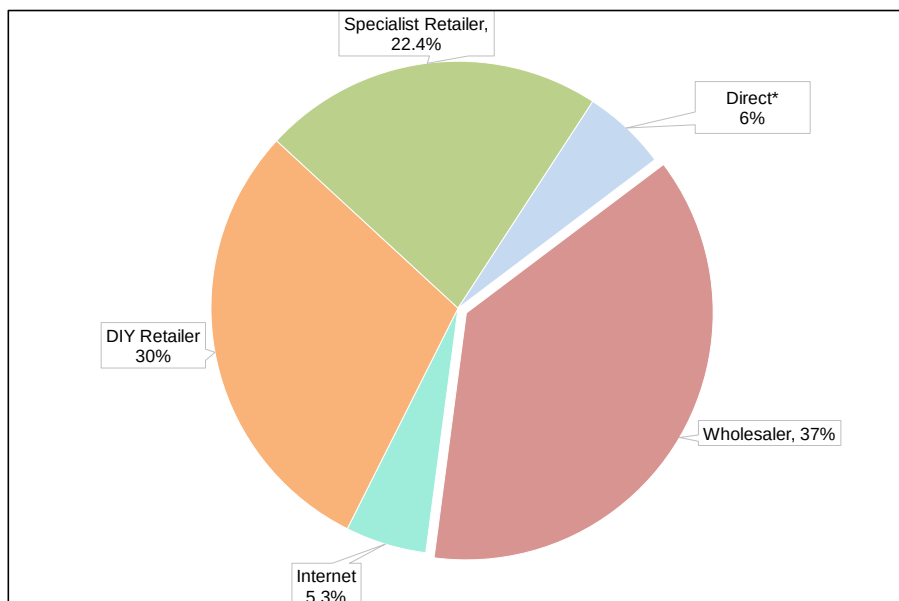
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.4%	5.3%	29.4%	22.4%	5.5%	3.7%	1.4%	93.2%	1.6%
100%					5.2%		94.8%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

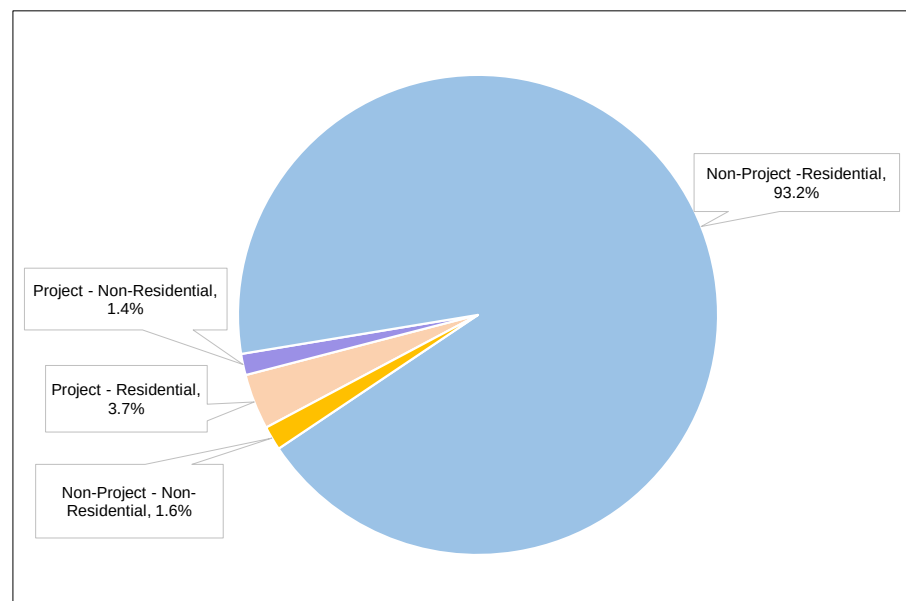
RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.1%	7.2%	28.8%	18.8%	5.1%	4.2%	1.2%	93.2%	1.4%
100%					5.4%		94.6%	

RO - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



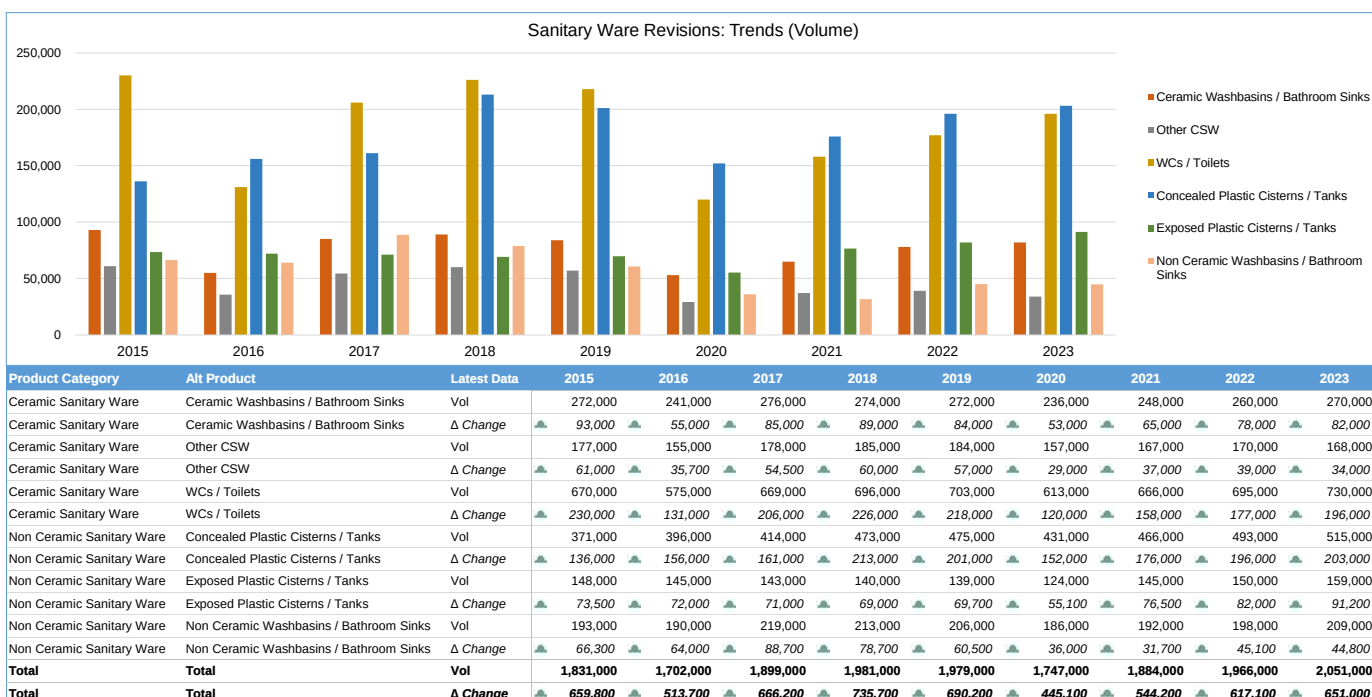
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Belgian Sanitary Ware Market (July 2020)

BE - REVISIONS IN THE BELGIAN SANITARY WARE MARKET

Data Comparison: July 2019



BRG has made significant revisions to the market size for Ceramic Sanitary Ware (CSW) for all years for a number of reasons:

The importance of imports sourced from outside Europe, including China, Egypt and India, were previously underestimated and largely unaccounted for. Whereas Chinese imports accounted for as little as 3% of imports in the early 2000s, reaching nearly 40% to 50% between 2005 to 2010, and has accounted for around 20% to 30% in more recent years. Chinese imports are largely sold through DIY stores but also include private label sales of other type of retailers and wholesalers. It is worth noting that the share of Chinese imports has decreased considerably between 2006 and 2013 and only started to increase again from 2014 onwards, largely in line with developments on the Belgian bathroom and kitchen market which suffered strong losses between 2013 and 2016, significantly later than neighbouring Netherlands due to a struggling residential renovation market.

The importance of DIY, and especially the importance of private label, was understated in previous editions of the report. In Belgium, similarly to the Netherlands, DIY stores are increasingly selling private labels instead of leading European brand. For example, MAXEDA's DIY stores mostly offer CSW under the AQUAVIVE, AQUAZURE and BASELINE brands, whereas INTERGAMMA extensively sells under its own ATLANTIC's range and HUBO sells mostly LAFINESS. All of these, including LAFINESS, are sourced from China. The range of leading brands, such as GEBERIT, IDEAL STANDARD and VILLEROY & BOCH, is fairly limited, with only one or two models available from brands such as GEBERIT, VILLEROY & BOCH, IDEAL STANDARD and GROHE.

The importance of bathroom retailer X²O, which was established in 2004, was also underestimated and not accounted for in last year's report. X²O has gained market share rapidly since it was set up in 2004 and is now considered to be the market leader in the retail sector, operating 20 showrooms across Belgium and with a turnover of €76.1 million in 2019. X²O mostly offers CSW under its private label range, including HOUSE OF ASCOTT, LINIE and LUCA VARESS, and hardly offer any branded items. X²O has been importing sanitary ware from China since January 2004.

Private label sales of wholesalers, including VAN MARCKE, were not accounted for in last year's report. VAN MARCKE, for example, sources its CSW ranges from the Egyptian LECICO and sells these under its own brand names (VAN MARCKE ORIGIN, VAN MARCKE or VAN MARCKE COLLECTION) and have been offering a private label range for the last 15 years. Other wholesalers also offer private label ranges, such include DESCO's own DESCO COLLECTION range and FACQ's GELUX's range.

Sales to non-housing were underestimated as sales to non-residential buildings, such as offices, schools and healthcare buildings, had developed significantly better than previously indicated. Whereas in neighbouring Netherlands, sales to non-housing suffered dramatic losses between 2009 and 2015, in Belgium sales actually continued to increase, even during the 2009-2012 crisis years, with only a minor setback in sales recorded in 2014. Although demand for CSW from certain sectors of the non-residential market, such as office and commercial buildings, decreased considerably between 2009 and 2016, sales to educational and healthcare buildings have almost grown consistently. Sales to educational buildings predominantly increased because of the 'School of Tomorrow' ('Scholen van Morgen') government scheme that was introduced by the Flemish government in 2010.

As in the Netherlands, over the last few years sales via online retailers have also increased strongly, with many of these online retailers having introduced their own range of baths and showers. SANICLASS, sold exclusively through www.sanitairwinkel.be is just one example of these, and ROYAL PLAZA also sold through the same online retailer. Sales volumes have also benefitted from the fact that many online retailers have opened their own showrooms, with a showroom in Zaventem (near Brussels) and Schoten (near Antwerp) meaning that these retailers now sell both online and offline. VAN MARCKE acquired shares in www.sanitairwinkel.be in 2018.

Revisions were also made to the estimated average number of bathrooms installed in both new houses and new apartments, which had an impact on the estimated number of CSW going into the new housing segment. Whereas historically new build dwellings in Belgium only had one bathroom installed, over the last 15 years an increasing number of new build properties have been fitted with two bathrooms, one master bathroom and one additional bathroom. Whereas in the mid-2000s only around 8% of dwellings had two bathrooms, by 2018/2019 this share had risen to 33%. The master bathroom tends to be more luxurious, often including a bath and furniture with a double basin, whereas the second bathroom is often a lot more basic, only fitted with a shower, not a bath. An increasing number of bathrooms are now also fitted with double washbasins, thus affecting demand for CSW.

Upward revisions were also made to the market sizes for both types of plastic cisterns. Concealed plastic cisterns were revised as imports from the Netherlands, China, Italy and Germany was slightly underestimated. Exposed plastic cisterns were revised up as sales through DIY, such as GAMMA, HUBO and BRICO, was underestimated; most of these are sourced from China, Egypt and Portugal.

Non-ceramic washbasins were also revised up as the importance of basins sold together with bathroom furniture was underestimated. In Belgium, most (private) bathrooms are fitted with bathroom furniture and an increasing number have a non-ceramic washbasin, such as mineral cast or solid surface.

BELGIUM

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



3.1 Market Sector Overview : Taps and Mixers

To note: A major upward revision has been made to the market size for taps and mixers. Please see table 3.8 for more details.

Market Characteristics and Product Mix

The Belgian taps and mixers market typically follows a similar trend to the country's economic cycle. Long-term trends have also closely followed the Belgian ceramic sanitary ware market, which is largely influenced by new construction and private consumption.

The overall trend in the tap and mixer market is towards one-head mixers, as these are aesthetically preferred in Belgian bathrooms. Additionally, one-head mixers enable consumers to avoid excess water consumption, as there is no need to constantly readjust the amounts of hot and cold water needed to achieve the desired temperature. As a result, one-head mixers comprise the majority of sales, with the bulk of installations being in washbasins and kitchen sinks. Moreover, bidets are commonly equipped with one-head mixers.

For almost two decades, sales of two-head mixers have given way to one-head and thermostatic mixers. Most two-head models are used for installation in basins and sinks, but some pieces can still be found in baths and showers. While the market share is falling, the market for two-head mixers is predicted to shift further towards the higher end of the market. Nowadays, end consumers buy a two-head mixer for design reasons, and manufacturers mainly offer two-head mixers as part of classic production lines.

Although the use of concealed taps and mixers is small, and almost entirely limited to the luxury segment, concealed one-head and thermostatic mixers are increasingly used in the middle price range. It is expected that showers are often equipped with a concealed thermostatic or one-head mixer. Washbasins have the second-highest share of concealed taps and mixers.

The Belgian taps and mixers market has introduced a number of novel products, often at the upper end of the shower mixer market. There is a general shift away from perceiving a bathroom as functional space towards viewing it as an area of wellness, where more quality time is being spent. Product innovations include electronic taps that use LED lighting to offer coloured water jets, for a novelty showering experience. These types of taps and mixers used to be solely installed in the non-housing segment. Moreover, rain showers have seen strong preference among consumers, who are keen to invest more money in a better shower experience. Most mixers are made of chrome, although black finish is popular in the luxury range.

Although pillar tap sales have declined somewhat over the last few years, a certain proportion of demand remains annually. These taps are most commonly found in hand washbasins and in-service applications, and often sold in the lower and

economy price segments.

Thermostatic mixers are the second-most popular type sold on the Belgian market, having increased constantly over the last 10 years. Their main area of application is showers and baths; they rarely feature in washbasins. Most showers are already fitted with a thermostatic mixer, but baths are now increasingly being fitted with thermostatic mixers as well. Thermostatic mixers continue to gain in popularity due to their lower water consumption and ease of use. Thermostatic mixers account for the majority of concealed tap and mixer sales, of which most are used for installation in showers and never for washbasins nor bidets.

Although there are many types of non-residential buildings in Belgium, it can be assumed that hospitality buildings, public buildings and semi-governmental institutions, sports-related buildings, and buildings for culture and recreation are the main segments for self-closing taps. Self-closing taps and mixers are primarily installed in washbasins in public places, sports centres, campsites and public toilets, as well as in offices and hospitality buildings. Electronic types are mainly installed in non-housing buildings such as airports, hotels and football stadiums. Electronic taps have a relatively influential position on the Belgian market and are seen as the future of it, particularly in the upper/luxury segment. Some suppliers see offering electronic taps as the only way to increase prices in the tap and mixer market, after the price erosion of the last few years (downgrading of segments). Electronic taps are increasingly sold to private individuals to be installed in guest toilets, for example. They no longer are just for non-housing buildings, as was the case in the past.

Recent Market Trends

The total taps and mixers market recorded a positive development in 2019, driven by RMI demand. Compared to 2018, the overall situation on the Belgian market improved, with stronger demand originating from replacement sales. However, the non-housing sector experienced a small decline in 2019, even though some sectors remained dynamic. The hospital and catering sectors continue to represent a strong pillar for electronic and self-closing taps and mixers, as these products allow the users to respect hygienic criteria.

In terms of applications, demand for kitchen taps and mixers continued to increase as well. The market has been growing well in the past few years, and end consumers are more frequently renovating their kitchens and at the same time spending more on a new one. This development reflects the general trend of including the kitchen into the living space. Moreover, consumers increasingly value products with added value, e.g. a pull-down sprayer or boiling-hot water from the tap.

Demand for taps and mixers used for baths continued to decline in 2019 when compared to previous years. The main reason for this was the overall trend towards showering, with Belgian consumers replacing their old bath with a larger shower. This development is likely to continue, but the market is believed to slightly

recover in the coming years, driven by replacement demand. Sales of taps and mixers for bidets are also decreasing. According to industry feedback, bidets are no longer installed in a new bathroom, unless specifically required. Most of the demand, which indeed is marginal when compared to all other applications, mainly comes from replacement sales. However, even this demand is declining, as it is common not to replace a broken bidet tap anymore. Instead, the homeowner might wait for a complete bathroom renovation to get rid of the bidet altogether – to have more space for a larger shower, for example.

Sales of sanitary taps and mixers for washbasins increased in 2019 when compared to previous years. In terms of volume, taps and mixers installed with washbasins account for the largest market share. Although demand from new housing slightly declined, the large volume of replacement sales compensated for the loss, which resulted in a positive market development. Shower taps and mixers represent the second-largest market, and demand continued to increase in 2019. Sales into new housing contributed to the market growth. This positive trend is likely to continue, in alignment with the overall trend towards showering.

Over the years, customers have been focusing more attention on more efficient energy consumption, by minimising use of water to save costs and reduce the environmental impact. This has resulted in the growing trend for cold-start taps and mixers, which have been around for more than a decade and have been popular in larger projects, such as hotels, where the difference and impact is more notable. Cold-start taps, and mixers, are also more commonly installed in the housing market; however, they are not distinguished in this report. End consumers willingly spend money on taps and mixers from the luxury segment, paying extra attention to aesthetics and design.

Prices and Market Values

The overall average price for sanitary taps and mixers has increased again in 2019, driven by price increases by manufacturers to compensate for inflation. After many years of price decrease due to the strong competition, some manufacturers decided to rebalance their prices and keep a stable share. The MSP of kitchen taps and mixers and baths mixers increased the strongest. These two applications generated positive growth and, despite strong competition, manufacturers were able to increase prices. Bath and bidet taps increased at a similar rate as the other products in 2019, when compared to the previous year.

The Belgian sanitary taps and mixers market is under fierce competition. Many players compete on this market and imports from China and Eastern Europe have an important role. This is particularly the case for one-head and thermostatic mixers, which have the biggest shares of taps and mixers. Building contractors are gaining greater control of the market, and this puts a lot of pressure on prices. Competition in the market generally causes margins to go down. This is visible throughout the manufacturers' and wholesalers' price strategies, which lower their margins. It is also a result of more international players entering the market, especially those with online sales channel strategies. Moreover, there is an

increasing trend of consumers looking for a better price and thus tending to go to neighbouring countries to finalise their purchasing processes.

Although Belgian consumers are known for preferring branded products, the purchasing trend towards products from a lower segment, as these offer the same functionalities with a decent quality, puts extra pressure on the market. Wholesalers are increasingly promoting their own brands as private labels, which they either buy as OEM products or produce themselves in the Far East. The Belgian tap and mixer market is divided amongst several price segments, of which the middle segment has the highest share. As homeowners are increasingly seeking cheaper products, there is a slight shift towards the lower/economy price segments.

New Housing

Overall, new residential construction output increased in 2019, which consequently generated more sales of taps and mixers. For 2020, the COVID-19 crisis should dramatically affect sales, as housing completions should drop. Demand is expected to resume as soon as 2021, with a percentage growth that should be the highest of the recent years.

On average, a Belgian dwelling has around five taps and/or mixers installed – an average of seven per house and around four per apartment. Nowadays, most new dwellings are fitted with thermostatic mixers, due to their energy-saving benefits. Most private dwellings have a one-head mixer, whereas rented dwellings might still be equipped with a two-head mixer. In fact, two-head mixers are hardly installed in new dwellings anymore, as there is hardly a price difference to one-head mixers. If end consumers want to have two-head mixers, it is mainly for design reasons and their nostalgic appeal. Pillar taps are usually installed in the separate toilet room. Most dwellings, both houses and apartments, have one separate toilet and washbasin.

Housing RMI

The renovation segment contributed to slightly more sales of taps and mixers in 2019 when compared to the previous year. Kitchen taps and mixers sales continued to grow, which was supported by the overall trend towards taps and mixers with added value – as well as demand from renovations of old kitchens.

Sales of sanitary taps and mixers for baths and bidets declined in 2019, as both products are losing popularity. Baths are increasingly replaced by larger showers, and bidets by 'bum guns' or shower toilets. The washbasin is the application that accounts for most sanitary tap and mixer sales. Demand from this market slightly increased in 2019 when compared to the previous year. Sales of taps and mixers for showers also had a positive year, and demand was supported by the overall trend towards showering.

Overall, this segment should suffer from the impact of COVID-19 in 2020, but recover soon after from 2021 onward.

Non-Housing

The non-housing segment had a poor year in 2019, and demand for taps and mixers decreased when compared to previous years. The majority of taps and mixers in this end-use segment are one-head mixers, which are often installed in hotels, hospitals and homes for the elderly. The sales of taps and mixers can go to any kind of non-residential building, although the majority are estimated to be in the hospitality and healthcare industry. All self-closing taps and most electronic taps go into this segment. These are usually used for public bathrooms and showers that are frequented by many people, e.g. swimming pools, spa facilities and sport clubs.

In terms of application, demand declined in all product segments, as a result to fewer projects completed in 2019, both in new build and refurbishment.

Supply Structure

The structure of the tap and mixer market is characterised by a large variety of suppliers, which are predominantly from Germany and Italy. The top five players in the market are GROHE, (LIXIL)HANS GROHE, PAFFONI, IDEAL STANDARD, and CALODAR (LAFINESS).

GROHE is the clear market leader, and has seen its market share increase consistently. It is strong due to a strong brand image and its positioning in all price segments of the market. PAFFONI is represented by the BSC (BELGIAN SANITARY COMPANY) in Brussels. Around half of PAFFONI's sales are sold as private label taps, through wholesalers such as SUPERSANIT, and a reasonable share of their sales go through the DIY segment as unbranded or under CALODAR's LAFINESS brand. IDEAL STANDARD INTERNATIONAL supplies, besides its own brand IDEAL STANDARD, private label mixers to VAN MARCKE and BRICO.

ORAS (HANSA) is sold through its local subsidiary, whereas FRANKE (KWC) operates from the BENELUX office in the Netherlands. DORNBRACHT covers the luxury end of the market with its designer ranges. The great majority of DORNBRACHT's taps and mixers are sold through the specialist showroom retailer channel. DORNBRACHT also produces and distributes VILLEROY & BOCH branded taps and mixers on the Belgium market, which are included in their overall sales volume. GESSI offers taps and mixers under its own brand name but also supplies FRANKE under OEM agreement, including both bathroom and kitchen taps and mixers. GESSI produces both single-lever and two-head mixers but specialises in the latter category. GESSI is traditionally popular in the kitchen mixer market, and its taps and mixers are marketed as luxury products.

IKEA kitchen taps and mixers are made by PAINI, which has a dedicated factory in Italy just to produce IKEA taps and mixers. PAINI has several production sides in Italy, and also produces in China and Taiwan.

ZUCCHETTI's sales significantly declined in previous years, when VAN MARCKE stopped forcing the brand on the market. Instead, VAN MARCKE started to produce its own taps and mixers in CHINA, which are imported through Malta and branded as VAN MARCKE. ZUCCHETTI does not sell through any other channel in Belgium and, therefore, could not compensate for the loss.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a substantial decline in sales of taps and mixers. Belgium faced a two-month period of lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

Sales should however pick up quickly from 2021 onward, with a return to 2019 levels that year. GDP growth is expected to be high in 2021, to cover for the lost activity of 2020. This should positively affect all bathroom products segments, including taps and mixers.

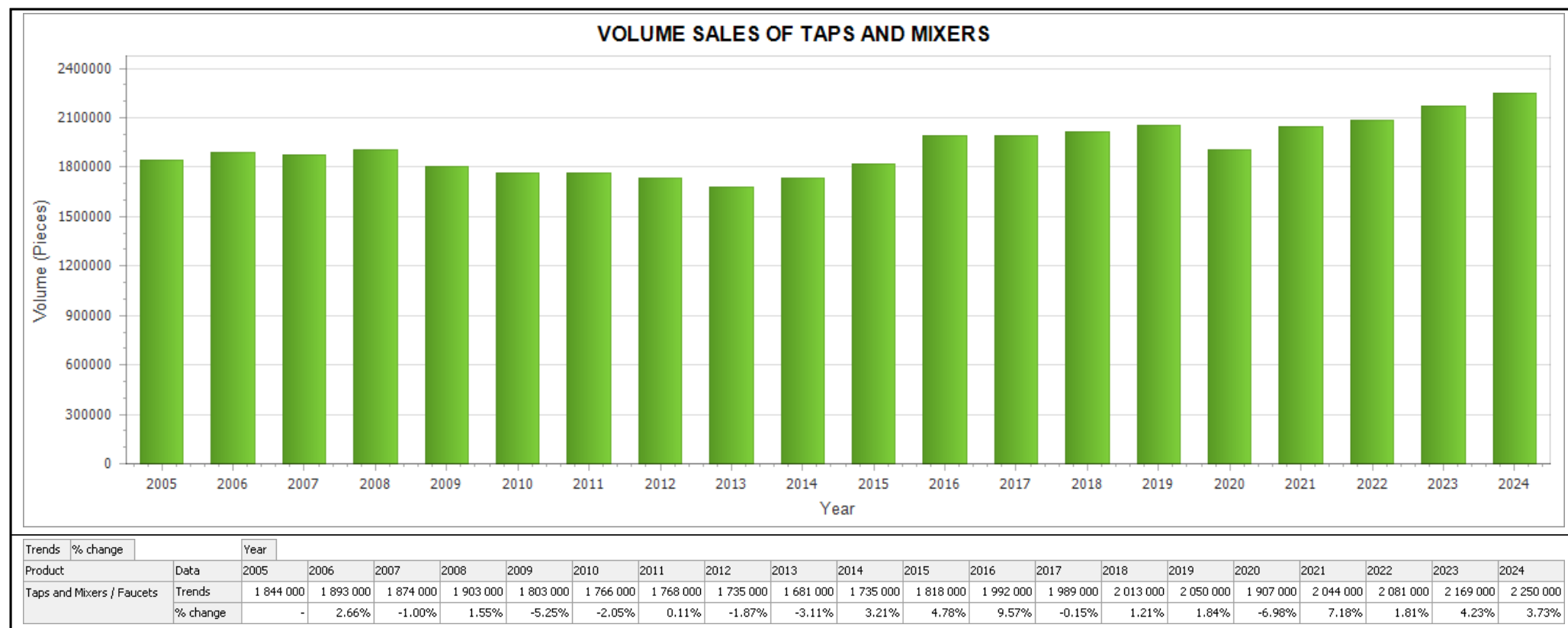
In terms of product mix, demand for one-head and thermostatic taps and mixers should increase annually, with the understandable exception of 2020. Both these types account for most of the taps and mixers sold in Belgium. In contrast, pillar taps, two-head and self-closing taps and mixers should continue on an overall downward trend. Instead of self-closing, electronic taps and mixers are increasingly used. Demand for electronic products should grow, as most of the value-added taps and mixers (easy touch or QUOOKER) are categorised by BRG under 'electronic'.

The gap between one- and two-lever taps and mixers is expected to widen even more, especially as the price for two-lever models continues to drop and demand favours one-lever taps and mixers. Electronic taps are increasing in demand, especially in public places, and should continue to do so as non-public facilities are continuing to expand or be renovated.

In terms of application, strong demand is expected for kitchen taps and mixers throughout the forecast period, except for 2020. From 2021, demand is likely to get even stronger, with additional sales from new housing completions. Tap and mixer sales for washbasins and showers are anticipated to develop positively, too. Together with kitchen sinks, washbasins and showers account for most tap and mixer sales in Belgium. The bath taps and mixers market sector is much smaller, and even though the general trend is towards showering, baths mixers sales should grow slightly in the coming years. Bidet taps and mixers are a niche product, nowadays, and sales should decrease during the forecast period.

3.2 Historical Trends and Forecasts : Taps and Mixers

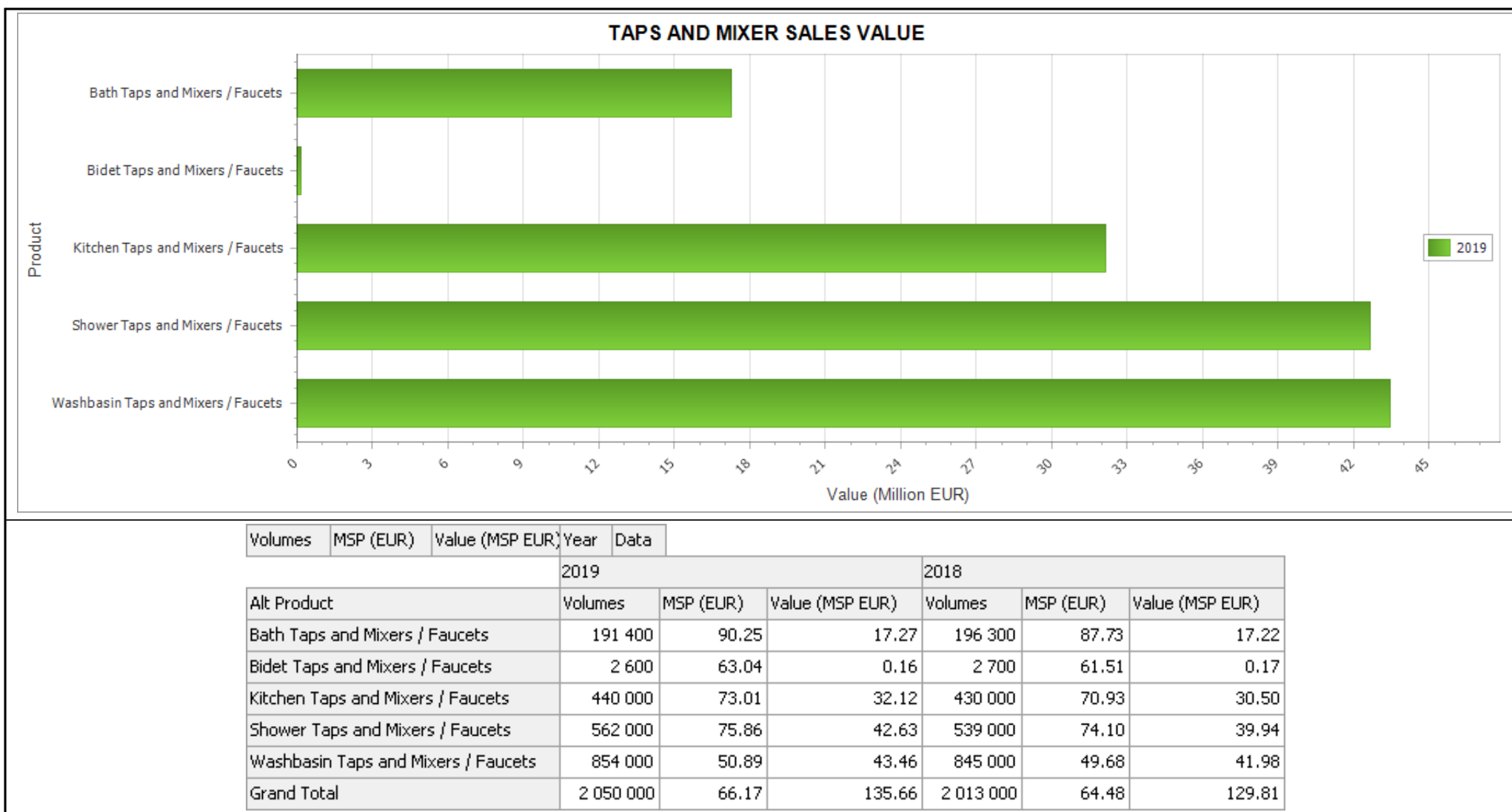
BE - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

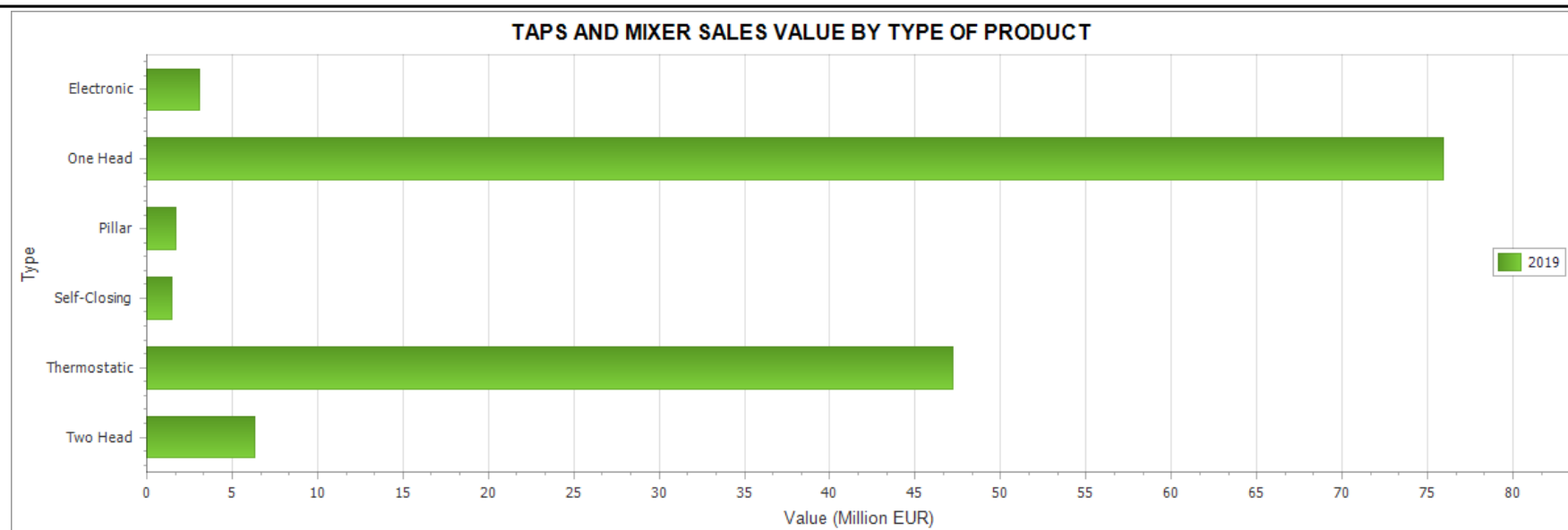
BE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

BE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

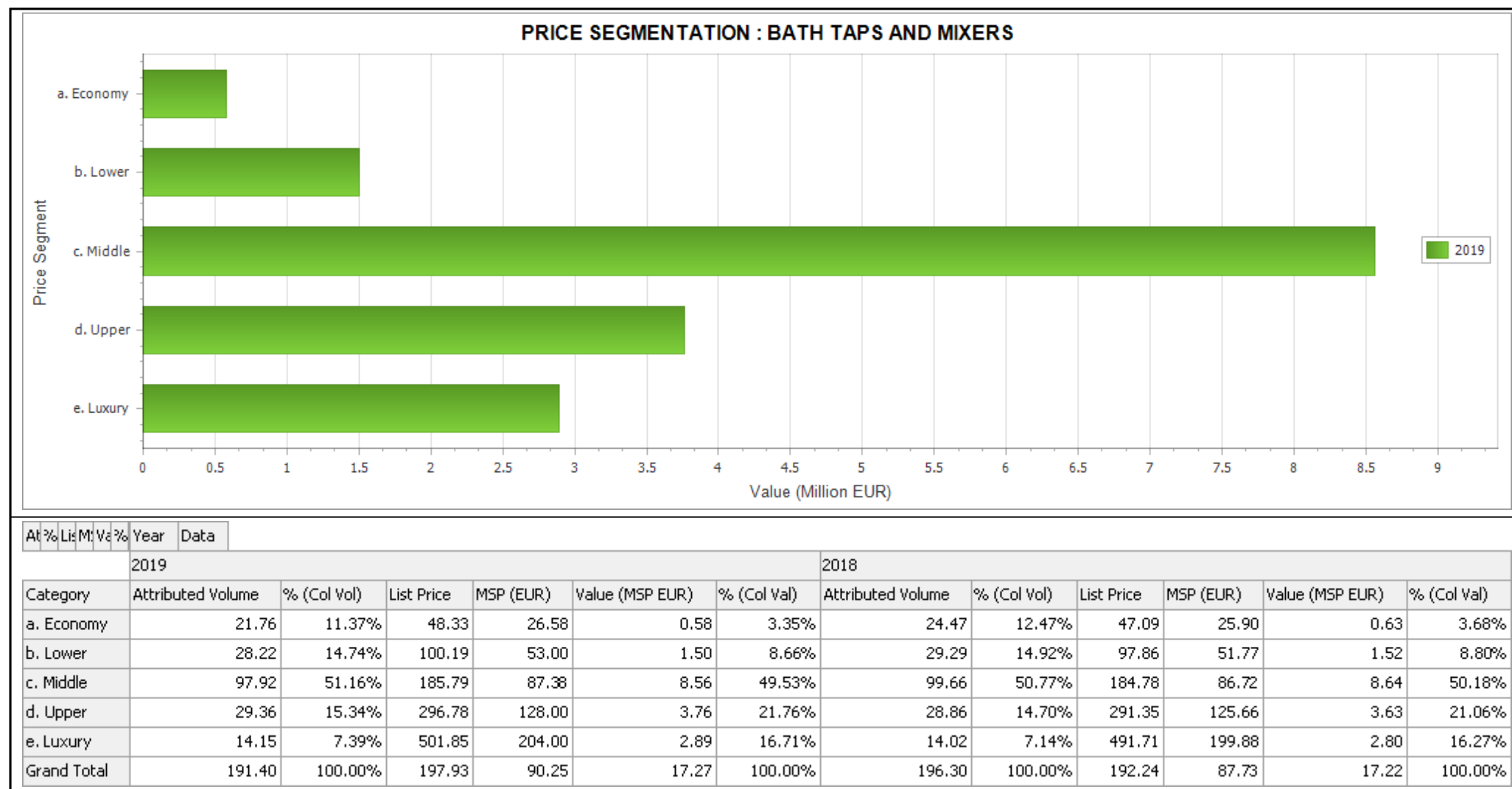


At %	MS Va %	Year	Data							
2019						2018				
Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Electronic	20.28	0.99%	151.81	3.08	2.27%	19.84	0.99%	148.84	2.95	2.27%
One Head	1 305.35	63.68%	58.18	75.95	55.98%	1 281.00	63.64%	56.59	72.49	55.84%
Pillar	69.09	3.37%	24.14	1.67	1.23%	69.69	3.46%	24.57	1.71	1.32%
Self-Closing	22.39	1.09%	65.34	1.46	1.08%	23.33	1.16%	67.33	1.57	1.21%
Thermostatic	519.87	25.36%	90.84	47.22	34.81%	502.27	24.95%	88.79	44.60	34.36%
Two Head	113.04	5.51%	55.54	6.28	4.63%	116.87	5.81%	55.48	6.48	5.00%
Grand Total	2 050.01	100.00%	66.17	135.66	100.00%	2 013.01	100.00%	64.49	129.81	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

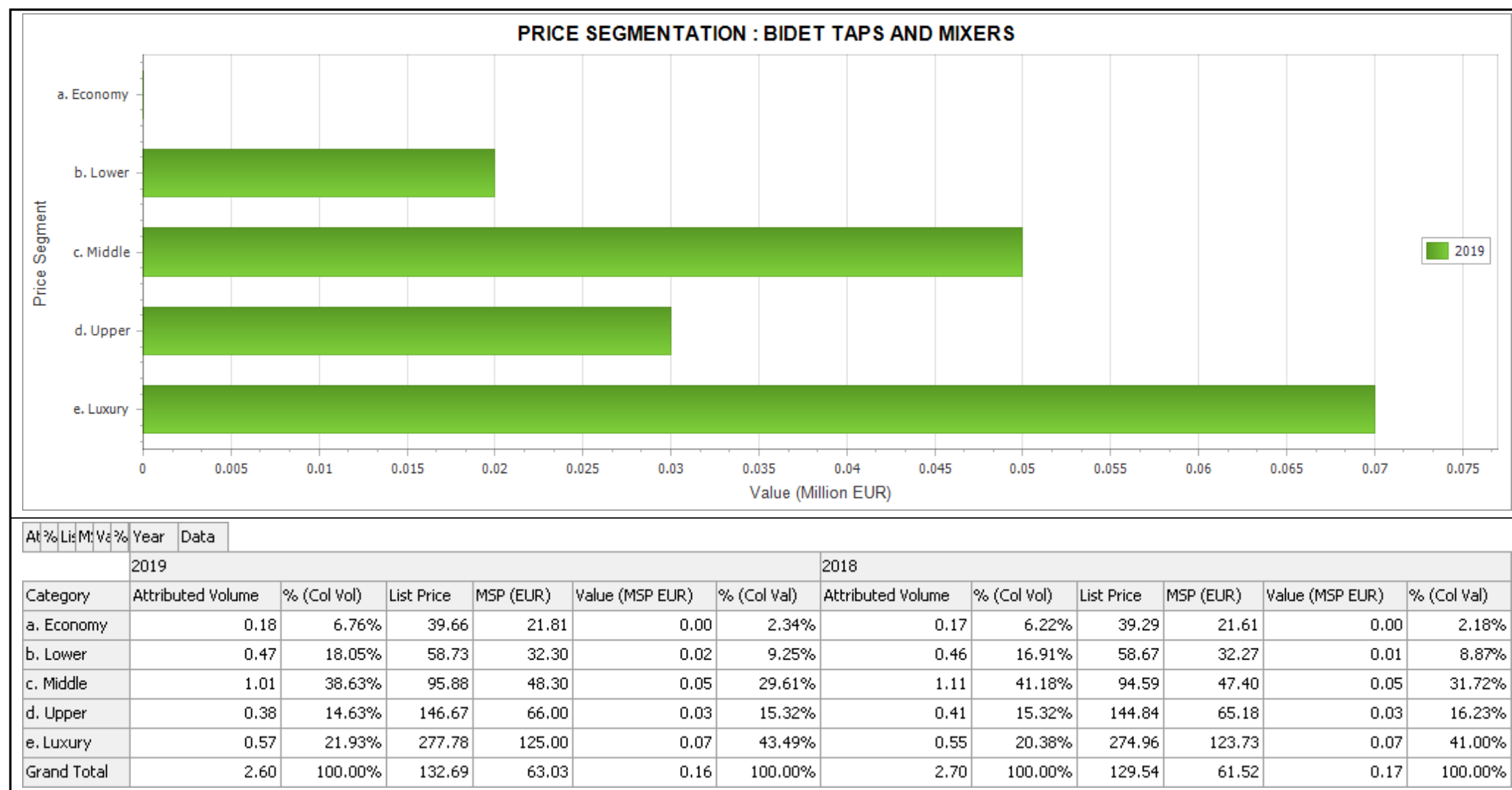
BE - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.4 Price Segmentation : Bidet Taps and Mixers

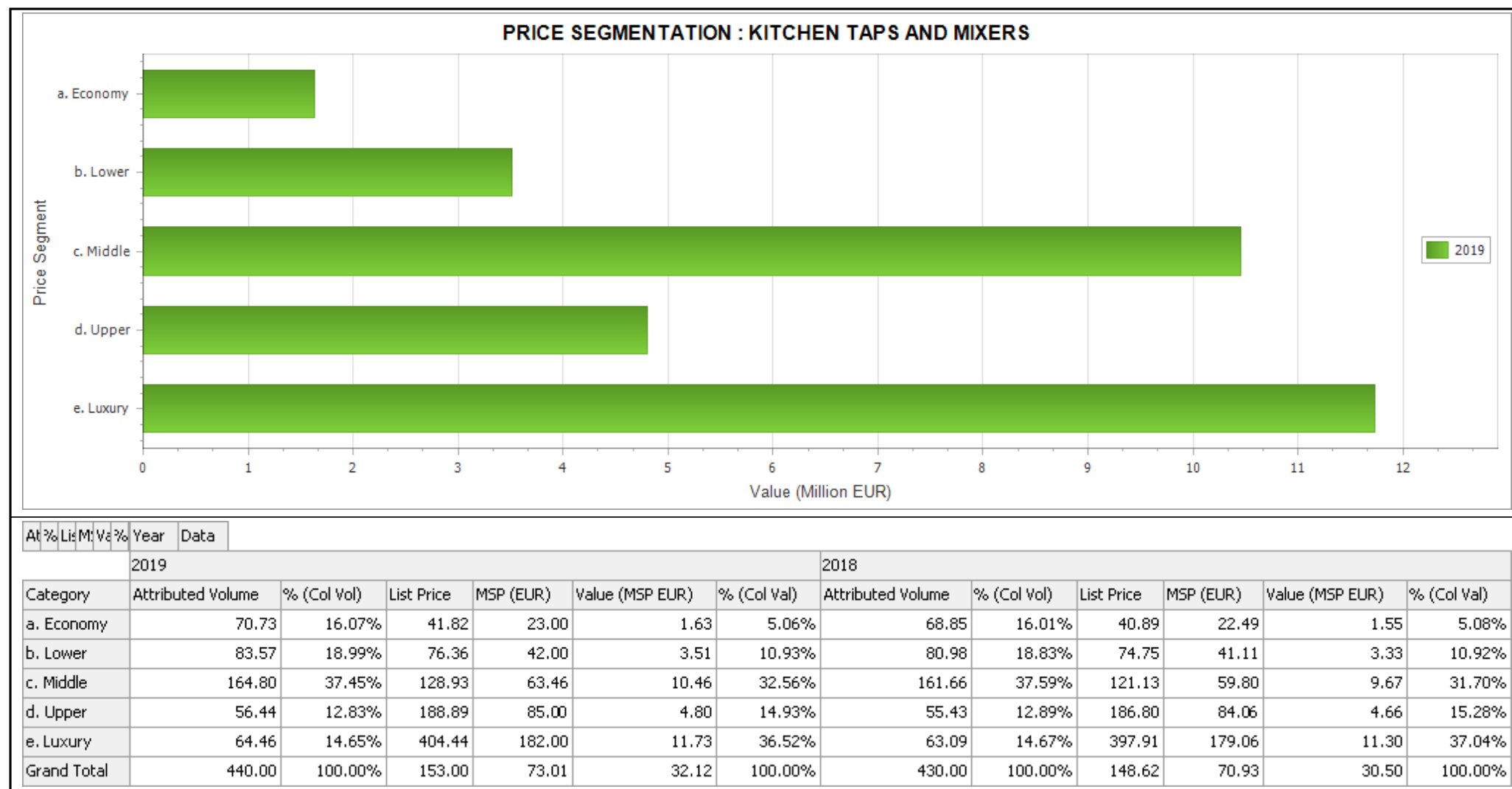
BE - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.5 Price Segmentation : Kitchen Taps and Mixers

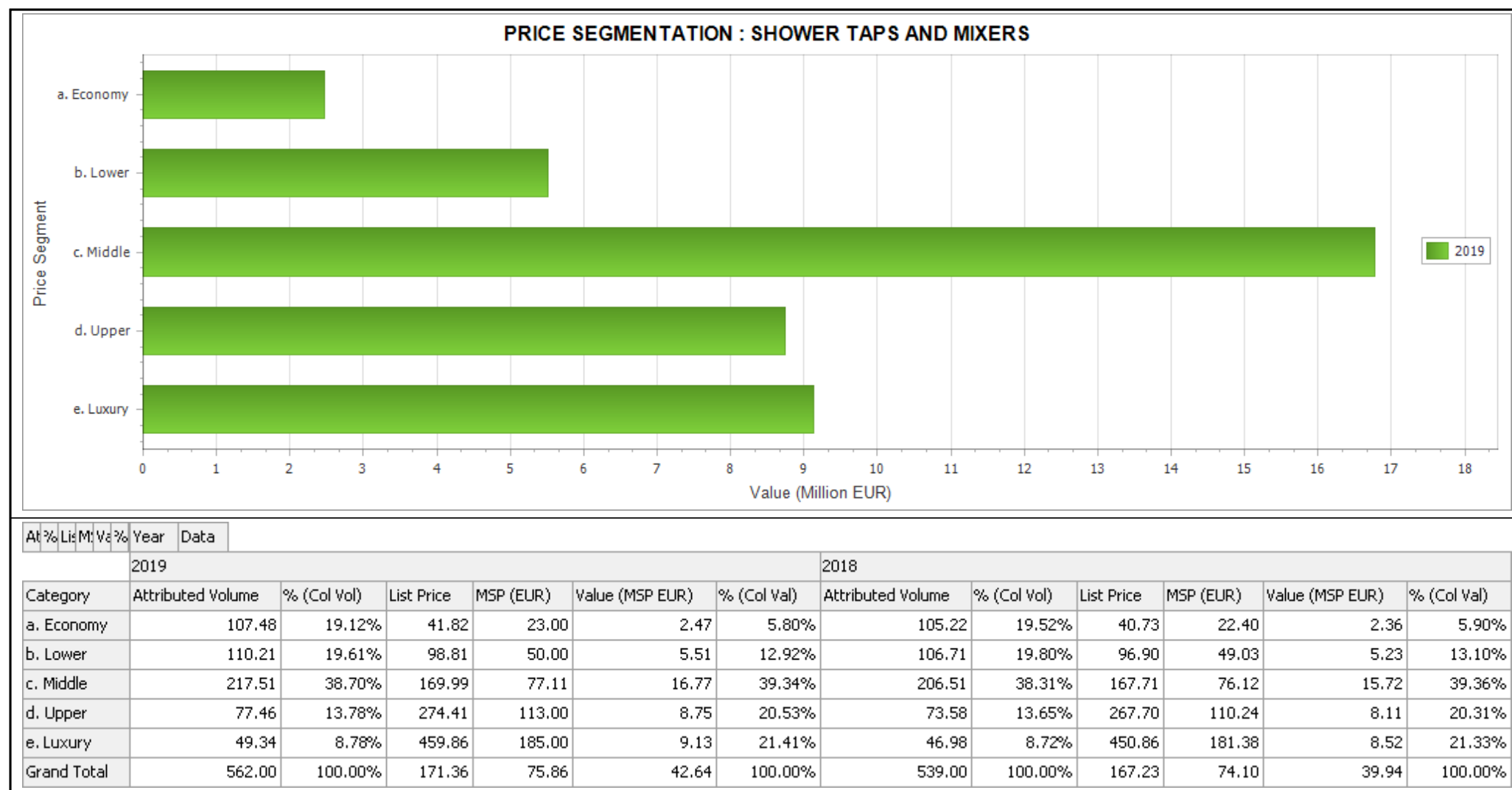
BE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

3.3.6 Price Segmentation : Shower Taps and Mixers

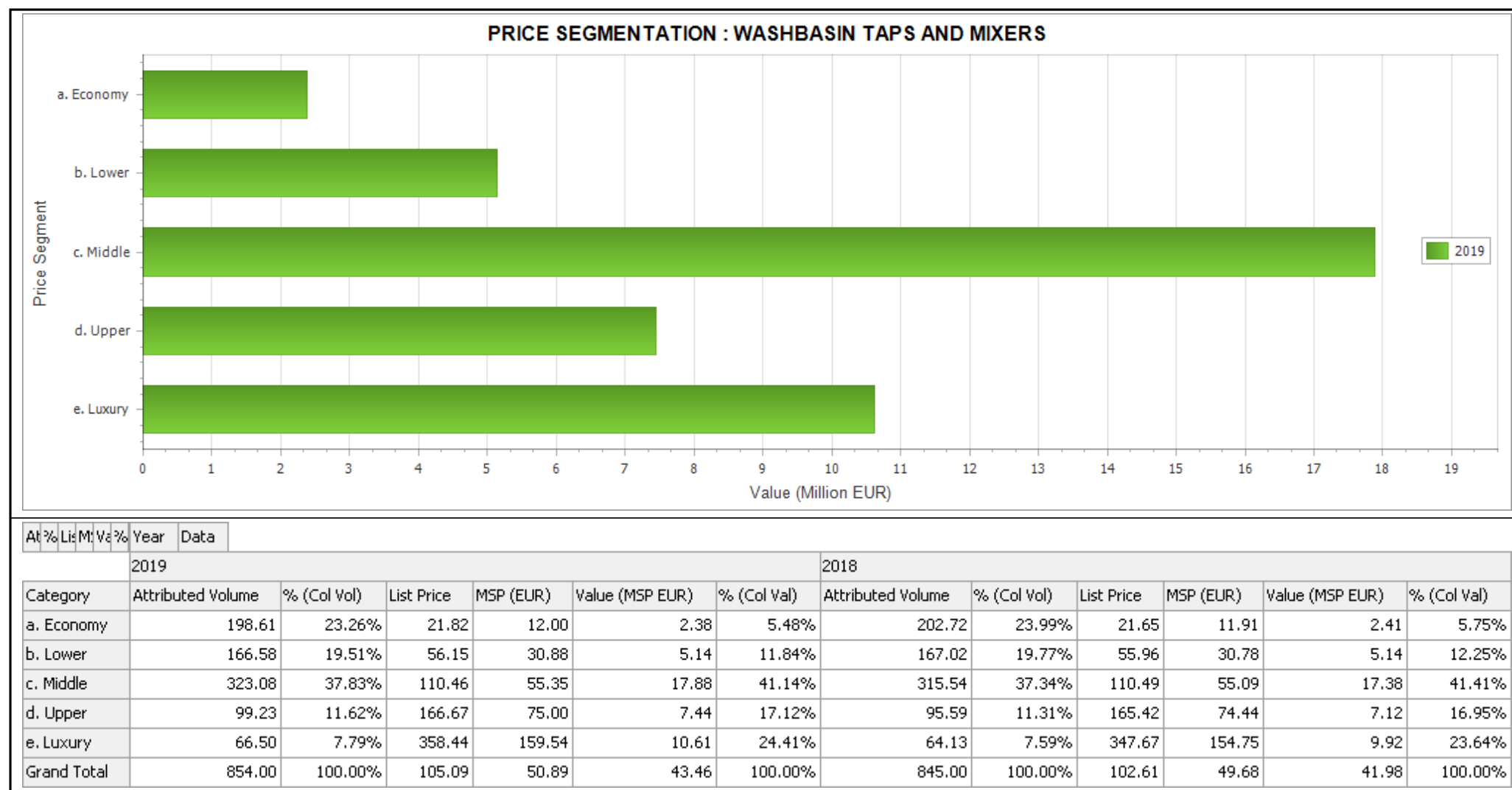
BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.7 Price Segmentation : Washbasin Taps and Mixers

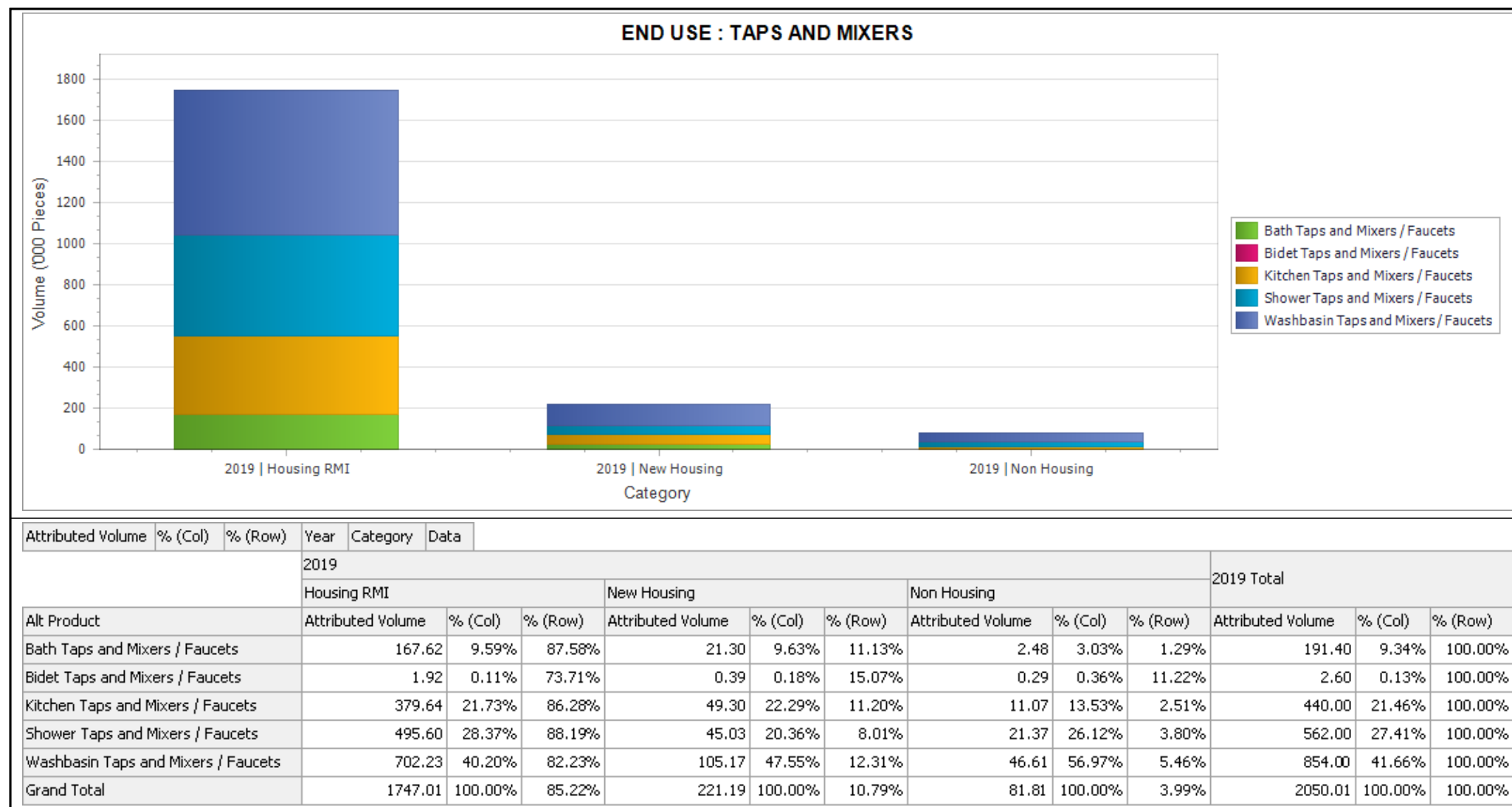
BE - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.4.1 End Use : Base Year

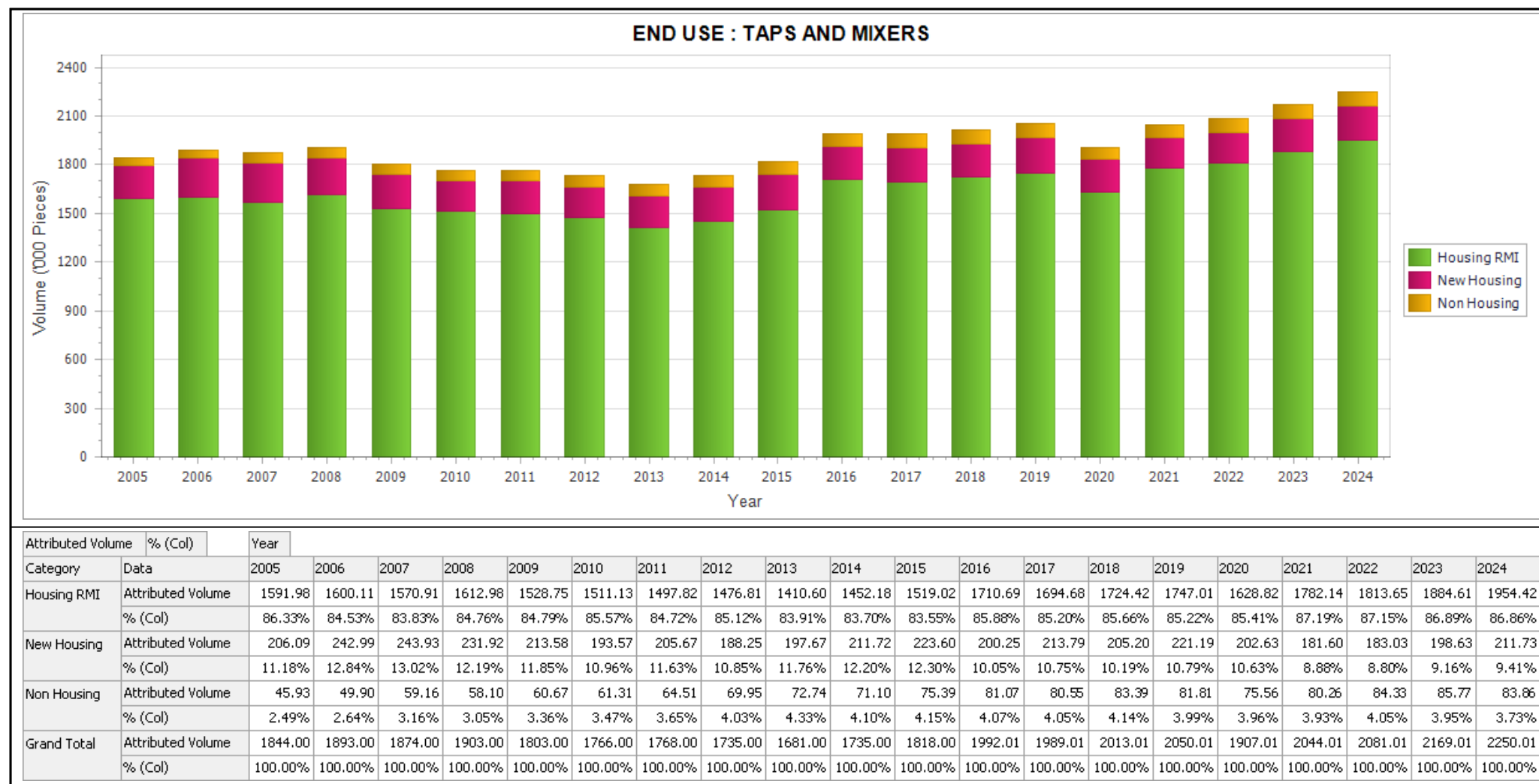
BE - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

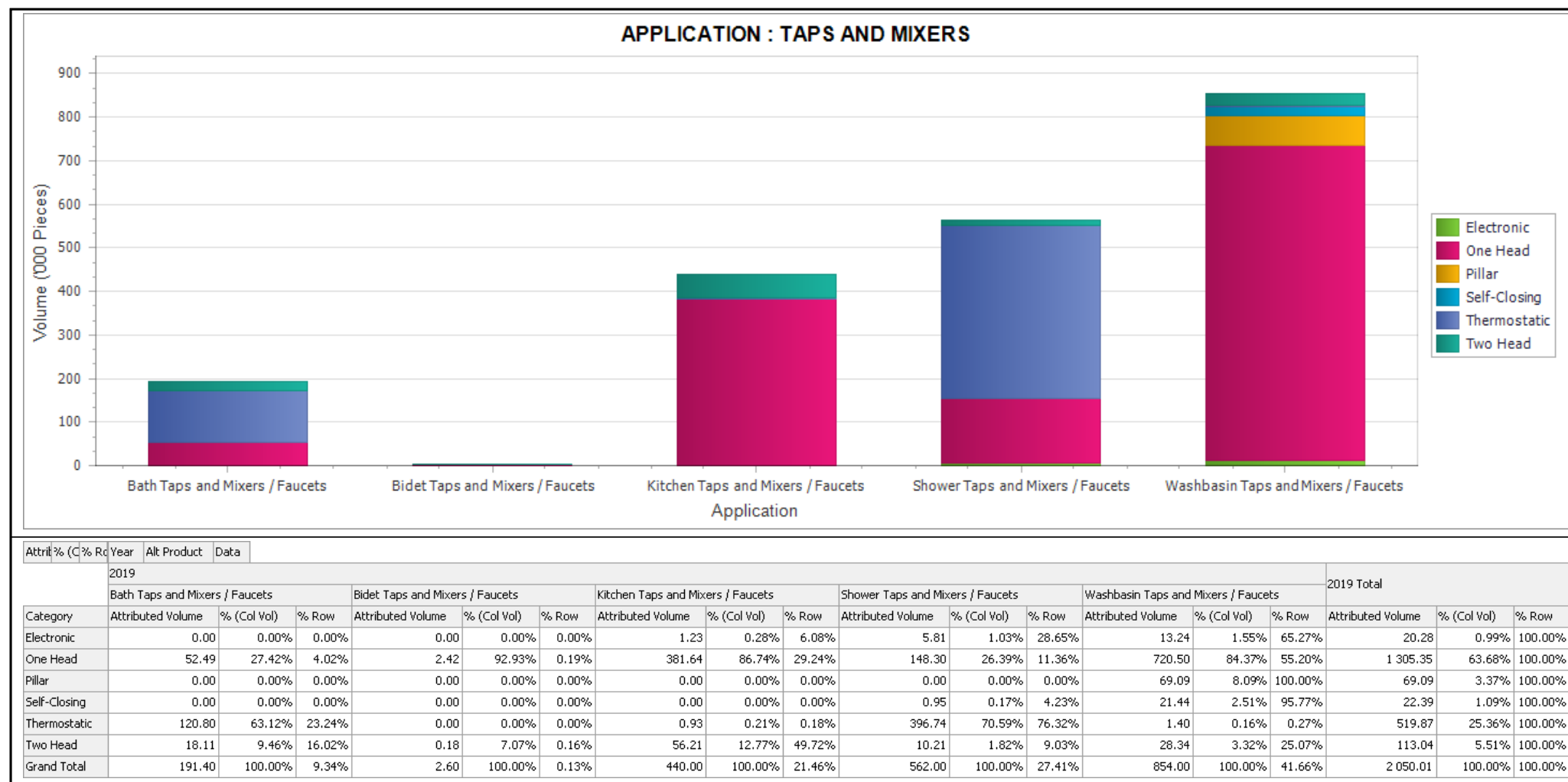
BE - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

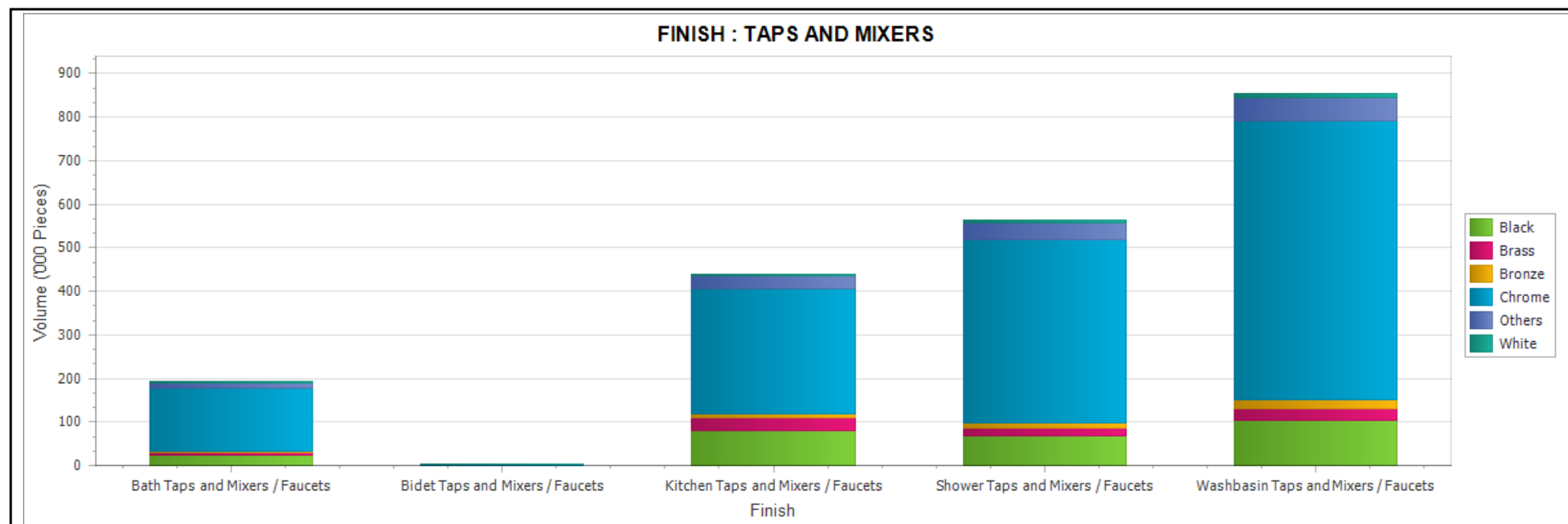
BE - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

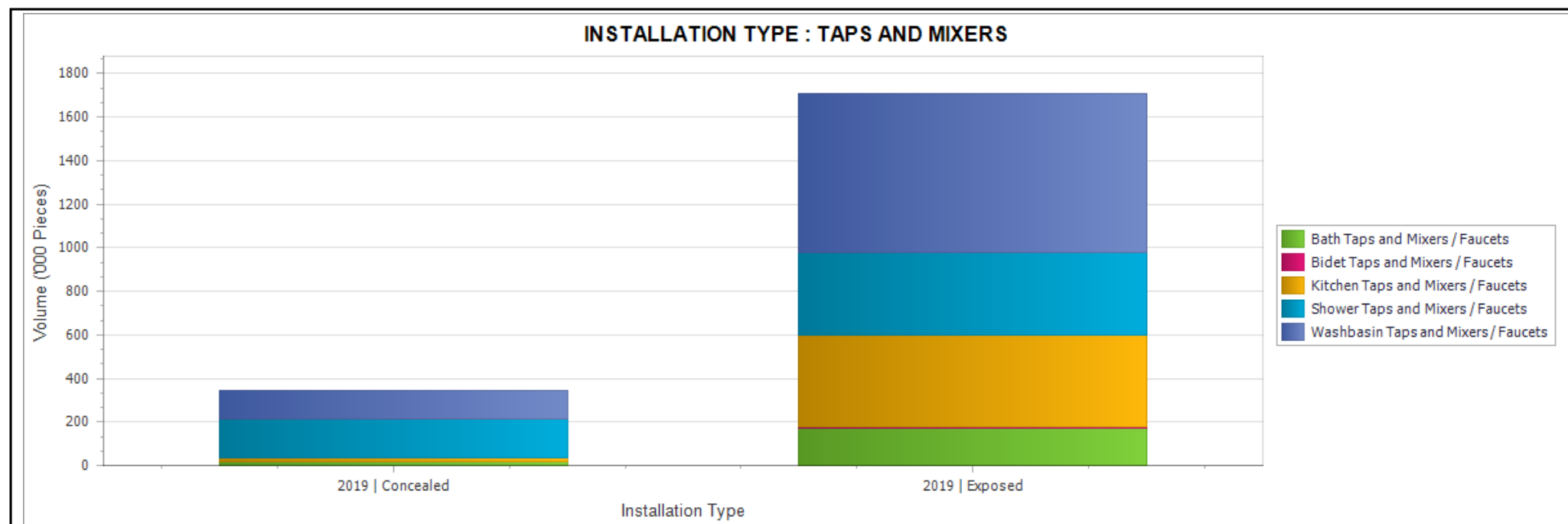
BE - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)



Attribu	% (Col	Year	Alt Product	Data										
2019												2019 Total		
Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets					
Category	Attributed Volume		% (Col Vol)	Attributed Volume		% (Col Vol)	Attributed Volume		% (Col Vol)	Attributed Volume		% (Col Vol)	Attributed Volume	% (Col Vol)
Black	22.97		12.00%	0.09		3.42%	79.20		18.00%	67.44		12.00%	102.48	12.00%
Brass	6.51		3.40%	0.04		1.42%	30.80		7.00%	19.11		3.40%	29.04	3.40%
Bronze	4.21		2.20%	0.06		2.23%	9.68		2.20%	12.37		2.20%	18.79	2.20%
Chrome	143.36		74.90%	2.22		85.43%	287.32		65.30%	420.94		74.90%	639.65	74.90%
Others	12.44		6.50%	0.17		6.50%	28.60		6.50%	36.53		6.50%	55.51	6.50%
White	1.91		1.00%	0.03		1.00%	4.40		1.00%	5.62		1.00%	8.54	1.00%
Grand Total	191.40		100.00%	2.60		100.00%	440.00		100.00%	562.00		100.00%	854.00	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

BE - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)

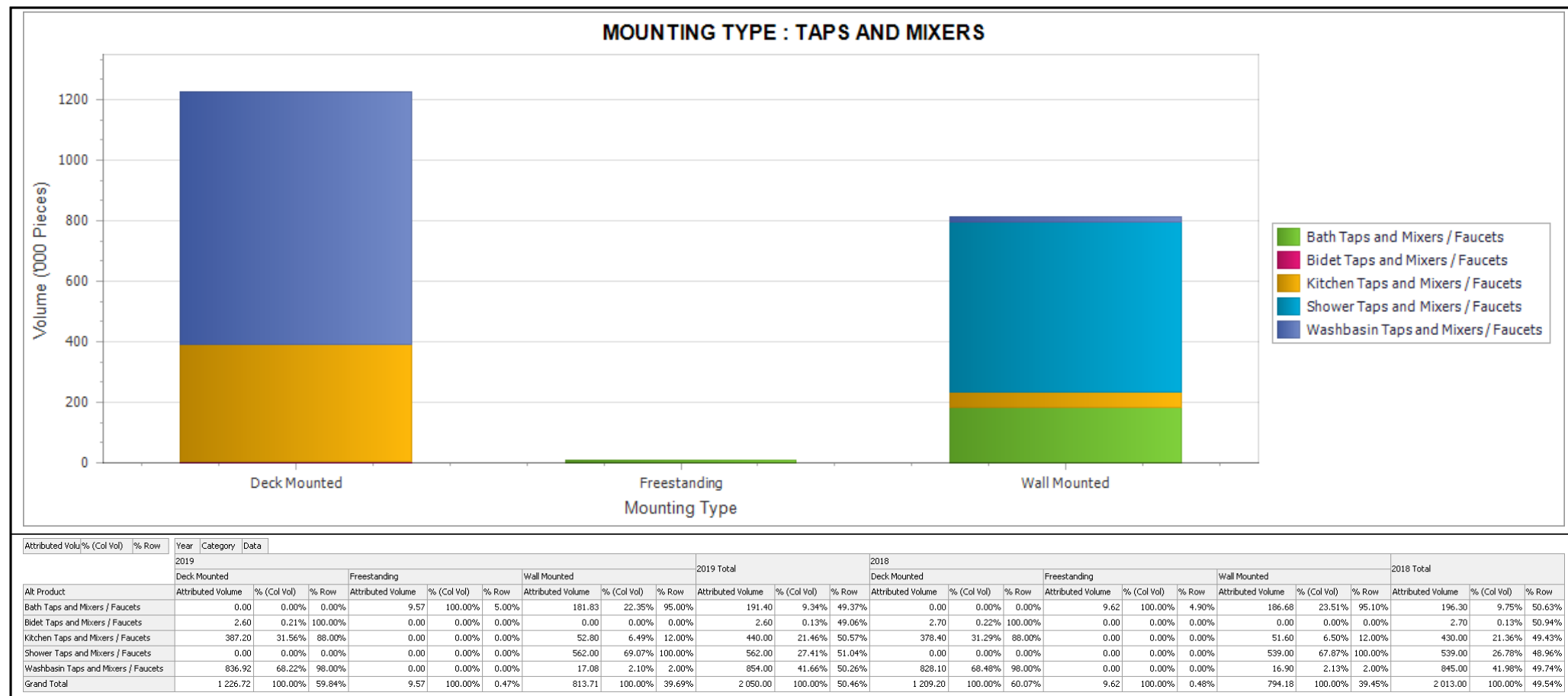


Attributed Volume (Col Vol) % Row	Year	Category	Data															
	2019						2019 Total			2018						2018 Total		
	Concealed			Exposed						Concealed			Exposed					
	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Bath Taps and Mixers / Faucets	16.67	4.88%	8.71%	174.73	10.23%	91.29%	191.40	9.34%	49.37%	17.43	5.33%	8.88%	178.88	10.61%	91.12%	196.30	9.75%	50.63%
Bidet Taps and Mixers / Faucets	0.00	0.00%	0.00%	2.60	0.15%	100.00%	2.60	0.13%	49.06%	0.00	0.00%	0.00%	2.70	0.16%	100.00%	2.70	0.13%	50.94%
Kitchen Taps and Mixers / Faucets	20.99	6.14%	4.77%	419.01	24.53%	95.23%	440.00	21.46%	50.57%	19.29	5.90%	4.49%	410.72	24.36%	95.51%	430.00	21.36%	49.43%
Shower Taps and Mixers / Faucets	178.68	52.30%	31.79%	383.32	22.44%	68.21%	562.00	27.41%	51.04%	166.85	51.00%	30.96%	372.15	22.07%	69.04%	539.00	26.78%	48.96%
Washbasin Taps and Mixers / Faucets	125.32	36.68%	14.67%	728.68	42.65%	85.33%	854.00	41.66%	50.26%	123.57	37.77%	14.62%	721.43	42.79%	85.38%	845.00	41.98%	49.74%
Grand Total	341.66	100.00%	16.67%	1 708.34	100.00%	83.33%	2 050.00	100.00%	50.46%	327.14	100.00%	16.25%	1 685.87	100.00%	83.75%	2 013.00	100.00%	49.54%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

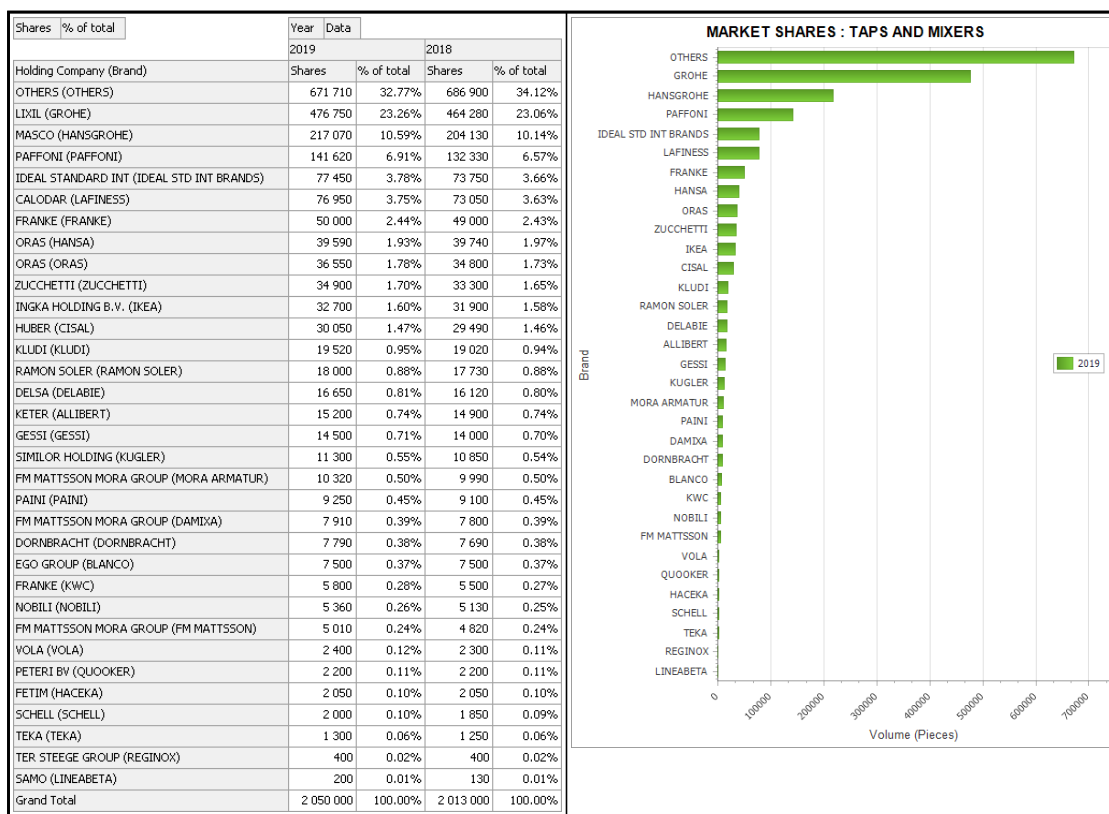
BE - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

BE - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 BE - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	6 450	56.9%	82 063	42.1%	5 620	51.1%	69 609	40.2%
Germany	2 336	20.6%	59 398	30.5%	2 080	18.9%	56 591	32.7%
Italy	775	6.8%	17 784	9.1%	1 034	9.4%	16 084	9.3%
Austria	726	6.4%	7 615	3.9%	547	5.0%	5 500	3.2%
Netherlands	350	3.1%	10 190	5.2%	391	3.6%	8 973	5.2%
France	310	2.7%	7 888	4.0%	913	8.3%	6 980	4.0%
OTHERS	394	3.5%	9 973	5.1%	415	3.8%	9 296	5.4%
Total	11 341	100.0%	194 911	100.0%	11 000	100.0%	173 033	100.0%

Source : Trademap

3.6.2 BE - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	3 564	47.9%	48 766	46.1%	2 834	47.7%	37 585	42.9%
Spain	1 443	19.4%	20 011	18.9%	1 230	20.7%	16 464	18.8%
Italy	609	8.2%	9 689	9.2%	606	10.2%	9 051	10.3%
Netherlands	449	6.0%	8 723	8.3%	345	5.8%	7 531	8.6%
Portugal	355	4.8%	4 570	4.3%	364	6.1%	4 410	5.0%
Luxembourg	239	3.2%	3 545	3.4%	114	1.9%	3 320	3.8%
Brazil	136	1.8%	487	0.5%	0	0.0%	29	0.0%
Romania	119	1.6%	1 614	1.5%	118	2.0%	1 437	1.6%
Greece	113	1.5%	1 474	1.4%	100	1.7%	1 252	1.4%
Argentina	104	1.4%	386	0.4%	39	0.6%	134	0.2%
United Kingdom	81	1.1%	1 252	1.2%	19	0.3%	676	0.8%
OTHERS	227	3.0%	5 207	4.9%	166	2.8%	5 636	6.4%
Total	7 439	100.0%	105 724	100.0%	5 936	100.0%	87 525	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

67.6%
Wholesalers / Merchants
67.6%

Retail Level

Manufacturer	Wholesaler
3.1%	4.7%
Internet Retailers	
7.8%	

Manufacturer	Wholesaler
14.4%	14.6%
DIY Retailers	
29.0%	

Manufacturer	Wholesaler
11.3%	25.4%
Specialist Retailers	
36.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.9%	15.4%	0.8%	4.4%	5.4%
Installers				
27.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.2%	7.2%	7.0%	24.3%	31.2%	26.6%
Residential					
97.5%					

New Build			Residential RMI		
11.2%			86.3%		
Project	Non-Project		Project	Non-Project	
7.3%	3.9%		6.9%	79.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.2%	0.0%	0.4%	0.1%	1.2%
Non-Residential					
2.5%					

New Build			Non-Residential RMI		
1.1%			1.4%		
Project	Non-Project		Project	Non-Project	
0.7%	0.4%		0.6%	0.8%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

65.4%
Wholesalers / Merchants
65.4%

Retail Level

Manufacturer	Wholesaler
4.2%	6.8%
Internet Retailers	
11.0%	

Manufacturer	Wholesaler
13.9%	15.2%
DIY Retailers	
29.1%	

Manufacturer	Wholesaler
12.9%	22.8%
Specialist Retailers	
35.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	13.2%	1.1%	4.4%	5.3%
Installers				
25.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.3%	7.2%	9.9%	24.4%	30.3%	24.8%
Residential					
98.0%					

New Build			Residential RMI		
9.5%			88.5%		
Project	Non-Project		Project	Non-Project	
6.2%	3.3%		7.1%	81.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.2%	0.0%	0.3%	0.1%	0.9%
Non-Residential					
2.0%					

New Build			Non-Residential RMI		
0.9%			1.1%		
Project	Non-Project		Project	Non-Project	
0.6%	0.3%		0.4%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

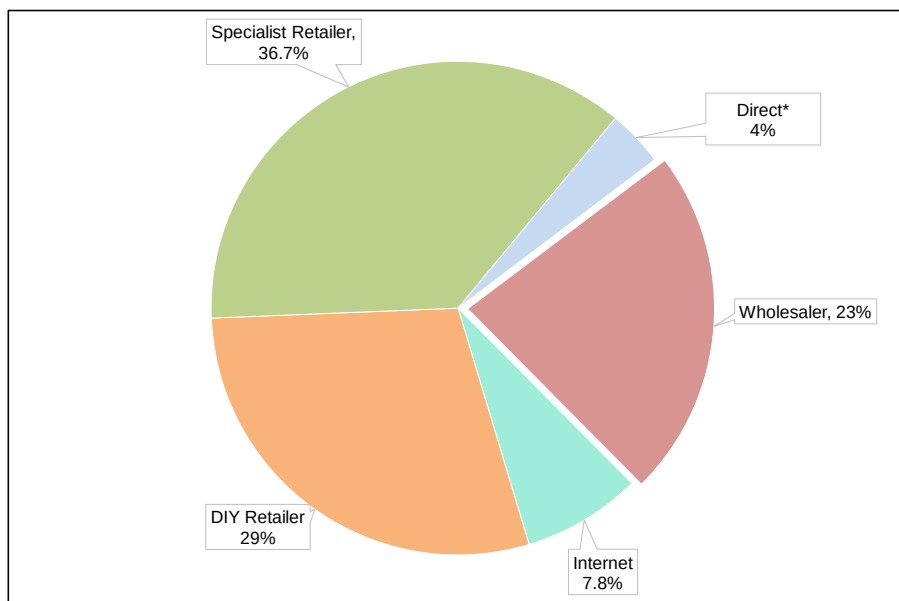
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.8%	7.8%	29.0%	36.7%	3.7%	14.2%	1.3%	83.3%	1.2%
100%					15.5%		84.5%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

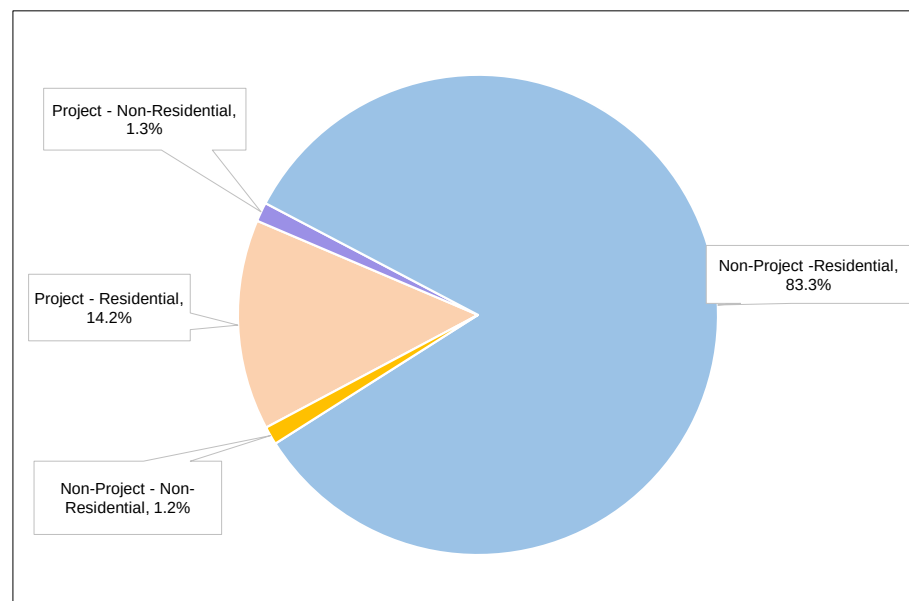
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.6%	11.0%	29.1%	35.7%	3.6%	13.3%	1.0%	84.7%	1.0%
100%					14.3%		85.7%	

BE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.4%
	Wholesalers / Merchants
	72.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.4%	5.2%	14.9%	15.9%	5.3%	23.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.6%		30.8%		28.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	18.4%	0.9%	4.6%	4.1%
Installers				
30.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.3%	8.9%	7.7%	25.5%	24.4%	27.7%	0.7%	0.6%	0.0%	0.7%	0.2%	2.3%
	Residential						Non-Residential					
	95.6%						4.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.7%			84.9%			2.0%			2.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.9%		3.7%	6.8%		78.1%	1.3%		0.7%	1.0%		1.5%

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.1%
	Wholesalers / Merchants
	71.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.6%	7.5%	14.6%	15.3%	6.4%	24.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.1%		29.9%		31.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	14.9%	0.0%	4.5%	4.5%
Installers				
26.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	8.0%	10.9%	24.6%	26.6%	24.7%	0.6%	0.5%	0.0%	0.8%	0.2%	2.1%
	Residential						Non-Residential					
	95.8%						4.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.4%			86.4%			1.9%			2.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.1%		3.3%	6.9%		79.5%	1.2%		0.7%	0.9%		1.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

BE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

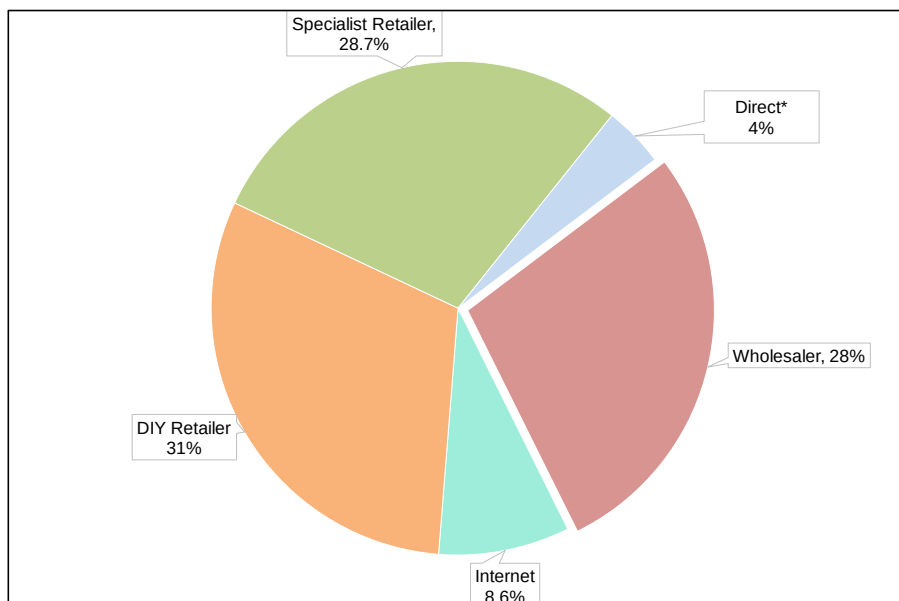
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.9%	8.6%	30.8%	28.7%	4.0%	13.7%	2.3%	81.9%	2.1%
100%					16.0%		84.0%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

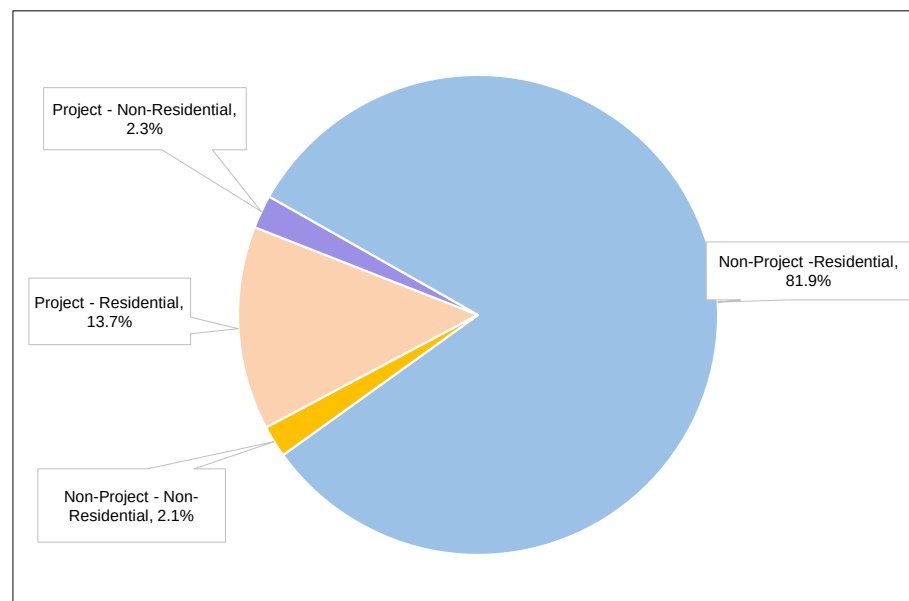
BE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.4%	12.1%	29.9%	31.3%	3.3%	13.0%	2.2%	82.8%	2.1%
100%					15.2%		84.8%	

BE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



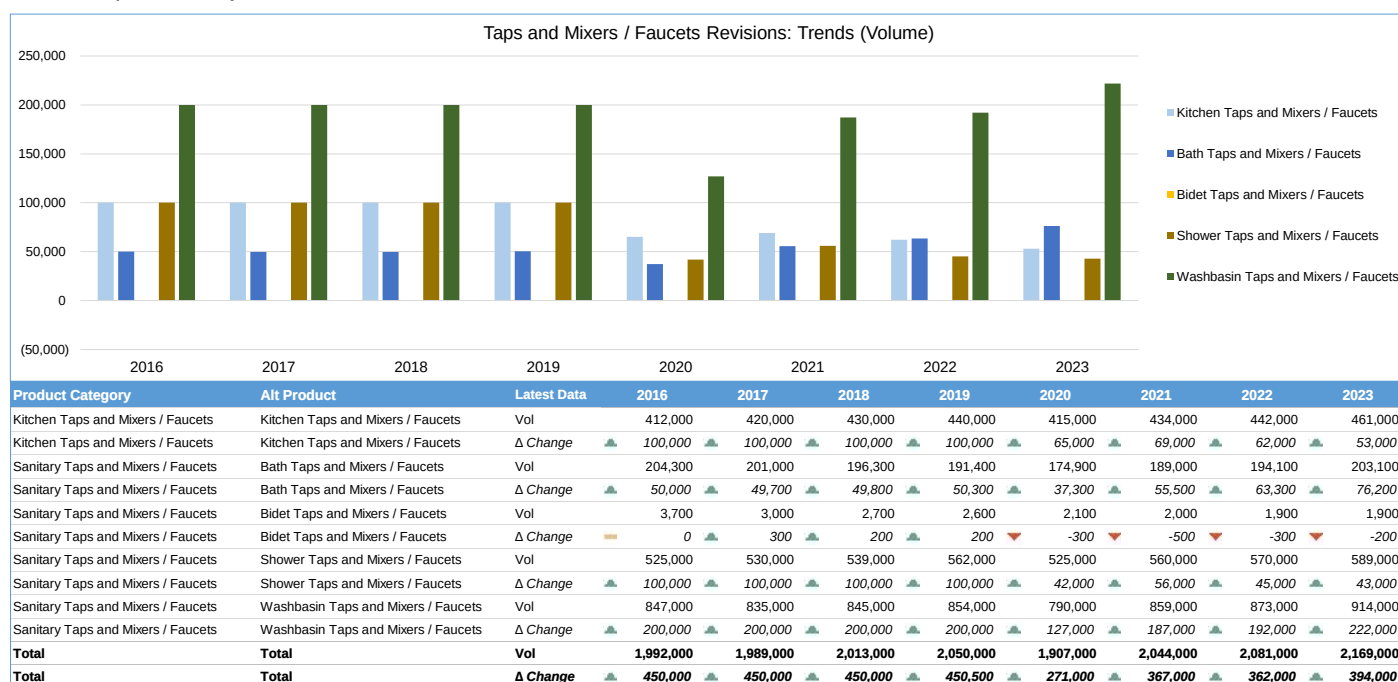
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Belgian Taps and Mixers / Faucets Market (July 2020)

BE - REVISIONS IN THE BELGIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



BRG has made significant upward revisions to the market size for all types of taps and mixers, particularly shower, washbasin and kitchen mixers, as the importance of Chinese imports was underestimated. Whereas historically the tap and mixer market in Belgium was dominated by European supply, especially from Germany, since the late-2000s Chinese imports have gained share at a very rapid pace.

In 2002, Chinese imports only accounted for less than 0.7% of total imports in value, by 2008 this already had risen to 18% and this rose further to nearly 48% by 2019. Nonetheless, leading European brands, especially GROHE, HANS GROHE, PAF FONI and IDEAL STANARD, continue to lead the overall market but their market share has weakened considerably compared to mid- to late 2000s.

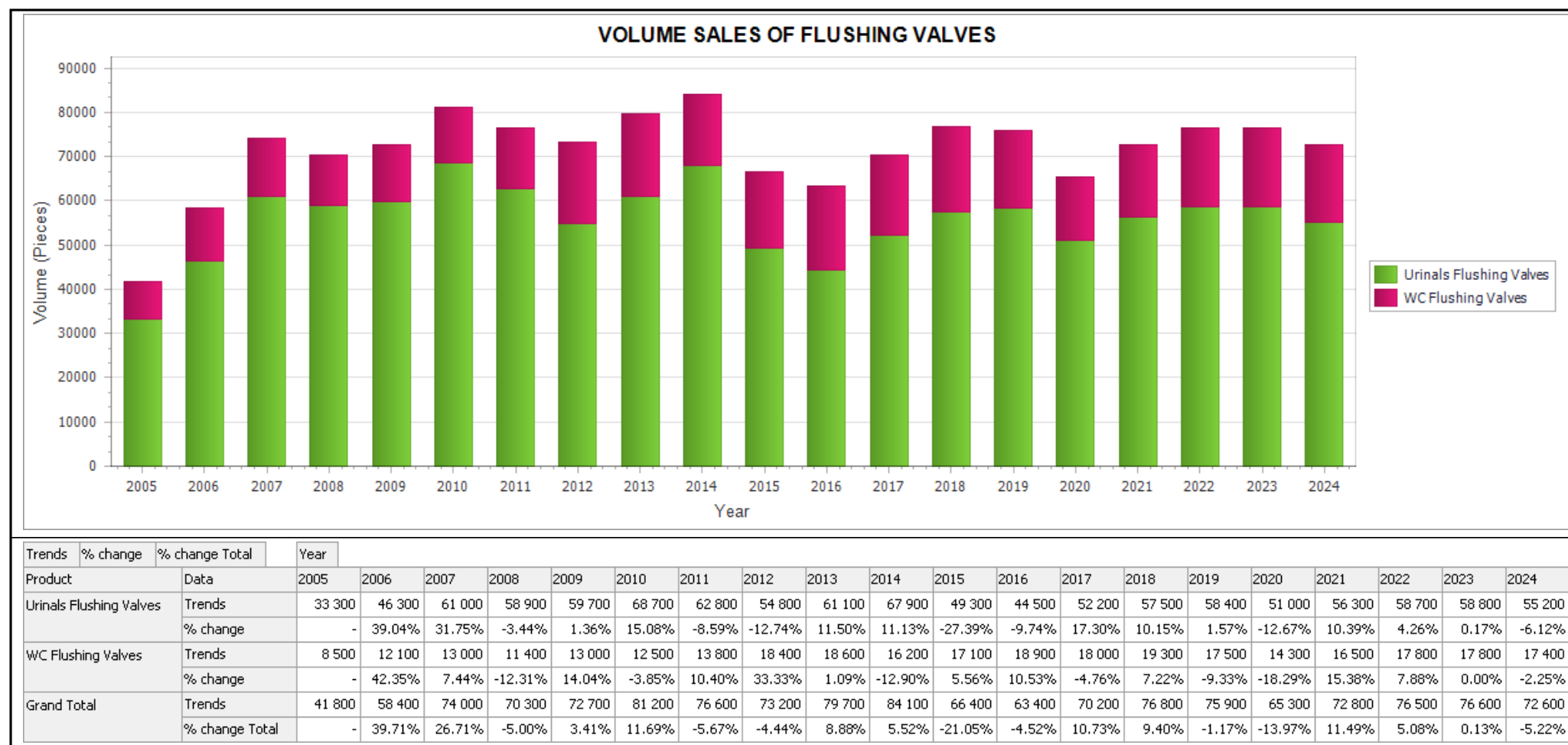
As with many other countries, Chinese imports are often sold via DIY stores, such as BRICO, HUBO and GAMMA, and around 35%-40% of overall taps and mixers sales are sold via DIY stores each year. DIY stores particularly have a high share of private label and many chains, especially MAXEDA, have completely replaced the assortment with a private label range. MAXEDA, for example, introduced its private label product range in 2011, replacing many well-known brands, and today around 65% of its product range consists of its own private label. GAMMA still predominantly sells branded items, but 30-35% of its sales is accounted for by its own HANDSON brand.

As with CSW, the importance of bathroom retailer X²O, which was established in 2004, was also underestimated and not accounted for in last year's report. X²O has gained market share rapidly since it was set up in 2004 and is now considered to be the market leader in the retail sector, operating 20 showrooms across Belgium and with a turnover of €76.1 million in 2019. X²O mostly offers CSW under its private label range, including BLAUFLOSS, LINIE and HOUSE OF ASCOTT, and hardly offer any branded items. X²O has been importing bathroom and kitchen fittings from China as early as January 2004.

As in the Netherlands, over the last few years sales via online retailers have also increased strongly, with many of these online retailers having introduced their own range of baths and showers. SANICLASS, sold exclusively through www.sanitairwinkel.be is just one example of these, and ROYAL PLAZA also sold through the same online retailer. Sales volumes have also benefitted from the fact that many online retailers have opened their own showrooms, with a showroom in Zaventem (near Brussels) and Schoten (near Antwerp) meaning that these retailers now sell both online and offline. VAN MARCKE acquired shares in www.sanitairwinkel.be in 2018.

3.9.1 Historical Trends and Forecasts : Flushing Valves

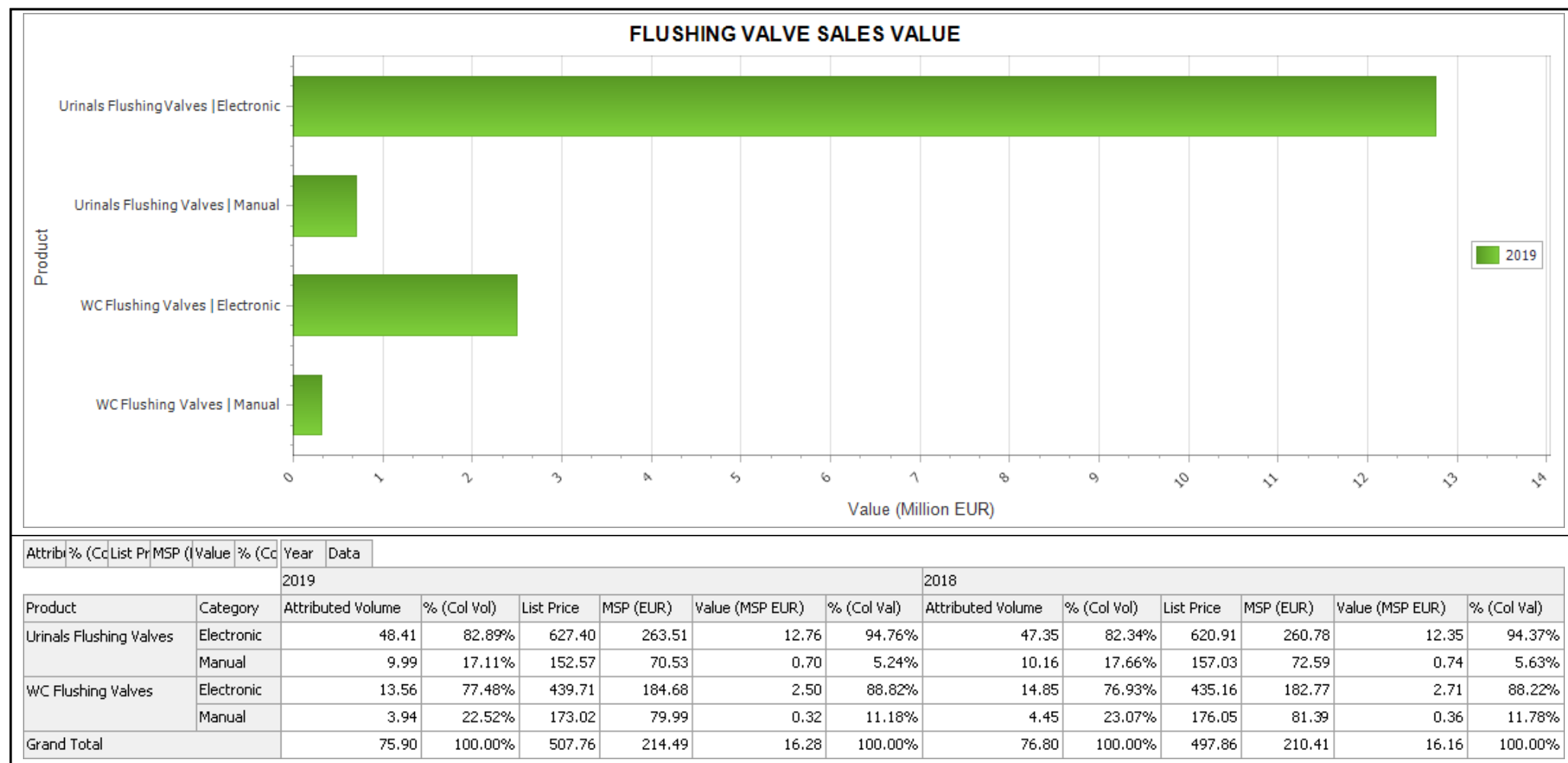
BE - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

BE - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

BELGIUM

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the previous decade, the Belgian shower wall market – like the shower tray market – underwent a strong recovery. The market suffered from the general malaise in the European economy, before rebounding in 2012 due to strong sales of conventional shower cubicles, generated by falling prices and the popularity of walk-in showers. Conventional shower cubicles are popular in Belgium, especially in the renovation market, due to their relatively simple installation procedure when compared to that of shower enclosures. Almost all shower cubicles are made of glass, often supplied by European manufacturers – and a negligible number of plastic pieces, which are often imported from East Asia, also find their way to the market.

The Belgian shower enclosure market has mainly benefitted from the trend away from the use of shower cubicles and more towards an open shower area, using either a shower tray or tiled area. Influenced by the Dutch market, shower enclosures are now generally around 2 m high in Belgium, rather than 1.80 m, as was common practice in the past. Shower wall products are predominantly made from glass in Belgium, mainly safety glass. Most acrylic enclosures are found in the lower and economy segments, but as the DIY sector increasingly stocks more glass models, the synthetic market will continue to decline. Side wall is the most popular of the shower enclosure models, and commonly referred to as a ‘walk-in shower’. Corner entry (often sold in DIY chains) and round enclosure sales are going down, whereas the five-angle segment is negligible.

The current market preference is towards side wall products, as these create a barrier-free bathroom, are far more aesthetically pleasing, and are easier to clean than the door equivalent. As far as door type is concerned, most enclosures use hinged and sliding doors, whereas the use of pivoting and folding doors is rare. The bulk of sliding doors are attributed to corner entry models. The trend is towards no doors, as these reduce the amount of cleaning required and have lower replacement costs due to the simplicity of the mechanism.

Most bath screens are made of glass, while cheaper imports are often made of plastic. The market for bath screens increased until 2000, after which it started to decline, suffering from the general trend towards showering. Furthermore, in many Belgian bathrooms baths and showers are installed alongside each other, cutting out the necessity of installing bath screens.

Sales of luxury hydrotherapy cubicles stormed onto the hydrotherapy market and overtook sales of hydromassage baths in 1999 for the first time, but the opposite effect has been seen since 2009. Among the reasons for the trend of decline, besides the economic downturn, is the increasing popularity of walk-in showers, either with or without shower panels.

Recent Market Trends

The Belgian shower wall market increased in terms of volume in 2019. Sales were mainly driven by shower enclosures benefitting from strong replacement demand, which has been carrying the market some years. Homeowners are investing in their bathrooms, partly due to higher disposable incomes and low interest rates. Demand for shower walls in new housing also increased in 2019 compared to 2018. This positive trend was caused by a higher number of housing completions in 2019.

Demand for bath screens declined very slightly in 2019, for several reasons. Most demand comes from replacements, but this demand is limited as bath screens never used to be popular in Belgium. Most homeowners have a bath and a shower, and only a few baths would be used as a shower too. This situation differs to that of social housing, where a bath is more likely to be used as a shower as well. Overall, this is a declining market, and suffers from the general trend towards larger showers. Also, the trend toward freestanding baths makes bath screens not necessary for these models.

Sales of shower enclosures account for the largest share, and demand was positive again in 2019. The most popular door type is a side wall (no door), which is typical for larger walk-in showers. Over the years, the Belgian shower wall market has mainly been driven by the shift away from bathing towards showering. This has been most visible in the market for shower enclosures, pushed by the popularity of slim-line shower trays and, to a lesser extent, walk-in showers with tiles and shower trays.

After declining in 2018, demand for hydrotherapy cubicles continued on the same negative trend in 2019, and it is expected that the market is going to have a slightly negative development in 2020 before stabilising during the forecast period. A reason for this is the clear trend of walk-in showers with a rain shower, which most Belgian consumers desire when renovating their bathroom or building a new house.

Prices and Market Values

The shower wall market experienced a growth on average prices in 2019. The average MSP of shower enclosures and bath screens slightly increased. The share of the upper price segments increased for shower enclosures, due to the preference for larger and more comfortable showers.

The average MSPs of conventional shower cubicles and hydrotherapy shower cubicles increased at a slighter higher rate as the above mentioned products. Even though average prices tend to be pushed down by the influx of Asian imports, often sold under private labels, prices increased in 2019. Belgian consumers increasingly prefer private labels instead of branded products. The main reason for this is that wholesalers often produce their own private labels and, therefore, they are keener on selling them.

The economy/lower price segment mainly includes shower enclosures sold by DIY chains and private labels. This price segment accounts for the highest share of shower enclosures, conventional shower cubicles and bath screens. The middle price segment is the dominating one for hydrotherapy shower cubicles. The upper and luxury price segment is smaller, and mainly in the hands of bathroom retailers of shower cubicles and enclosures.

New Housing

The Belgian construction market developed positively in 2019, with both apartment buildings and one- and two-family houses experiencing growth in completions. As a result, demand for all products increased in this segment.

New houses often have a bath and shower tray installed and, as a result, new housing activity impacts overall sales considerably. Nonetheless, as apartments – and thus bathrooms – are increasingly becoming smaller, there is a growing share of apartments with just a shower installed and no bath. This development primarily benefits shower enclosures as well as conventional shower cubicles, which are more likely to be installed as price-sensitive bathroom solutions. The market for conventional shower cubicles is small in the new housing segment, and bath screens are rarely installed in this segment. Instead, the share of shower enclosures going to new housing is by far the largest share of the total market.

Housing RMI

Overall sales of shower walls to housing RMI increased in 2019, and RMI remained the key driver in this market. RMI activity increased, as bathroom renovations were stimulated by the improvement of the Belgian economy and the lack of living space. Larger disposable incomes and improved consumer confidence resulted in a higher number of renovations, as homeowners were enticed to invest in their bathrooms. Moreover, an increasing number of bathroom renovations were carried out to create modern living spaces. Sales of shower enclosures generated the largest share, followed by bath screens and conventional shower cubicles. Hydrotherapy shower cubicles generate a marginal sales volume, and demand is declining.

Since demand for bath screens is declining and conventional shower cubicles underwent only a slight growth in 2019, it was shower enclosures that contributed to positive market dynamics in the year.

Non-Housing

The non-housing segment accounts for the smallest proportion of total shower wall product demand. Shower enclosures generate the most significant sales numbers, followed by a small share of bath screen installations and conventional shower cubicles. Demand is mainly found in the hospitality sector and sports centres. Some shower enclosures might still be installed in the healthcare industry, but walk-in showers are the preferred solution due to ease of accessibility.

The negative activity of the non-housing industry demand did not benefit sales of shower wall products in 2019, and only sales of conventional shower cubicles increased, although volumes are marginal. Sales of shower enclosures generate the largest volume by far, followed by a less significant share of bath screens. Sales of hydrotherapy shower cubicles are marginal, and demand is declining.

Supply Structure

The Belgian market for bath screens is characterised by a significant share of private labels that are distributed by wholesalers, such as VAN MARCKE, as well as by unbranded Asian imports. The well-known players CALODAR (LAFINESS), NOVELLINI, and KETER (ALLIBERT) are the clear market leaders. Other small players include MASCO (HÜPPE), ARBONIA (KORALLE), IDEAL STANDARD, ARBONIA (KERMI), and SANPLAST (LEDA).

Similarly to bath screens, there is a significant number of unbranded cubicles sold on the Belgian market, often through DIY stores. SFA (KINEDO), CALODAR (LAFINESS), and NOVELLINI are the clear market leaders. LAFINESS's products are sourced from several different countries. NOVELLINI targets the Belgian conventional shower cubicle market, through its warehouse in the Netherlands.

The shower enclosure market is dominated by imports, and there are no large-scale Belgian manufacturers of shower enclosures. Local players such as CALODAR (LAFINESS) often source their products under OEM agreement from foreign manufacturers. The clear market leader is NOVELLINI, whose portfolio ranges from low-priced DIY products to high-priced showroom brands. Other strong players include DUSCHOLUX and MASCO (HÜPPE). ARBONIA (KERMI), the German brand, is imported by EGEDA, a Belgian importer specialising in bathroom products, installation materials and exhaust pipes. The German HÜPPE's shower enclosures are distributed by importing subsidiary HÜPPE BELGIUM NV. Products are only traded under the HÜPPE brand name, further divided into different design ranges. HÜPPE is particularly strong in the market for round enclosures.

Concerning the supply of hydrotherapy cubicles, NOVELLINI and CALODAR (LAFINESS) hold the strongest positions. The Belgian hydrotherapy cubicle market has an increasing share of products in the lower price ranges, supplied by manufacturers such as CALODAR (LAFINESS) and SFA (KINEDO).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

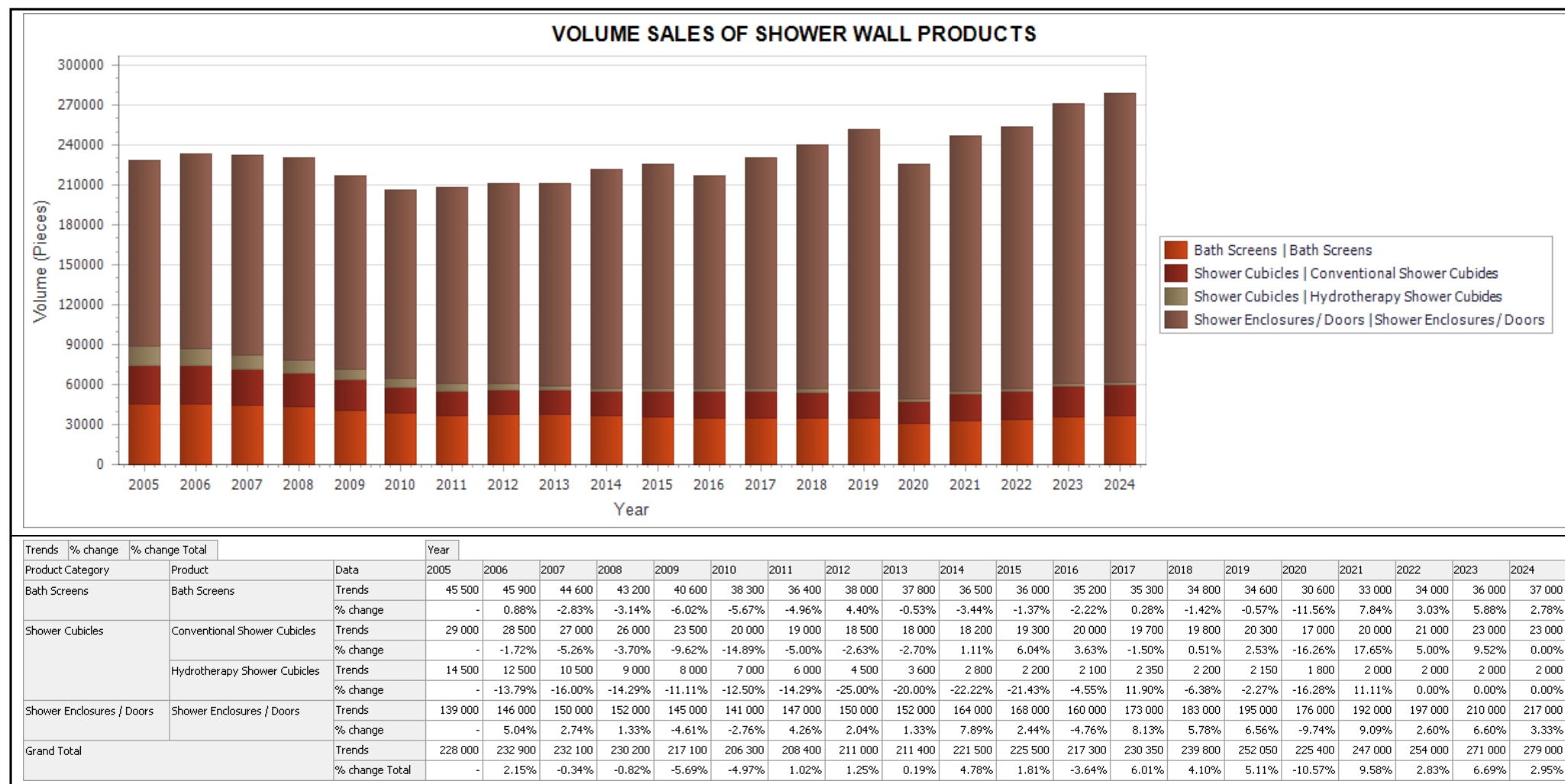
Due to the COVID-19 crisis, 2020 should record a strong decline in sales of shower walls. Belgium faced a two-month period of lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

However, the overall Belgian shower wall market is anticipated to continue to benefit from the trend towards showering, although this will most likely only affect sales of shower enclosures as the other products are expected to see more stable evolution. Long-term growth rates, influenced and driven by the housing market, are believed will encounter some fluctuations over the years as the forecast for new completions is quite volatile and unstable. Growth rates within the shower wall market are especially expected from the improving macroeconomic conditions, which positively affect the RMI markets.

During the entire forecast period, with the exception of 2020, the most significant growth in shower enclosure sales is anticipated to come from RMI activities, which in turn will be highly dependent on improving consumer confidence and disposable income growth. Moreover, the general trend towards showering instead of bathing is likely to contribute to stronger demand for larger showers when replacing a bath. Within the shower enclosure segment, side walls are likely to experience the fastest growth, as these are the preferred option when installing a large shower. The non-housing industry is expected to generate stable demand for all products except for hydrotherapy showers. The overall forecast is positive, and comparable to macroeconomic indications.

4.2 Historical Trends and Forecasts : Shower Wall

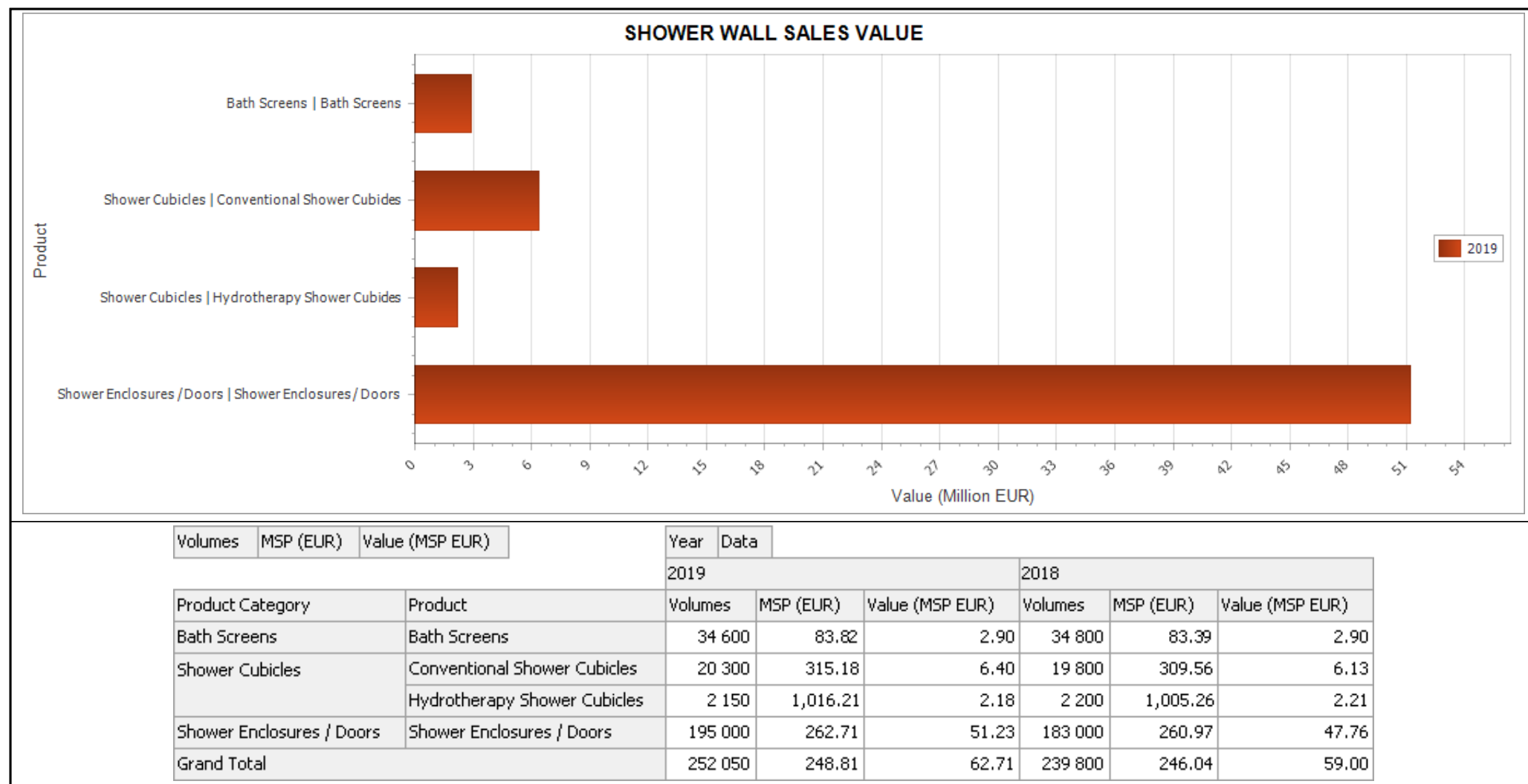
BE - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

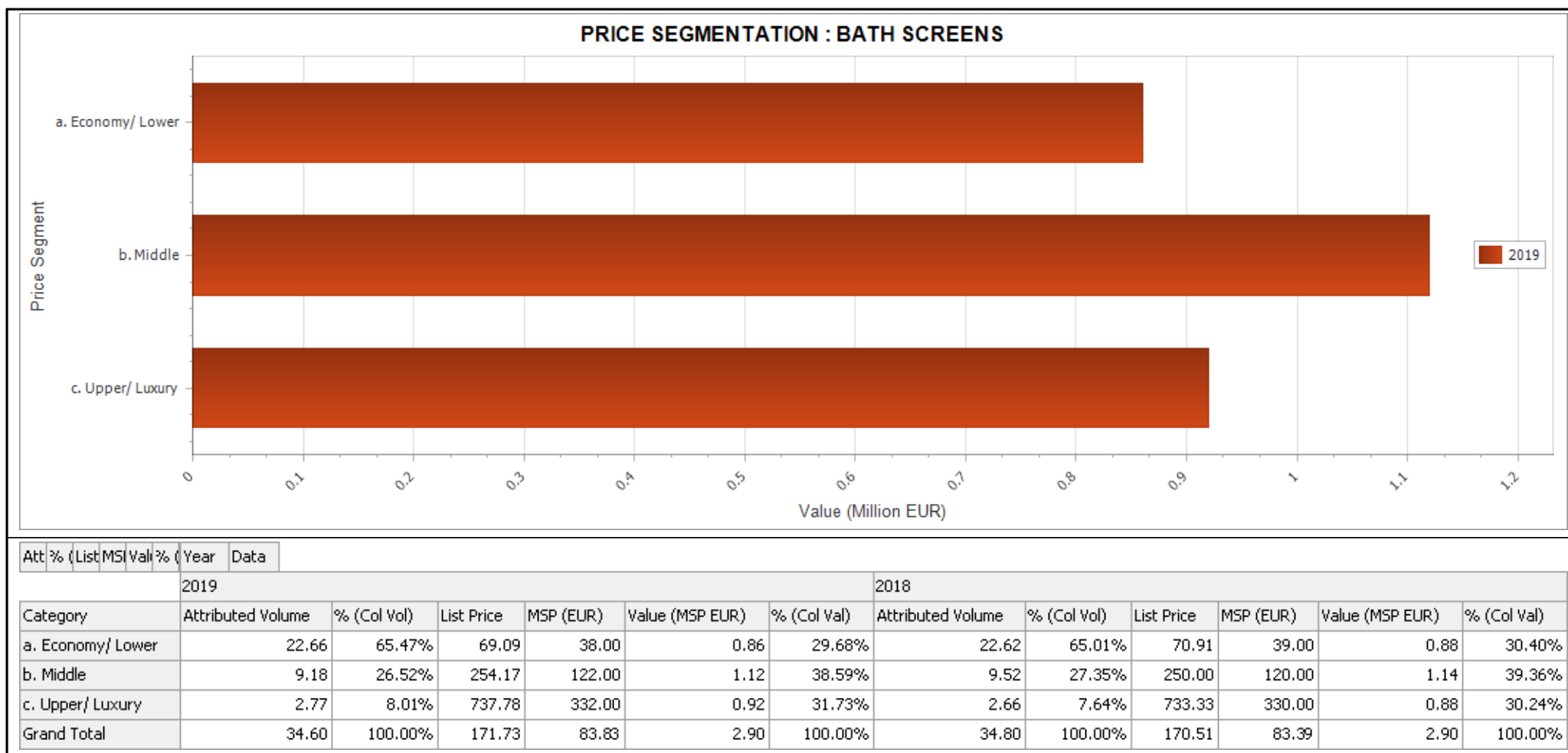
BE - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

BE - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

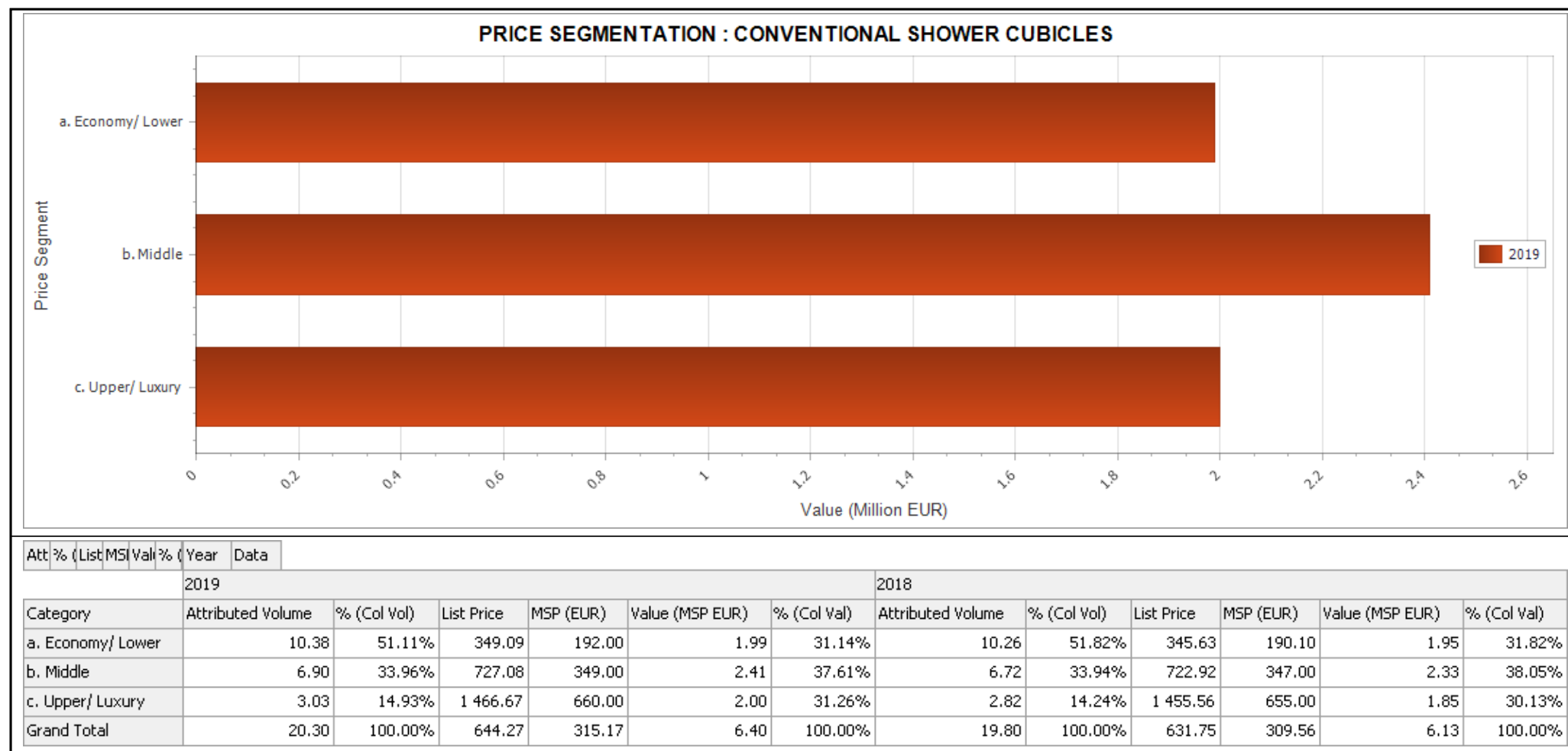


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.3.3 Price Segmentation : Conventional Shower Cubicles

BE - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

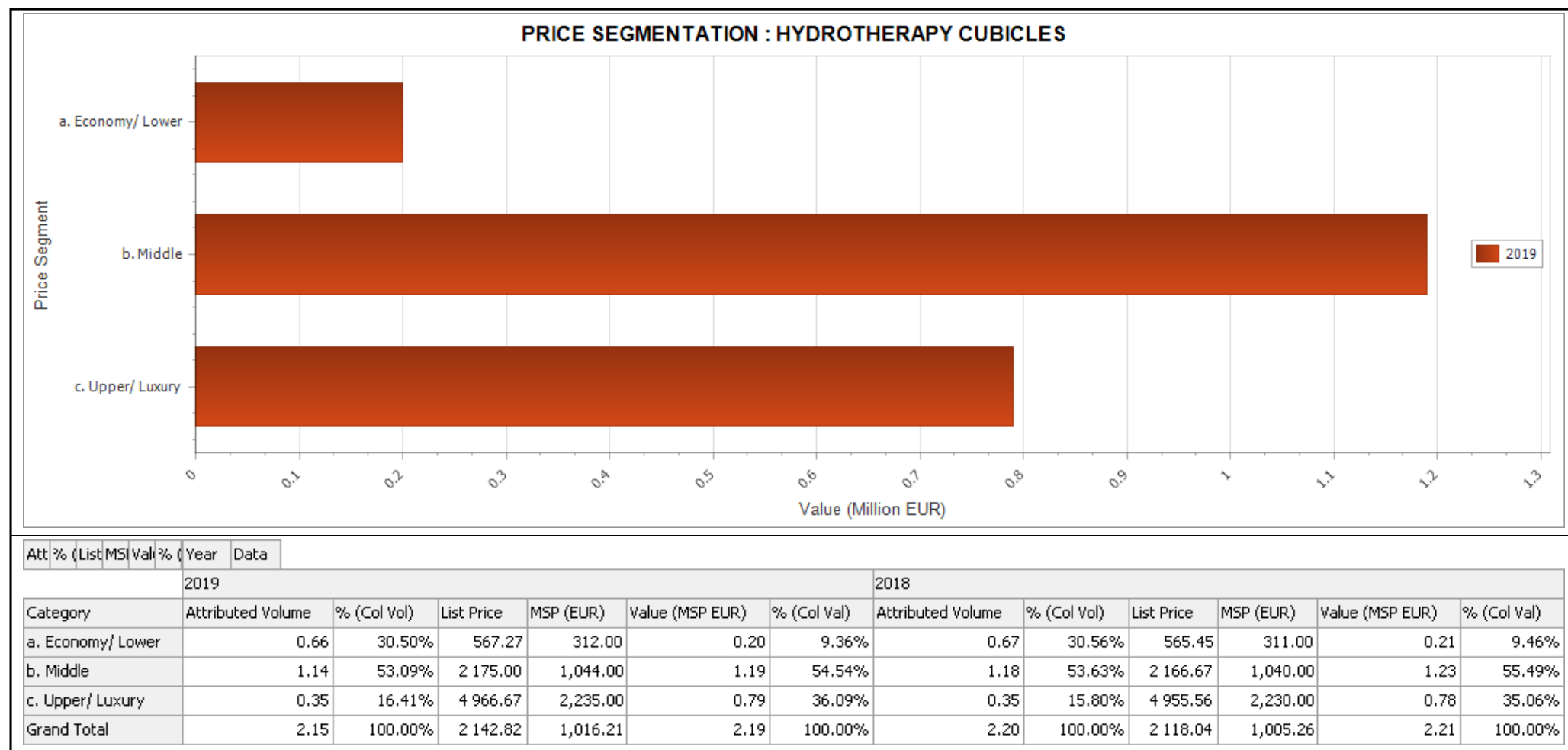


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

BE - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

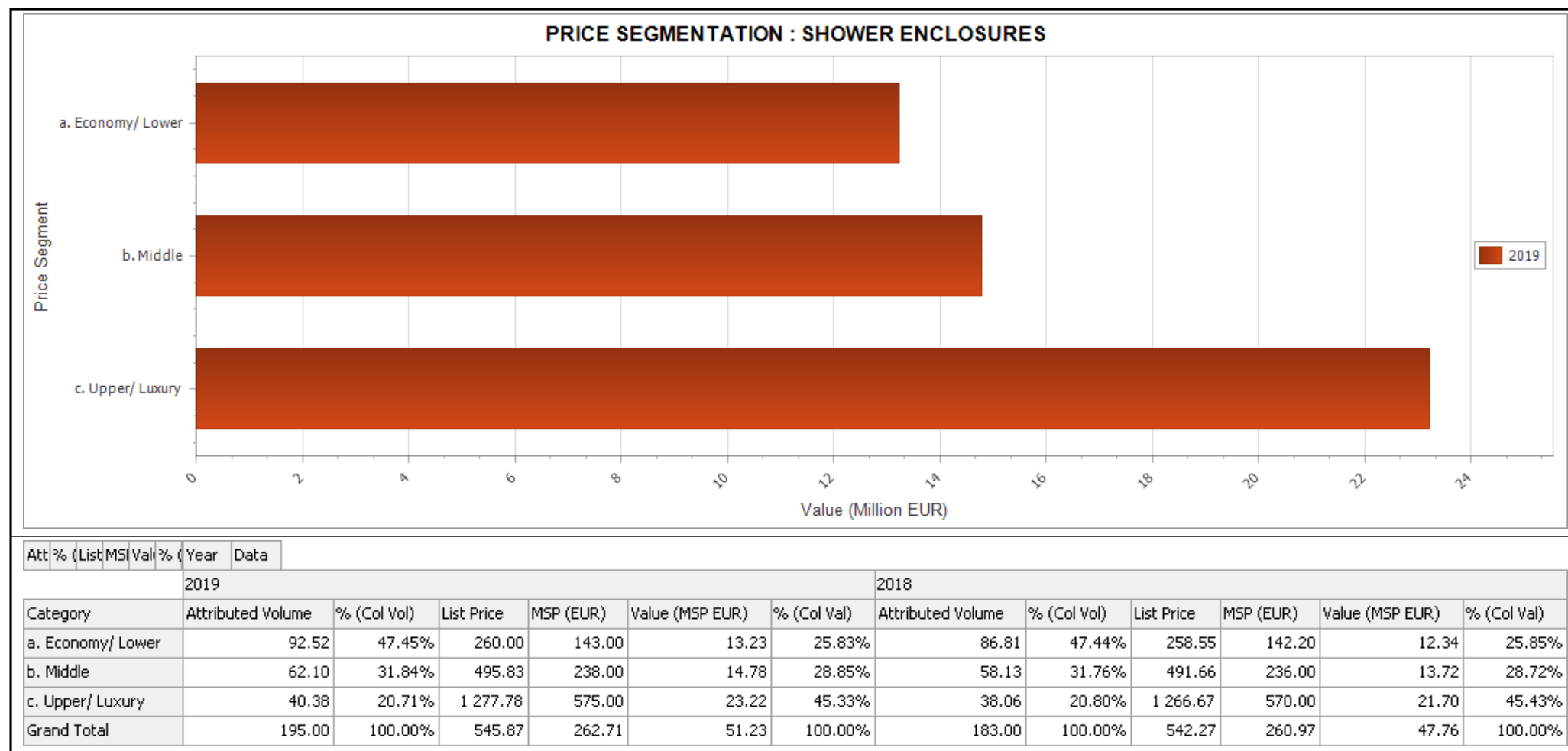


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

4.3.5 Price Segmentation : Shower Enclosures

BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

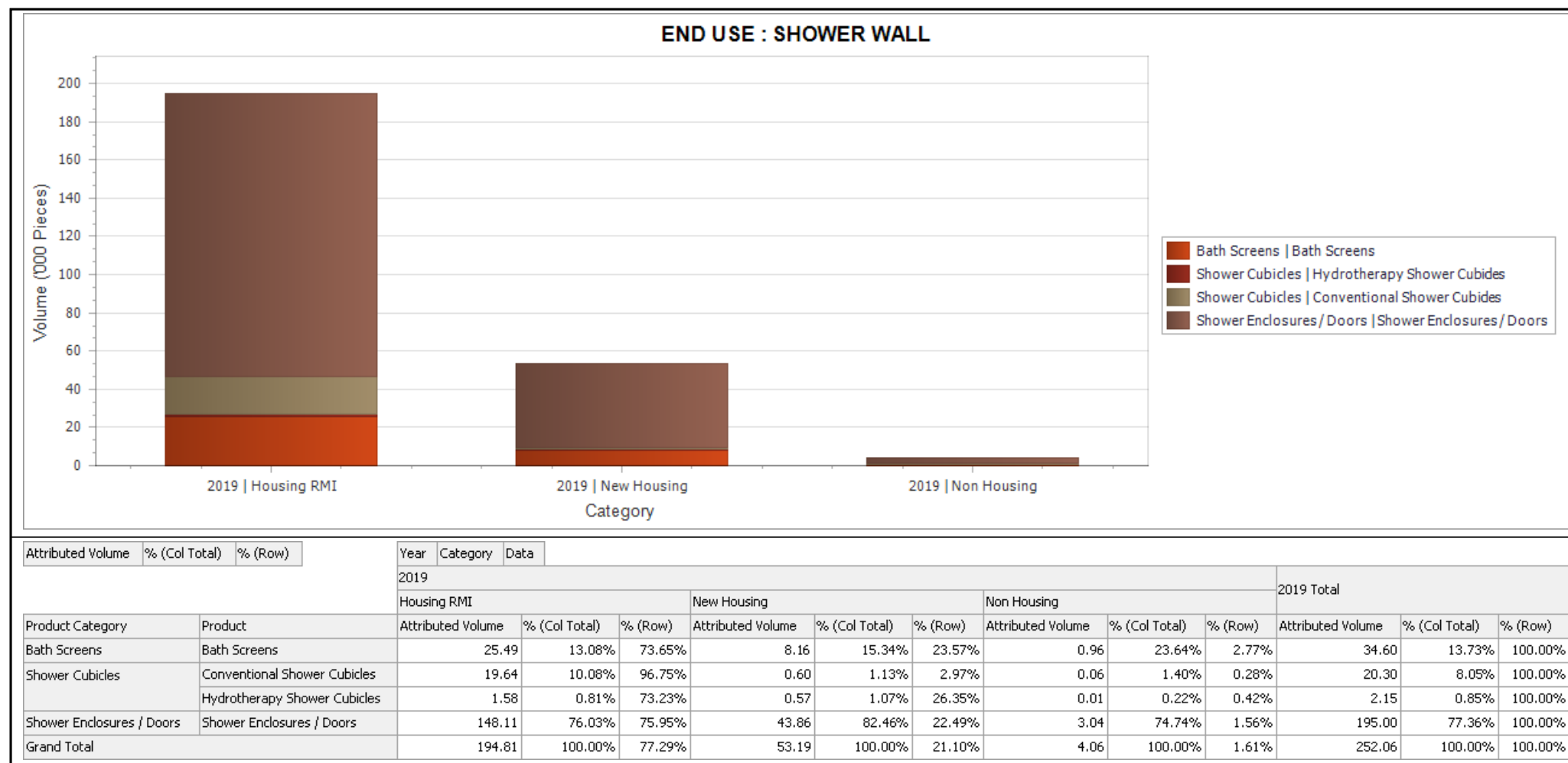


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.4.1 End Use : Base Year

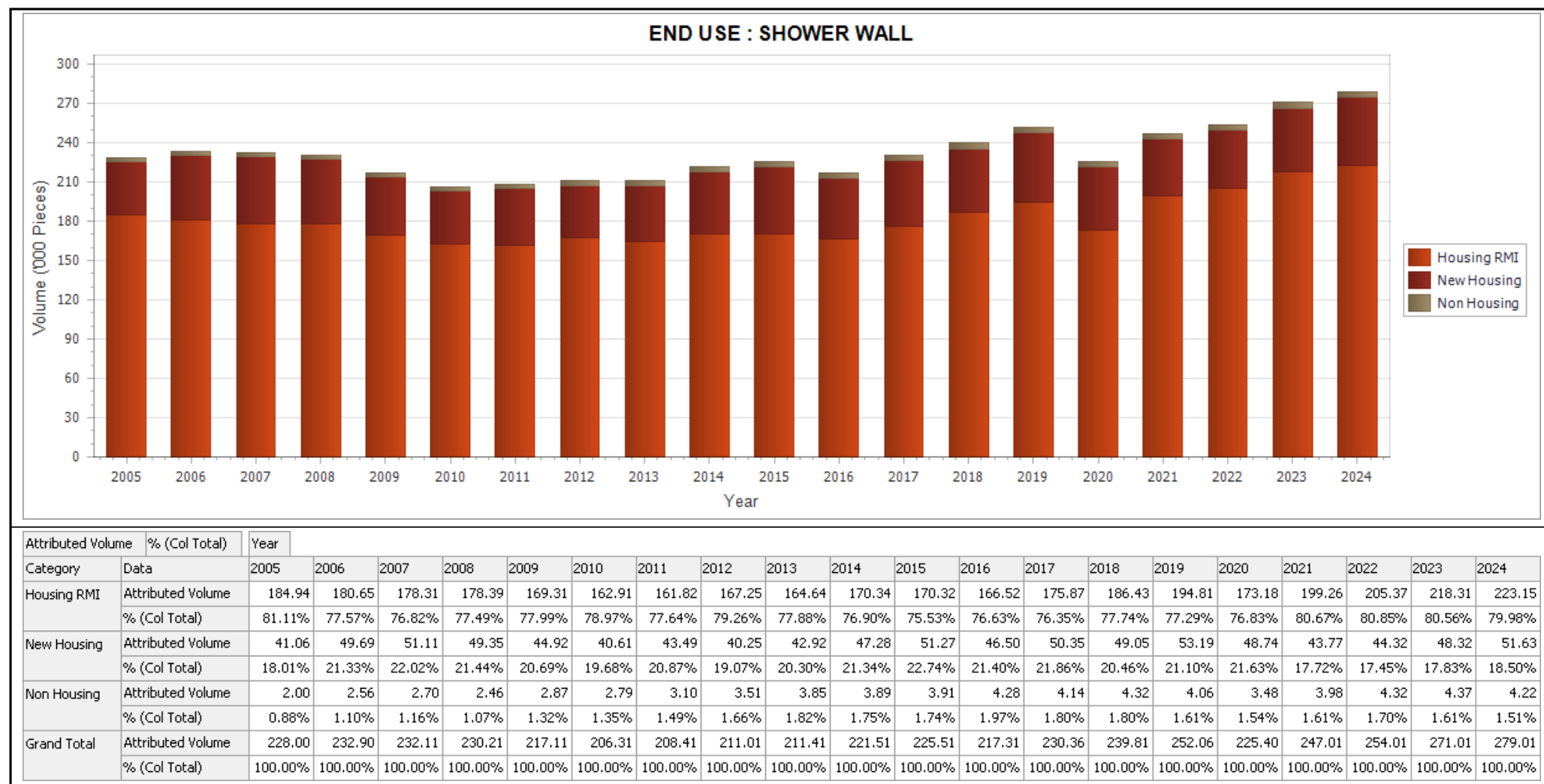
BE - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

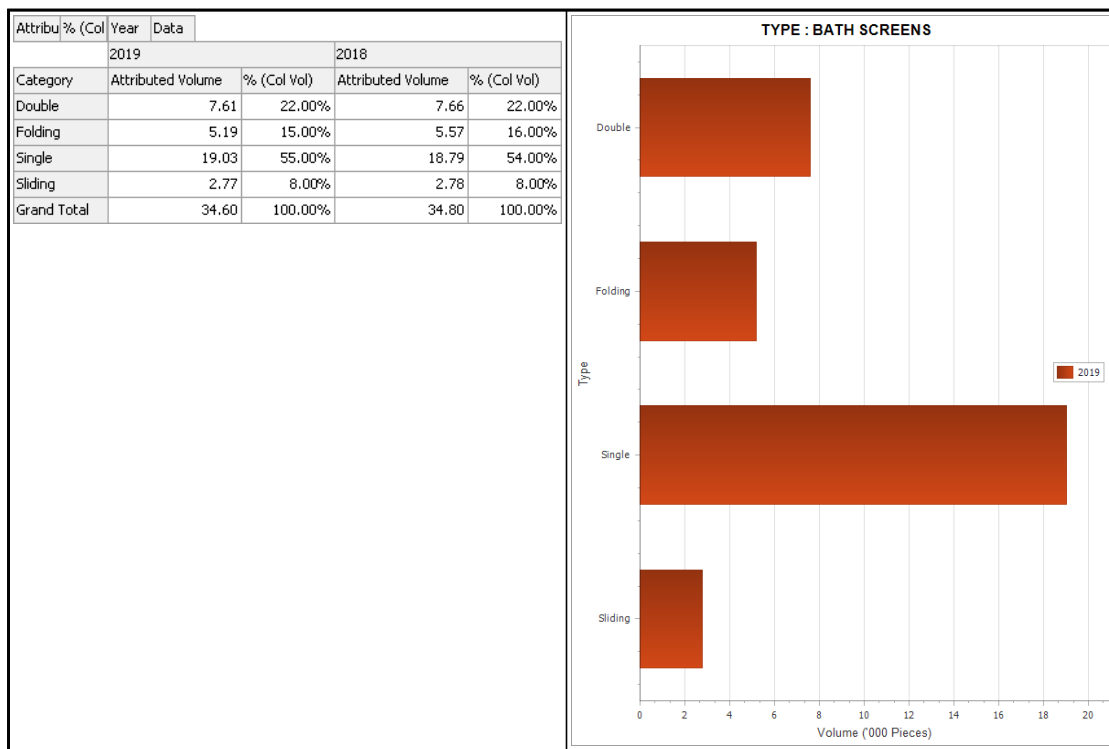
BE - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

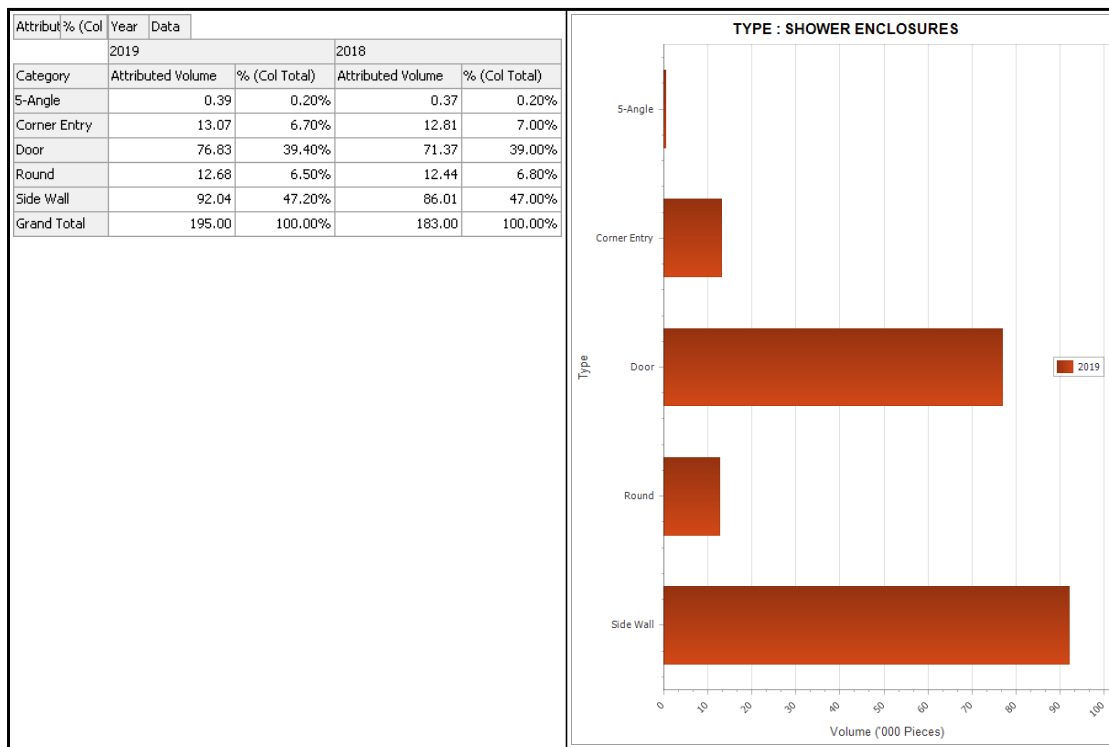
BE - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

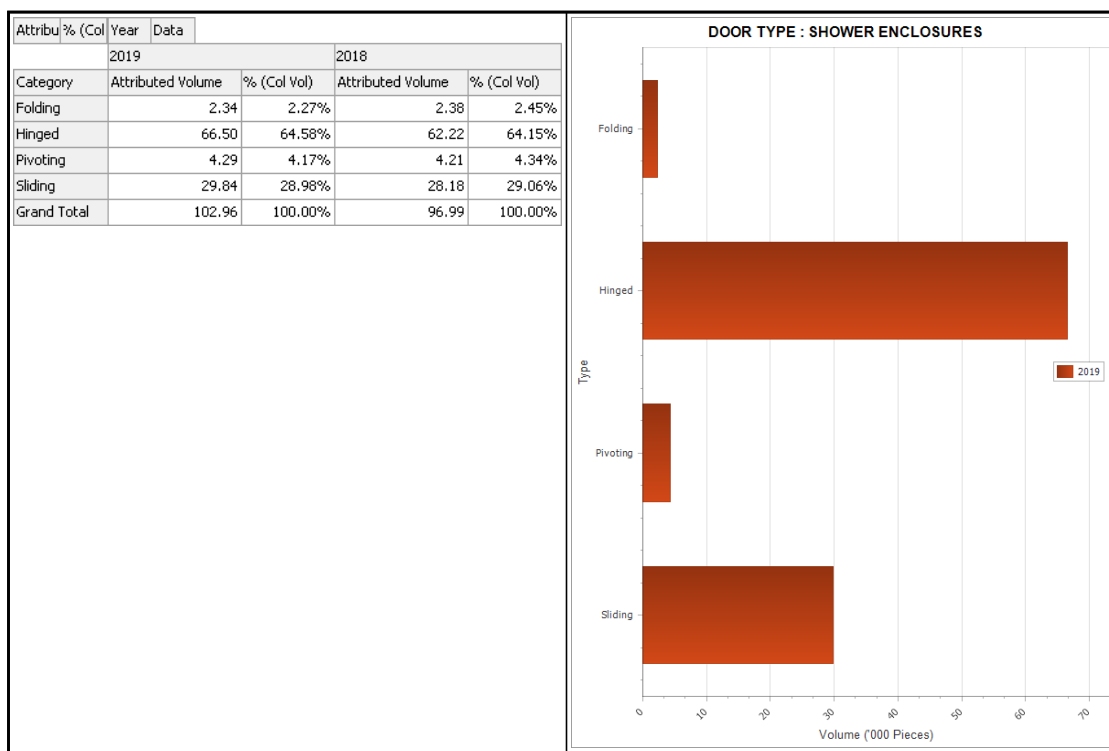
BE - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

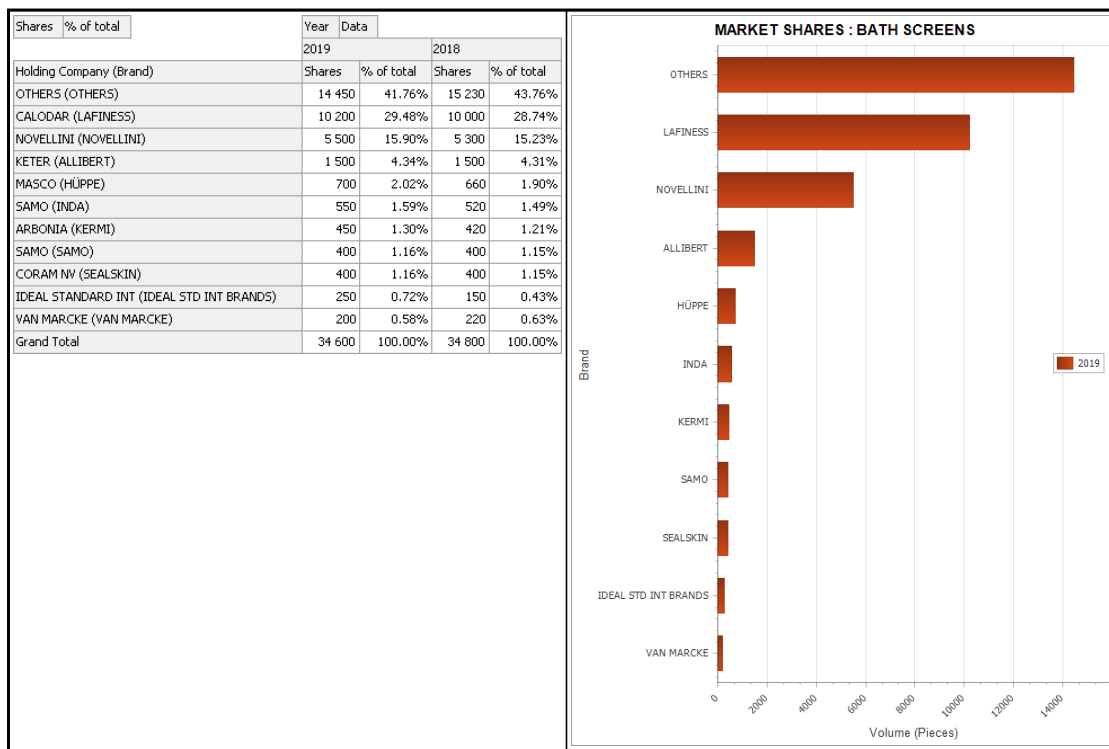
BE - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

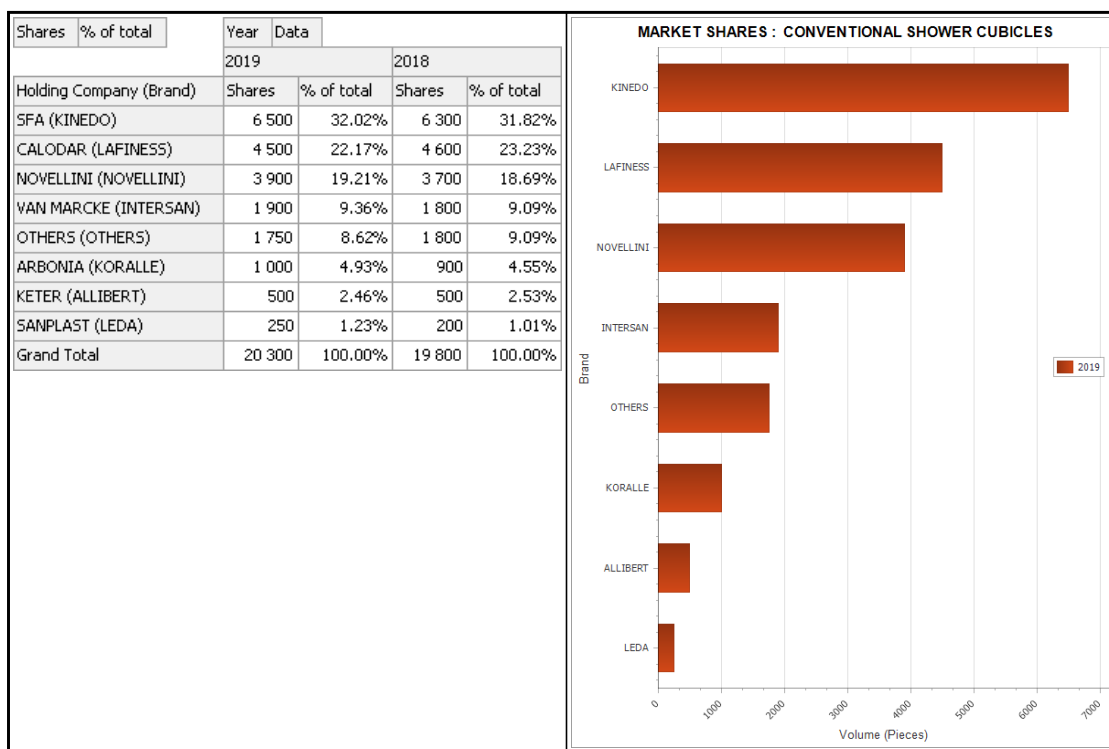
BE - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

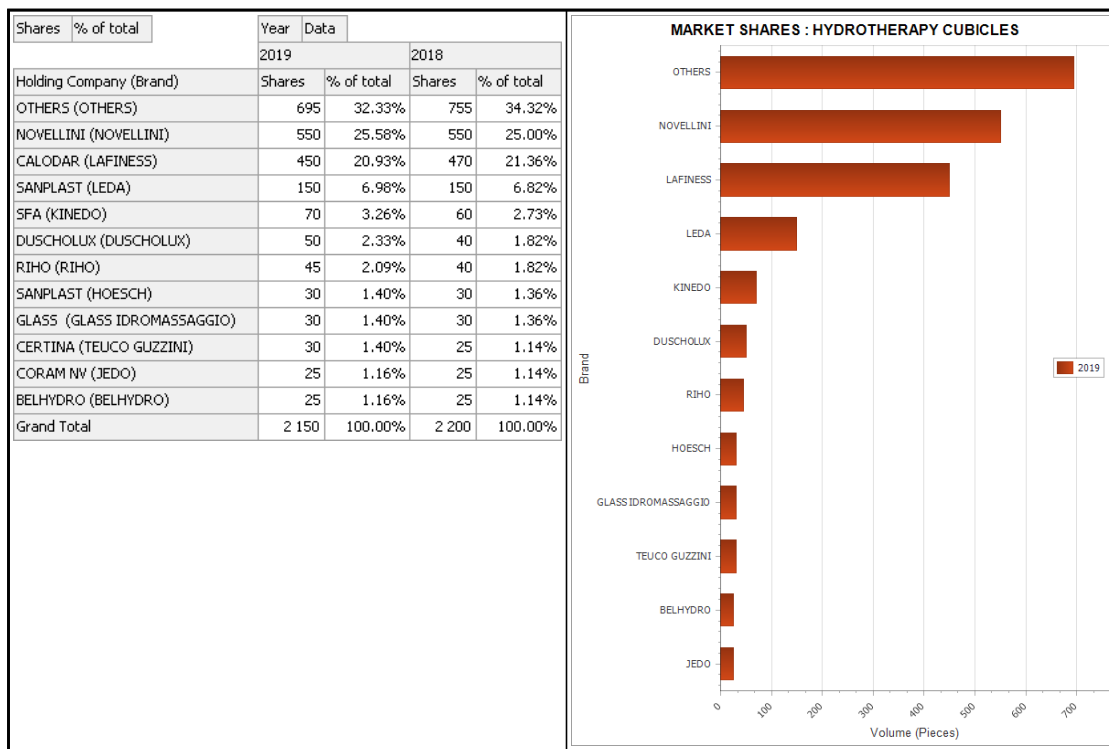
BE - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

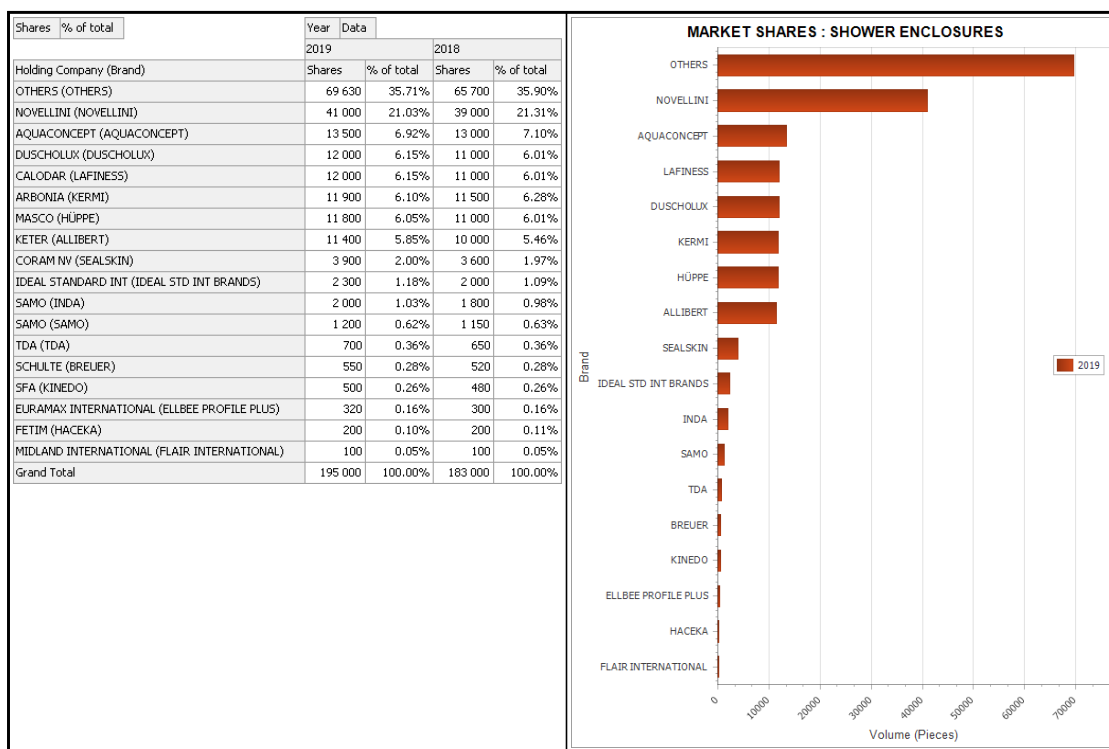
BE - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

BE - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
BE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.8%
	Wholesalers / Merchants
	66.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.9%	5.1%	21.4%	9.4%	9.0%	19.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		30.8%		28.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	24.5%	0.0%	4.6%	9.9%
Installers				
39.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	8.0%	8.0%	26.2%	18.4%	37.8%	0.0%	0.4%	0.0%	0.0%	0.0%	1.2%
	Residential						Non-Residential					
	98.4%						1.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	21.1%			77.3%			1.1%			0.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	13.7%		7.4%	6.2%		71.1%	0.9%		0.2%	0.4%		0.2%

4.6.2 Route to Market: Shower Wall
BE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.4%
	Wholesalers / Merchants
	65.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.3%	5.8%	21.1%	9.2%	10.2%	18.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.1%		30.3%		28.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	22.6%	0.0%	4.5%	10.1%
Installers				
37.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	8.8%	9.1%	25.8%	18.7%	36.1%	0.0%	0.4%	0.0%	0.0%	0.0%	1.1%
	Residential						Non-Residential					
	98.5%						1.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.5%			80.0%			1.0%			0.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.0%		6.5%	6.4%		73.6%	0.8%		0.1%	0.3%		0.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

BE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

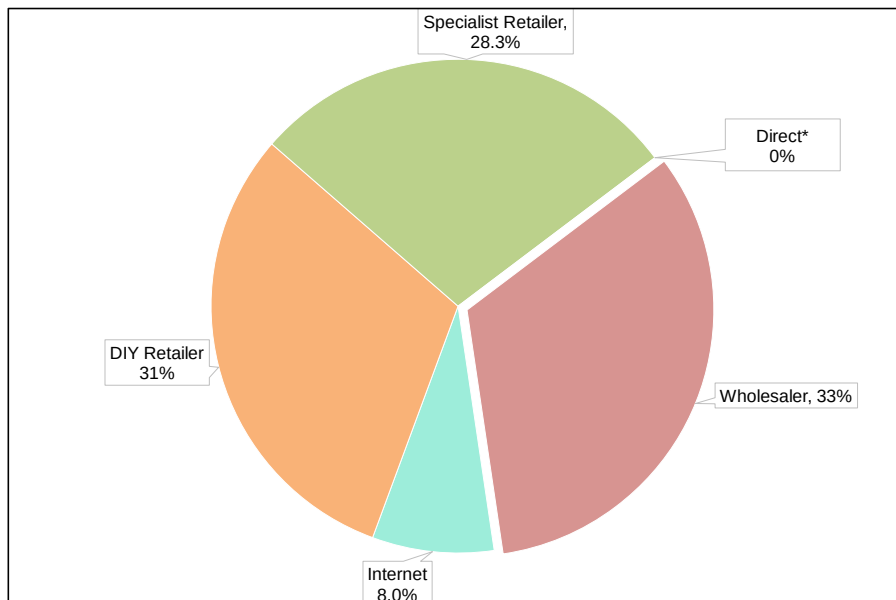
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.9%	8.0%	30.8%	28.3%	0.0%	19.9%	1.3%	78.5%	0.4%
100%					21.2%		78.8%	

4.6.4 Route to Market - Consolidated View : Shower Wall

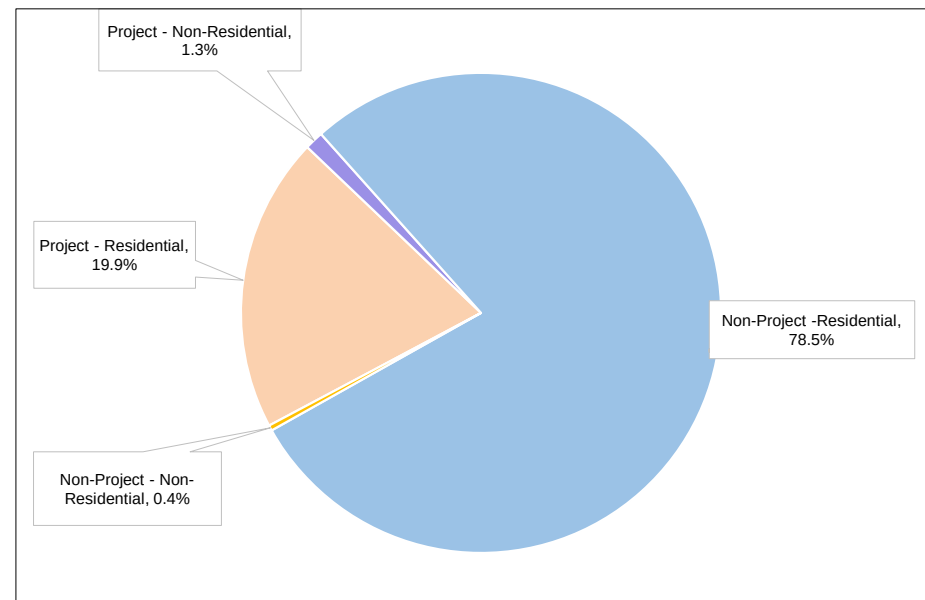
BE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.8%	9.1%	30.3%	28.8%	0.0%	18.4%	1.2%	80.1%	0.3%
100%					19.6%		80.4%	

BE - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



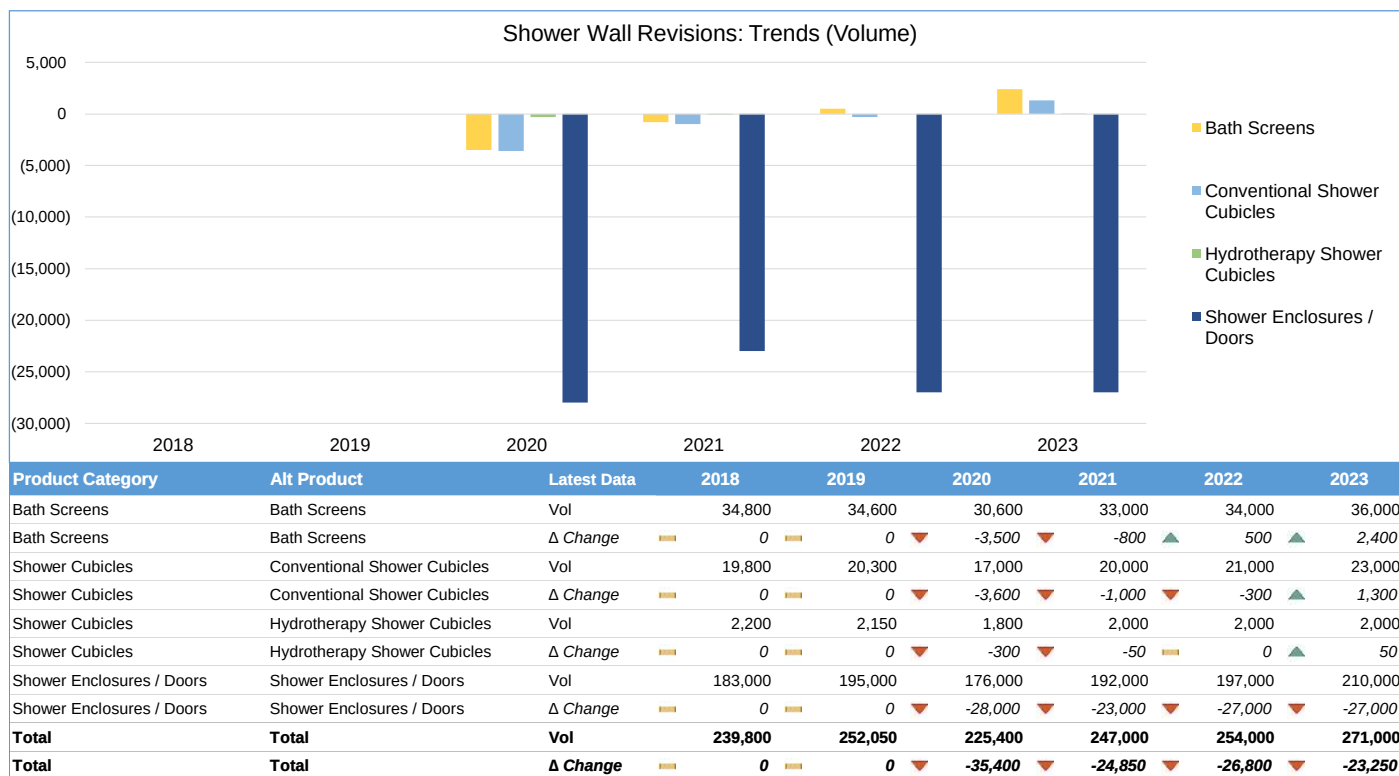
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Belgian Shower Wall Market (July 2020)

BE - REVISIONS IN THE BELGIAN SHOWER WALL MARKET

Data Comparison: July 2019



No revisions were made to the historical series.

BELGIUM

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Belgium has always been a country with a notably high penetration of bathroom furniture, especially in relation to the country's population. The market is very mature, and virtually all new Belgian bathrooms are equipped with some sort of bathroom furniture. The large market has encouraged many smaller local manufacturers to enter the market, along with kitchen manufacturers, which has resulted in a higher number of suppliers, many of which are small or medium-sized Belgian family-owned businesses.

From 2008 the market not only fell victim to a challenging economic climate, but also to the trend towards a more minimalistic look, resulting in fewer pieces of furniture per average bathroom. In 2014 sales figures started to rebound again, and demand started to recover from new housing and replacement sales. With the average size of a new build Belgian dwelling gradually decreasing, there is increasingly less space available for bathroom furniture. Ceramic sanitary ware typically occupies the available space in these smaller homes and, where storage is required yet limited, it is typically built into the wall in order to give the bathroom a clear and uncluttered look.

Most bathroom furniture in Belgium is sold in sets, which includes the installation of a base unit together with a mirror – or a mirror cabinet. Usually at least one separate cupboard unit will also be installed, unless the bathroom is too small. The number of separate cupboards sold with base and/or mirror units varies widely from manufacturer to manufacturer. Culturally, the preferred layout for furniture in Belgium is wall hung, especially in privately-owned dwellings. The share of wall hung to floor standing products also depends on the manufacturer. In Belgium, the base unit market is primarily made up of monobloc countertops and integrated countertops. Countertop basins are currently perceived as extremely fashionable, especially in the high-end segment of the market. Washbasin-only units have never been popular in Belgium.

Since bathroom furniture is mostly sold in sets, the same material is usually used for base units and separate cupboard units. The preferred material for units is chipboard, although the doors tend to be made of MDF if they are gloss-painted. However, when the doors are made of wood, the casing of the unit is often MDF. Solid wood has not been very big in volume terms so far, as the price difference between wooden furniture and furniture made of other materials varies greatly. Synthetic materials are used only in very limited proportions, as only DURAVIT and RIHO are believed to offer bathroom furniture ranges of this material. There is a large difference between the furniture materials found in wholesale and those found in retail in terms of wood depth, density, quality, etc., which also explains the large price difference between these products.

When looking at the washbasin material, the bulk of the market was historically made up of ceramic, but this has been surpassed by non-ceramic washbasins, with

mineral cast being the preferred option among manufacturers. Other synthetic materials, such as acryl and solid surface lookalike products (e.g. artificial marble), are increasing in popularity among washbasins. The use of glass as a material has increased in recent years, too.

With mirrors, the trend is shifting towards mirrors as opposed to mirror cabinets, which have a strong historical position. This development is linked to the preference of having a minimalist look and lighter space organisation. There is no major difference between the materials used for mirror cabinets and those used for base units and separate cupboard units. In DIY stores many chipboard mirror cabinets are sold for price-related reasons, whereas in the higher product range MDF is the preferred option. The share of solid wood and other materials remains low, and it is thought that solid wood is not particularly well-suited to bathrooms, as wood can more easily be affected by humidity.

Recent Market Trends

The Belgian bathroom furniture market is strongly linked to the construction market, as virtually all completed dwellings are equipped with some sort of bathroom furniture. Another main driver of bathroom furniture sale in Belgium is consumer confidence and the willingness to invest, which has a particularly strong impact on the housing RMI sector. RMI generates the strongest demand across all product sectors.

Total bathroom furniture sales increased in 2019, recording a relatively healthy growth rate when compared to the previous year. This growth was led by the increase of one- and two-family house and apartment constructions. On top of this, strong overall demand from the replacement segment has also boosted sales. Sales of base units and mirrors and mirror cabinets increased in 2019 when compared to the previous year. Demand for separate cabinets grew again in 2019, after weak 2018 results. The main reason for this is the overall trend towards a minimalistic design, generating less demand for separate cabinets.

Another trend is the growing popularity of non-ceramic washbasins such as acrylic, mineral cast and glass. End consumers value the greater choice of available products, as well as more possibilities when it comes to design. While the design of ceramic washbasins is restricted to a certain shape and thickness, synthetic materials provide more freedom for eccentric forms, surfaces and colours. Moreover, furniture manufacturers can create an exclusive product range by using synthetic washbasins for a lower price when compared to using ceramic washbasins. The reason is economies of scale, which are linked to the production costs of washbasins in small quantities. Not only is it more expensive to initiate the production of ceramic washbasins in small numbers, it also is more time-consuming. Therefore, furniture manufacturers increasingly prefer to equip their products with non-ceramic washbasins, which can be produced more quickly and affordably.

A trend towards coloured bathroom furniture has also been noted over the past few years, which goes along with the trend for a minimalist design. Black furniture is the preferred colour, after wood and wooden looks.

Prices and Market Values

Prices for bathroom furniture have been in decline since 2012 and this remained the case in 2019, with base units and mirror cabinets experiencing further price decreases. Cheap imports, combined with consumers seeking increasingly cheaper products, leads to strong price competition among retailers – both large chains and individual distributors. Prices for separate cabinets however increased, as these products, when not sold into a set of bathroom furniture, are usually priced within the upper price segment.

Furthermore, the Belgian bathroom furniture market has been facing increased competition from non-traditional bathroom manufacturers. An increasing share of consumers are opting for bathroom furniture supplied by general furniture companies or bespoke designed offers. This trend has slightly increased the share and value of sales going into the luxury segment.

At the other end of the spectrum, there is increased competition from manufacturers such as IKEA and X2O, which offer bathroom furniture at prices significantly lower than general bathroom furniture manufacturers. The share of DIY retailers and the proportion of private labels on the market continued to increase in 2019, further lowering average MSPs.

Many imports in Belgium are from Eastern Europe and China, especially for MAXEDA (BRICO – PLANIT). According to industry feedback, around 80% of furniture going to DIY stores comes from China.

New Housing

The proportion of bathroom furniture sales going to the new housing segment in Belgium is high, as almost every new dwelling is equipped with some form of bathroom furniture. As a result of increasing new housing construction, all bathroom furniture segments saw an increase in sales to the new housing segment in 2019. Demand from this segment should follow new housing construction patterns, which is expected to remain positive, apart for 2020 due to the COVID-19 crisis. It should contribute to positive demand for all bathroom furniture products.

Housing RMI

The RMI segment is traditionally the main source of overall demand for bathroom furniture in Belgium. Demand from housing RMI has had a strong growth rate for base units as well as mirrors and mirror cabinets, due to the opportunity for both like-for-like replacement and discretionary upgrade sales. In contrast, demand for separate cabinets has only increased slightly, because of the trend towards fewer furniture products. In 2019, demand for these two products increased. It should

continue to do during the forecast period, with the notable exception of 2020.

However, sales of separate cabinets declined slightly in 2019, after experiencing a peak in sales in 2018. It is expected that demand for separate cabinets is going to decline in 2020, before resuming growth during the forecast period, apart during 2020, due to the impact of COVID-19 on the Belgian economy.

Non-Housing

In comparison to residential dwellings, the non-housing sector is of relatively low importance to the Belgian bathroom furniture market. Facilities such as shops, offices and commercial and industrial buildings usually have little need for furniture products. Most bathroom furniture sales in this segment go to the hospitality and healthcare industries, with base units, mirrors and mirror cabinets accounting for the greatest share. Extra storage space is not often required and, therefore, fewer separate cupboard units are sold.

In 2019, sales of bathroom furniture however experienced a small increase, which is believed to have come refurbishment projects and due to the rising share of base units within the sector that year.

Supply Structure

In contrast to the Belgian bathroom accessories market, where there are no local manufacturers, domestic players, mainly family-owned businesses, still play an important role in the bathroom furniture market. Belgian manufacturers active in this product category include GROUP DE KEYZER (ALKE) from Menen, DEDECKER from Rhode-Saint-Genèse, DETREMMERIE from Beveren-Leie, DUSON-JOLY from Ninove, INFORMA from Halle, MAPE from Erpe-Mere, SLEURS from Bocholt, and VIKA from Gullegem. The importance of larger bathroom manufacturers, such as GEBERIT, IDEAL STANDARD, and VILLEROY & BOCH, is limited.

The Belgian GROUP SLEURS offers unbranded middle to upper range furniture and remains highly price-focused. Some 80% of SLEURS' furniture is sold via Belgian wholesalers.

The French ALLIBERT, part of the KETER GROUP, is another leading manufacturer in terms of volume, and most sales are made directly to Belgian DIY stores. ALLIBERT produces the furniture in Châtellerault, France, whereas the washbasins are sourced from other manufacturers.

VIKA is reported to have been successful in the market through its distribution partnership with H2O, which is a fast-growing chain of sanitary specialist distribution stores.

The French SANIJURA, owned by the American KOHLER, is present in Benelux via its office in Fleurus, Belgium. Sales to Belgium are believed to account for more

than half of the company's activity. Furniture is manufactured in the Jura area of France.

SANIJURA has five main wholesale clients in Belgium, these being FACQ, VAN MARCKE, DESCO (Flanders), INDUSCABEL (Wallonia), and SCHRAUWEN.

DE TREMMERIE has a larger market share in value than volume, as it is mainly a player in the upper range part of the market, and benefits from strong brand recognition.

Other players include the Spanish SALGAR (DIY-oriented), the Belgians GROUP DE KEYZER (ALKE) and MAPE, the Dutch RIHO, the Spanish ROCA (COSMIC/POM D'OR), and the Italian ANTONIO LUPI (distributed by SAX SANITAIR, among others).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a strong decline in sales of bathroom furniture. Belgium faced a two-month period of lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

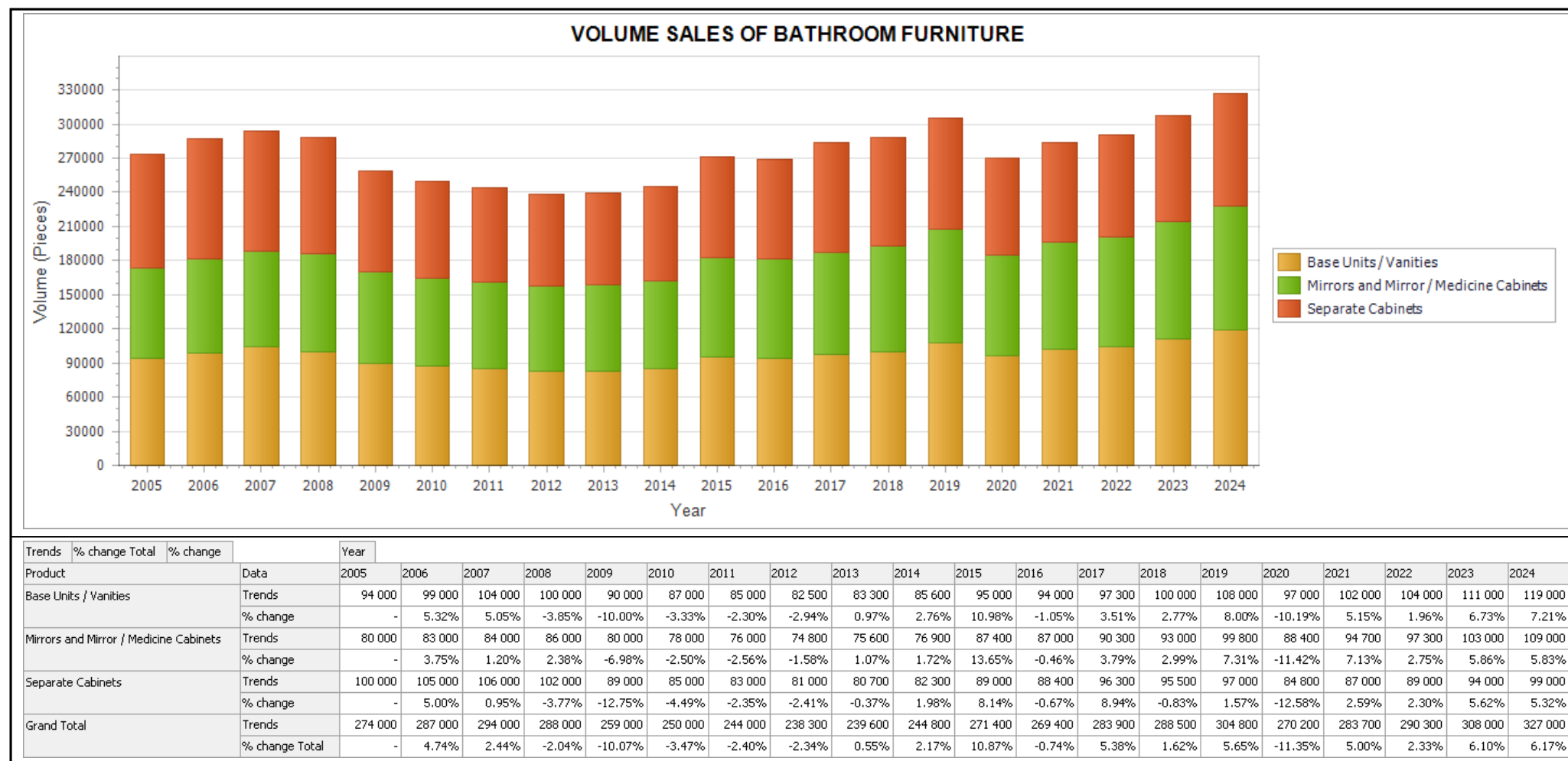
Besides the impact of COVID-19 in 2020, the bathroom furniture market is dependent on how the Belgian construction market develops. New housing completions are expected to grow during the forecast period, except for 2020. This should lead the overall furniture market to grow on a yearly basis from 2021 onward. Sales from all end use segments should grow. Belgians are increasingly renting dwellings, often out of necessity, to avoid the costly investment of buying a home. Investors are likely to renovate a dwelling before putting it on the market. Products such as furniture can easily be replaced, while they add sentimental value to the property.

The RMI segment is anticipated to be a significant source of demand for base units, as well as mirrors and mirror cabinets, over the forecast period. Demand for separate cabinets should follow the trend of new housing completions, while replacement demand should also experience growth over the forecast period. Also,

consumers tend to purchase their bathroom furniture increasingly less in professional stores. This trend is likely to continue in that direction due to the growing DIY and online markets, which continue to gain shares.

5.2 Historical Trends & Forecasts : Bathroom Furniture

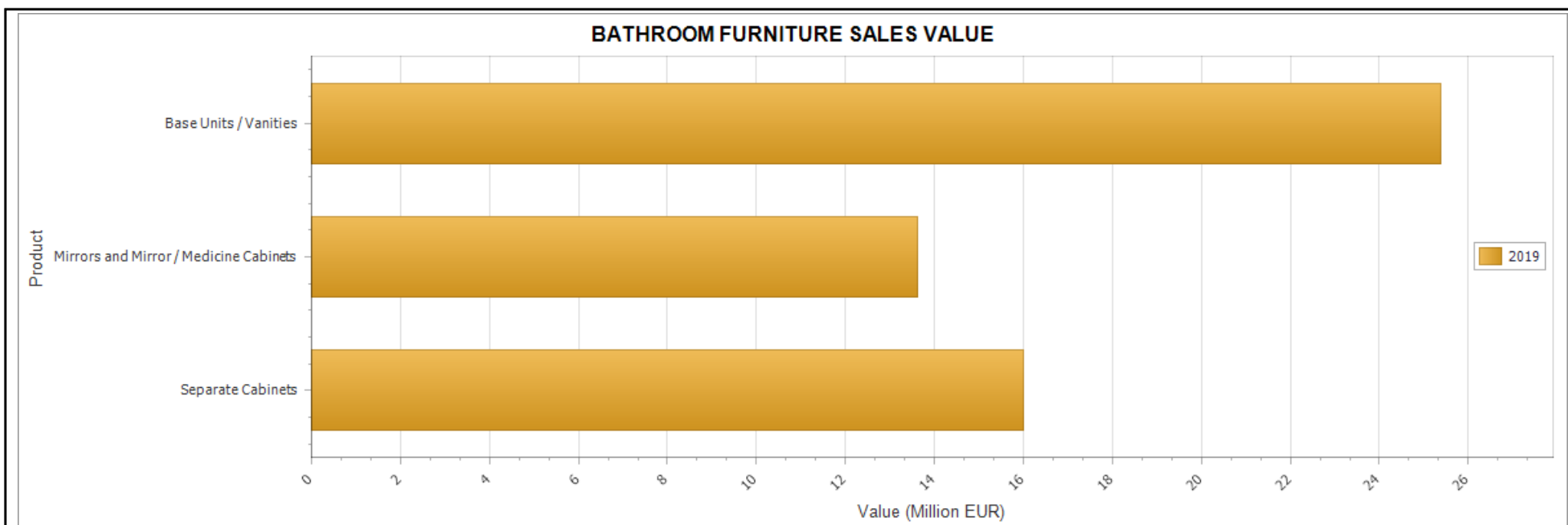
BE - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

BE - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET

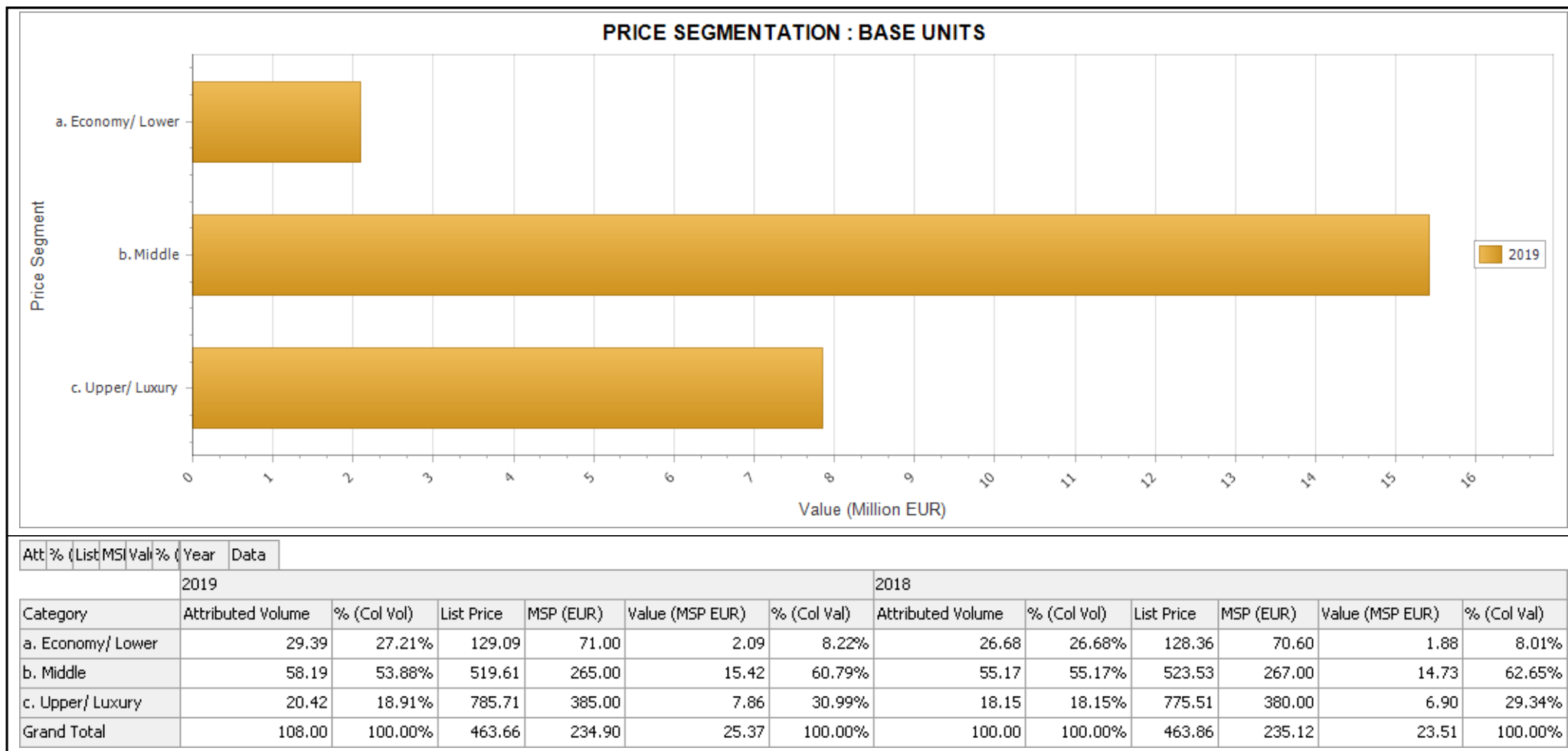


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2019		2018	
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Base Units / Vanities	108 000	234.90	25.37	100 000	235.12	23.51
Mirrors and Mirror / Medicine Cabinets	99 800	136.41	13.61	93 000	137.09	12.75
Separate Cabinets	97 000	164.80	15.99	95 500	163.10	15.58
Grand Total	304 800	180.34	54.97	288 500	179.68	51.84

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

BE - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

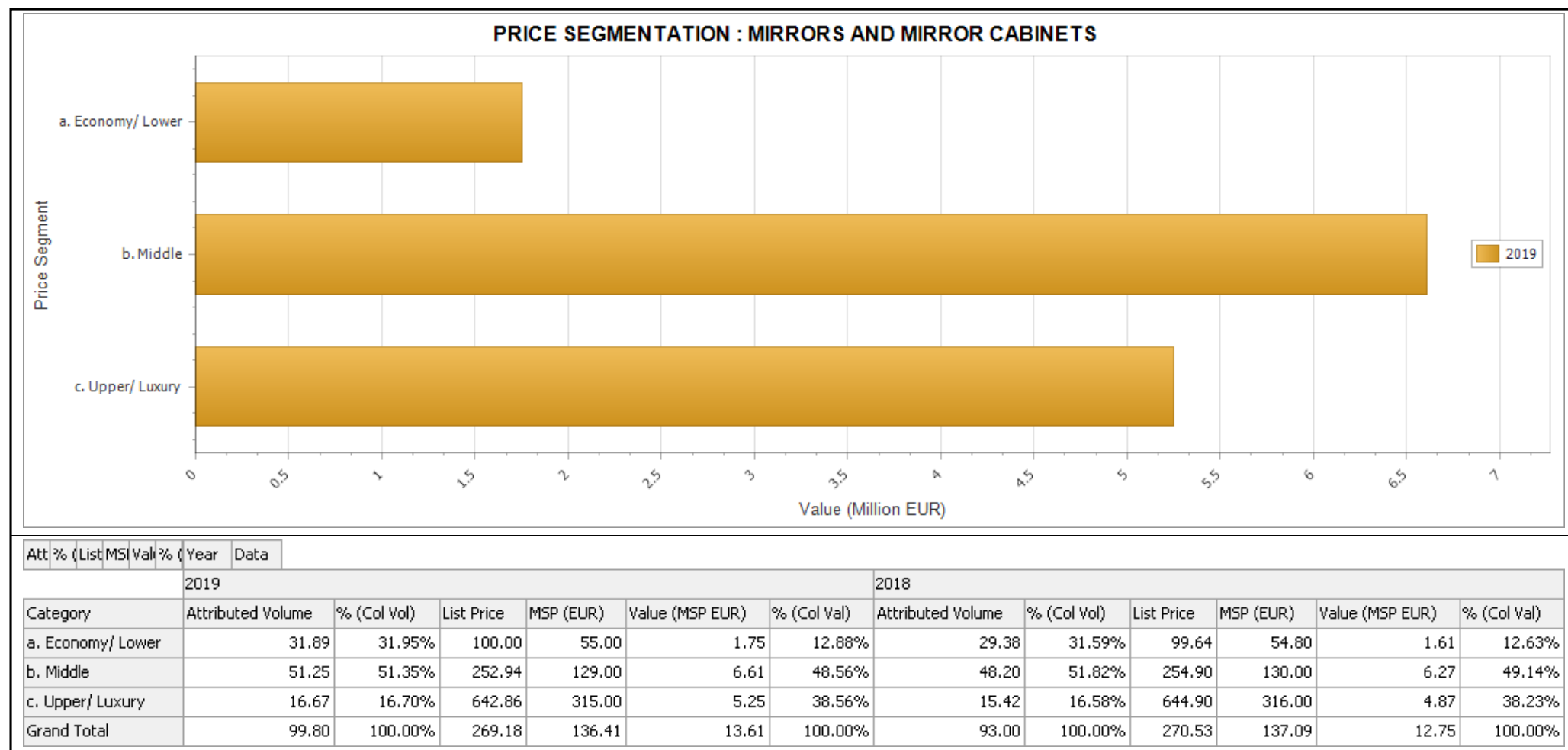


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€350, Upper/ Luxury >€350

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

BE - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

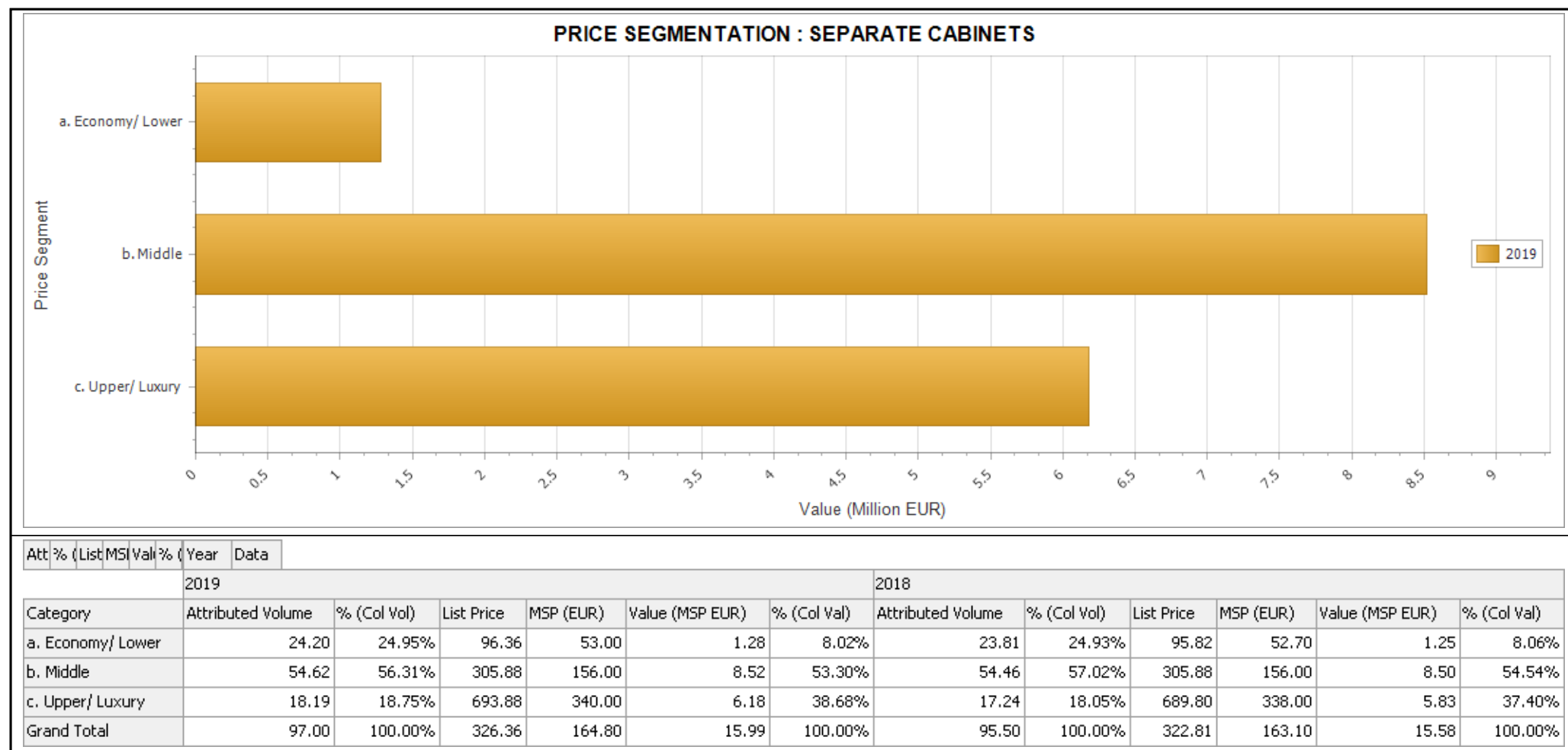


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.4 Price Segmentation : Separate Cabinets

BE - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

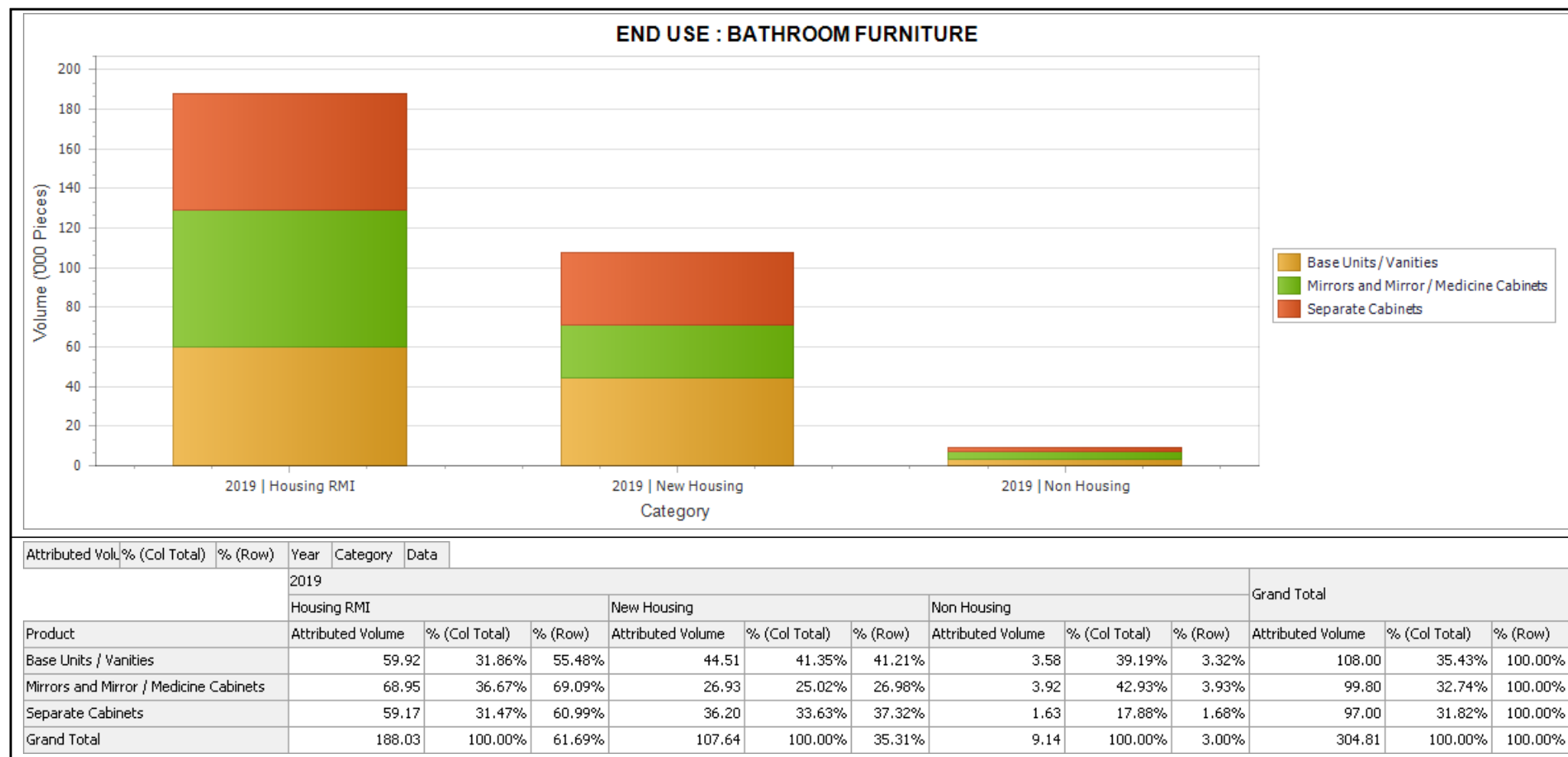


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.4.1 End Use : Base Year

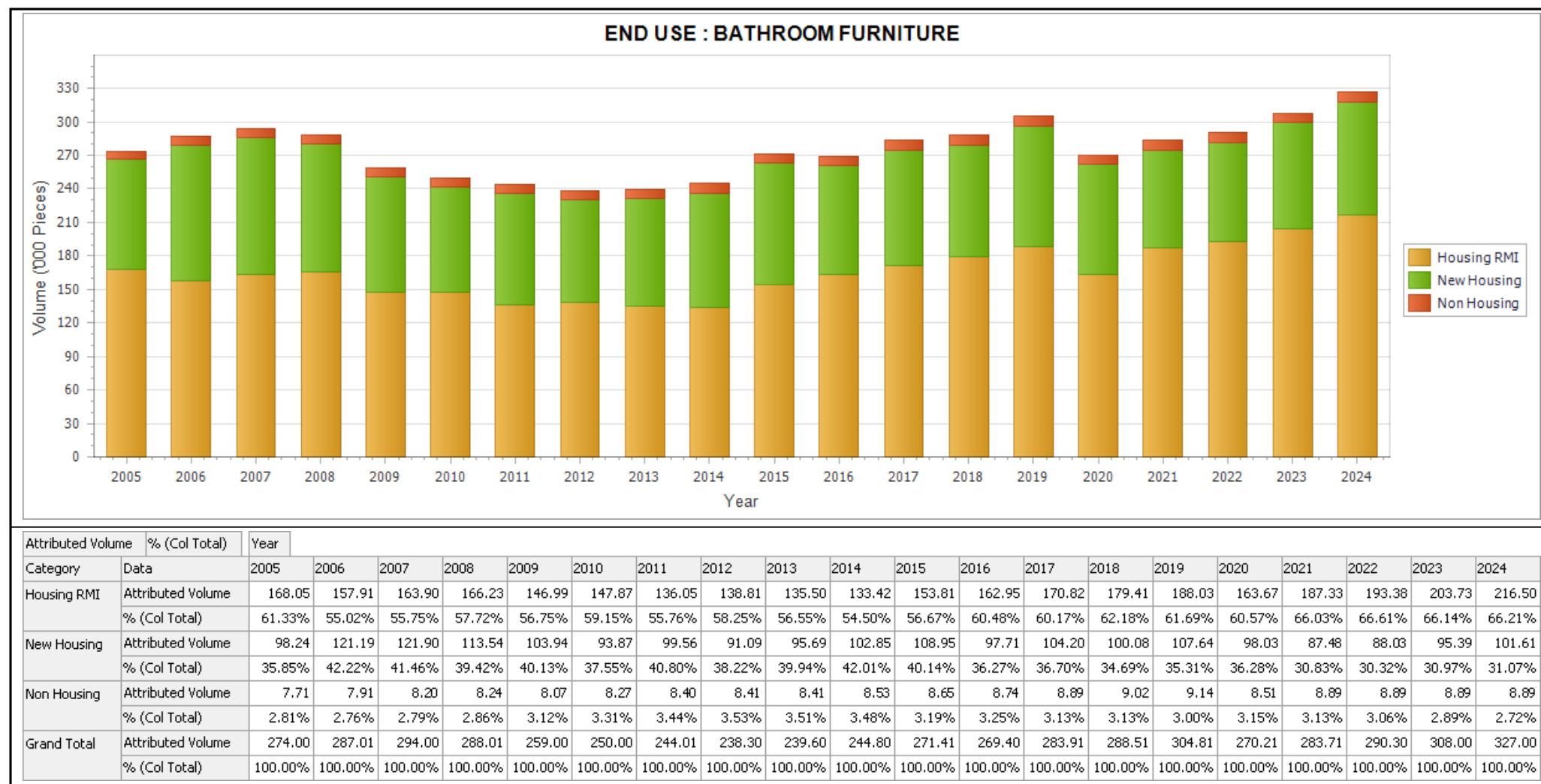
BE - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

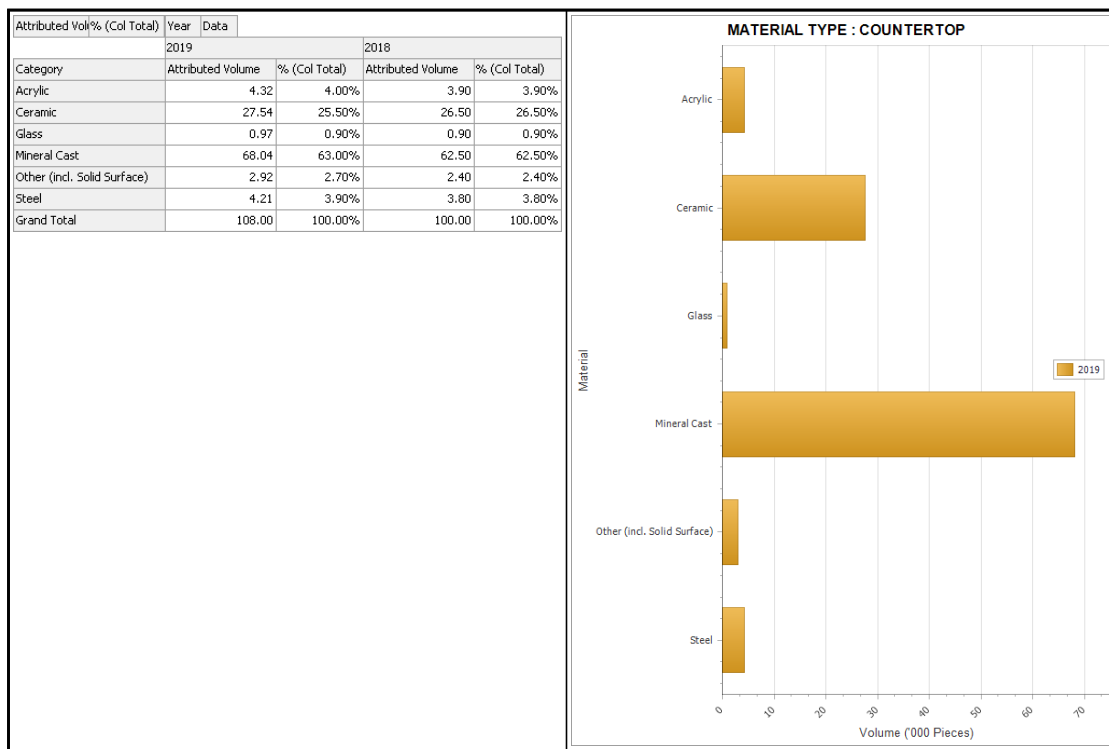
BE - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

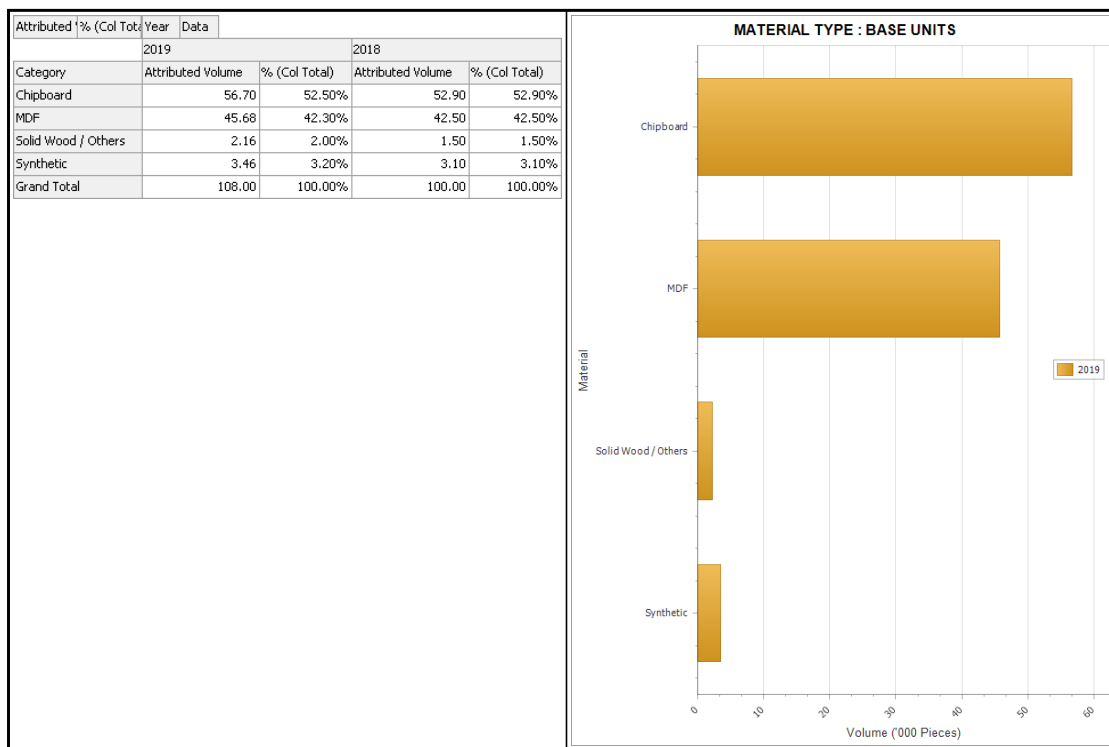
5.4.3 Sales by Type of Washbasin Material : Base Units

BE - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



5.4.4 Sales by Type of Material : Base Units

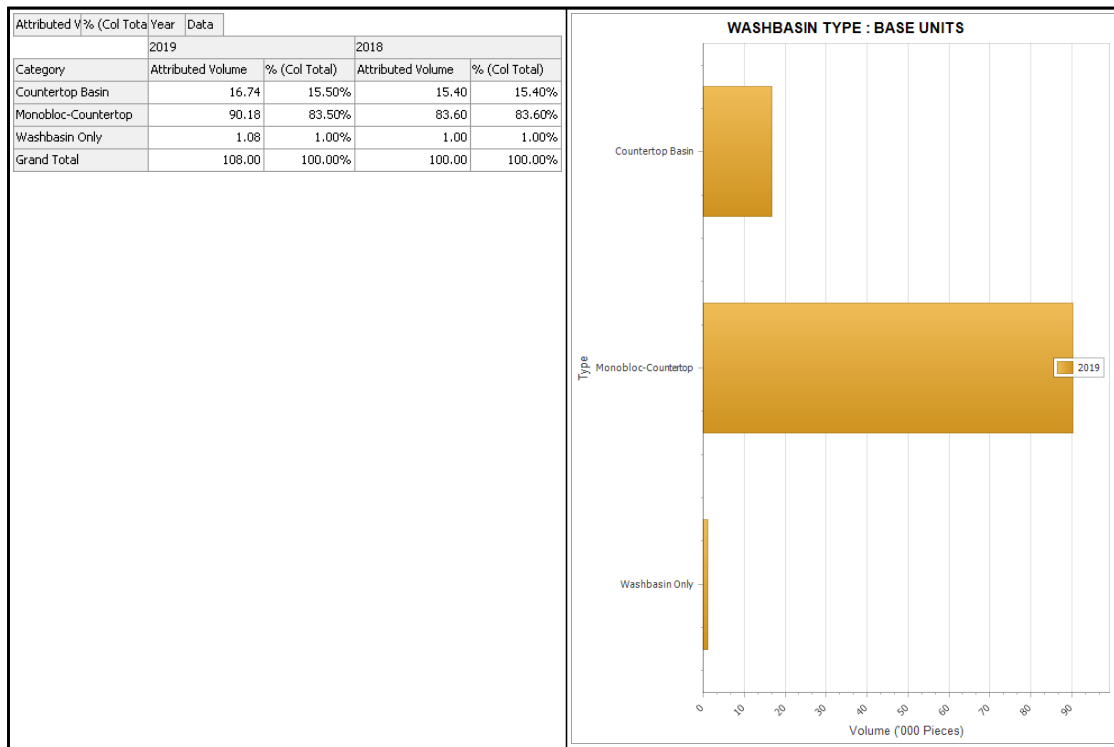
BE - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

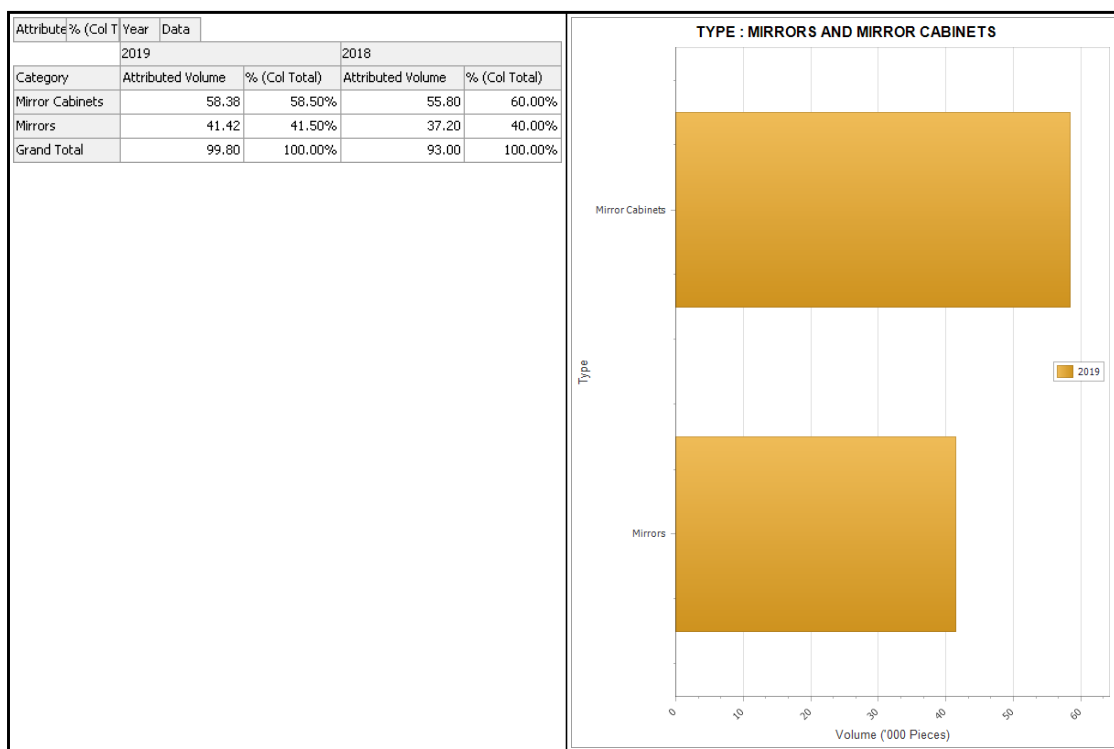
BE - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type : Mirror and Mirror Cabinets

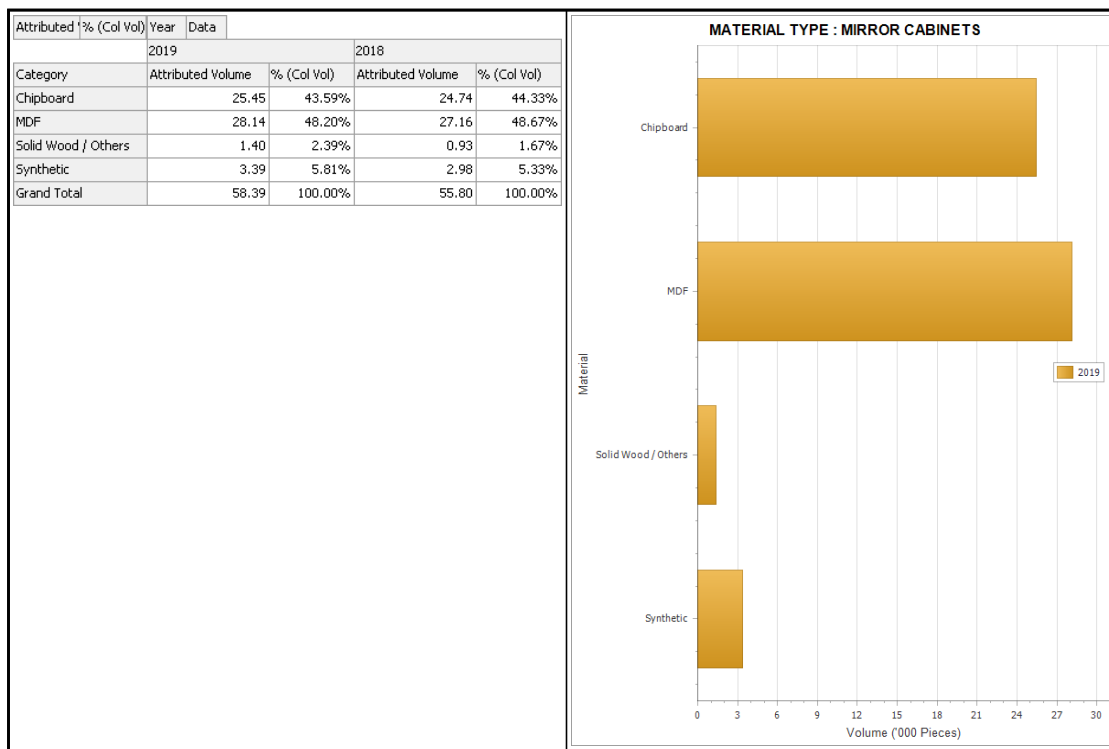
BE - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Type of Material : Mirror Cabinets

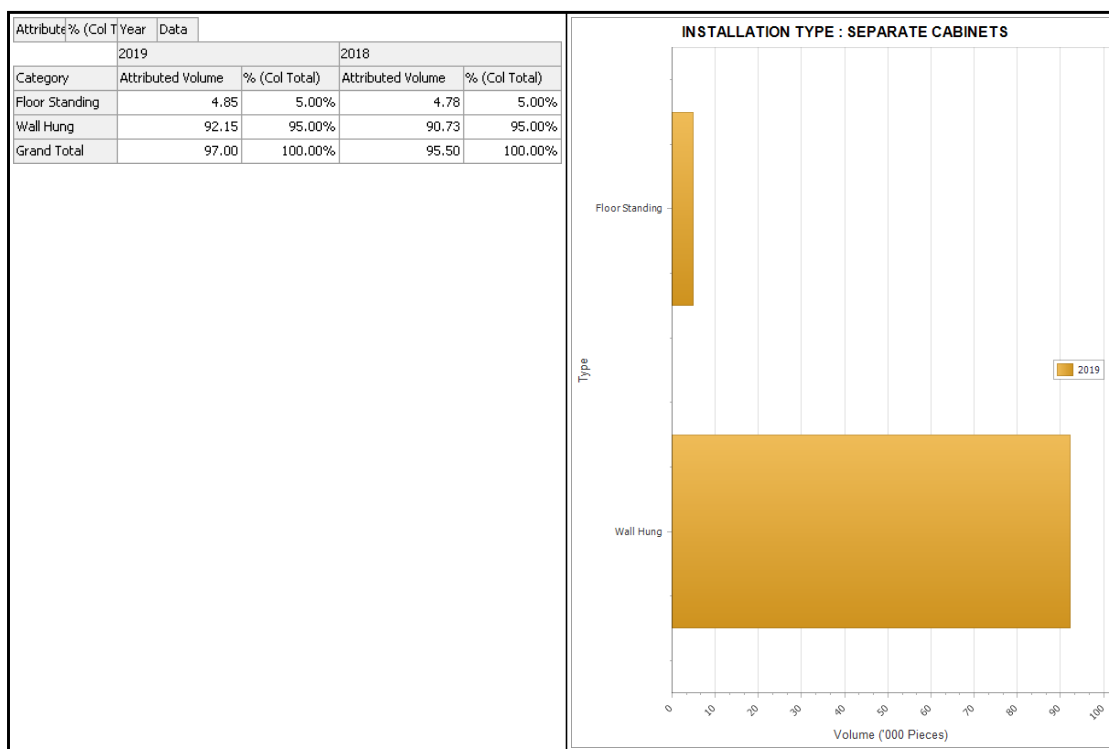
BE - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type of Installation : Separate Cabinets

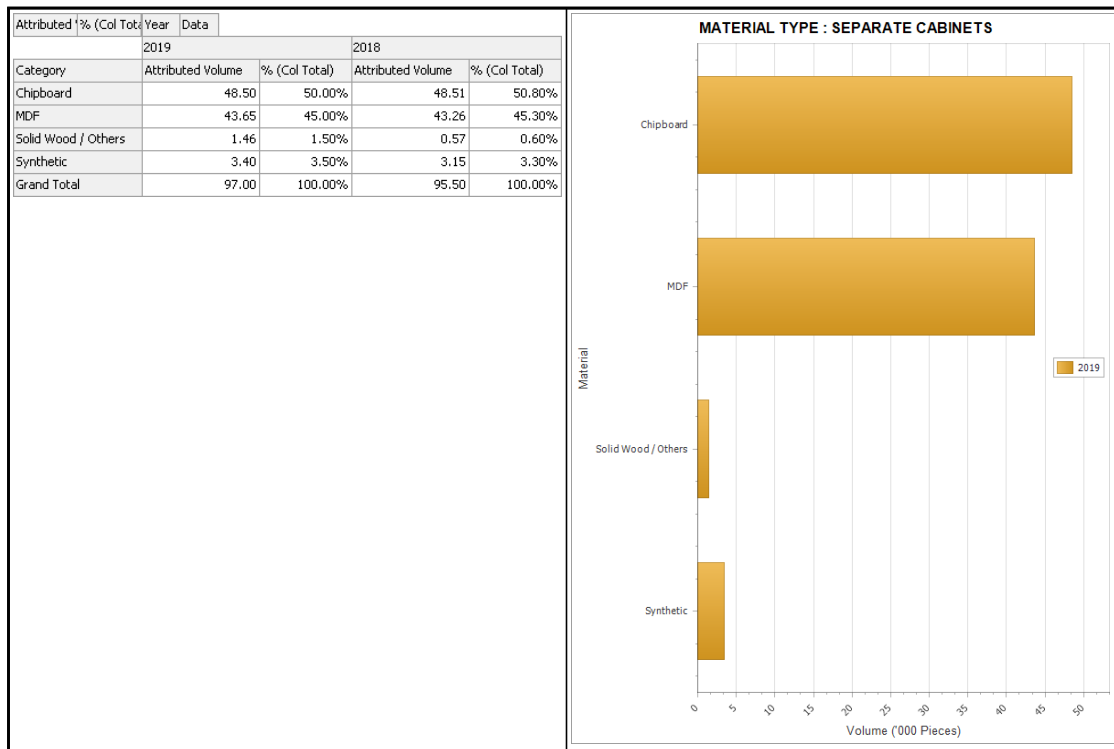
BE - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Separate Cabinets

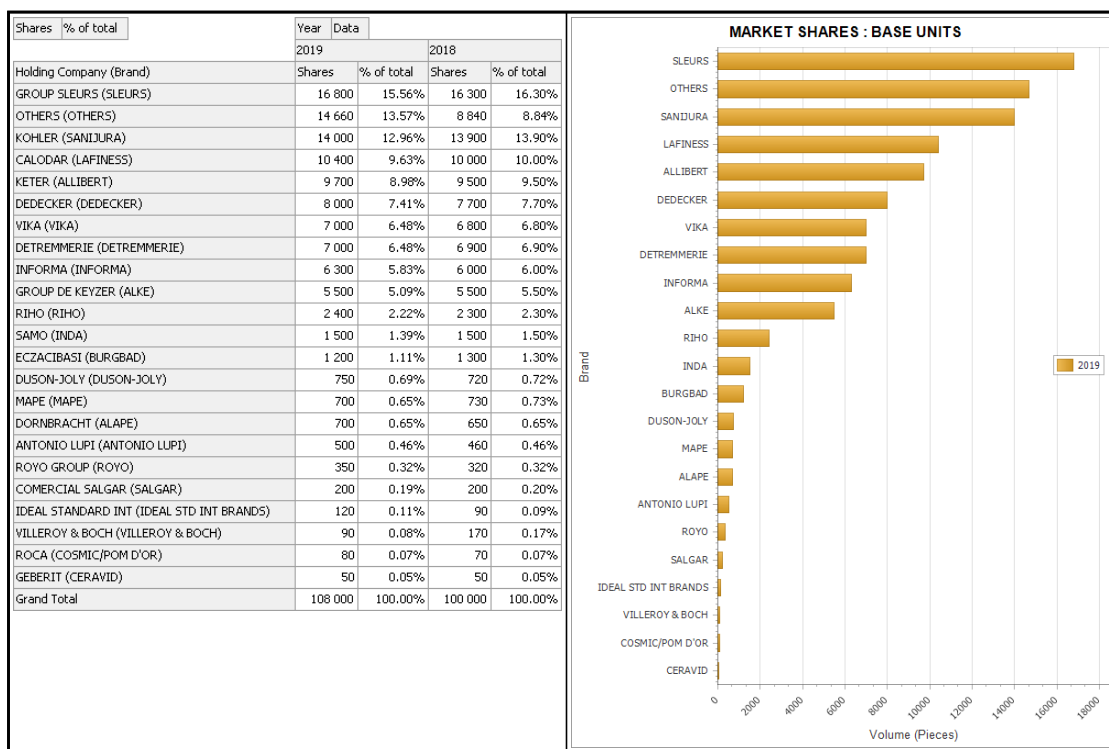
BE - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.5.1 Market Shares : Base Units

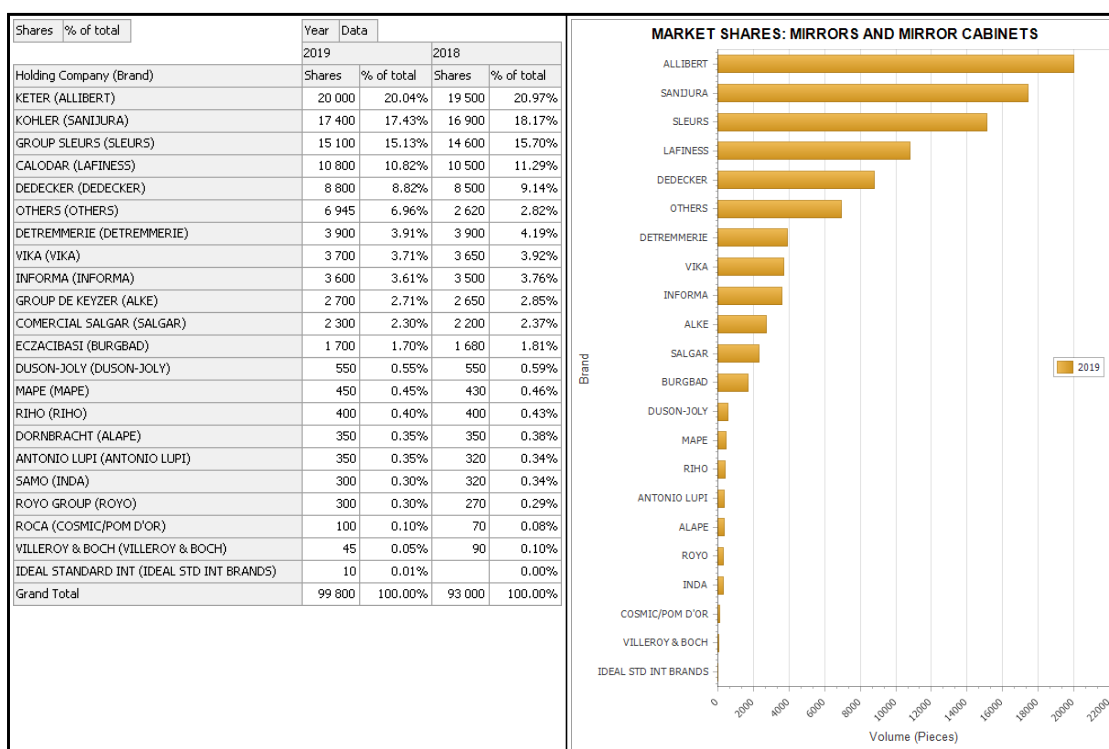
BE - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

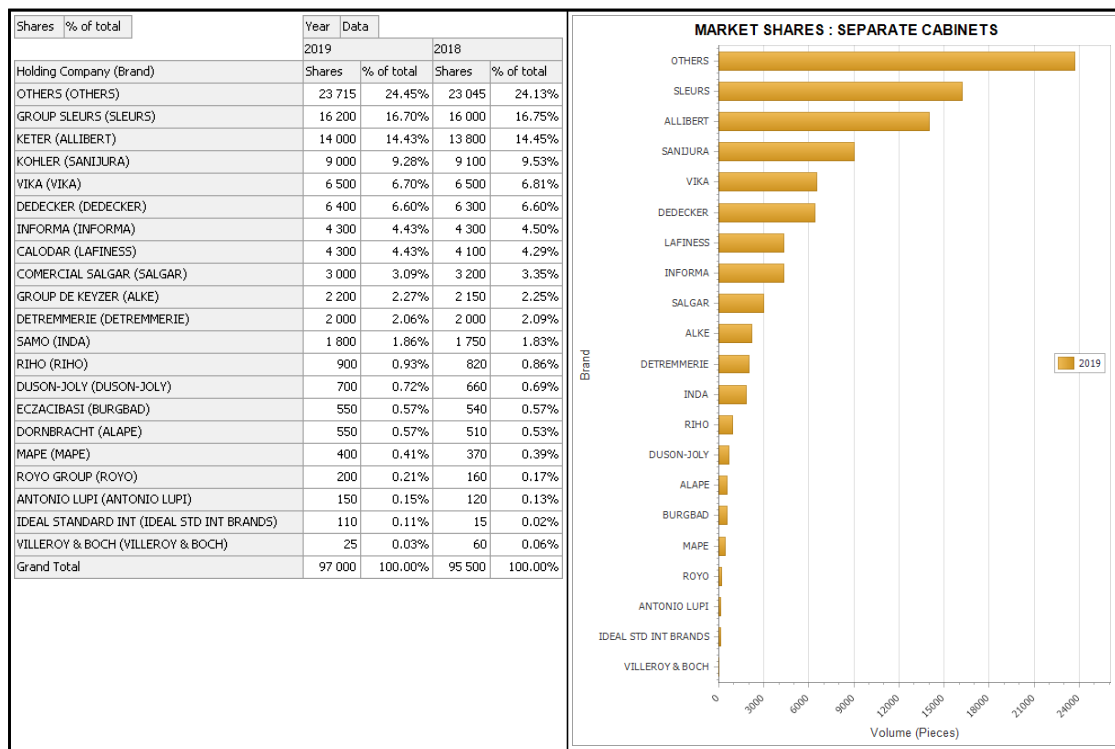
BE - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

BE - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
BE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	53.2%
	Wholesalers / Merchants
	53.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.0%	5.4%	26.4%	2.6%	16.7%	26.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.4%		29.0%		43.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	14.5%	0.0%	4.4%	15.1%
Installers				
34.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	4.2%	8.4%	24.7%	28.1%	31.7%	0.0%	0.0%	0.0%	0.0%	0.0%	3.0%
	Residential						Non-Residential					
	97.0%						3.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	35.3%			61.7%			1.3%			1.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	23.0%		12.4%	1.7%		60.0%	1.1%		0.2%	1.1%		0.6%

5.6.2 Route to Market: Bathroom Furniture
BE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.2%
	Wholesalers / Merchants
	55.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.5%	7.0%	25.2%	2.4%	14.5%	28.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		27.6%		43.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	13.2%	0.0%	4.1%	15.1%
Installers				
33.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	4.0%	11.5%	23.5%	28.0%	30.3%	0.0%	0.0%	0.0%	0.0%	0.0%	2.7%
	Residential						Non-Residential					
	97.3%						2.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	31.1%			66.2%			1.2%			1.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	20.2%		10.9%	1.6%		64.6%	1.0%		0.2%	1.0%		0.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

BE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

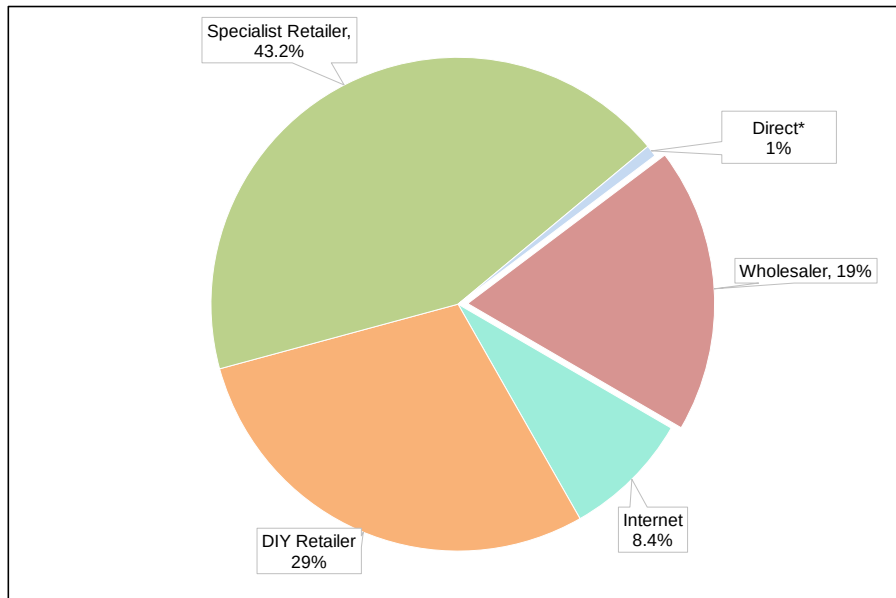
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.7%	8.4%	29.0%	43.2%	0.7%	24.7%	2.2%	72.3%	0.8%
100%					26.9%		73.1%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

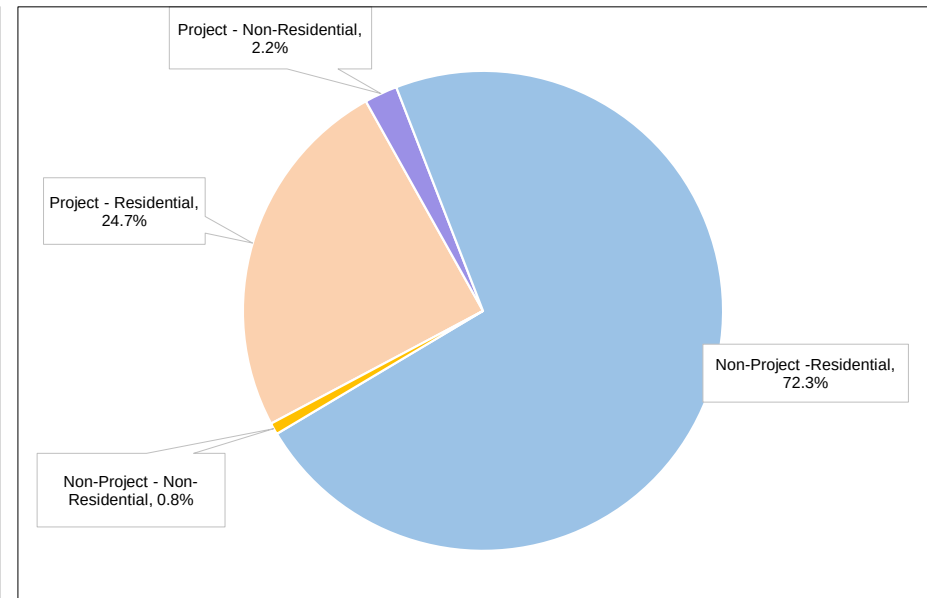
BE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.2%	11.5%	27.6%	43.1%	0.6%	21.8%	2.0%	75.4%	0.7%
100%					23.8%		76.2%	

BE - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



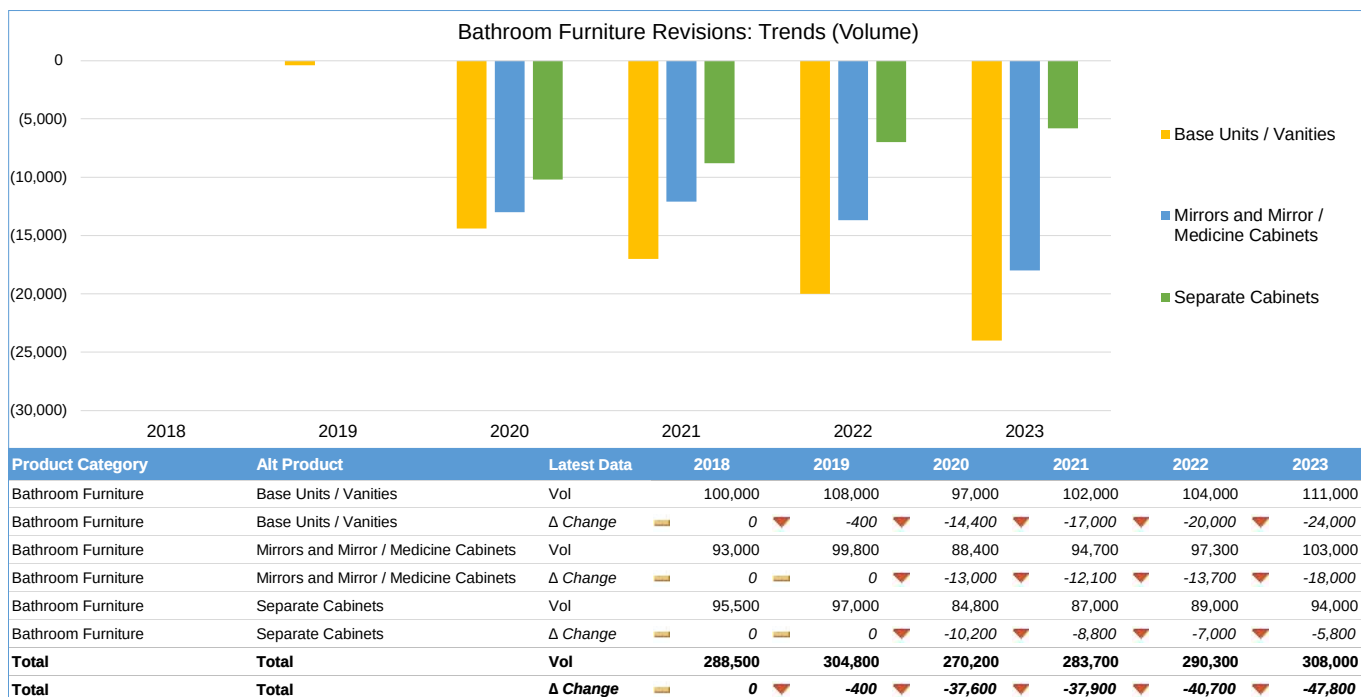
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Belgian Bathroom Furniture Market (July 2020)

BE - REVISIONS IN THE BELGIAN BATHROOM FURNITURE MARKET

Data Comparison: July 2019



No revisions were made to the historical series.

BELGIUM

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



To note: A major upward revision has been made to the market sizes for bathroom accessories. Please see table 6.7 for more details.

Market Characteristics and Product Mix

The Belgian bathroom accessories market is clearly guided by trends in the wider bathroom market – the bathroom furniture market in particular – although it is perhaps more volatile due to the significant proportion of products that pass through the DIY sector.

As bathroom accessories are regarded as less-essential products by most consumers, they are less likely to be purchased at the same time as key bathroom products such as taps and mixers and sanitary ware. Instead, bathroom accessories are more likely to be purchased at a later stage, with bathroom furniture, for example. Bathroom accessories are sometimes purchased at the same time as the rest of a bathroom's furnishings – for instance, in new homes or after a full refurbishment – and in such cases the value of the accessories tends to be considerably higher than average.

The Belgian bathroom accessories market favours metal over all other types of material, with many players offering metal accessories exclusively. Accessories using a single finish are the most popular, and black/white are the most popular colours. Sales of ceramic, wood and glass accessories have become marginal; wood is more often seen in mixed material accessories than it is as a single material. Accessories made of glass are mainly limited to shelves, whereas ceramic is often used for soap holders, toilet brush holders and tumblers.

As most dwellings have more toilets than bathrooms, the toilet brush category is estimated to have one of the highest shares in the market. Partially covered products account for the majority and are typically made of metal. Covered toilet roll holders are primarily found in the non-residential part of the market. Holders without a cover are positioned at the lower range of the market. Almost all toilet roll holders are wall mounted.

Recent Market Trends

In 2019 sales of bathroom accessories increased, thanks to good results in RMI sales. The Belgian bathroom accessories market is characterised by a high range of products found in the bottom three price segments, often imported from Asia.

The Belgian bathroom accessories market benefitted from the fact that the investment required for its products' purchase is far lower than the cost of renewing a bathroom by replacing the furniture or sanitary ware or undertaking a full bathroom refurbishment.

The increasing strength of alternative retail channels in recent years has created a competitive vibe within the Belgian market in terms of pricing. This development continued in 2019 and prices of bathroom accessories almost remained the same, with a very slight increase in MSPs. Amongst consumers, chromed bathroom accessories continued to be the most popular in terms of material, as these often match the colour of taps and mixers.

Prices and Market Values

Prices of bathroom accessories have slightly increased for most products, and slightly decreased for others. Overall, the average MSP increased very slightly in 2019 when compared to the previous year. In past years, a consumer trend towards upper and luxury products was observed, while the increase of suppliers of cheaper products continued. The trend towards more expensive products is restricted to a small number of end consumers, and most purchases are made within the three lower price segments. Instead of opting for A-branded bathroom accessories, homeowners are increasingly shifting towards private-labelled products that are offered by DIY chains or online web shops.

During the last decade, the market has been shifting away from the middle price segment. A large share has moved towards the cheaper economy segment. However, a small and slowly increasing share of the market has moved towards the more expensive luxury segment. Despite this, the bulk of the market has moved towards the economy segment.

The economy segment includes mostly products sold by MAKRO and IKEA, and DIY stores such as BRICO. IKEA can still be found in the lower priced segment of the market. However, most sales consist of ALLIBERT and CORAM's DIY brand, TIGER. These accessories are mostly sold through the DIY market, department stores and furniture stores, and even through some wholesalers. The middle price range – which includes players such as GEESA, HACEKA, and ALLIBERT – used to be the most important segment, and almost all the brands have ranges that fit the middle segment. However, as a result of the economic downturn and the increasing supply of cheaper products, the lower price segment became the strongest price segment, closely followed by the middle and economy ones.

Many suppliers distributing through the traditional wholesale channel have at least one range falling in the upper range category, including the Italian INDIA, the Spanish COSMIC, and the German companies KEUCO, EMCO, and HEWI. Tap and mixer specialists LIXIL (GROHE) and MASCO (HANSGROHE) are also present in this segment, and they offer accessories to achieve a full product range. SAMO (INDIA), CORAM NV (GEESA), KEUCO, DORNBRAUCHT, and MASCO (HANSGROHE) are estimated to be the largest players in the higher segments of the market. Exclusive materials, such as marble and silver, are seen at the top end of the market.

New Housing

Bathroom accessories, unlike bathroom furniture, are not overly dependent on new construction activity, as most new build dwellings are only equipped with basic accessories such as toilet paper holders, toilet brushes, hooks and soap holders.

The increase in new construction output in 2019 had a positive impact on the bathroom accessories market. Homeowners typically purchase bathroom accessories once the house is occupied, unlike the other bathroom products. If bathroom accessories are purchased at the same time as the rest of the bathroom, the value tends to be significantly higher. The smaller proportion of one- and two-family houses built, in relation to apartments, also has an effect on sales into this segment, as houses usually have an additional toilet or shower room, providing increased scope for bathroom accessory sales.

Housing RMI

The market for bathroom accessories is highly dependent on activity in the housing RMI segment, even more so than the new housing segment, as bathroom accessories are replaced more often than any other product found in Belgian bathrooms. Sales continued to increase in the RMI sector in 2019. Replacement demand for bathroom accessories is estimated to remain strong throughout the forecast period. It is believed that the growth rate will continue to decline on an annual basis, while remaining clearly positive.

Non-Housing

Most of the accessories counted in this segment are toilet accessories, as they are principally installed in offices, public buildings and the hospitality sector. Average prices in this segment are high, as often the bathrooms have a representative/status function too. As non-housing projects seemed to have slowed down in 2019, sales of bathroom accessories followed a similar pattern.

Supply Structure

As opposed to the situation in the bathroom furniture market, no domestic bathroom accessory manufacturers have been identified on the Belgian market; thus, the market is thought to be represented only by imports. The supply structure of the Belgian bathroom accessory market has remained stable over the years, although some smaller players may be appearing or disappearing without creating much of an impact on the sales of their competitors. Dutch manufacturers, including CORAM NV (TIGER and GEESA), HACEKA, and CLOU, have a dominant position on the Belgian market, followed by supply from Germany and Sweden.

CORAM INTERNATIONAL – with its brands TIGER and GEESA – is the leading group in the supply of bathroom accessories in Belgium. TIGER is a Dutch-based company that does not actually manufacture any goods or accessories itself but imports them from a variety of sources all over the world. GEESA products are

mostly purchased by DIY wholesalers, as opposed to showroom wholesalers, whereas TIGER's accessories are mostly supplied directly.

The leading individual brand on the Belgian market is the French ALLIBERT, which offers a high number of free-standing accessories, mainly sold through DIY stores. ALLIBERT's metal accessories are made in China, while plastic products are sourced from the parent company KETER in Israel.

IKEA is estimated to be the largest player in terms of bathroom accessories sold under the distributor's own brand. INGKA HOLDING B.V. is the parent company for all IKEA GROUP companies, including the industrial group SWEDWOOD, which commissions the manufacturing of IKEA furniture and accessories coming from any worldwide manufacturer (outsourced).

SAMO (INDA) products are imported via SOREX INT. S.A. in Waterloo, and distributed via wholesalers only.

Two Dutch suppliers of smaller importance are CLOU and HACEKA. CLOU is distributed by one agent in Belgium, and its accessories are reported to be made by the Italian LINEA BETA. Other smaller manufacturers of bathroom accessories include, among others, the Danish DAMIXA, IDEAL STANDARD, DORNBRACHT, and HANSGROHE, which sell a few types of accessories in an effort to complement their ranges with other bathroom products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a decline in sales of bathroom accessories. Belgium faced a two-month period of lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

After recovering from the downturn of 2020, the Belgian bathroom accessories market is anticipated to continue to increase in value in 2021. However, the market is expected to grow stronger in size than in value, as Belgian consumers are expected to continue favouring cheaper products, even though there is a slightly increasing demand from the upper segment of the market as consumers undertake

more extensive re-modelling projects – aided by the improving non-housing industry. The middle segment, therefore, is most likely to suffer, as consumers tend to not notice the added value compared to the lower segment. Increased demand for bathroom accessories, and therefore increased volume sales, is likely to be the greatest contributor to market value growth, as MSPs are anticipated to remain under pressure from international players, Asian imports and few market entry barriers.

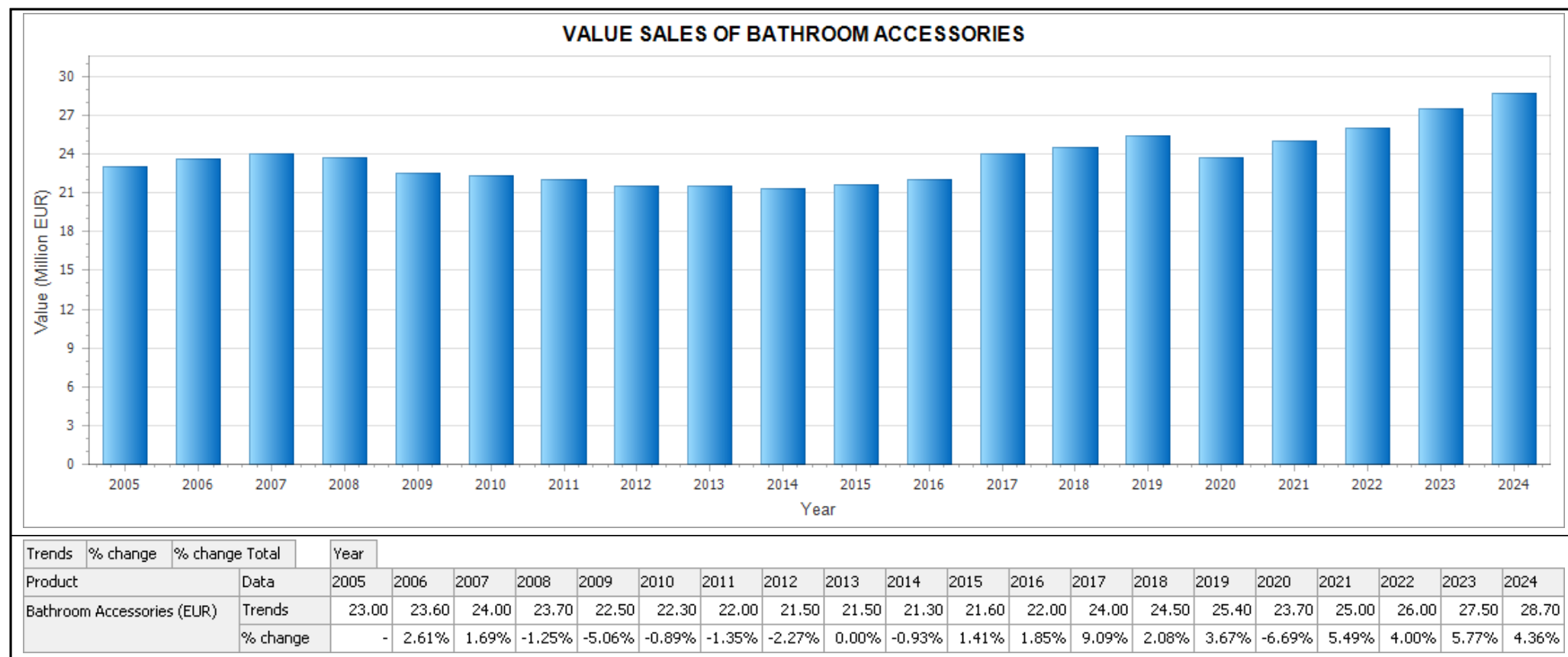
The overall market for bathroom accessories in Belgium has developed differently to the markets for larger bathroom equipment, such as sanitary ware and bath/shower trays. Indeed, prices for bathroom accessories continue to decrease due to fiercer competition and market pressure. However, while the market is expected to grow in terms of volume, the development of the market value is projected to be less significant. Over the forecast the increase in value should continue, albeit at a slower pace. This is due to an expected increase within the upper and luxury segment in the bathroom accessory market. Nonetheless, consumers are expected to remain reluctant to invest in more expensive bathroom accessories, if they are presented with a cheaper alternative from other distribution channels.

In terms of volume, it is believed that this market is likely to grow. This can be explained by the fact that this segment is not entirely dependent on new construction, since most sales go to existing dwellings. Additionally, the investment necessary is much lower than for other segments of the market. To a certain extent, this market benefits from consumers opting not to renovate their homes due to financial reasons. Instead, they choose to improve the appearance of their bathroom by purchasing or replacing bathroom accessories, which is much cheaper.

The market is susceptible to macroeconomic conditions, which are forecast to be positive in the upcoming years, with the notable exception of 2020. It is also driven by consumer confidence, the employment rate, and a growing GDP per capita. These indications suggest positive consumer purchasing power throughout the forecast period.

6.2 Historical Trends and Forecasts

BE - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

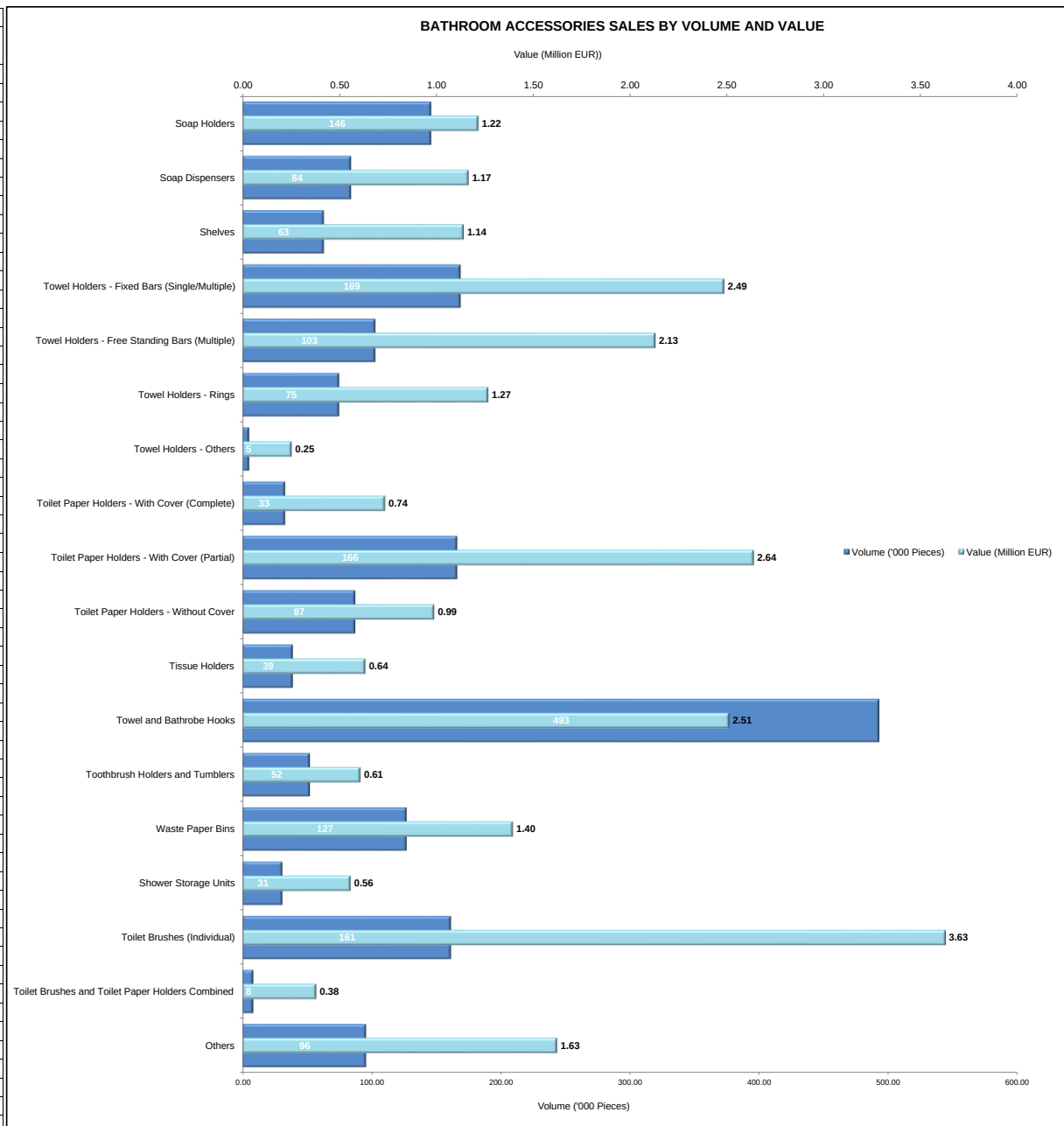
6.3 Detailed Prices and Market Values : Bathroom Accessories

BE - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2019	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	146.0	1.2
	Share	7.5%	4.8%
	Average Price (EUR)		8.4
Soap Dispensers	Volume / Value	84.1	1.2
	Share	4.3%	4.6%
	Average Price (EUR)		13.9
Shelves	Volume / Value	63.0	1.1
	Share	3.2%	4.5%
	Average Price (EUR)		18.2
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	168.8	2.5
	Share	8.7%	9.8%
	Average Price (EUR)		14.8
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	102.8	2.1
	Share	5.3%	8.4%
	Average Price (EUR)		20.8
Towel Holders: Rings	Volume / Value	74.8	1.3
	Share	3.9%	5.0%
	Average Price (EUR)		17.0
Towel Holders: Others	Volume / Value	5.2	0.3
	Share	0.3%	1.0%
	Average Price (EUR)		48.5
Toilet Paper Holders: With Cover (Complete)	Volume / Value	33.0	0.7
	Share	1.7%	2.9%
	Average Price (EUR)		22.3
Toilet Paper Holders: With Cover (Partial)	Volume / Value	166.1	2.6
	Share	8.6%	10.4%
	Average Price (EUR)		15.9
Toilet Paper Holders: Without Cover	Volume / Value	87.3	1.0
	Share	4.5%	3.9%
	Average Price (EUR)		11.4
Tissue Holders	Volume / Value	39.0	0.6
	Share	2.0%	2.5%
	Average Price (EUR)		16.3
Towel and Bathrobe Hooks	Volume / Value	493.1	2.5
	Share	25.4%	9.9%
	Average Price (EUR)		5.1
Toothbrush Holders and Tumblers	Volume / Value	52.2	0.6
	Share	2.7%	2.4%
	Average Price (EUR)		11.7
Waste Paper Bins	Volume / Value	127.0	1.4
	Share	6.6%	5.5%
	Average Price (EUR)		11.0
Shower Storage Units	Volume / Value	30.9	0.6
	Share	1.6%	2.2%
	Average Price (EUR)		18.1
Toilet Brushes (Individual)	Volume / Value	161.3	3.6
	Share	8.3%	14.3%
	Average Price (EUR)		22.5
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	8.5	0.4
	Share	0.4%	1.5%
	Average Price (EUR)		45.0
Others	Volume / Value	96.6	1.6
	Share	4.9%	6.4%
	Average Price (EUR)		17.0
TOTAL	Volume in '000/Value in Million	1 938.7	25.4
	Share	100.0%	100.0%
	Average Price (EUR)		13.1

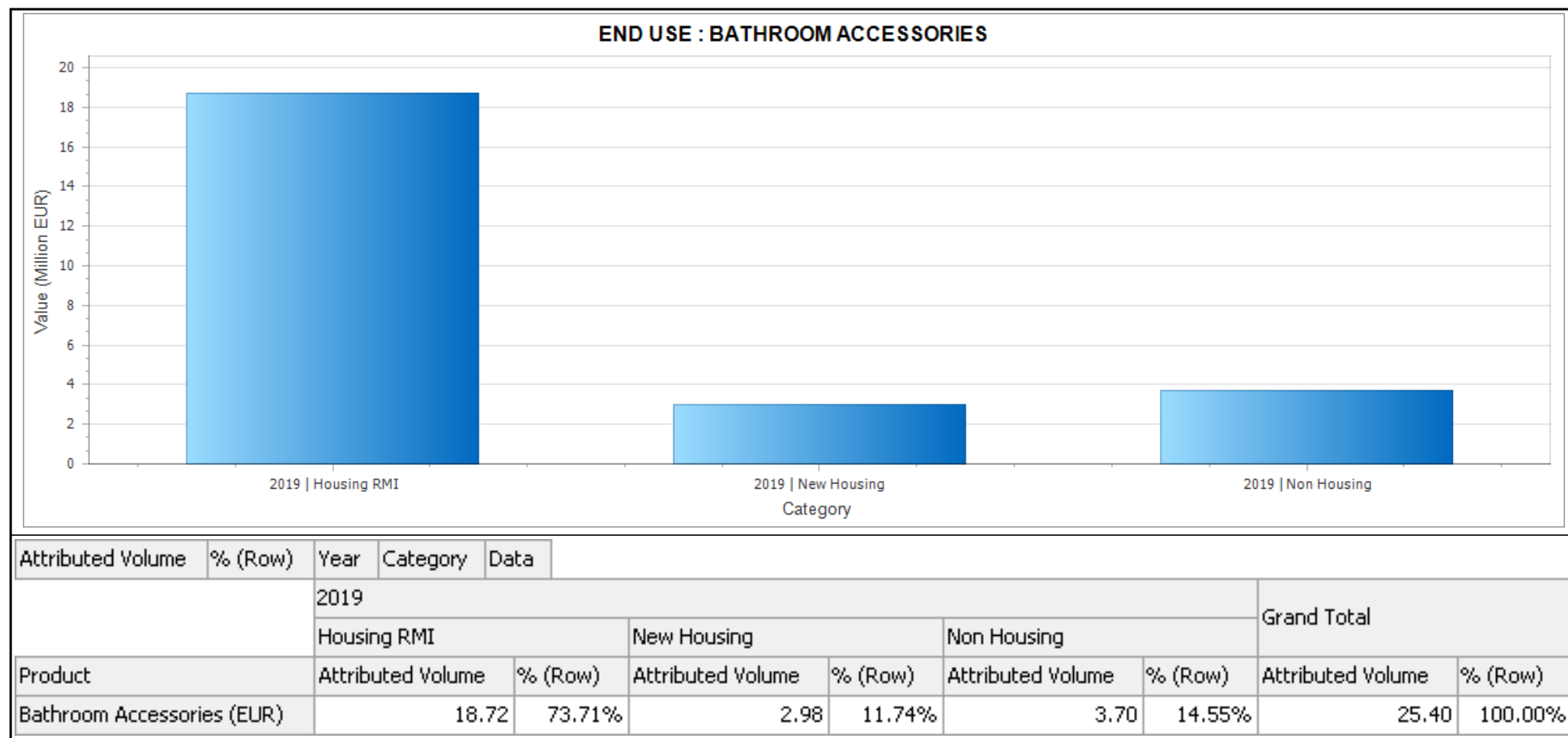
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

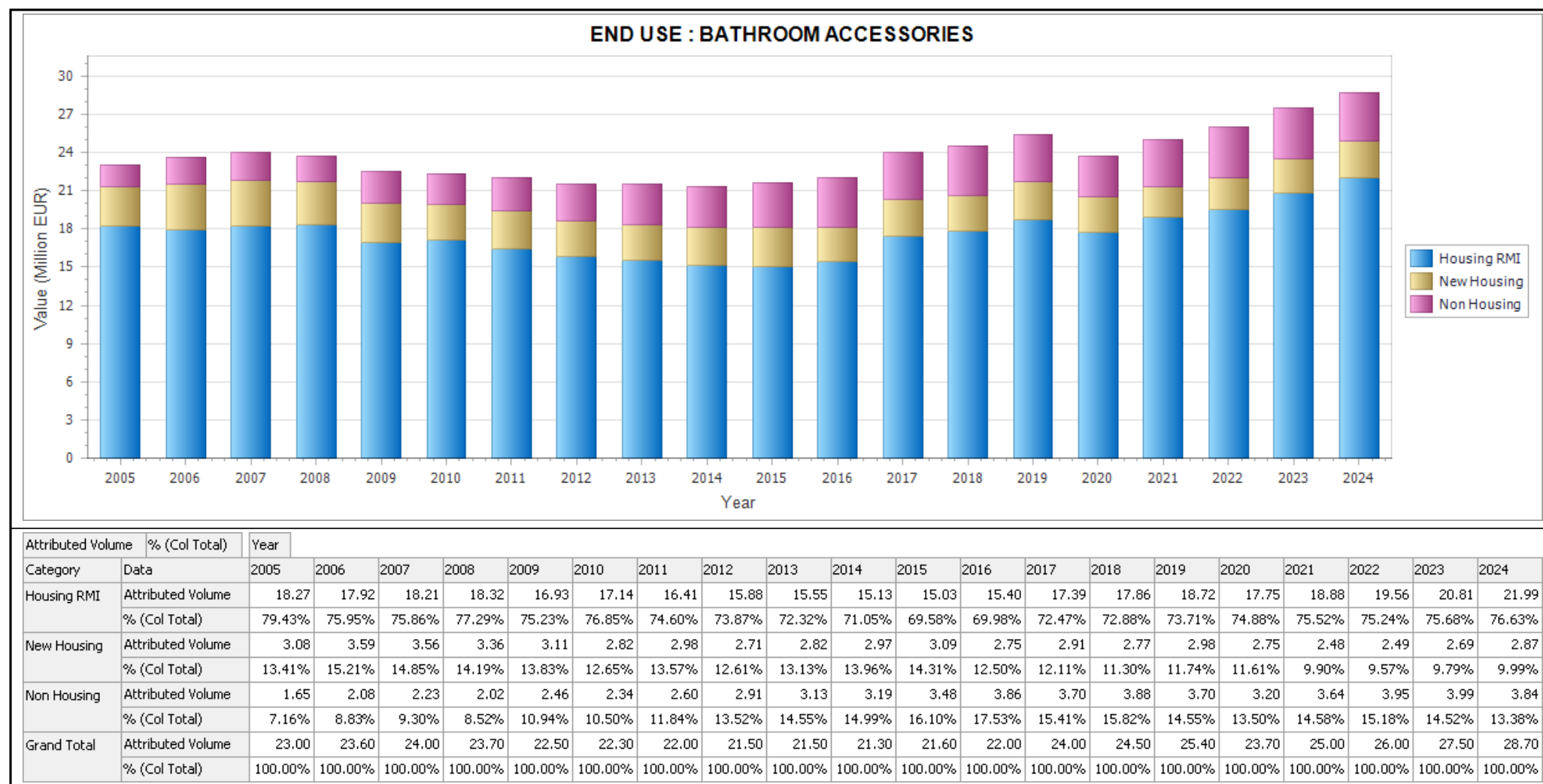
BE - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

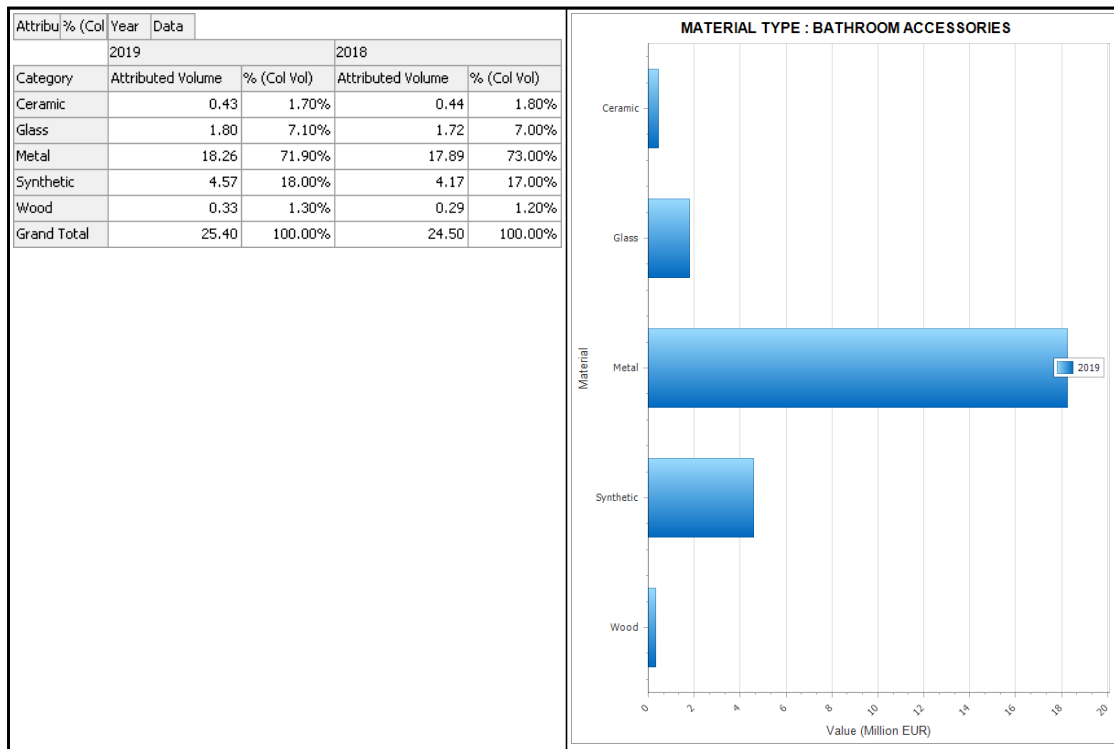
BE - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

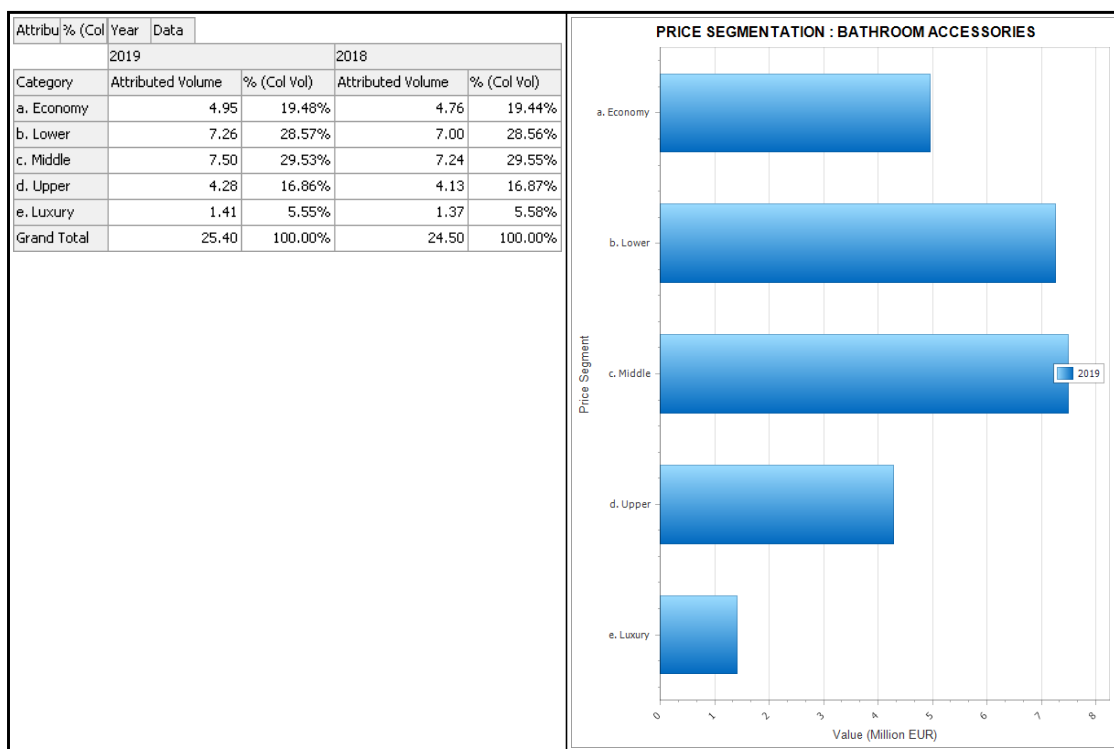
BE - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

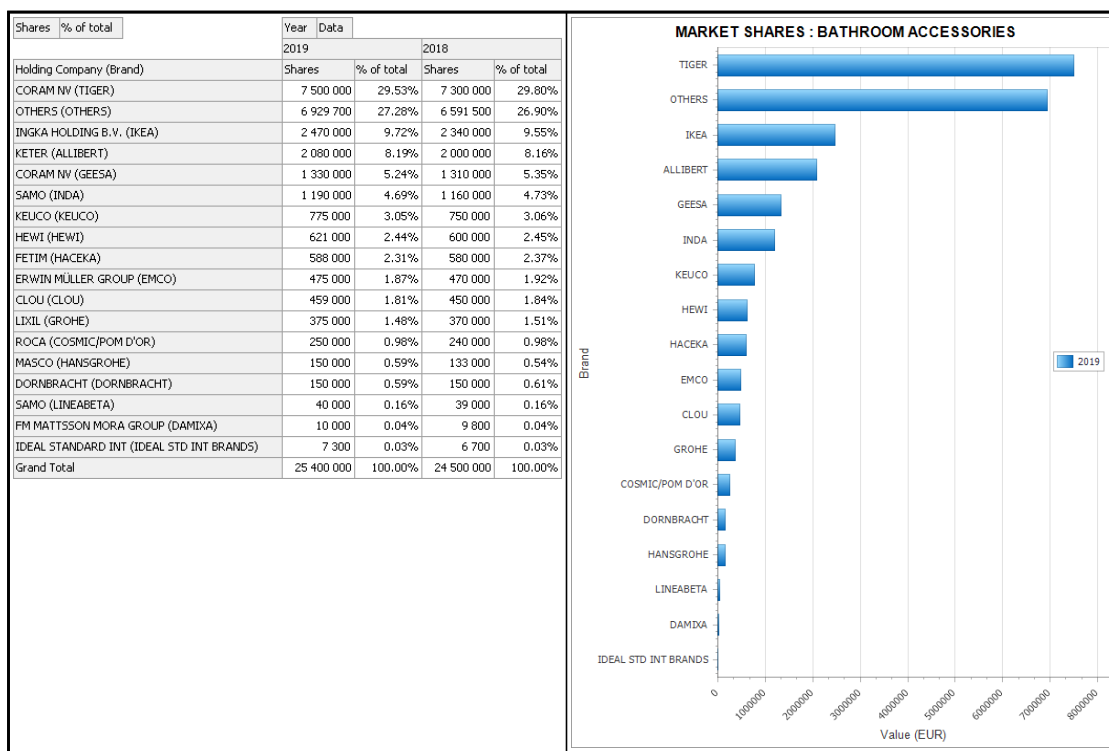
BE - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

BE - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
BE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.6%
	Wholesalers / Merchants
	28.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	9.8%	3.5%	43.0%	2.5%	17.2%	14.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		45.5%		31.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.4%	4.4%	2.0%	6.8%	0.9%
Installers				
15.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	4.1%	11.3%	36.5%	27.6%	6.0%	0.0%	0.0%	0.0%	2.2%	2.9%	9.5%
	Residential						Non-Residential					
	85.4%						14.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	11.7%			73.7%			5.1%			9.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.8%		10.0%	1.8%		71.9%	3.3%		1.8%	3.3%		6.1%

6.6.2 Route to Market: Bathroom Accessories (EUR)
BE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.0%
	Wholesalers / Merchants
	28.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	13.2%	5.1%	39.8%	2.2%	17.8%	13.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	18.3%		42.0%		31.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.2%	4.2%	3.7%	5.9%	3.8%
Installers				
18.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	1.5%	14.6%	36.1%	27.5%	6.8%	0.0%	1.5%	0.0%	0.0%	0.0%	11.9%
	Residential						Non-Residential					
	86.6%						13.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.0%			76.6%			4.7%			8.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.5%		8.5%	1.8%		74.8%	3.0%		1.6%	3.0%		5.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

BE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

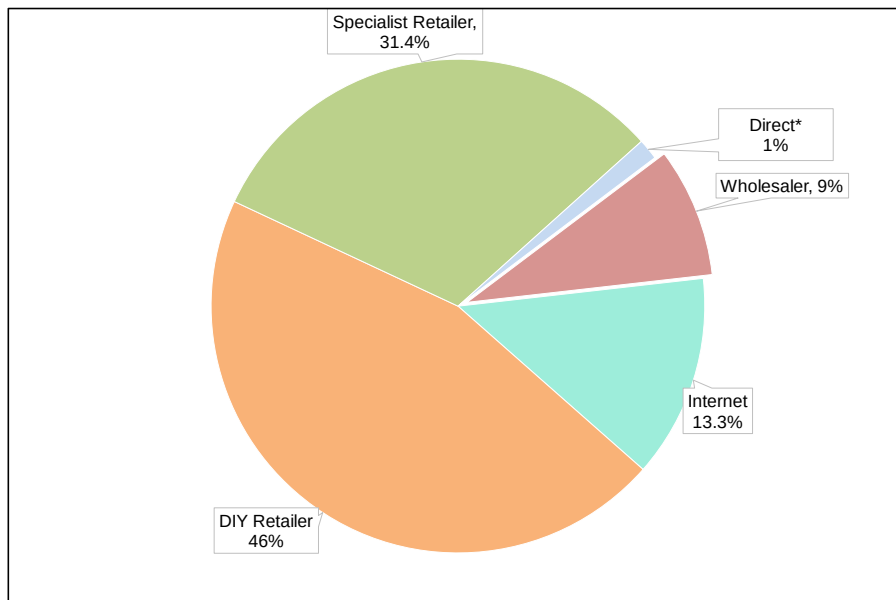
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
8.5%	13.3%	45.5%	31.4%	1.4%	3.5%	6.6%	81.9%	7.9%
100%					10.2%		89.8%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

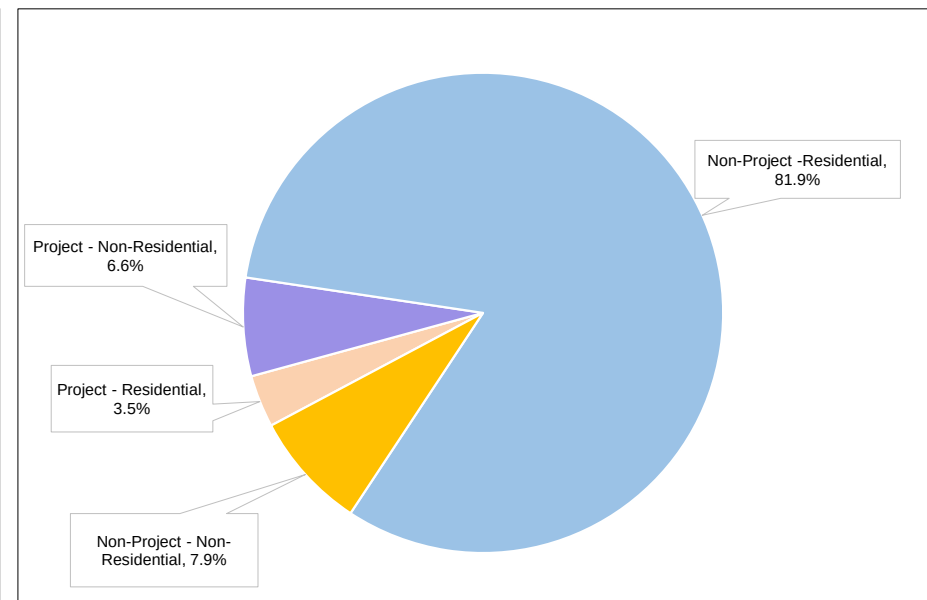
BE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.2%	18.3%	42.0%	31.3%	1.2%	3.3%	6.1%	83.3%	7.3%
100%					9.4%		90.6%	

BE - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019

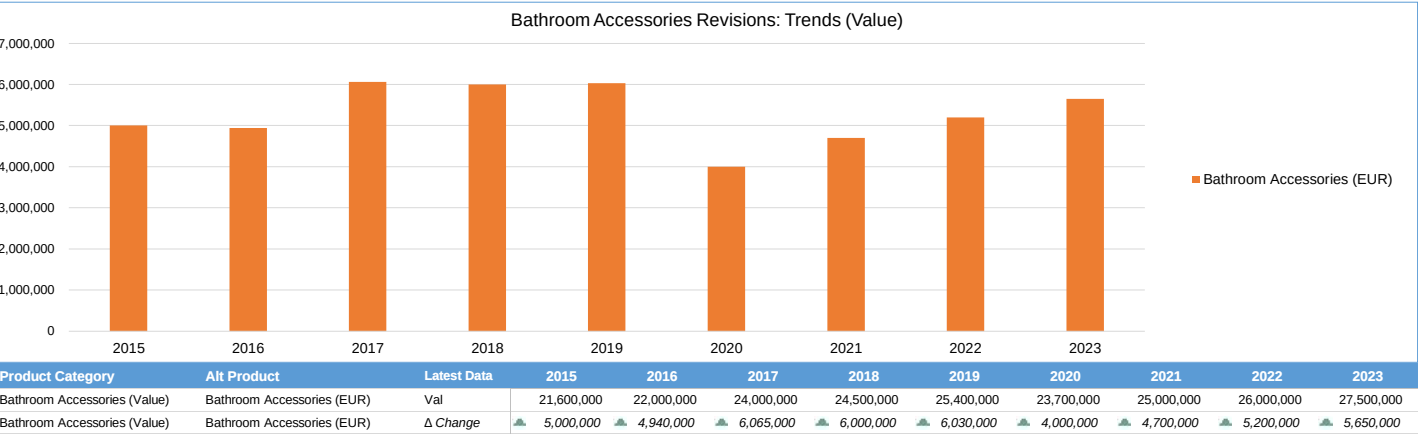


Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Belgian Bathroom Accessories Market (July 2020)

BE - REVISIONS IN THE BELGIAN BATHROOM ACCESSORIES MARKET
Data Comparison: July 2019



BRG has made significant upward revisions to the market value of bathroom accessories in Belgium. This is largely due to the fact that the importance of Chinese imports was underestimated, both historically and more recently. Indeed, Belgium has seen a growing influx of imports, especially those sourced from China, which had been underestimated in previous editions of our report.

BELGIUM

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



To note: A major upward revision has been made to the market sizes for flexible hoses, shower heads and shower supports. Please see table 7.7 for more details.

Market Characteristics and Product Mix

In general, the main reason for the growth of shower accessories is the underlying trend towards more showering, away from bathing, in Belgian dwellings. This trend started years ago and is observed both in the new build and renovation segments of the market. If, in the past, Belgians used to have only one bathroom, now it is increasingly becoming standard to build one bathroom and one shower room, resulting in a growing need for shower accessories.

The overall shower accessories market seems to be dominated by flexible hoses and shower heads, whereas growth in sales of shower supports has started to slow down. In recent years, several bathroom manufacturers have introduced the so-called 'rain showers', which have negatively affected sales of flexible hoses and shower supports, as these types of shower are completely concealed.

In Belgium, most shower heads are sold as part of a set, often via DIY retailers. Shower sets consisting of one shower head, flexible hoses and a shower support (often a bar) remain the most popular shower set type. Shower sets with a mixer have proven to be more popular, especially with a thermostatic mixer that is attached to the bar. The third-most popular set type sold in Belgium is the shower head, flexible hose and holder type; these types are more found in a bath combined with a shower than in a shower only. A negligible amount of sets that comprise only a shower head and a hose are sold; this set's share is small because, typically, if a shower head and a hose are needed, they are purchased individually.

Along with the trend for larger showers and rain showers, demand for shower pipes has been growing significantly since 2012. Introduced by HANSGROHE in 2008, a shower pipe consists of a bar, a hose, a shower head and an extra hand shower. These sets are sometimes referred to by the industry as 'shower pipes'. Shower pipes are increasing in popularity, especially in the RMI segment, due to an easy installation and giving a bathroom a more glamorous feel. Sales of shower pipes more than doubled over the past five years.

It is difficult to estimate the type of material used for flexible hoses, as many hoses are made of a combination of plastic and metal. However, the share of plastic has been growing steadily over the past few years. The flexible hoses come in different colours, such as chrome and white, and different lengths, of which the most popular ones are either 125, 150 or 200 cm.

In terms of shower supports, there are two products found in the market: holders and bars. Most bars are equal to or shorter than 90 cm. Nevertheless, a trend can be seen for shower bars that are longer than 90 cm, which can be attributed to the

increasing number of luxury showers installed in recent years.

The market for shower panels had seen a strong increase over the previous decade up to 2006, as these products are a relatively cheap way to upgrade a shower and can be installed easily, following HANSGROHE's introduction of the product in 1995. However, as the recession came into force in 2007, the hydrotherapy segment, including shower panels, was one of the first bathroom segments to suffer severely. The earlier growth was mainly supported by the greater variety of products, with an increasing number of suppliers, and the established manufacturers broadening their product ranges. However, this ended quickly, with many bankruptcies after the financial crisis in Europe coming into force – resulting in several market players leaving this market.

Recent Market Trends

The Belgian shower accessories market continued to experience growth in 2019, with the only exception being shower panels, for which demand continued to decline significantly. The increased overall sales demand in 2019 was mainly due to increased RMI sales, with consumers feeling confident to undertake both distress replacements and discretionary upgrades. The market was also supported by good results of housing completions, which positively influenced total market dynamics. Shower accessories are typical replacement products, and most sales are generated when a bathroom is being renovated – or when like-for-like replacements are needed.

Consumers prefer products in the economy/lower price range by stepping away from brands towards private label products. This slow shift is visible in growing shares of the economy/lower price segments for flexible hoses, shower heads and shower supports. This trend is influenced by the international climate and the online markets especially, with players such as X2O and BOL.COM. Shower accessories no longer must be a brand, and homeowners renovating their dwellings increasingly go to DIY stores and online shops. This development influences showrooms, which are losing market shares to alternative retailers such as online-shops, DIY markets and food discounters. Shower heads are gaining marginal share in the upper/luxury price segment due to the trend towards larger rain showers. These are more expensive than the smaller and more traditional shower heads.

Prices and Market Values

Averages prices for all shower accessory products increased in 2019, although with different growth rates. The only exception being prices of shower panels which decreased, reflecting the downward trend of this product type. The MSP of shower heads increased again, which can be explained by the trend towards larger rain showers, which are usually more expensive. MSPs of shower supports profited from the significant growth of shower pipes, which are becoming popular on the market. MSPs of flexible hoses and shower panels hardly changed, and the growth rate was marginal.

MSP growth rates of shower accessories are limited by a combination of factors, including consumer preference for low-cost products, increased price competition and the increasing share of Chinese imports on the market, which shape a general decreasing trend for all shower accessories products. Although the investment required for these products is already low, especially when compared to other bathroom products, the trend towards cheaper products can still be seen. While an increased proportion of products are sold through DIY chains, leading DIY retailers are also introducing their own product ranges at lower prices. Shower head prices have increased slightly because consumers prefer larger shower heads, and due to their size they are slightly more expensive – resulting in this price increase.

New Housing

The importance of the new housing sector is rather low for the shower accessories market. Therefore, the good results of new dwelling completions in 2019 positively affected total market volume. In 2019, with the exception of shower panels, demand for all products grew.

In 2020, demand is expected to decline, as the construction output will fall following the COVID-19 crisis. Shower panels are rarely installed in a new dwelling, as consumers nowadays prefer a large shower with a rain shower head. As a result, the share of shower panels is declining – and it is believed that this product is likely to almost disappear from the segment. Shower pipes are the most common of shower accessories installed in new housing, as they have a high price and the investment in such a product can be included within the total cost and loan of the new dwelling.

Housing RMI

Shower accessories are typical replacement products, as their lifespan is much lower when compared to other bathroom products. Housing RMI has clearly the highest share when compared to the other two end-use segments. Sales in the RMI segment in 2019 accounted for most shower accessory sales. A similar growth of the RMI market is expected during the forecast period. Only 2020 should see a slight decrease in RMI sales, due to the lockdown that prevented people to buy non-essential goods for a few weeks.

Flexible hoses have the highest share, and the lifespans of these products are significantly shorter than those of shower heads and supports. Shower pipes are not only popular in new dwellings, they are also commonly used in this segment – especially during a full bathroom renovation. It is also simple to upgrade a bathroom by installing a shower pipe where a regular shower set used to be. Therefore, shower pipes are taking market shares from more traditional shower heads.

Non-Housing

According to EUROCONSTRUCT, the non-housing segment recorded a negative output in 2019. However, when compared to 2018 the growth rate increased, and more shower accessories were sold into this segment. Most shower accessories that are sold into the non-housing segment are installed in hotels or sporting facilities – such as sport centres, swimming pools and sports halls. Most shower heads installed in non-housing are fixed.

Supply Structure

The supply of shower accessories is similar to that of sanitary taps and mixers and is characterised by a large variety of suppliers, which are predominantly from Germany – with some imports coming from Italy, France and Scandinavia. Shower supports are believed to mainly be sold as part of a set, as opposed to shower heads and, in particular, flexible hoses. Apart from leading manufacturers, the market for flexible hoses includes many unbranded items, often found in DIY stores, and this explains the high share of 'others'. The flexible hoses of leading manufacturers, such as HANSGROHE, GROHE, HANSA, and IDEAL STANDARD, are often sold as part of a set. It is believed that these manufacturers do not sell a high number of separate flexible hoses.

HANSGROHE is the largest player in the Belgian shower accessories market. The second-strongest player is LIXIL (GROHE), which is reportedly manufacturing some of its shower accessories in Asia. GROHE benefits from strong brand recognition among Belgian consumers, and a large distribution network.

The French VALENTIN's products are imported into Belgium via the BSC, which has a unique strategy: it offers only a few models, which the company sells to several wholesalers under its own brand. Moreover, products are thought to be distributed by the wholesaler CALODAR under its LAFINESS own brand.

ZUCCHETTI products are imported exclusively into Belgium via the wholesaler VAN MARCKE, based in Kortrijk/Courtrai, and are mostly found in the contract market. According to industry feedback, VAN MARCKE has started to produce its own products in China and sell them under its private label. This strategic change influences sales of ZUCCHETTI products, which have been decreasing in the past few years.

IDEAL STANDARD's shower accessory sales only include shower sets, as the company does not offer its products separately. Other market players include the German DORNBRACHT, operating exclusively in the upper/luxury segment.

Shower panels are often supplied to the market by tap and mixer manufacturers such as HANSGROHE and ORAS. DBSI is aiming to be market leader and is mainly active in the three lower price segments. LAFINESS (CALODAR) also competes in this price range, with products sourced from outside Belgium. The

largest share of the market is made up of unbranded products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a small decline in sales of shower accessories. Belgium faced a two-month period of lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

With the exception of 2020, market growth should be positive during the forecast period. Most demand is expected to be from strong RMI activities, and partly from the output of new dwellings, particularly in from 2021 onwards. Shower accessories are more often replaced than other bathroom products such as ceramic sanitary ware and baths. Therefore, the development of replacement demand mainly influences total market dynamics. All products, except for shower panels, should increase in volume on a yearly basis. The strongest growth rates are expected in 2021, to compensate from the lost sales of 2020.

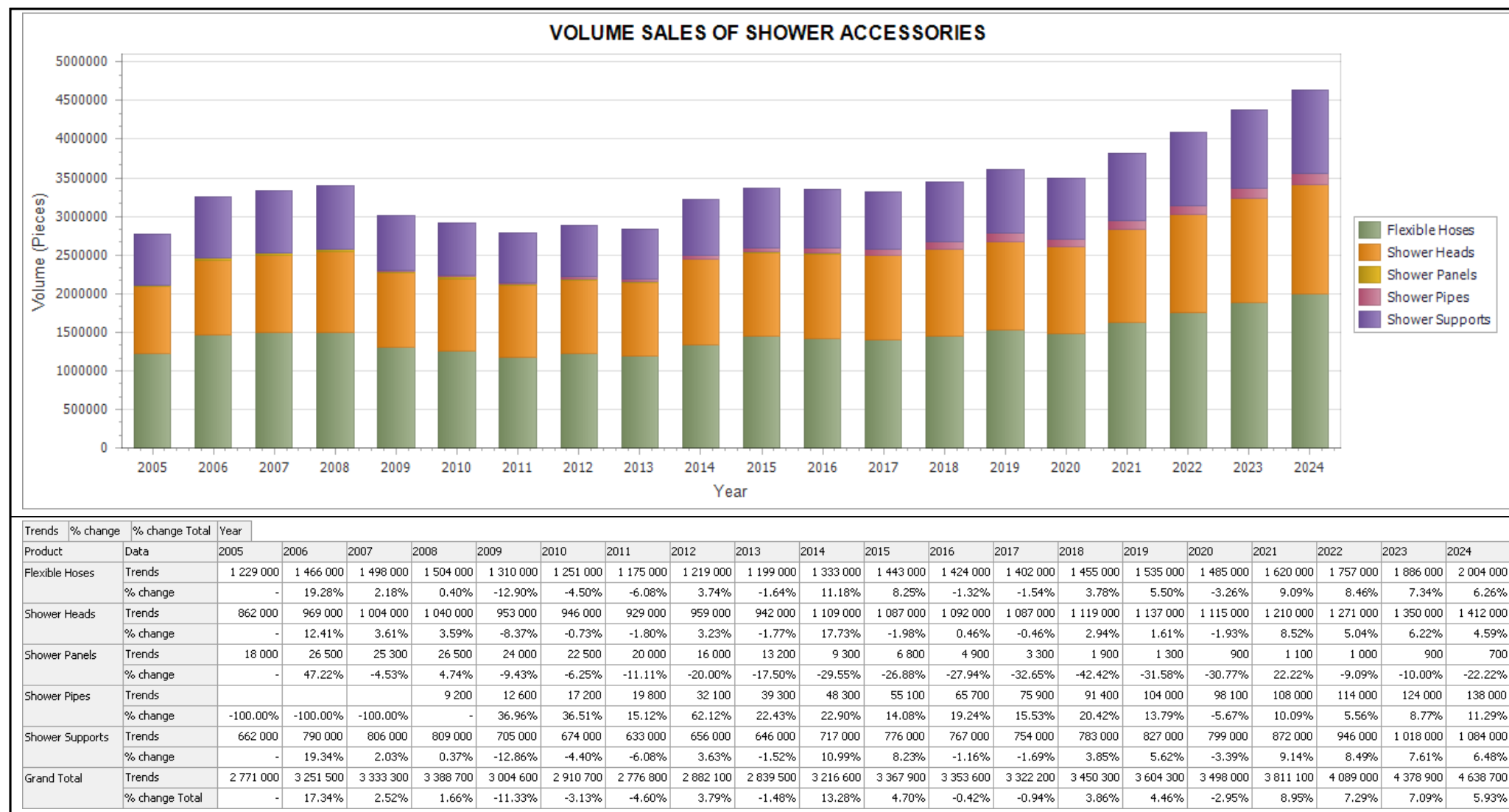
Moreover, the growth of the Belgian shower accessories market is anticipated to increase over the forecast period, in line with the improving macroeconomic climate and willingness of Belgian consumers to keep investing in their homes. With living space in growing demand, rented apartments are becoming more attractive and they are increasingly refurbished. In many cases, when a bathroom is completely renovated, a large shower is likely to replace an old bath, unless there is available space for both. This general trend is believed will fuel demand for shower accessories. Moreover, end consumers might want to spend more to not only install a larger shower, but also one that is more luxurious, e.g. a rain shower. This trend might encourage Belgian homeowners to spend more on shower accessories. All these drivers could however depend on how fast Belgium recovers from the COVID-19 crisis.

The market for shower accessories is likely to benefit from the residential construction market, although this will largely depend on its fluctuation over the years. Additionally, the market for shower accessories, and particularly shower heads, benefits from the upward trend towards showering and away from bathing, as well as that of having a separate bath and a separate shower area. The

performance of the Belgian shower accessories market is largely driven by consumer confidence and investment, as well as by levels of construction output. Any major reductions in these areas would thus strongly constrict demand.

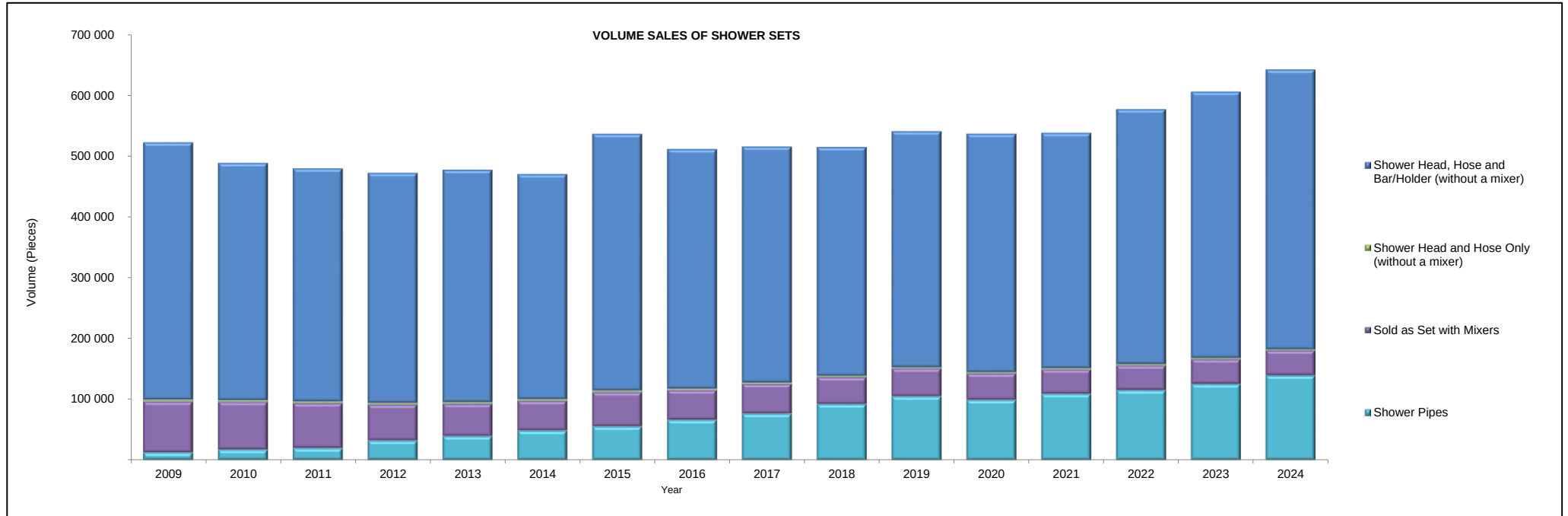
7.2.1 Historical Trends & Forecasts : Shower Accessories

BE - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

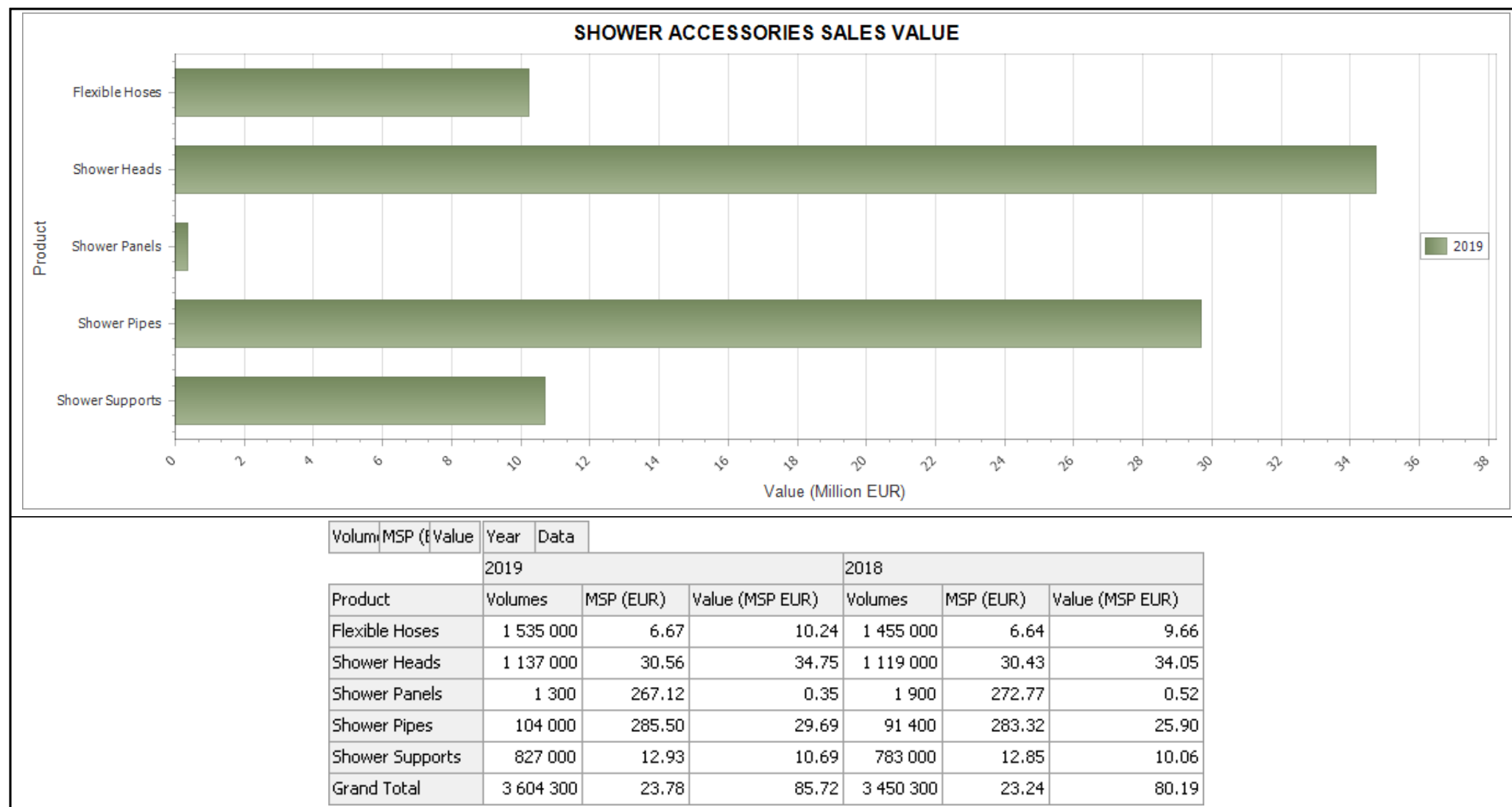
7.2.2 Historical Trends and Forecasts : Shower Sets
BE - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	424 000	391 000	384 000	379 000	383 000	371 000	423 000	395 000	389 000	377 000	389 000	393 000	388 000	420 000	439 000	461 000
	% Change	-	-7.78%	-1.79%	-1.30%	1.06%	-3.13%	14.02%	-6.62%	-1.52%	-3.08%	3.18%	1.03%	-1.27%	8.25%	4.52%	5.01%
	Shower Head and Hose Only (without a mixer)	2 400	2 100	2 100	2 100	2 100	2 000	2 300	2 000	1 800	1 900	1 900	1 900	2 000	2 100	2 000	2 000
	% Change	-	-12.50%	0.00%	0.00%	0.00%	-4.76%	15.00%	-13.04%	-10.00%	5.56%	0.00%	0.00%	5.26%	5.00%	-4.76%	0.00%
	Sold as Set with Mixers	83 500	78 300	73 700	59 100	53 100	49 000	56 200	48 900	48 900	44 500	45 900	43 700	40 300	41 000	41 000	41 400
	% Change	-	-6.23%	-5.87%	-19.81%	-10.15%	-7.72%	14.69%	-12.99%	0.00%	-9.00%	3.15%	-4.79%	-7.78%	1.74%	0.00%	0.98%
	Shower Pipes	12 600	17 200	19 800	32 100	39 300	48 300	55 100	65 700	75 900	91 400	104 000	98 100	108 000	114 000	124 000	138 000
	% Change	-	36.51%	15.12%	62.12%	22.43%	22.90%	14.08%	19.24%	15.53%	20.42%	13.79%	-5.67%	10.09%	5.56%	8.77%	11.29%
Grand Total		522 500	488 600	479 600	472 300	477 500	470 300	536 600	511 600	515 600	514 800	540 800	536 700	538 300	577 100	606 000	642 400
% Change Total		-	-6.49%	-1.84%	-1.52%	1.10%	-1.51%	14.10%	-4.66%	0.78%	-0.16%	5.05%	-0.76%	0.30%	7.21%	5.01%	6.01%

Source: BRG based on Industry Interviews.

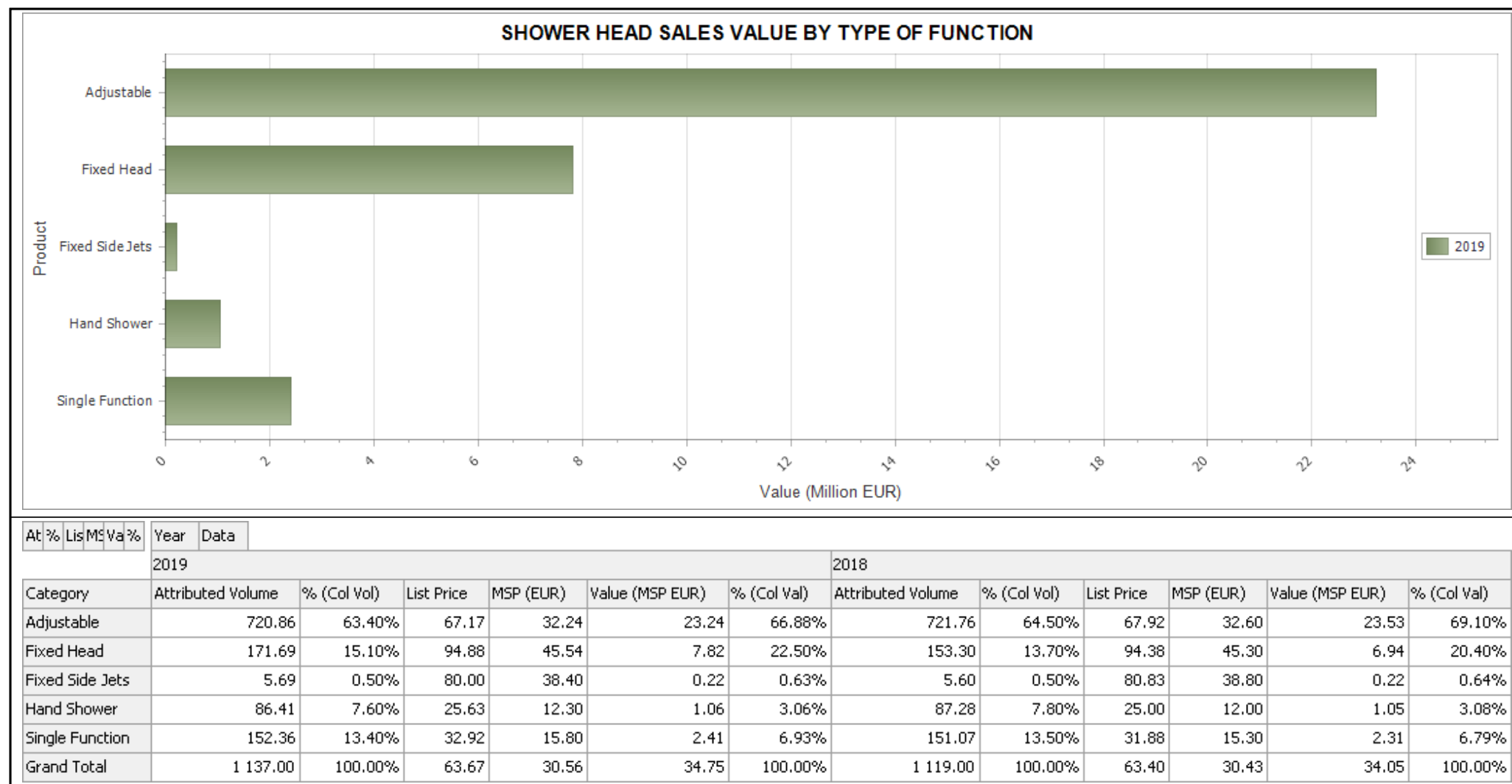
7.3.1 Prices and Market Values : Shower Accessories
BE - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

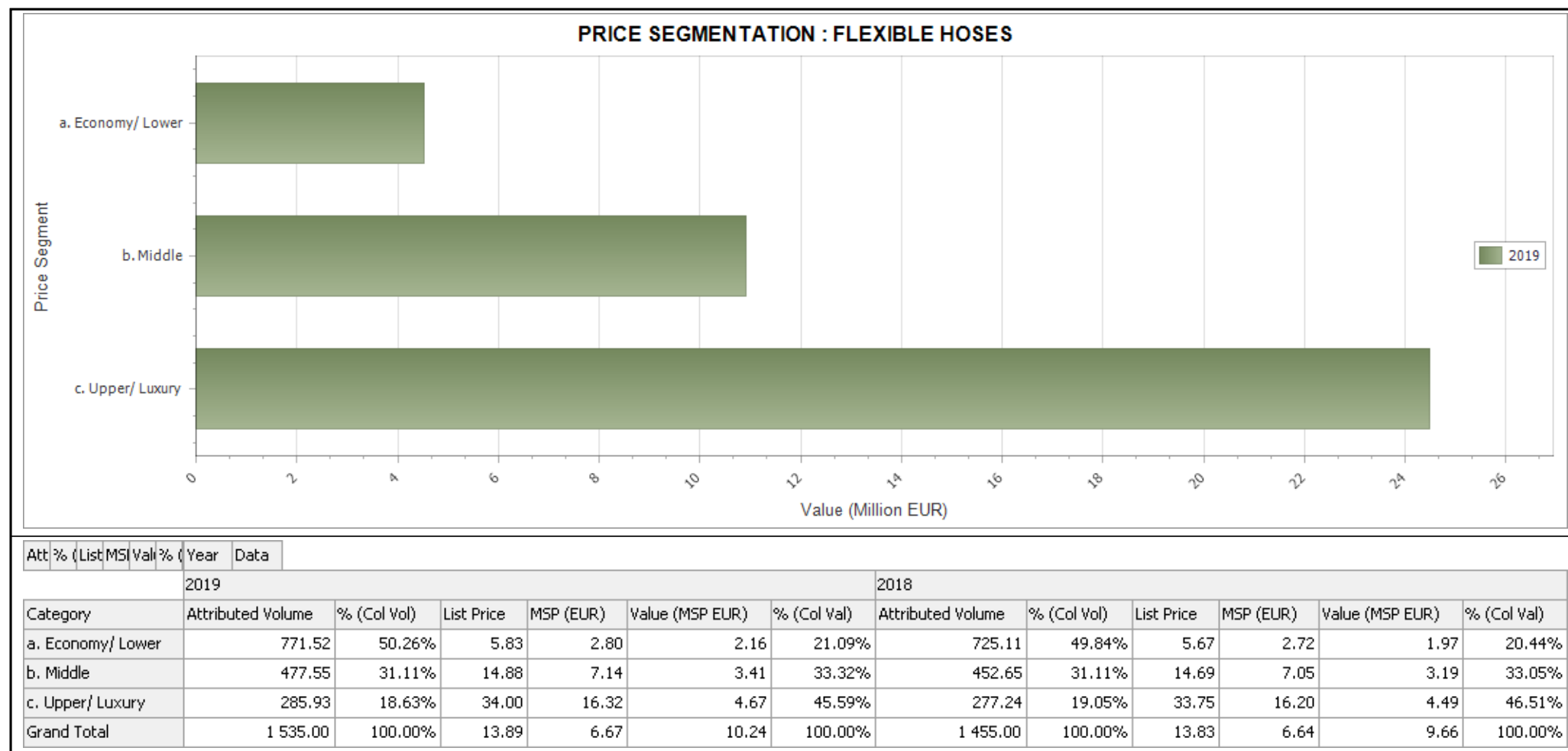
BE - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

BE - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

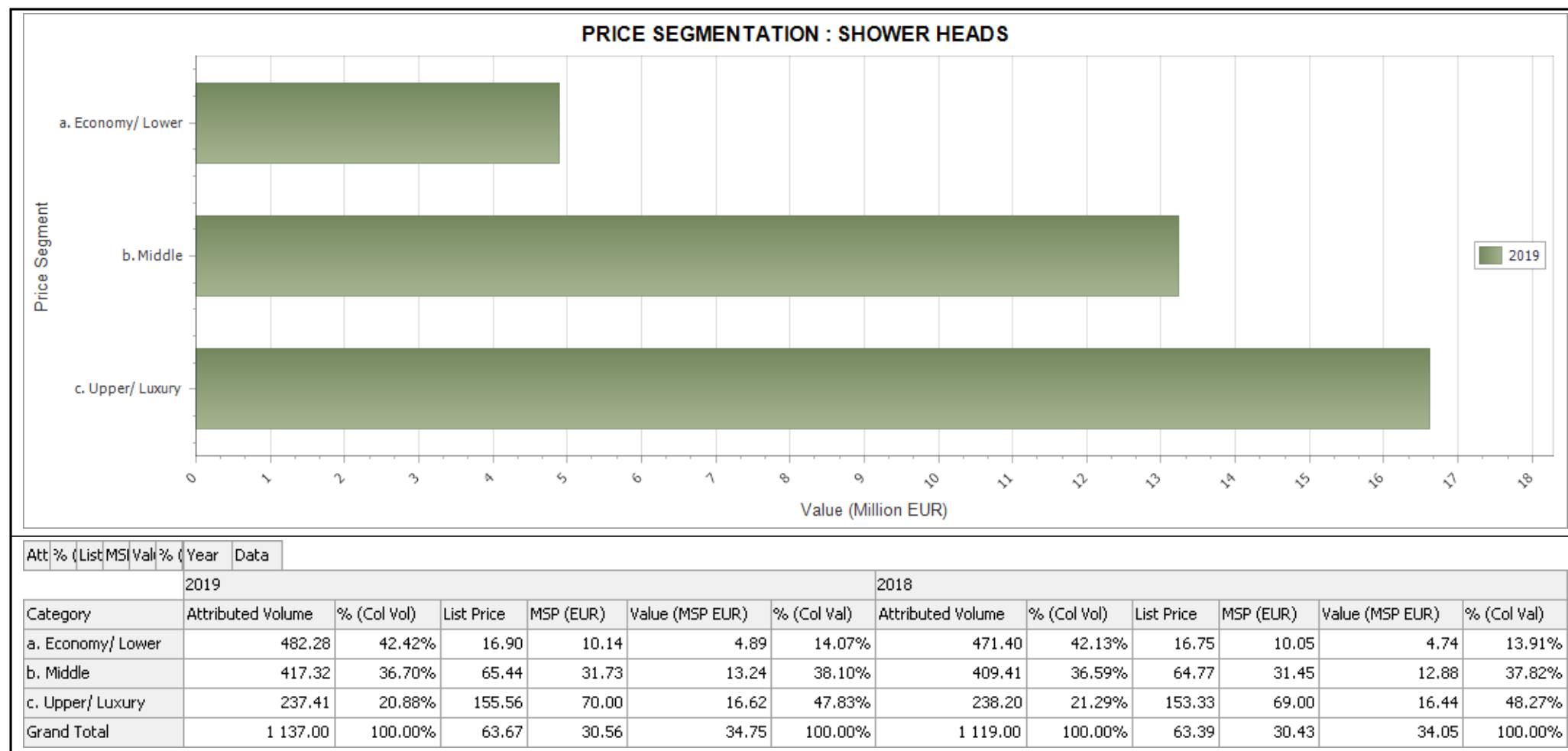


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

7.3.4 Price Segmentation : Shower Heads

BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

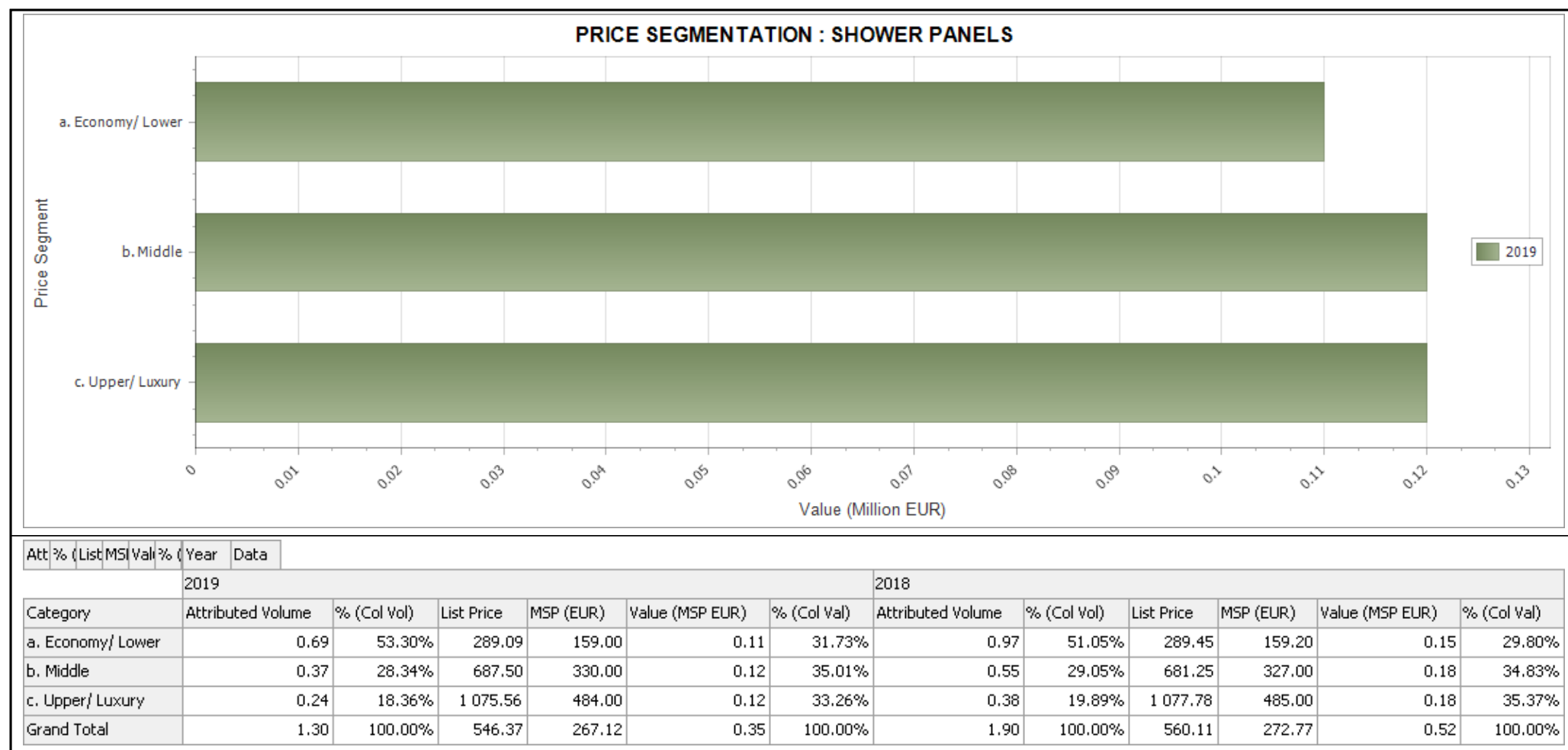


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

7.3.5 Price Segmentation : Shower Panels

BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

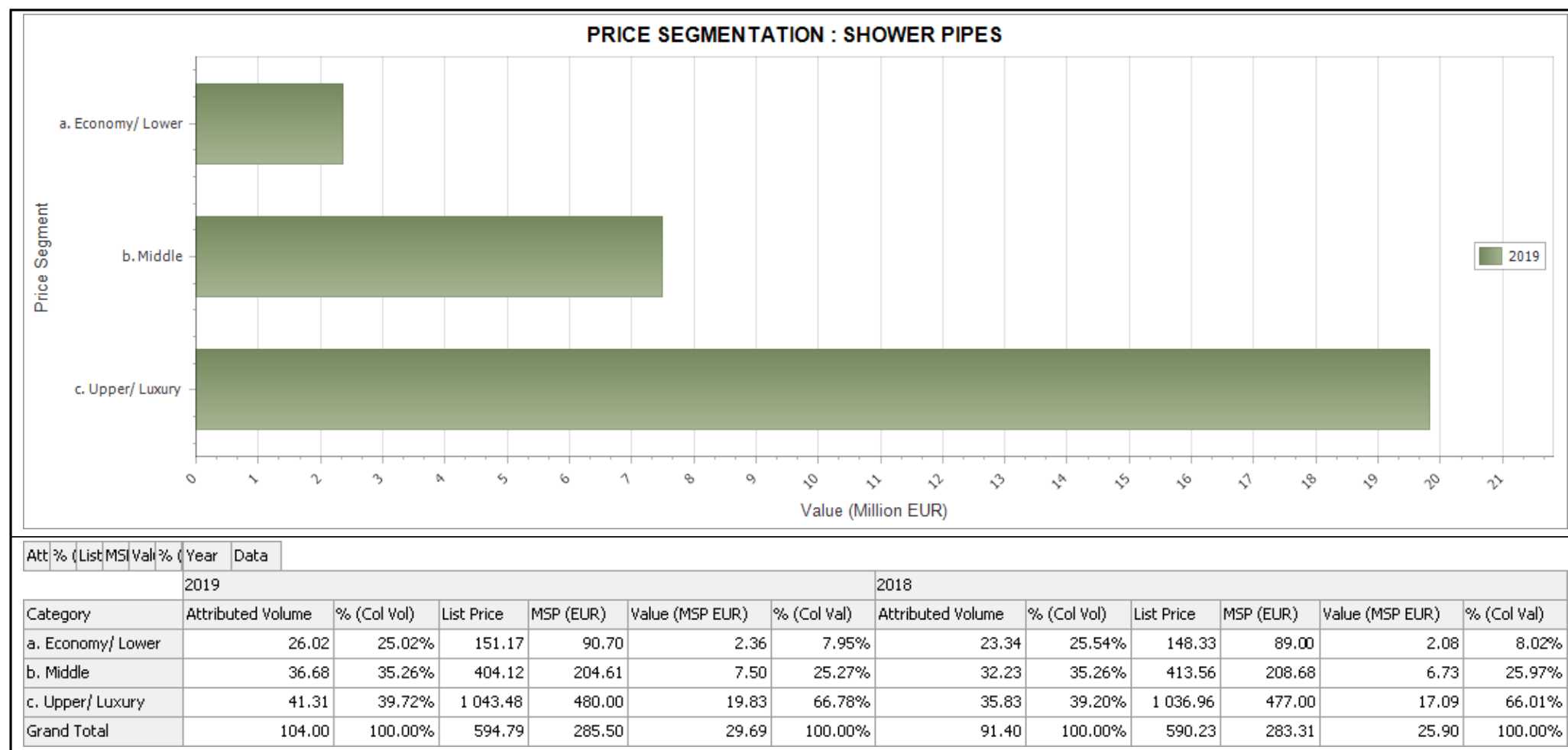


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.6 Price Segmentation : Shower Pipes

BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

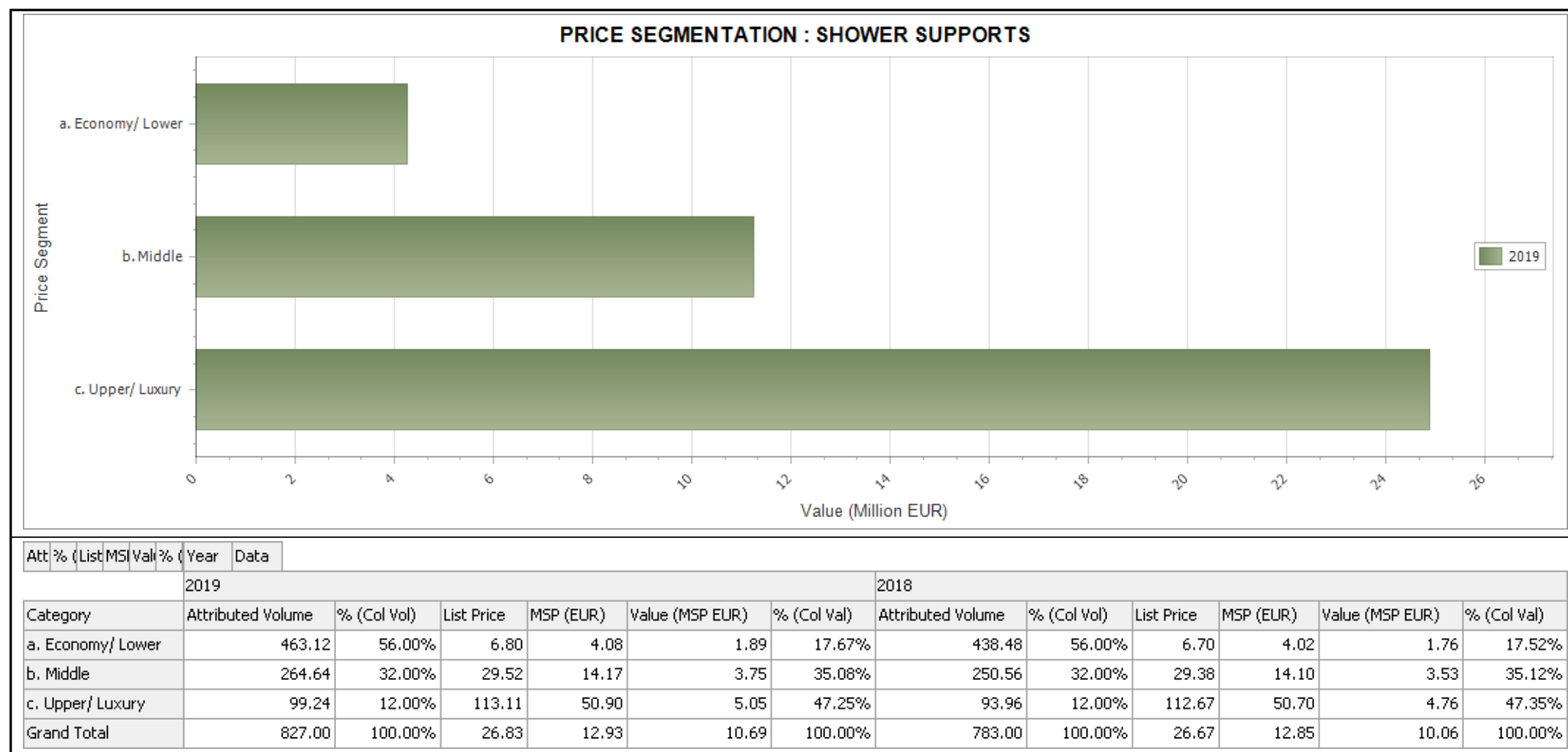


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

7.3.7 Price Segmentation : Shower Supports

BE - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

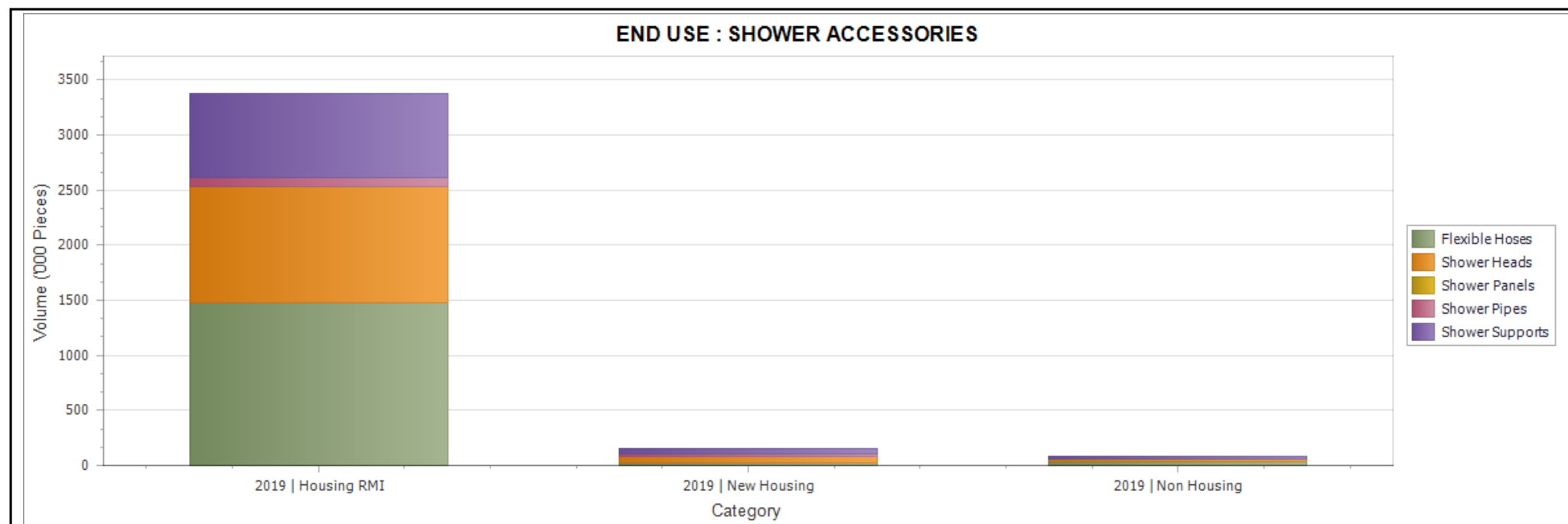


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.4.1 End Use : Base Year

BE - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

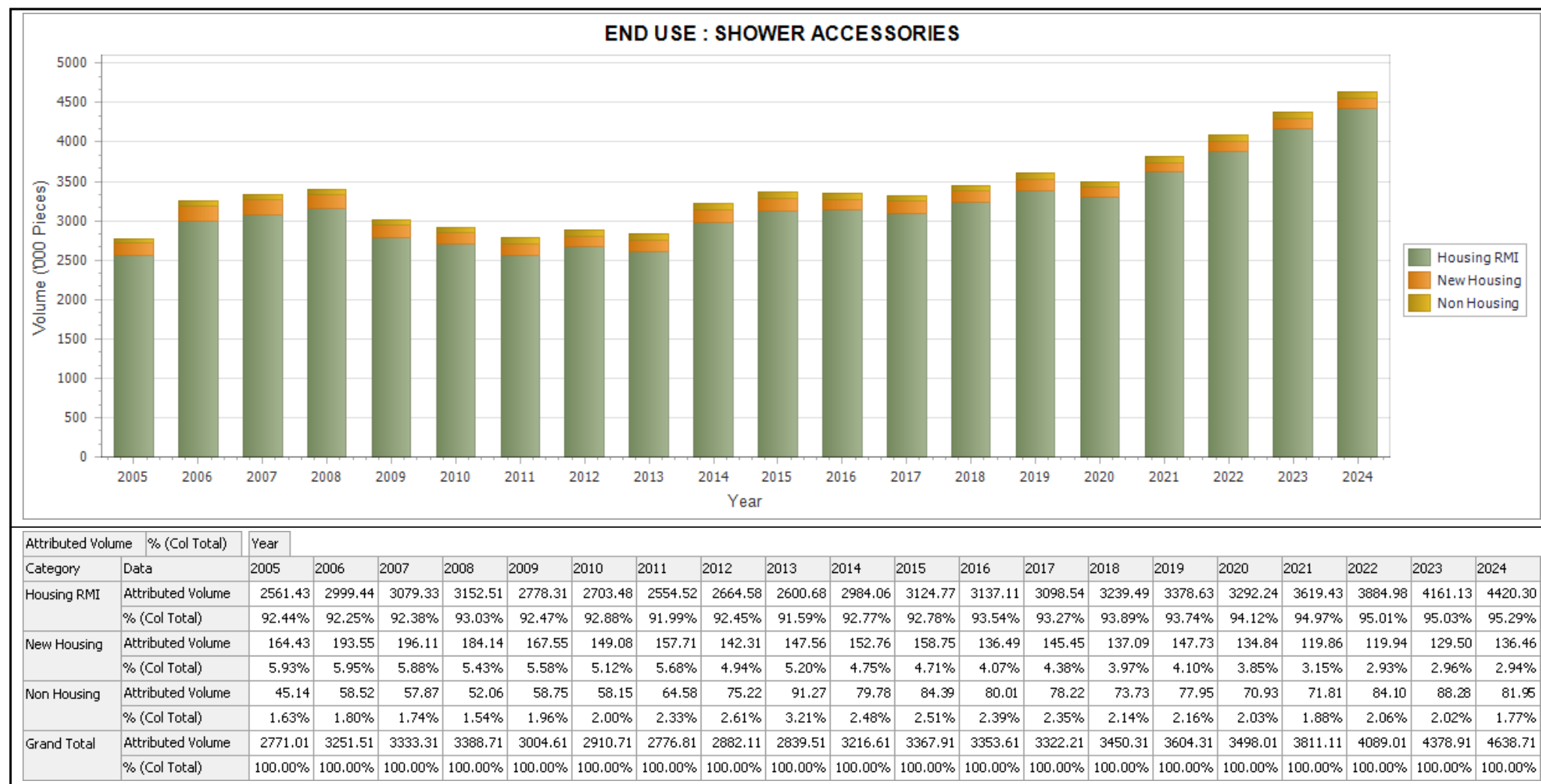


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										Grand Total		
Housing RMI			New Housing			Non Housing						
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	1479.43	43.79%	96.38%	26.22	17.75%	1.71%	29.35	37.65%	1.91%	1535.00	42.59%	100.00%
Shower Heads	1049.38	31.06%	92.29%	58.92	39.88%	5.18%	28.71	36.82%	2.52%	1137.00	31.55%	100.00%
Shower Panels	1.04	0.03%	79.57%	0.17	0.12%	13.21%	0.09	0.12%	7.22%	1.30	0.04%	100.00%
Shower Pipes	86.88	2.57%	83.54%	15.11	10.23%	14.53%	2.01	2.58%	1.93%	104.00	2.89%	100.00%
Shower Supports	761.90	22.55%	92.13%	47.31	32.03%	5.72%	17.79	22.83%	2.15%	827.00	22.94%	100.00%
Grand Total	3378.63	100.00%	93.74%	147.73	100.00%	4.10%	77.95	100.00%	2.16%	3604.31	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

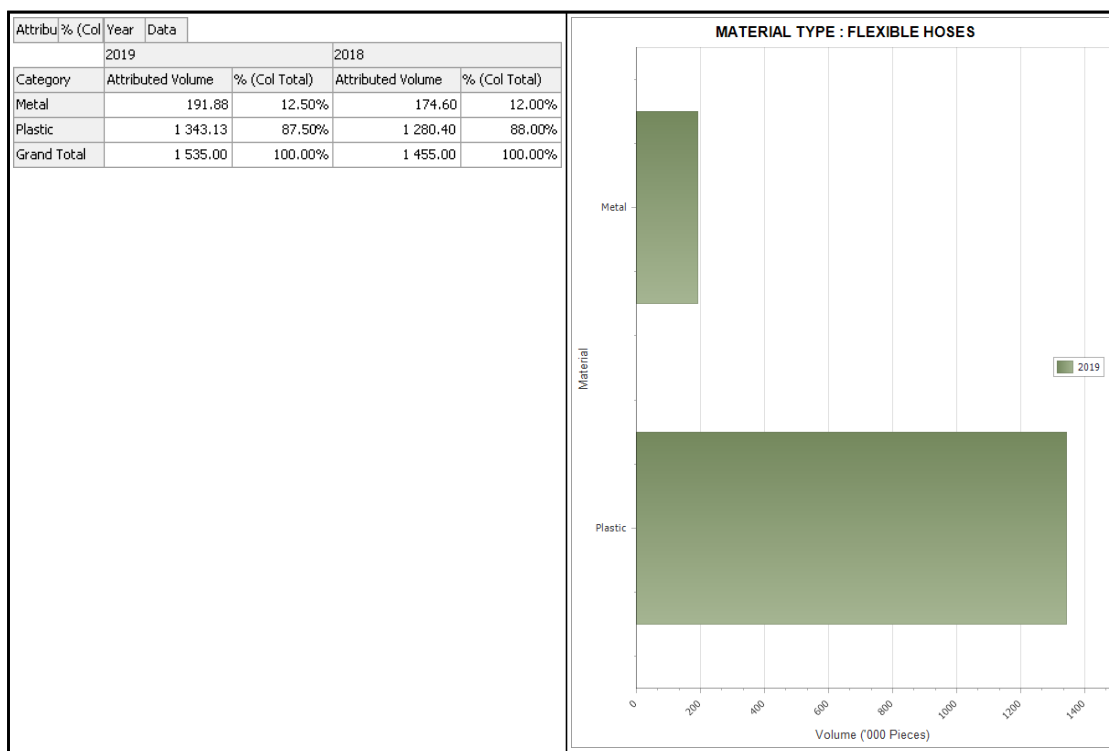
BE - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

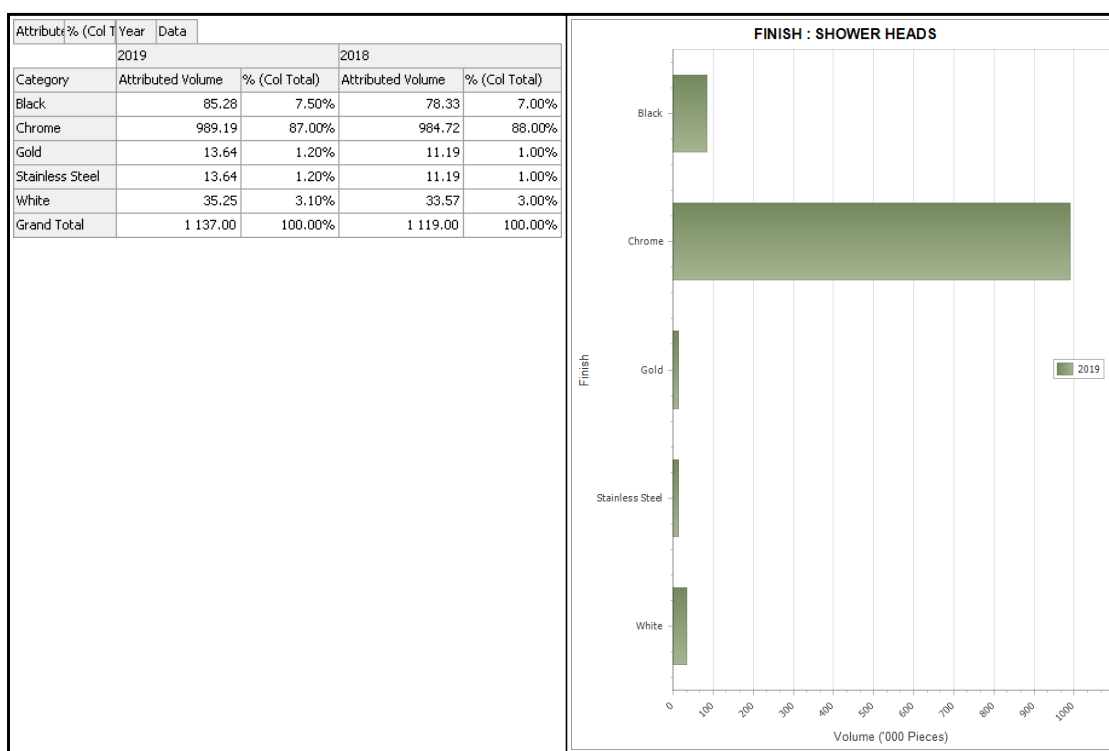
BE - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

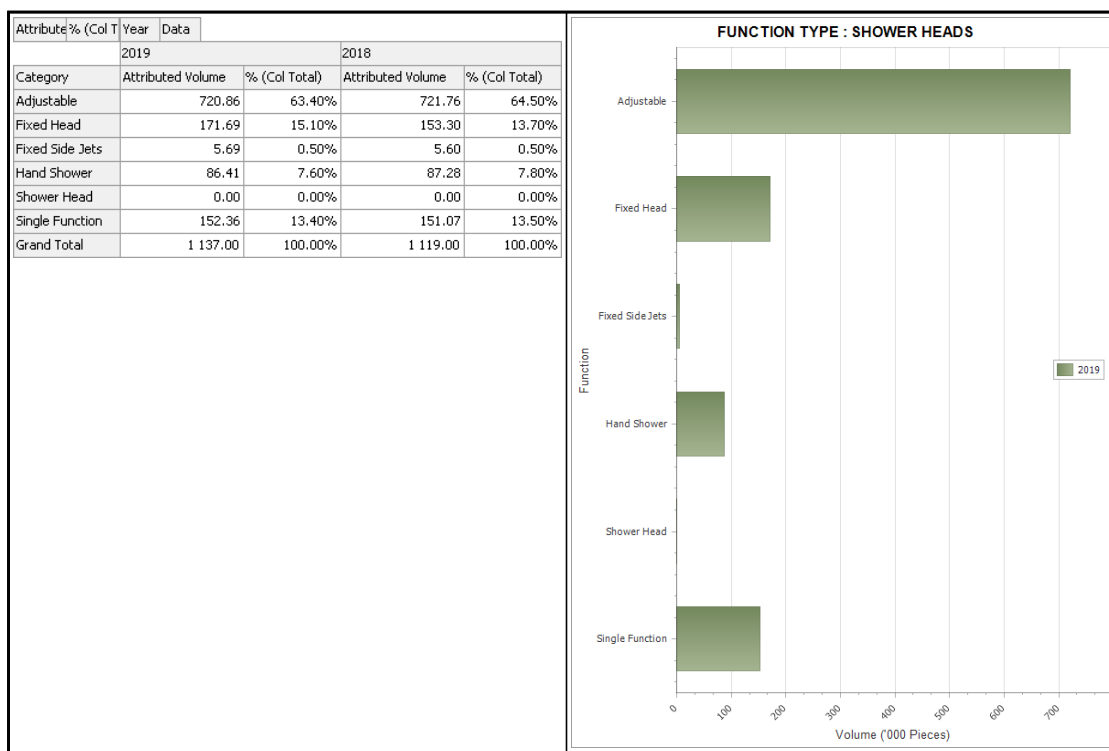
BE - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

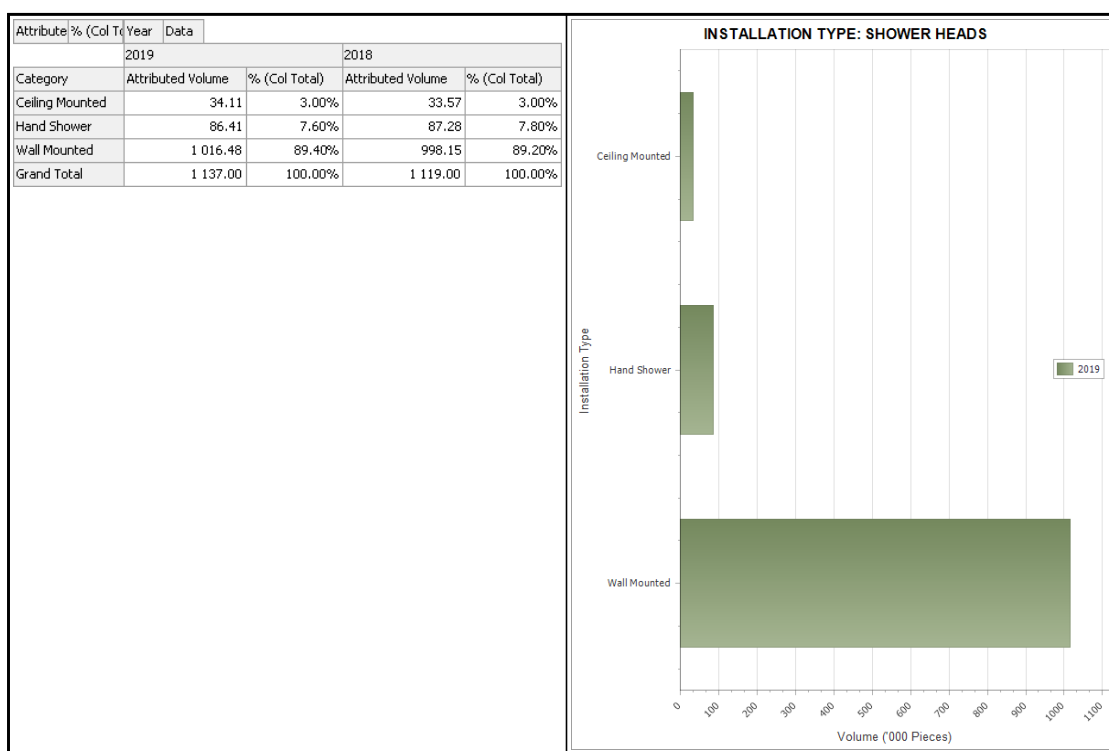
BE - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

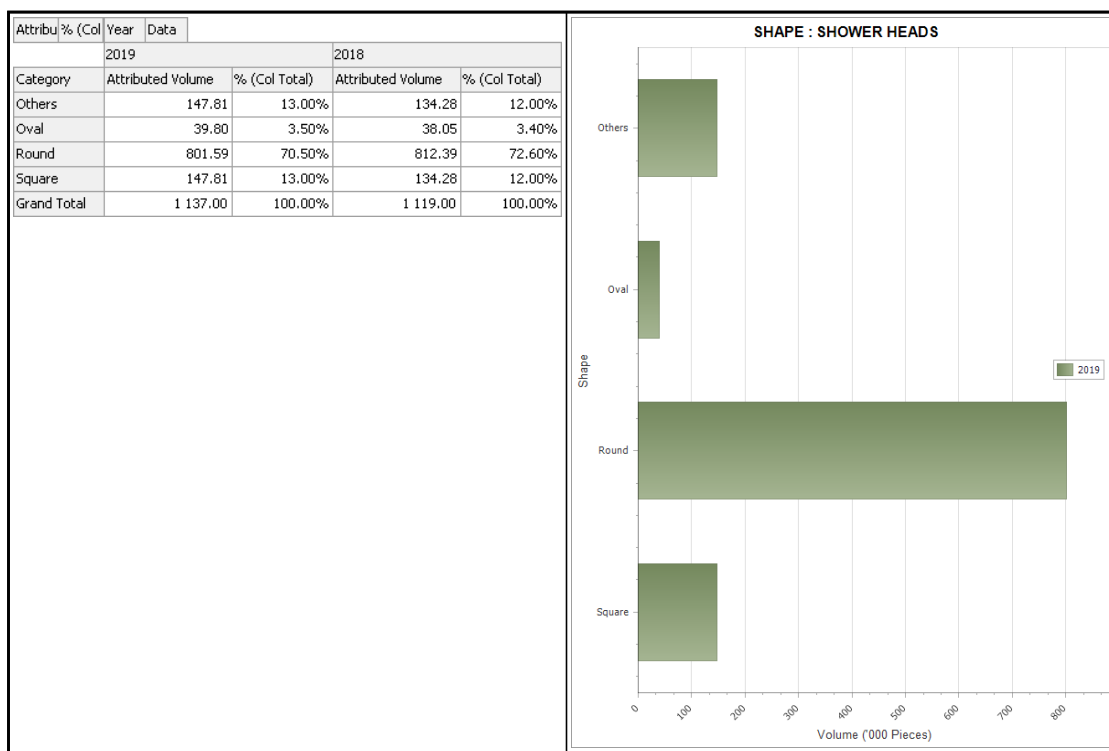
BE - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

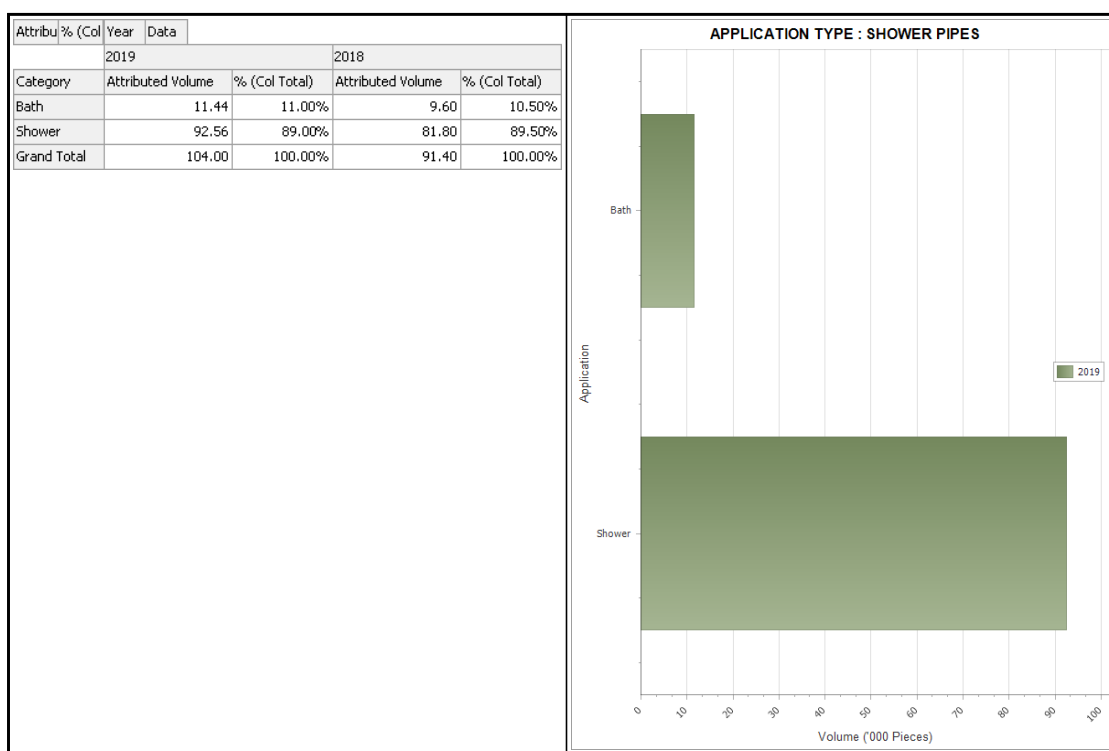
BE - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

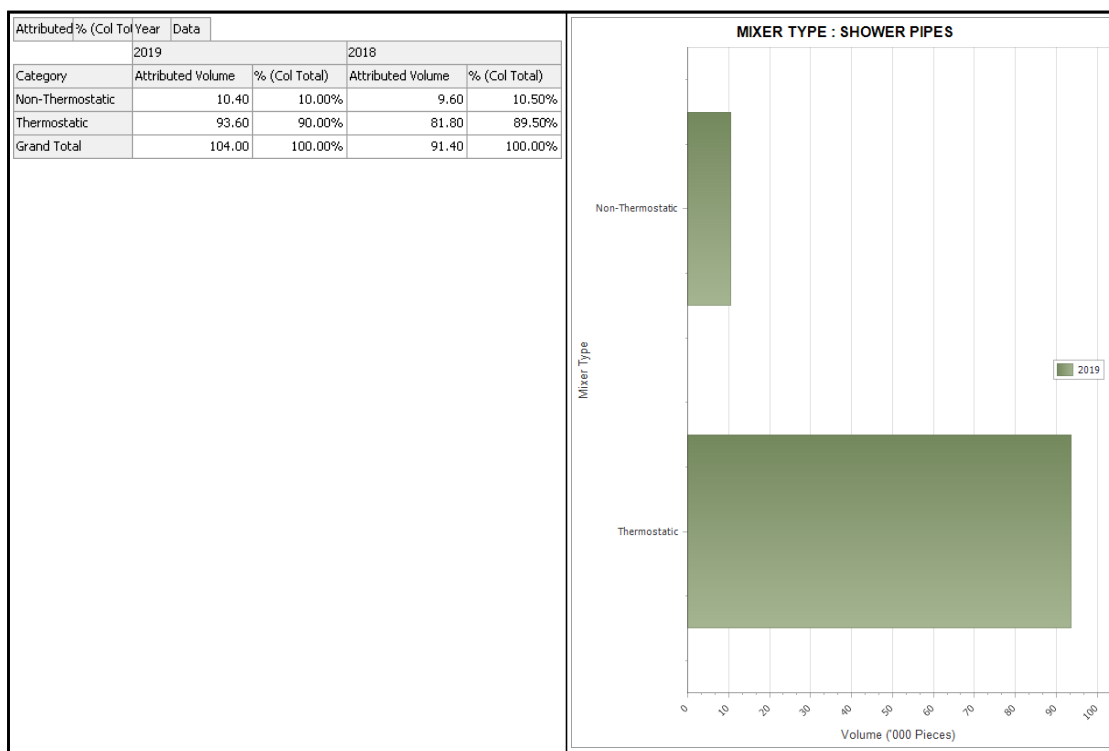
BE - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

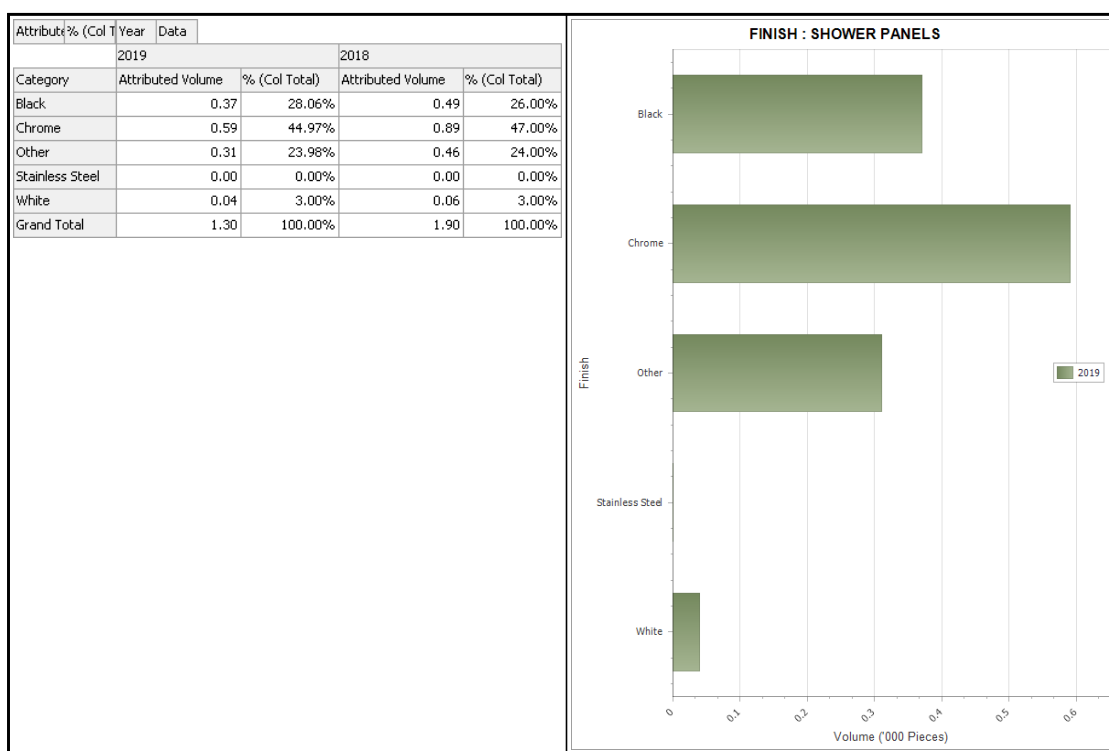
BE - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish : Shower Panels

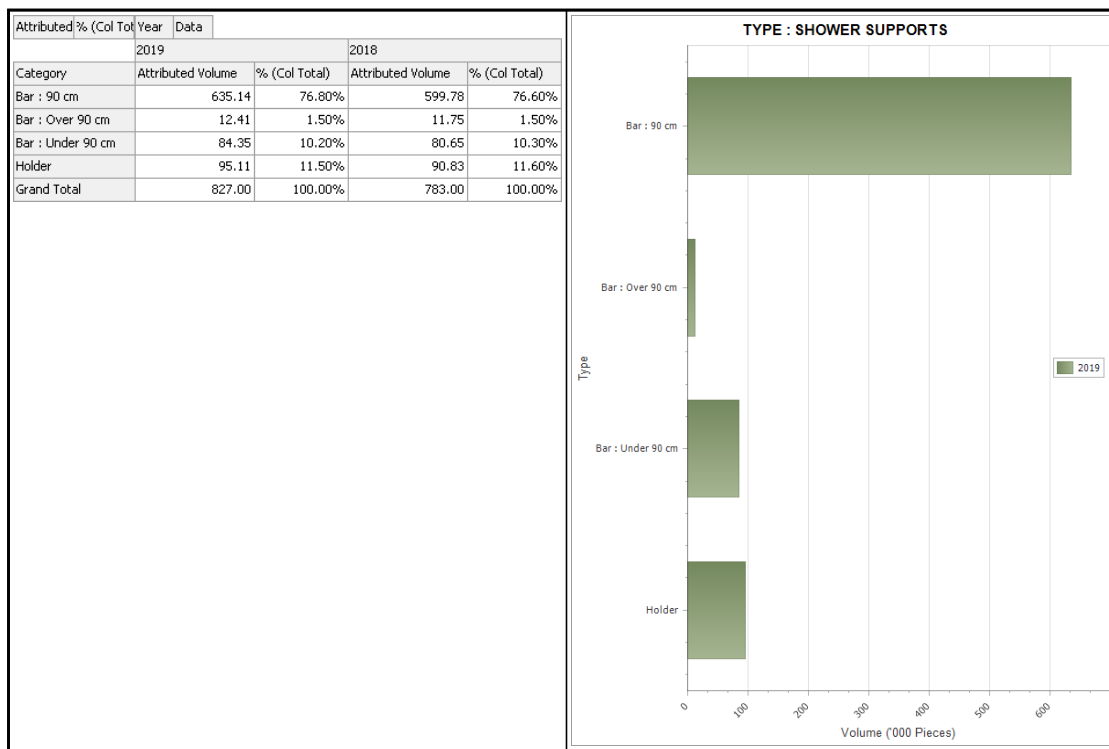
BE - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

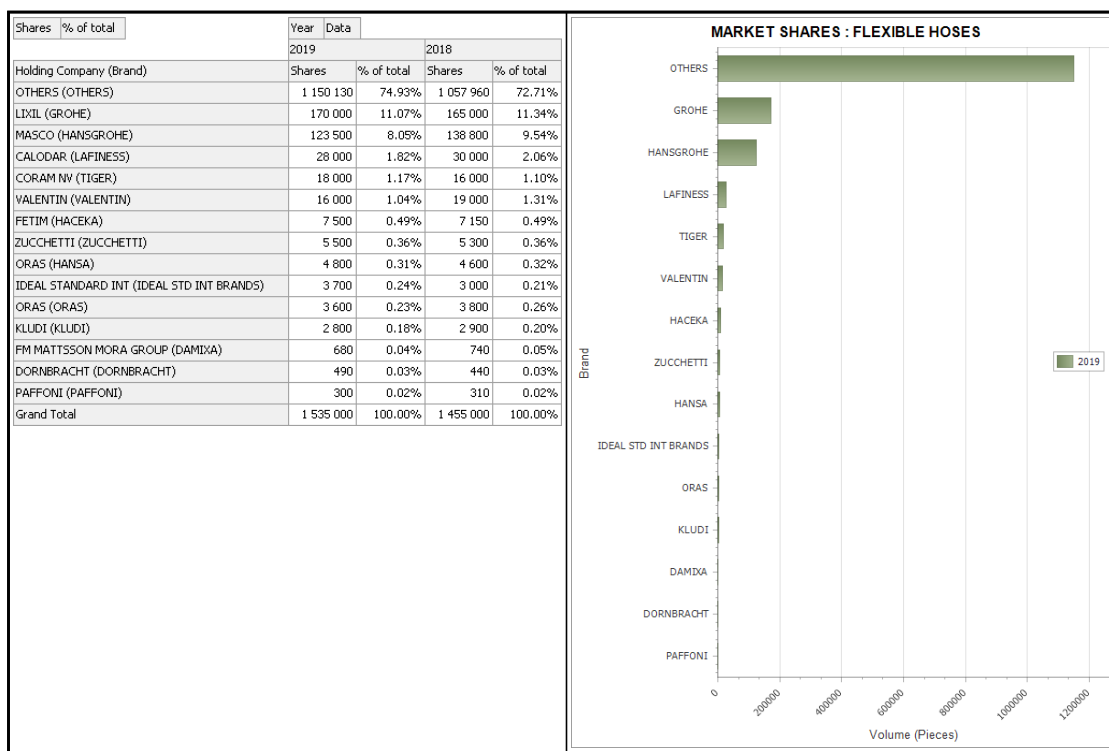
BE - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

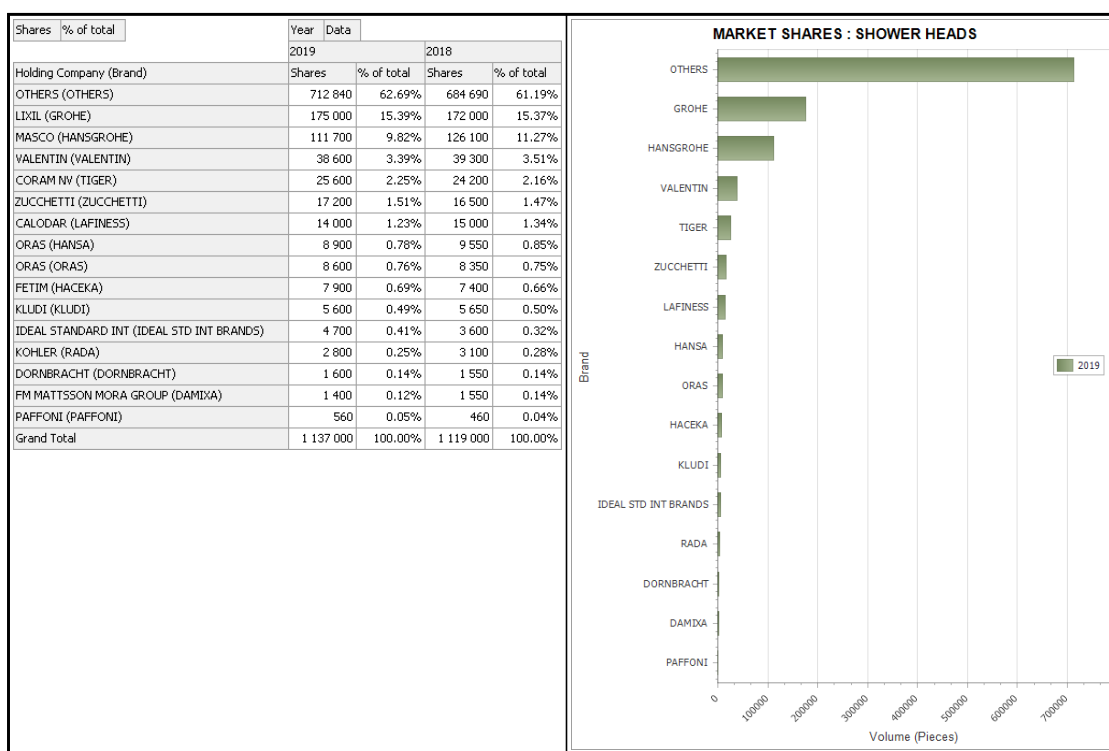
BE - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

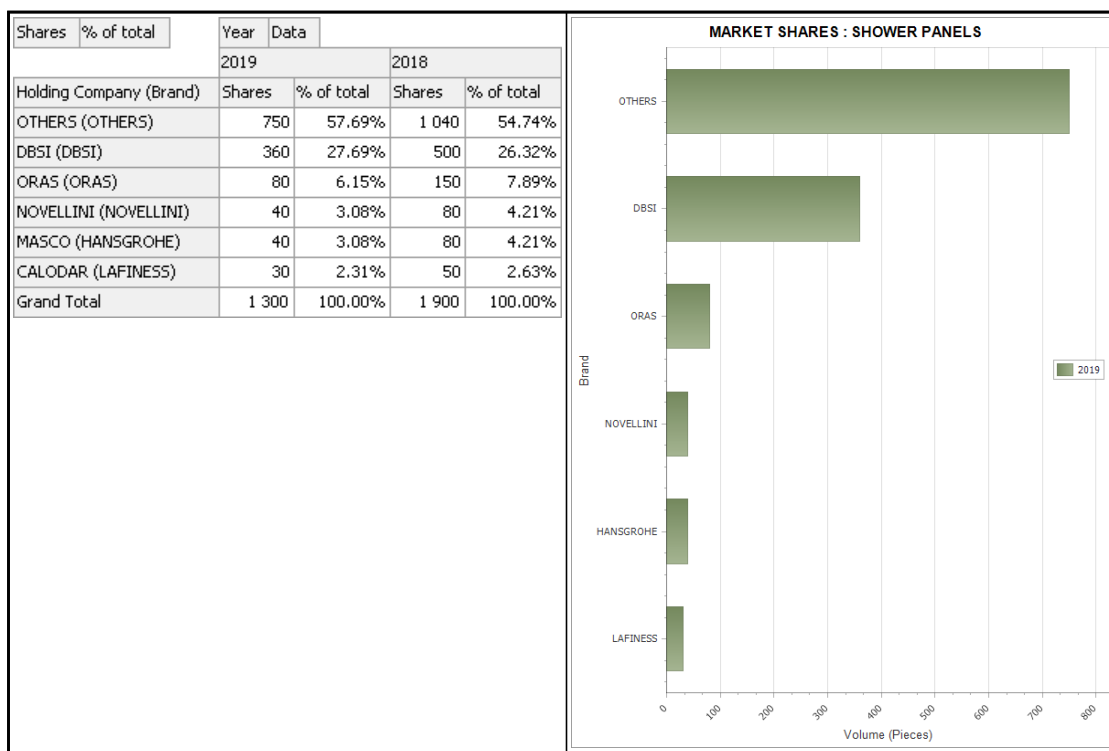
BE - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

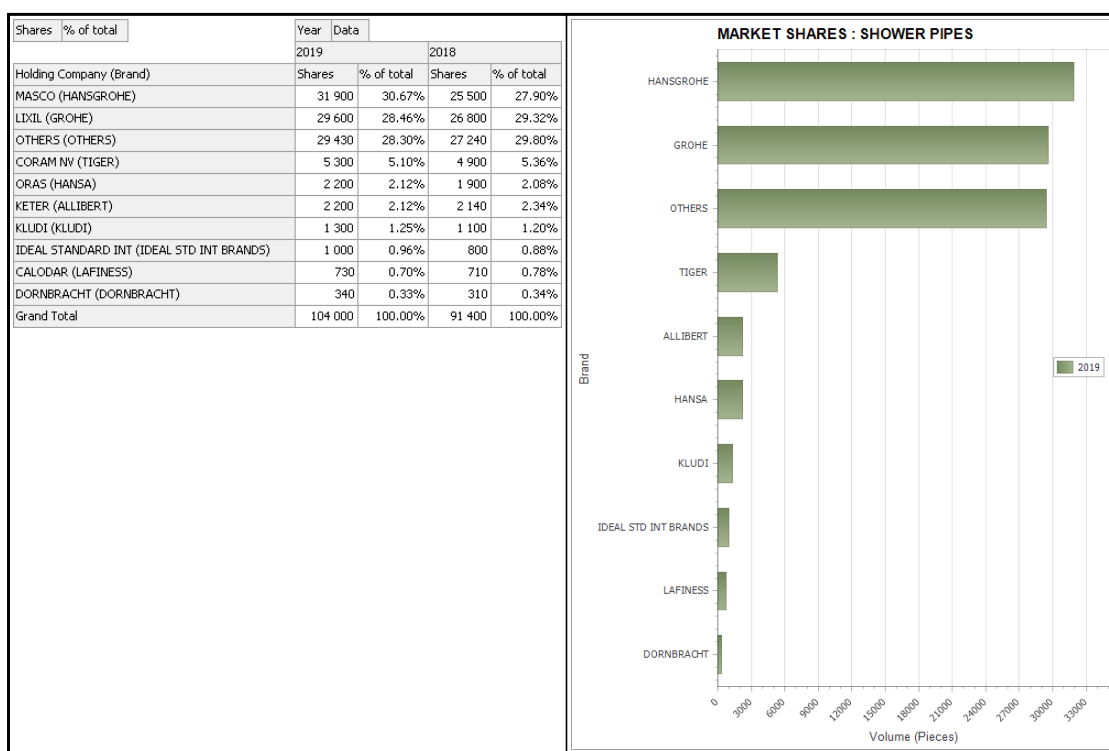
BE - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

BE - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
BE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

47.8%
Wholesalers / Merchants
47.8%

Retail Level

Manufacturer	Wholesaler
3.8%	5.5%
Internet Retailers	
9.3%	

Manufacturer	Wholesaler
33.2%	4.4%
DIY Retailers	
37.6%	

Manufacturer	Wholesaler
15.1%	19.4%
Specialist Retailers	
34.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.4%	0.0%	5.6%	5.2%
Installers				
23.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.1%	9.3%	32.0%	29.3%	23.1%
Residential					
97.8%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	2.0%	0.0%	0.0%	0.0%	0.1%
Non-Residential					
2.2%					

New Build			Residential RMI		
4.1%			93.8%		
Project	Non-Project		Project	Non-Project	
2.7%	1.4%		7.5%	86.3%	

New Build			Non-Residential RMI		
0.8%			1.4%		
Project	Non-Project		Project	Non-Project	
0.6%	0.1%		0.9%	0.5%	

7.6.2

Route to Market: Shower Accessories
BE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

47.5%
Wholesalers / Merchants
47.5%

Retail Level

Manufacturer	Wholesaler
4.7%	7.4%
Internet Retailers	
12.1%	

Manufacturer	Wholesaler
31.8%	4.3%
DIY Retailers	
36.1%	

Manufacturer	Wholesaler
15.9%	18.6%
Specialist Retailers	
34.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	11.2%	0.0%	5.4%	5.2%
Installers				
21.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.00%	4.4%	12.1%	30.7%	29.3%	21.6%
Residential					
98.2%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	1.6%	0.0%	0.0%	0.0%	0.1%
Non-Residential					
1.8%					

New Build			Residential RMI		
3.1%			95.1%		
Project	Non-Project		Project	Non-Project	
2.0%	1.1%		7.6%	87.5%	

New Build			Non-Residential RMI		
0.6%			1.2%		
Project	Non-Project		Project	Non-Project	
0.5%	0.1%		0.8%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

BE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

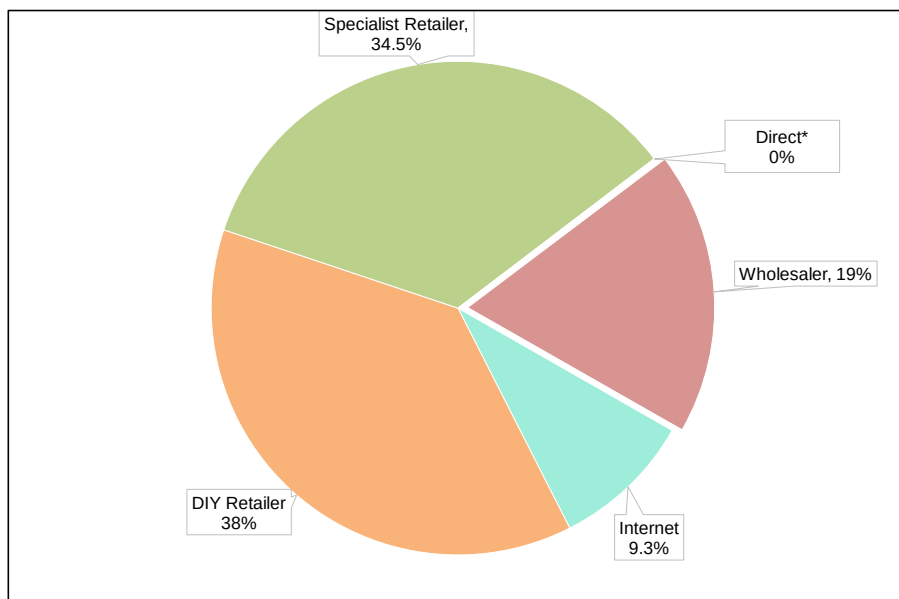
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.5%	9.3%	37.6%	34.5%	0.1%	10.2%	1.6%	87.7%	0.6%
100%					11.7%		88.3%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

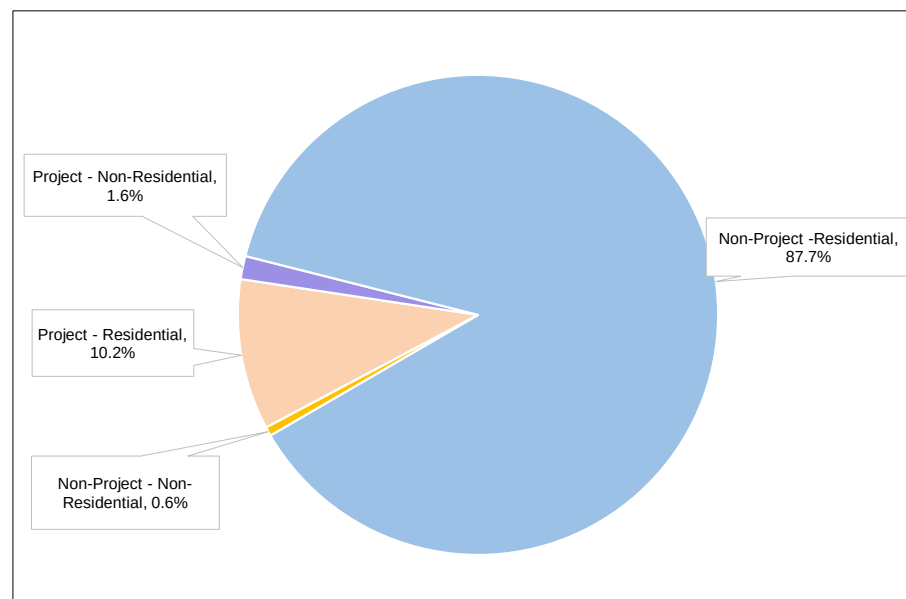
BE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.2%	12.1%	36.1%	34.5%	0.1%	9.5%	1.3%	88.7%	0.5%
100%					10.8%		89.2%	

BE - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



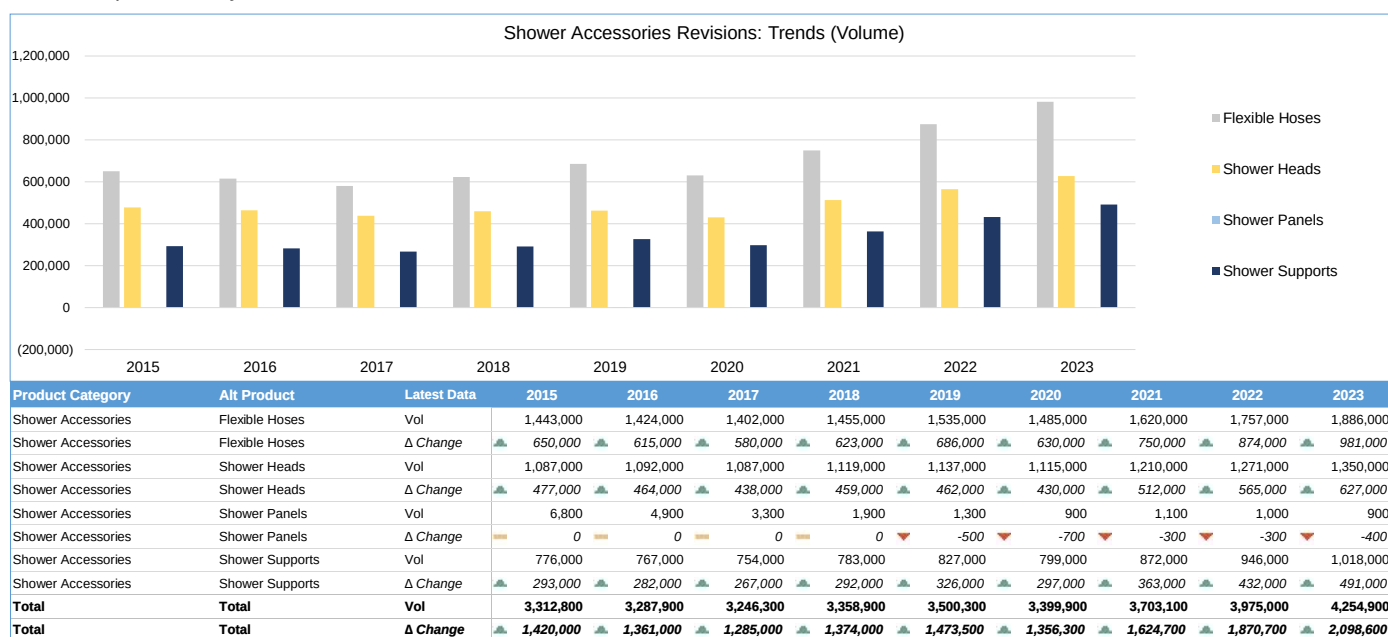
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Belgian Shower Accessories Market (July 2020)

BE - REVISIONS IN THE BELGIAN SHOWER ACCESSORIES MARKET

Data Comparison: July 2019



The overall market sizes for shower supports, shower heads and flexible hoses were revised upwards historically. After further analysis and feedback from manufacturers, it became clear that the previous replacement ratio for these products was underestimated. Indeed, shower accessories tend to be replaced even more often than shower taps and mixers themselves. In line with the changes made to market sizes of taps and mixers, the market for shower accessories was revised to reflect the higher volumes sold due to replacement.

Moreover, further research also suggested that imports from China were also misjudged. These products are largely sold through DIY stores, such as MAXEDA's BRICO stores, as well as well private labels and account for significant portion of total sales in the country. Share of private labels within DIY chains also increased strongly in the last decade, pushing the overall importance of Chinese imports higher.

BELGIUM

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Belgian kitchen sink market is dominated by the stainless steel models. The share of stainless steel products in the market has historically been high. Ceramic and synthetic sinks have traditionally been competing for the remaining share. The clear winner of this competition is synthetic sinks, which in the past decade have grown more significant, while ceramic kitchen sinks have been gradually losing market share. Demand for kitchen sinks follows the development of kitchen furniture, since with every new kitchen comes a new kitchen sink.

Stainless steel kitchen sinks are popular due to their favourable prices, as well as an increasing range of designs and configurations. Cheaper prices make it easy for them to compete against their synthetic counterparts. A common layout remains the 1.5 basin.

The ceramic kitchen sink market segment is small, and has been mainly declining since 2005. Within this style, traditional-sized sinks are most common – with 800 mm by 500 mm and a depth of 200 mm. They are typically sold with two basins in one construction, and they are classified as countertop sinks. Generally, ceramic sinks are perceived as ‘rustic’ and they are often found in retro kitchens, traditional houses and farms. Sales are likely to remain marginal and the product is expected to remain a niche segment. The main reasons for this are the fact that they are difficult to install, and quite expensive when compared to their steel counterparts.

Demand for synthetic kitchen sinks has increased strongest during the last decade. According to industry feedback, they mainly compete with ceramic sinks, and to a lesser degree with stainless steel products. Synthetic sinks are preferred for their look and design, as well as their black and white colours. Moreover, synthetic sinks are believed to be somewhat easier to clean when compared to stainless steel sinks. In the past, synthetic sinks experienced problems with their quality when it comes to heat. Resin sinks broke into two pieces when exposed to extreme heat, and this had a negative influence on their image.

Recent Market Trends

The Belgian kitchen sink market experienced a small decline in 2019 when compared to the previous year. Even though demand from new housing increased, due to more dwelling completions, the bulk of the drop can be attributed to the fall in RMI projects. The good performance of the new housing segment had a strong influence on stainless steel sinks sales, which are a standard in a new kitchen. The Belgian kitchen sink market is dominated by stainless steel kitchen sinks, which have a long lifespan and, therefore, are typically replaced when a new kitchen is installed.

However, sales of stainless steel sinks declined in 2019, for the reason mentioned above. Ceramic kitchen sinks sales experienced stable sales, in line with steady

volume of housing RMI sales. Stainless steel sinks sales dropped, while synthetic sinks sales experienced a slight growth. Nowadays, colourful kitchen sinks are popular amongst Belgian consumers. Synthetic kitchen sinks are benefitting from this trend, as these are widely available in different colours. Composite kitchen sinks are gaining share amongst all types of kitchen sinks. They are the second-most installed type in the Belgian market. End consumers and installers are getting more familiar with the product and its benefits. In the past years, synthetic sinks gained market share from the stainless steel market, yet to a minor extent. A reason for this is the flexible use of composite as a material, which is easier to resize and readjust on the site of installation. Moreover, manufacturers can more easily offer customised kitchen sinks to meet end consumers' expectations.

Prices and Market Values

The MSPs of all three kitchen sink products increased in 2019 when compared to the previous year. Prices increased to cover for inflation, and higher raw material and labour costs. Overall, consumers are willing to spend more on their kitchens, which in turn benefits demand for kitchen sinks. Since kitchens are increasingly becoming part of the living area, more expensive products are being chosen.

At the same time, there is a great number of different suppliers, who compete for sales by reducing prices and by offering discounts. Overall, the strongest price increase was registered for stainless steel kitchen sinks, followed by ceramic and synthetic sinks.

New Housing

Sales of kitchen sinks going to new build increased in 2018, due to there being more new dwelling completions. Most kitchen sinks going into the new build segment are stainless steel, which is partially explained by the high share of project-based constructions in Belgium. Stainless steel products are available at lower prices, and they fit the general preference. Sales of all three types of kitchen sinks increased in 2019 when compared to the previous year.

Housing RMI

Sales of kitchen sinks to the renovation sector clearly declined in 2019, when compared to the previous year. Sales of all three types of kitchen sinks decreased, but it was the synthetic kitchen sinks that had the strongest decline in terms of volume.

Despite the stronger market presence of stainless steel sinks, demand for synthetic products is on an upward trend. This trend is visible in the RMI segment, when consumers renovate their kitchen and want to try out something different. Moreover, they might be willing to invest more in their new kitchen and, therefore, choose design over functionality. Most ceramic and synthetic kitchen sinks are destined for the RMI segment, although stainless steel models dominate this end-use segment in terms of volume.

RMI activities are expected to fluctuate in the coming years, varying according to consumer confidence and GDP per capita. These indicators should drive growth in the RMI sector, and have already had a positive influence on sales of ceramic and synthetic kitchen sinks.

Non-Housing

Total sales into non-housing slightly decreased in 2019 when compared to the previous year. The market was driven down by less stainless steel kitchen sink sales, whereas demand for synthetic products decreased. In terms of volume, almost all kitchen sinks sold into non-housing are stainless steel, with sales of synthetic products being negligible.

This segment mainly consists of sales to hotels, restaurants, schools and catering establishments; in general, these institutions choose stainless steel sinks for their perceived hygiene benefits and ease of cleaning. They are also preferred in these applications as, despite being much more durable than other material types, they are also inexpensive. Within this segment, a large number are countertop sinks, especially within catering establishments. It is believed that demand from non-residential buildings will fluctuate throughout the forecast period.

Supply Structure

The bulk of the Belgian market for kitchen sinks is in the hands of the kitchen specialists FRANKE and EGO GROUP (BLANCO), and INGKA HOLDING B.V. (IKEA). These three players hold more than three quarters of the stainless steel kitchen market between them. While FRANKE and BLANCO are specialists, IKEA has successfully entered the market and has been gaining market share on an annual basis. VILLEROY & BOCH dominates the market for ceramic kitchen sinks, followed by SYSTEMCERAM. BLANCO is the clear market leader on the market for synthetic sinks, followed by LUISINA and FRANKE.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 should record a significant decline in sales of kitchen sinks. Belgium faced a two-month lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects,

which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

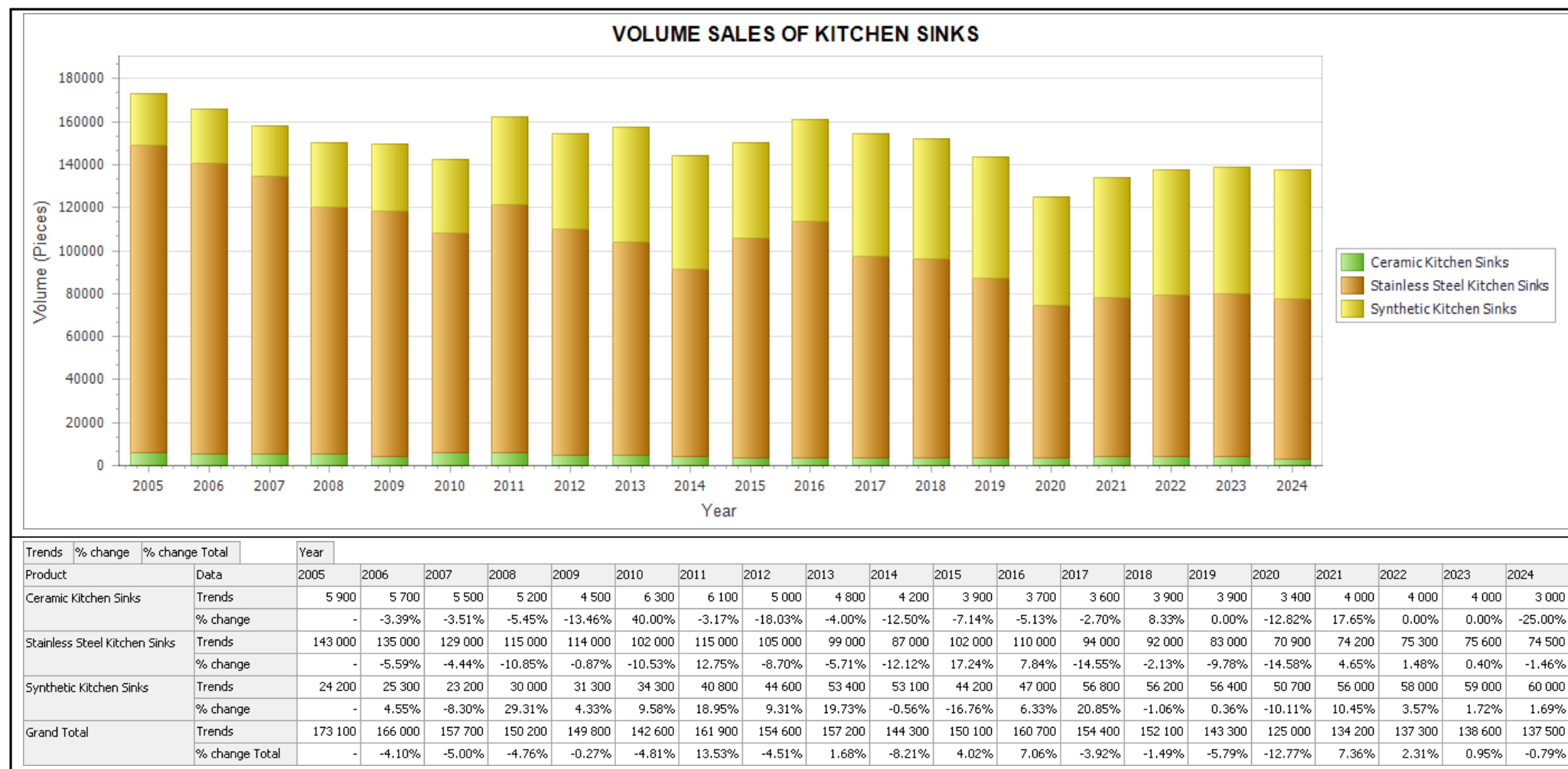
Sales should resume growth in 2021 until 2023, before eventually declining marginally in 2024. Growth will be driven by levels of housing completions, as well as by private investments.

Sales of synthetic kitchen sinks should keep growing during the forecast period, except for 2020. Synthetic kitchen sinks are likely to grow the fastest – at the expense of stainless steel kitchen sinks. Demand for ceramic kitchen sinks should remain marginal, as the product is mainly found in the upper price segments.

Apart from 2020 and the impact of COVID-19, an improvement of general economic conditions is forecast, which is likely to help the Belgian kitchen sink market to grow in the upcoming years. Fluctuating demand from new constructions is going to influence the total market, especially the volume for stainless steel kitchen sinks, which drives the whole market trend. The need to expand the housing stock is there, and households may find it difficult to finance new dwellings. Therefore, an increasing number of investments are undertaken to renovate existing apartments. This development is likely to benefit sales of kitchen sinks, with a growing demand on a yearly basis.

8.2 Historical Trends and Forecasts : Kitchen Sinks

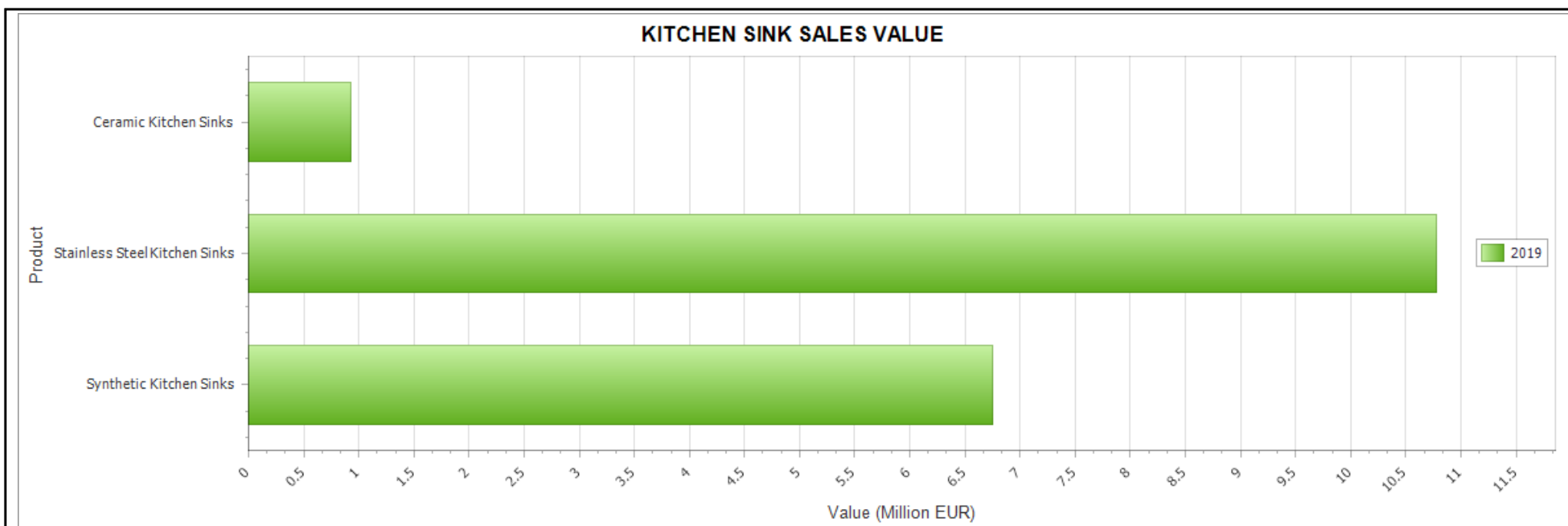
BE - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

BE - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

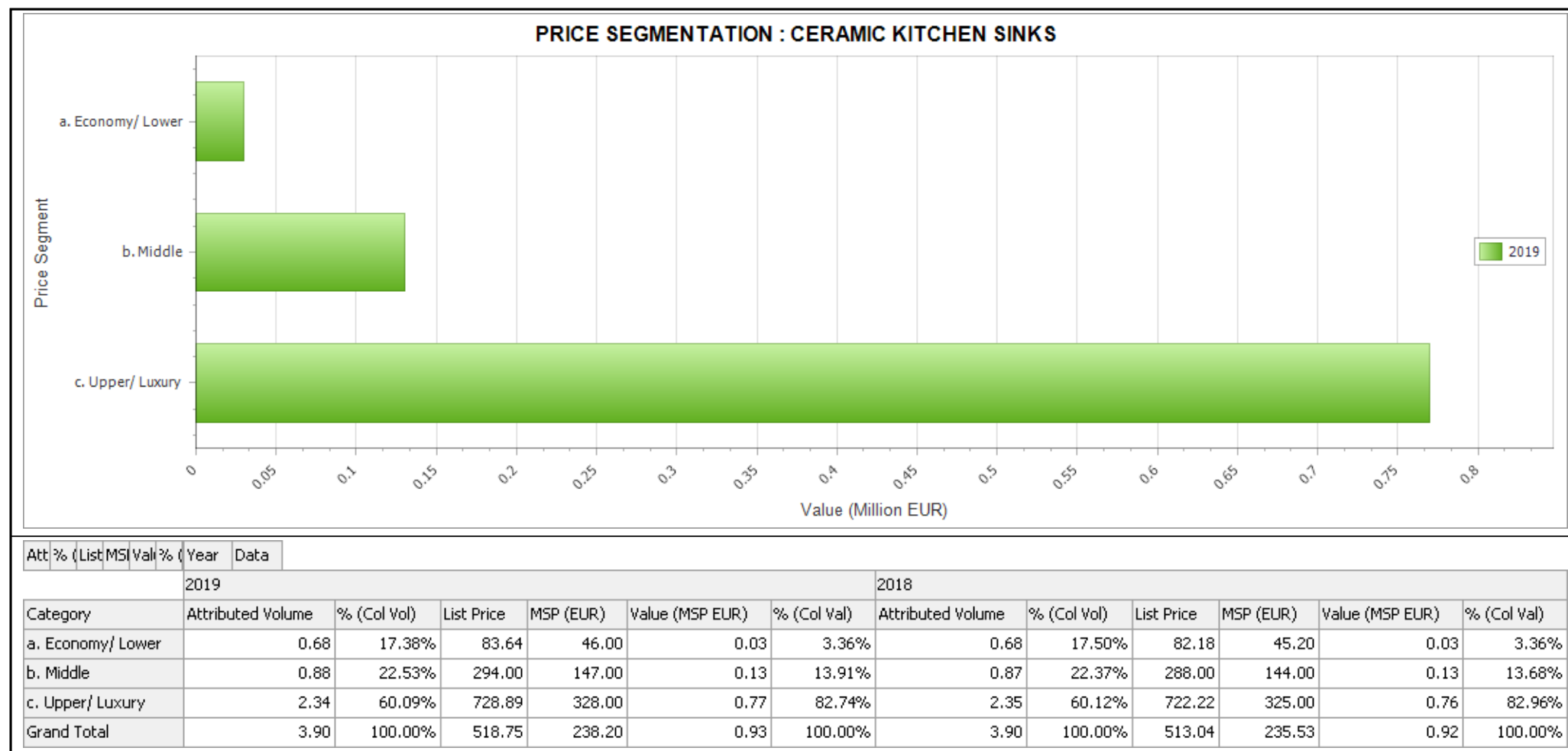


Volumes	MSP (EUR)	Value (MSP)	Year	Data				
			2019			2018		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)		
Ceramic Kitchen Sinks	3 900	238.20	0.93	3 900	235.53	0.92		
Stainless Steel Kitchen Sinks	83 000	129.82	10.78	92 000	126.82	11.67		
Synthetic Kitchen Sinks	56 400	119.65	6.75	56 200	118.47	6.66		
Grand Total	143 300	128.77	18.45	152 100	126.52	19.24		

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

BE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

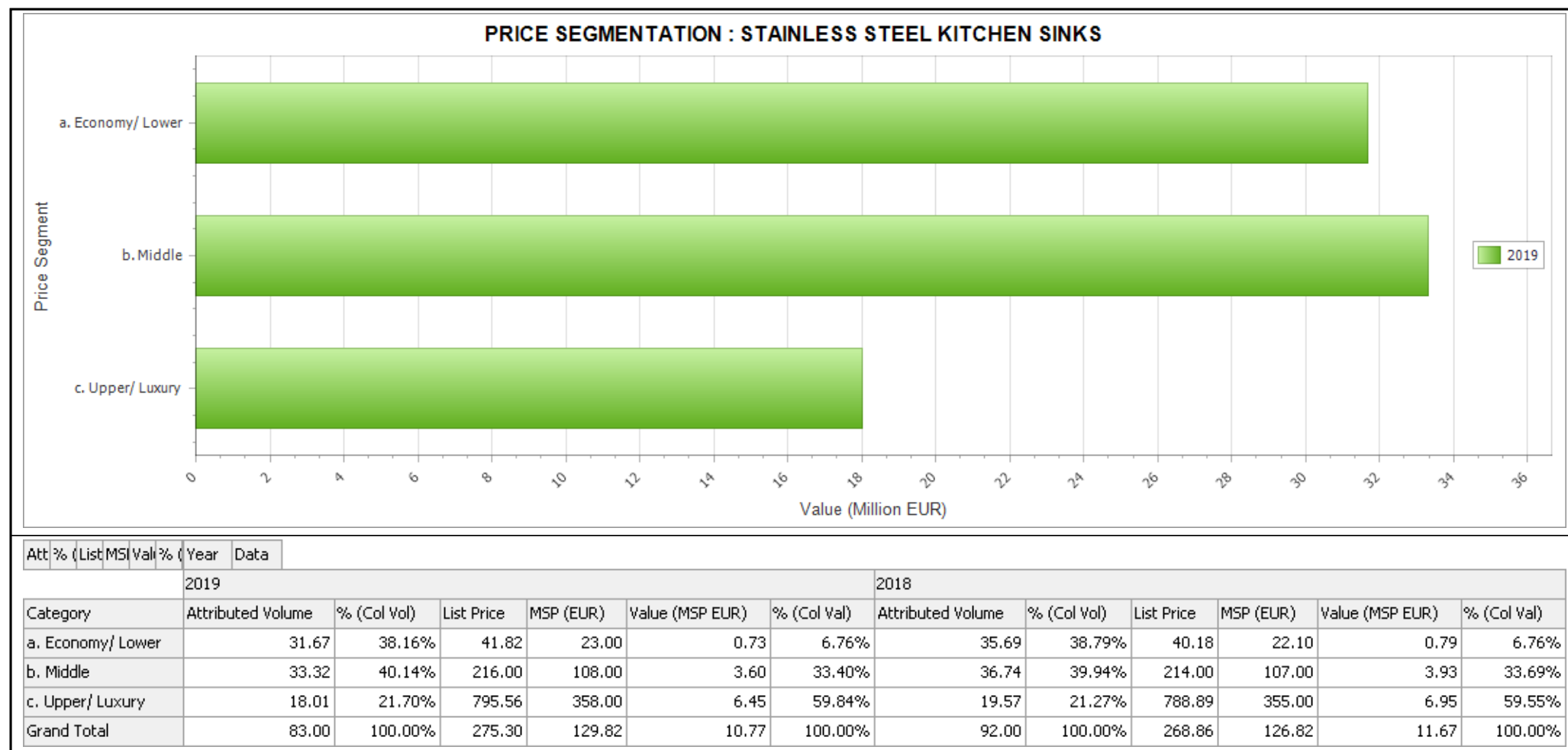


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

BE - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

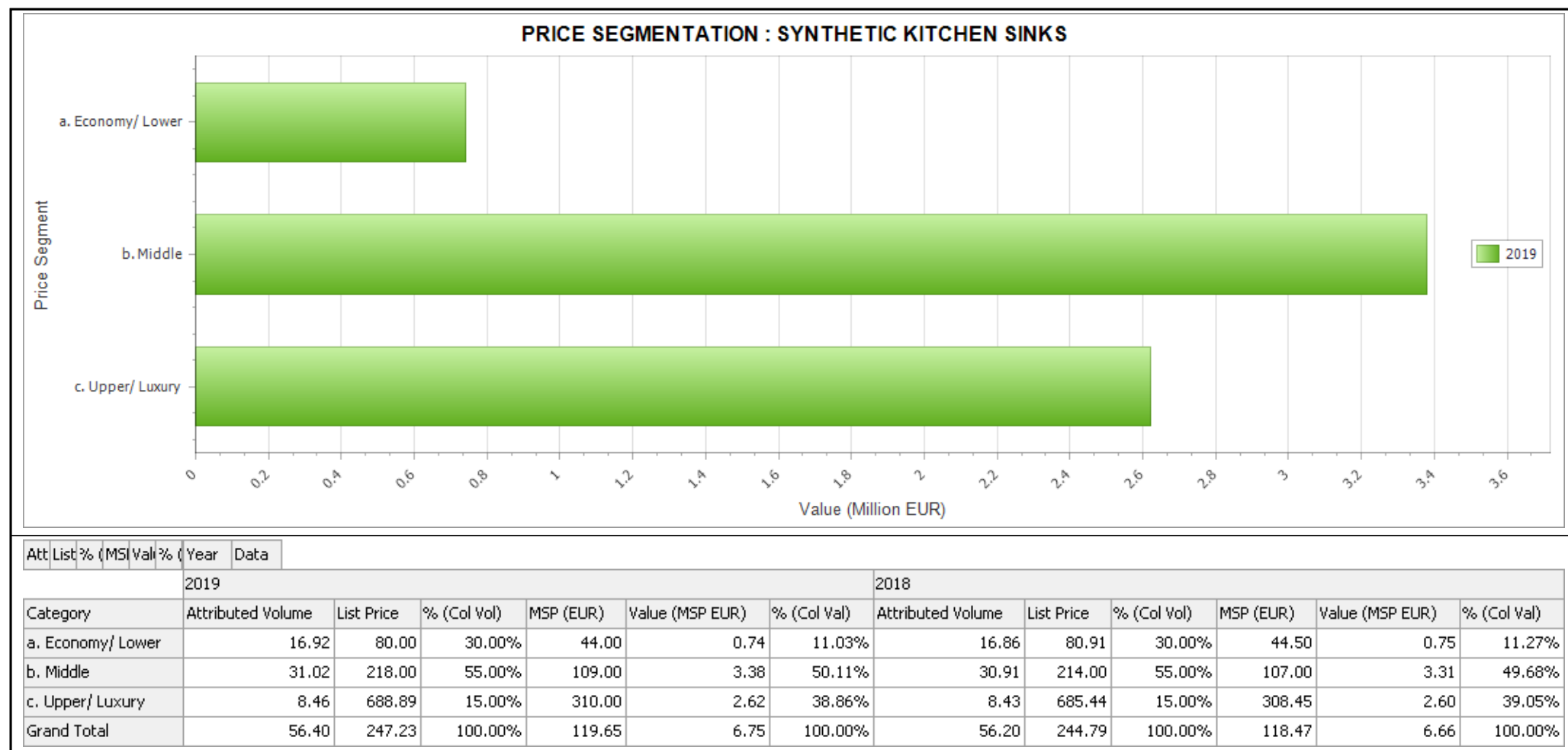


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

BE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

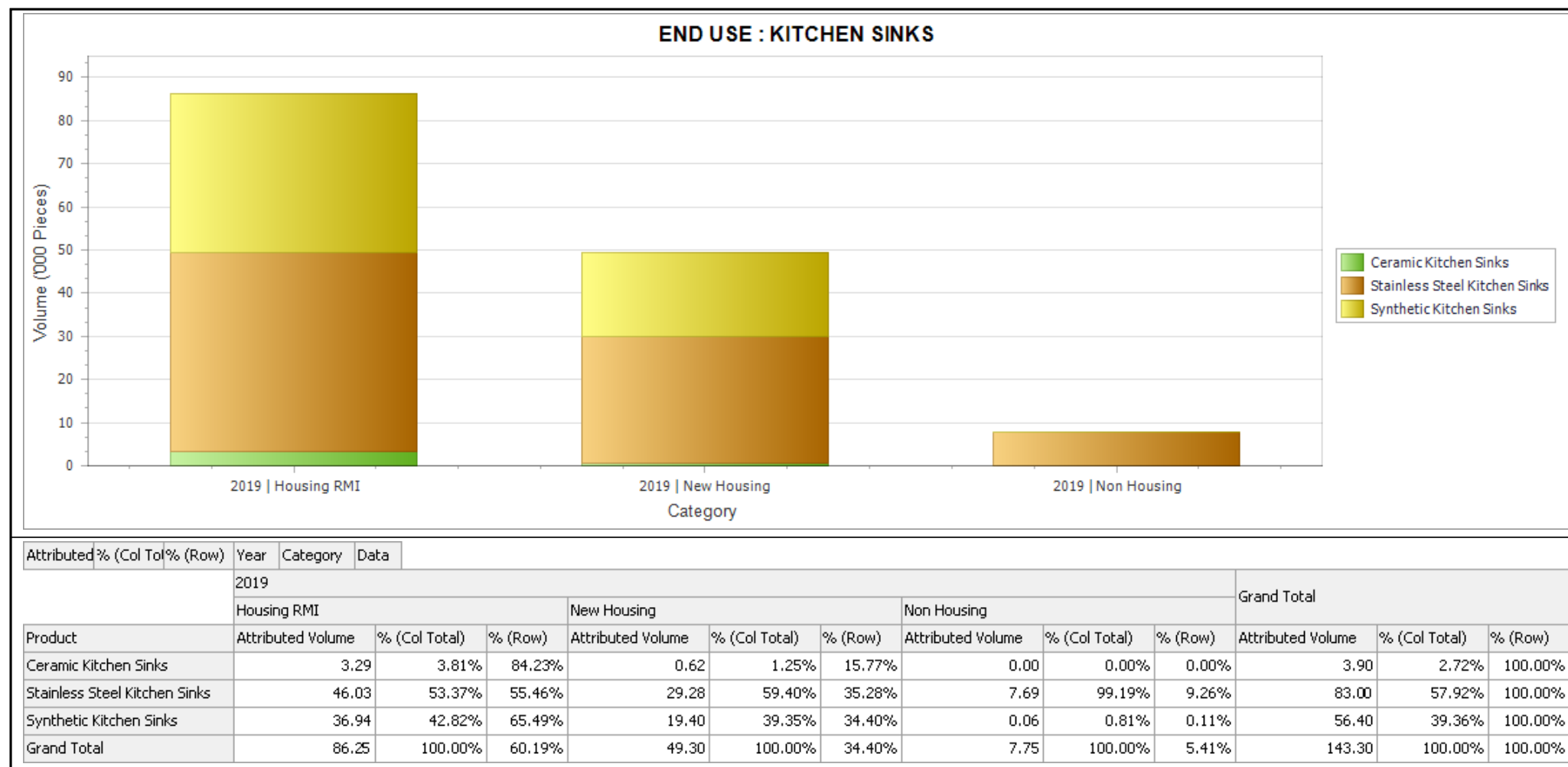


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

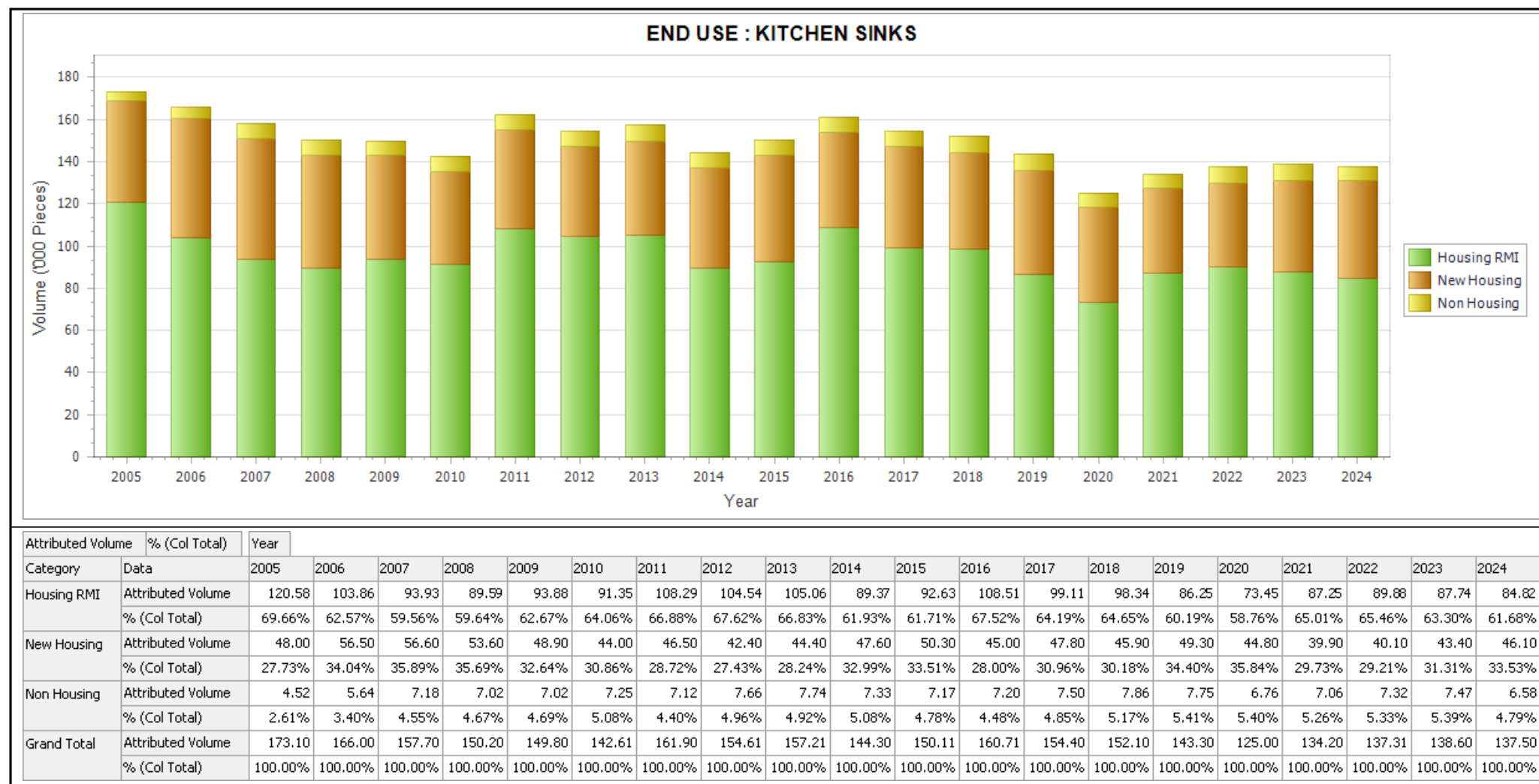
BE - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

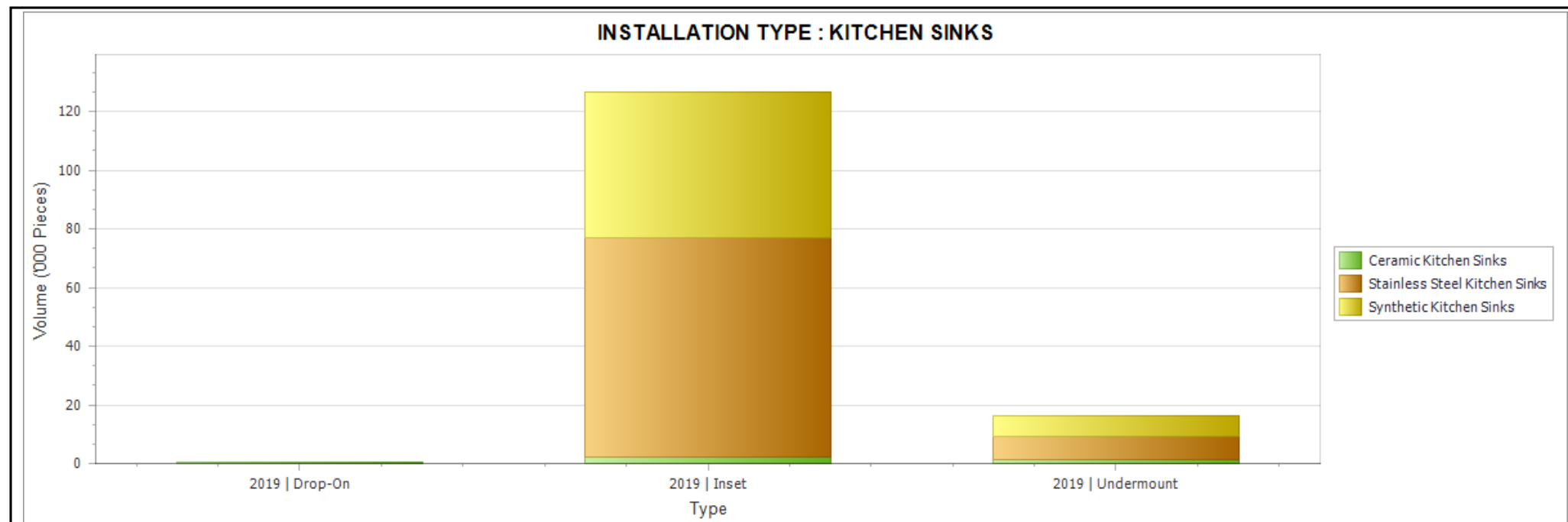
BE - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

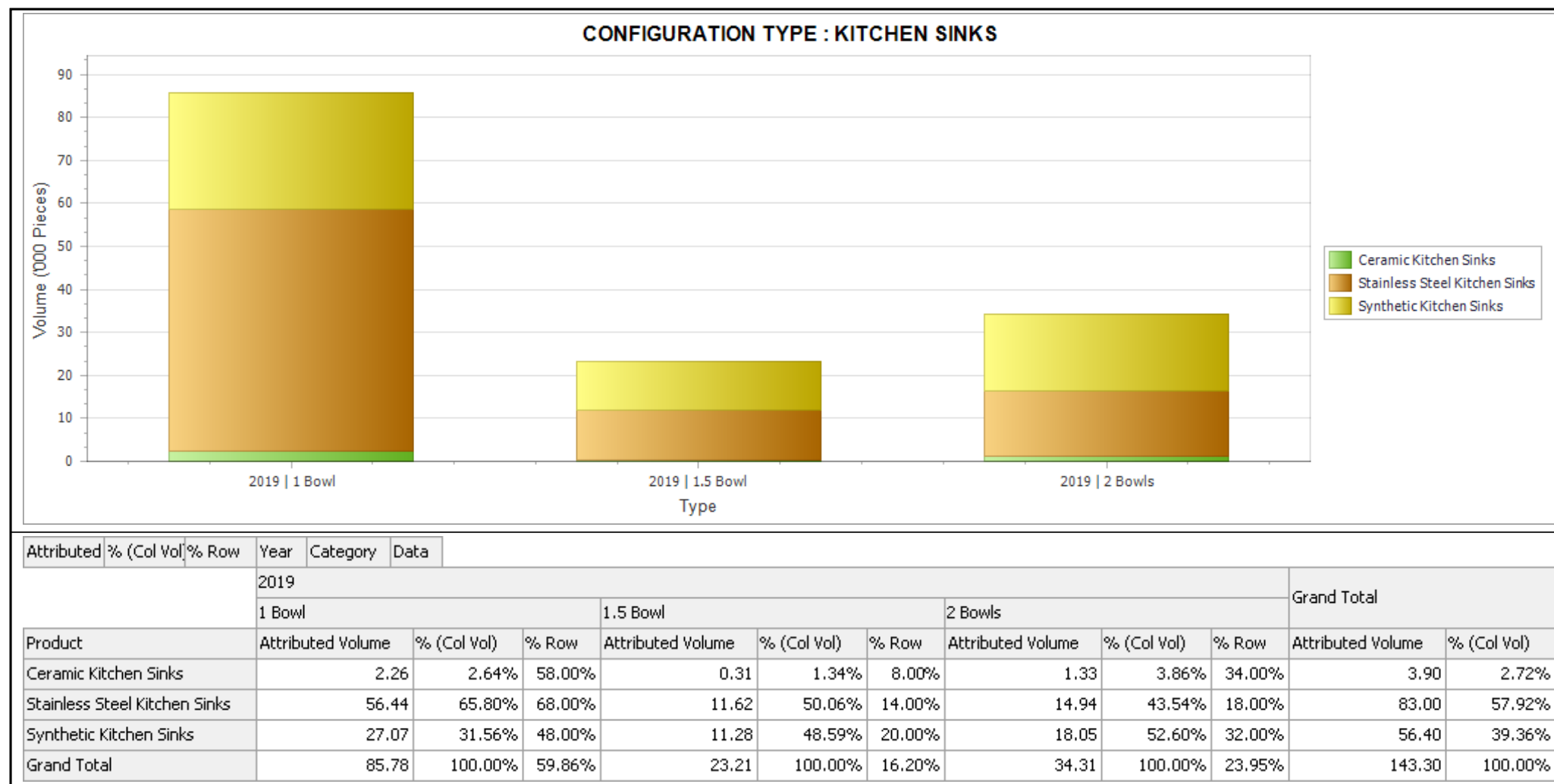
BE - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Attributed	% (Col Vol)	% Row	Year	Category	Data												
			2019							Grand Total							
			Drop-On			Inset		Undermount									
Product	Attributed Volume			% (Col Vol)	% Row	Attributed Volume			% (Col Vol)	% Row	Attributed Volume		% (Col Vol)				
Ceramic Kitchen Sinks	0.39			100.00%	10.10%	2.38			1.88%	60.98%	1.13			6.96%	28.92%	3.90	2.72%
Stainless Steel Kitchen Sinks	0.00			0.00%	0.00%	74.70			58.95%	90.00%	8.30			51.25%	10.00%	83.00	57.92%
Synthetic Kitchen Sinks	0.00			0.00%	0.00%	49.63			39.17%	88.00%	6.77			41.79%	12.00%	56.40	39.36%
Grand Total	0.39			100.00%	0.27%	126.71			100.00%	88.42%	16.20			100.00%	11.30%	143.30	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

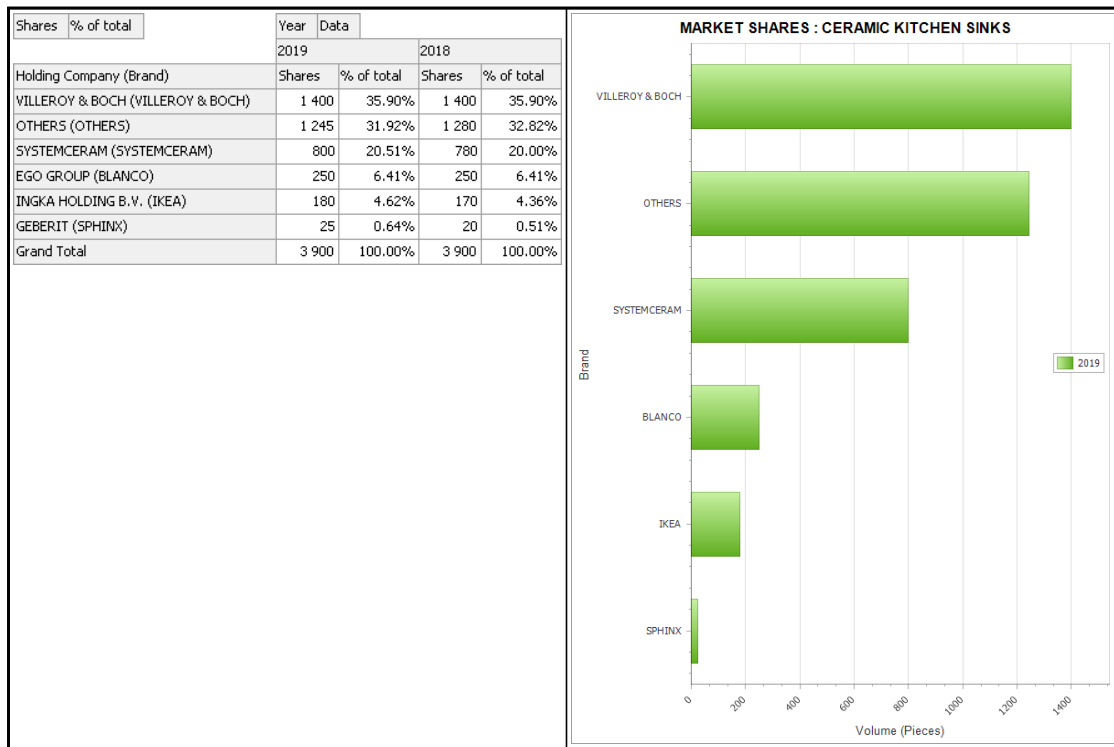
8.4.4 Sales by Type of Configuration : Kitchen Sinks
BE - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

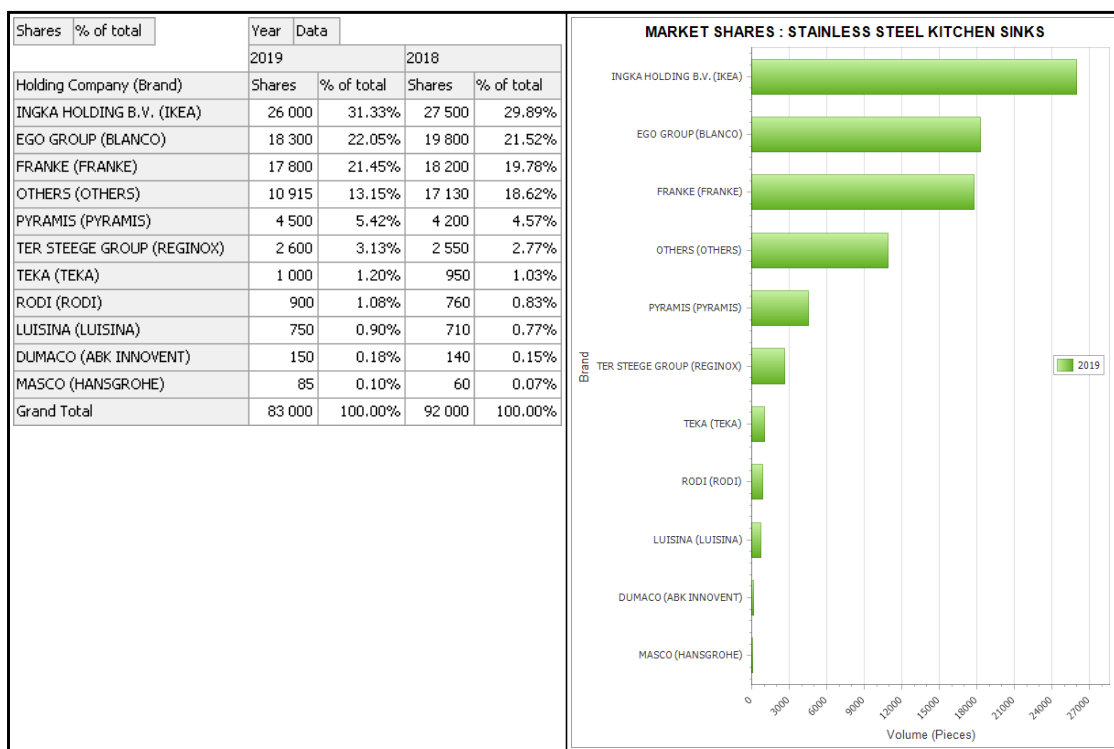
BE - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

BE - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1 Route to Market: Kitchen Sinks
BE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

44.8%
Worktop Manufacturers
44.8%

Wholesale Level

Manufacturers	Worktop Manufacturer
32.1%	25.5%
Wholesalers / Merchants	
57.7%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	1.5%	1.1%
Internet Retailers		
2.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
2.4%	4.0%	0.0%
DIY Retailers		
6.4%		

Manufacturer	Worktop Manufacturer	Wholesaler
20.7%	0.9%	34.5%
Specialist Retailers		
56.1%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	8.1%	20.5%	0.0%	1.0%	8.4%
Installers					
37.9%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.8%	1.3%	2.6%	5.5%	47.6%	32.8%
Residential						
94.6%						

New Build				Residential RMI			
34.4%				60.2%			
Project		Non-Project		Project		Non-Project	
22.4%		12.0%		4.8%		55.4%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	5.1%
Non-Residential						
5.4%						

New Build				Non-Residential RMI			
2.4%				3.0%			
Project		Non-Project		Project		Non-Project	
1.6%		0.9%		1.6%		1.3%	

8.6.2 Route to Market: Kitchen Sinks
BE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

45.1%
Worktop Manufacturers
45.1%

Wholesale Level

Manufacturers	Worktop Manufacturer
32.8%	25.7%
Wholesalers / Merchants	
58.5%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	1.7%	1.5%
Internet Retailers		
3.2%		

Manufacturer	Worktop Manufacturer	Wholesaler
2.5%	4.1%	0.0%
DIY Retailers		
6.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
19.6%	0.9%	34.0%
Specialist Retailers		
54.5%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	8.1%	21.3%	0.0%	1.0%	8.2%
Installers					
38.6%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.6%	1.4%	3.2%	5.6%	46.3%	34.1%
Residential						
95.2%						

New Build				Residential RMI			
33.5%				61.7%			
Project		Non-Project		Project		Non-Project	
21.8%		11.7%		4.9%		56.8%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	4.5%
Non-Residential						
4.8%						

New Build				Non-Residential RMI			
2.1%				2.7%			
Project		Non-Project		Project		Non-Project	
1.3%		0.7%		1.5%		1.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

BE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

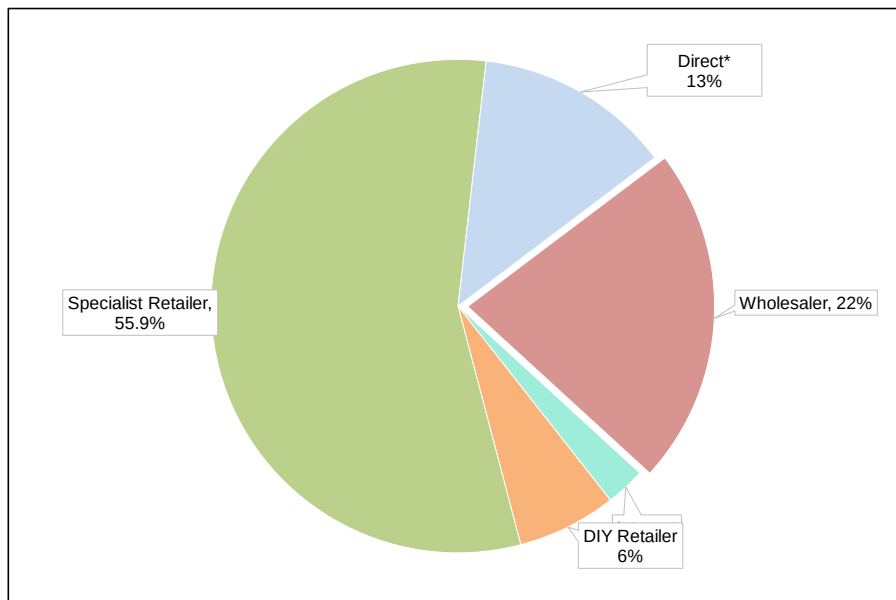
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.1%	2.6%	6.5%	55.9%	12.9%	27.2%	3.2%	67.4%	2.2%
100%					30.4%		69.6%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

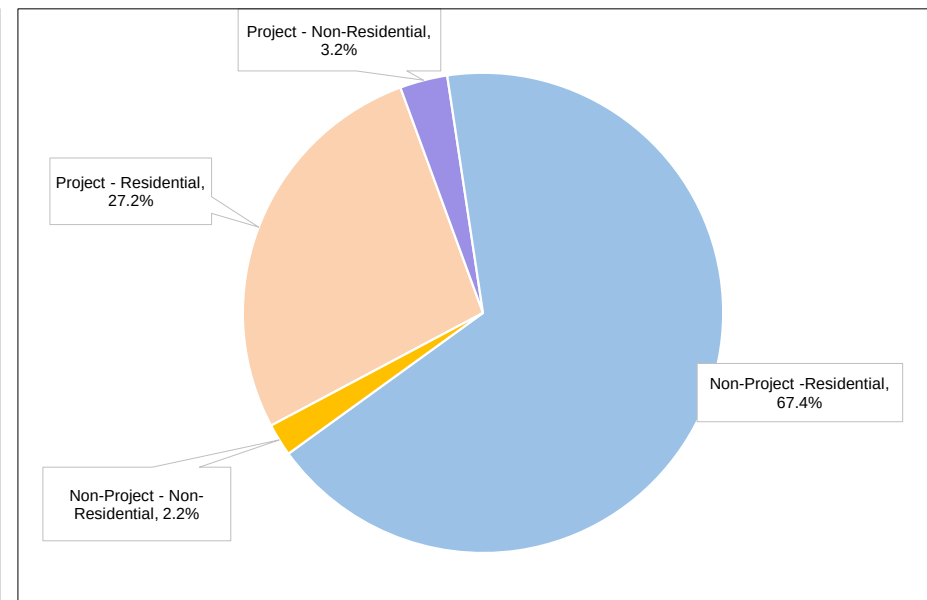
BE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.0%	3.2%	6.6%	54.5%	12.7%	26.7%	2.8%	68.6%	1.9%
100%					29.5%		70.5%	

BE - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



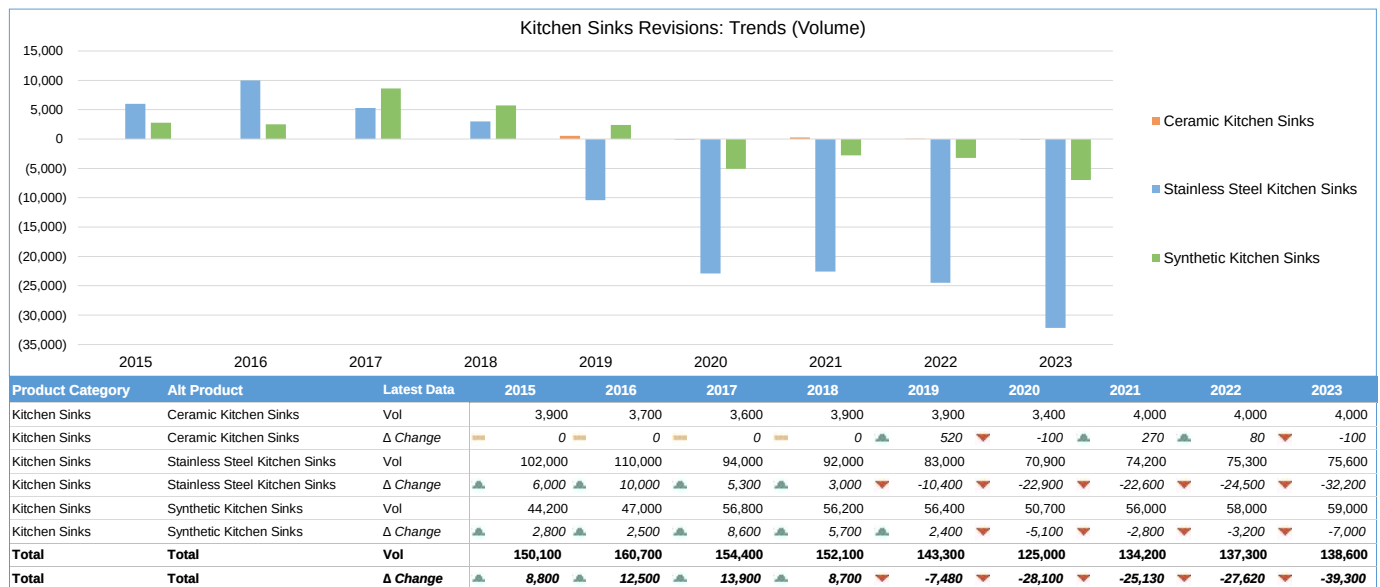
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Belgian Kitchen Sinks Market (July 2020)

BE - REVISIONS IN THE BELGIAN KITCHEN SINKS MARKET

Data Comparison: July 2019



Following feedback from manufacturers, combined with a detailed analysis of trade statistics, historical revisions were made to the market sizes for stainless steel and synthetic kitchen sinks. Demand for kitchen sinks follows closely the market for full kitchens, including kitchen cabinets and kitchen appliances. In Belgium, sales of kitchens vary between 100,000 to 150,000 per annum, depending on the economic climate. The kitchen sink market in Belgium is now also developing in favour of synthetic kitchen sinks, away from stainless steel sinks, explaining the strong upward revision for 2012 to 2019.

BELGIUM

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



To note: A major upward revision has been made to the market sizes for kitchen taps and mixers. Please see the 3.8 revision table in Taps and Mixers product section for more details.

Market Characteristics and Product Mix

The Belgian kitchen tap and mixer market is primarily driven by renovation activity. Sales of kitchen taps and mixers declined in the years after the financial crisis, before rebounding in 2014. Since then, the market has been growing strongly on a yearly basis. The overall trend in this market is towards one-head mixers, which are believed to be more aesthetically pleasing and convenient to use. Moreover, they consume less water than other tap models by mixing water in a more efficient way; there is no need to constantly readjust the amounts of hot and cold water to achieve the desired temperature. The Belgian market is mainly dominated by one-head mixers, which are sold as either standard one-head mixers or one-head mixers equipped with a showerette. Many manufacturers only offer one-head mixers, as there is hardly any demand for two-head products. Moreover, two-head mixers can be more expensive than one-head models, with two head market having consequently a larger share of upper and luxury products.

Over the last 15 years, sales of two-head mixers have been giving way to one-head mixers, although two-head still hold a strong presence in the higher price segments of the market. It is forecast that two-head mixers will gradually be forced out of the marketplace, especially in the economy and lower price segments. Showerette (pull out) taps are sold in large quantities and are mainly used on a one-head mixer. Within the new housing sector, most showerettes are installed at the request of homeowners. Pillar taps are virtually non-existent on the Belgian kitchen tap and mixer market.

In Belgium, chrome products account for the majority of total kitchen tap and mixer sales. Black mixers are becoming increasingly popular, as it answers the wish to have more design products. Kitchen specialists typically have more choice in colour than bathroom-focused tap and mixer brands.

Recent Market Trends

Demand for kitchen taps and mixers increased in 2019 thanks to an increase of the Belgian construction market. Demand from the RMI segment also increased and contributed to the overall market growth.

The performance of the kitchen tap and mixer market is closely linked to the overall kitchen market. This can be explained by the fact that for every new kitchen installation, a new tap and mixer is installed. Since the lifespan of a kitchen tap is much shorter than that of a kitchen or kitchen sink, it is likely that a tap will be replaced several times before a new kitchen is installed. According to industry feedback, the lifespan of a kitchen tap is much shorter than that of a bath, for

example. The main reason for this is the more frequent use on a daily basis. The number of kitchen taps and mixers going to non-housing decreased in 2019, due to fewer projects in the non-housing segment.

Electronic kitchen taps and mixers are gaining in popularity, although sales numbers remain marginal. Most sophisticated specialists, such as DORNBRACHT, GROHE, and ORAS, offer electronic taps that can be switched on and off by touch only. Other electronic kitchen taps and mixers, e.g. GROHE blue and red, or PETERI BV (QUOOKER), can provide boiling hot water or cool sparkling water. BRG identifies such products as electronic kitchen taps and mixers, which are all part of the kitchen sink application segment. Demand for electronic kitchen taps is expected to grow, as awareness of environmental use of energy and water among end consumers increases.

Nevertheless, most customers are sceptical about the use of boiling, electronic and digital taps and mixers. They question the high price of these products and wonder if such an investment is necessary when considering problems of limescale and electric vulnerability. Overall, digital kitchen mixers continue to gain importance, although by volume sales are still negligible. GROHE is believed to be the market leader in this segment. One-head mixers are the standard type of mixer in Belgian kitchens, with manufacturers such as HANSA and IKEA no longer offering two-head mixers for kitchen applications in Belgium.

Prices and Market Values

The average MSP of kitchen taps and mixers increased in 2019 when compared to the previous year.

Electronic taps and mixers are becoming more popular, which contributes to higher market value, despite the small volumes sold. Moreover, consumers have started to spend more money on kitchen taps and mixers. In a modern home, the kitchen is usually part of the living area and not a functional space as in the past. Therefore, homeowners are more likely to pay more for design and functionality. This trends towards kitchen taps and mixers with added value has been observed by several manufacturers on the Belgian market. Demand for such expensive products contributes to a growth of the average MSPs of kitchen taps and mixers.

New Housing

In alignment with the increase of new residential construction, the Belgian kitchen taps and mixers market increased in 2019 when compared to the previous year. New housing generates an important market share for kitchen taps and mixers per annum. Kitchen tap and mixer sales to new housing are slightly higher than the number of new dwelling completions, as a small share of these new houses have a utility room fitted with a kitchen sink and mixer.

Housing RMI

Demand from housing RMI generated more sales of kitchen taps and mixers in 2019 than in previous years. With the improved economic climate and consumer confidence being positive, combined with the increased willingness of homeowners to invest in their kitchens, the kitchen taps and mixers market performed well. In many cases, the kitchen is one of the first areas that homeowners renovate when they start to invest in their home, because it is the area most likely to be seen by guests. This development can be further linked to the improved economic climate, with its corresponding positive effects on the housing market and, particularly, improved consumer confidence, which positively affected household spending. Boiling taps and mixers are increasingly installed in Belgium, with the country being influenced by their northern neighbours the Netherlands, where boiling taps and mixers have shown large growth over the years. Similar growth rates are expected in Belgian RMI activities, mainly in the Flemish region – where consumers are encouraged by cooking shows and TV programmes.

Non-Housing

The volume of kitchen taps and mixers includes any kind of non-residential building, with most demand coming from gastronomy, hospitality and healthcare facilities. When compared to the total market, this segment represents a small share for kitchen taps and mixers, with one-head mixers slowly gaining share at the expense of two-head. Overall, demand for kitchen taps and mixers from non-housing marginally decreased in 2019 when compared to the previous year. This decline is linked to fewer investments into non-housing facilities.

Supply Structure

The market is characterised by a large variety of players supplying this relatively small market. This is due to Belgium's central geographic position in the middle of Europe. The same manufacturers that dominate the sanitary taps and mixers market also lead the kitchen side of the market, with German suppliers being in a strong position, followed by Italians and Scandinavians. The following three manufacturers account for half of the market volume: LIXIL (GROHE), PAFFONI, and FRANKE.

GROHE is the market leader and offers products with a good quality to price ratio, covering different distribution channels and price ranges. Products sold in the lower price ranges are manufactured at the company's plant in China, which is also the case for HANS GROHE. The Italian PAFFONI is imported to Belgium by the BSC (BELGIAN SANITARY COMPANY), and offers many mixers to various Belgian wholesalers under its own distributor brand. FRANKE sources a large share of its kitchen taps and mixers from GESSI in Italy, but also some models from KWC. Besides this, FRANKE produces a small percentage of mixers in its own factory in Germany.

KWC specialises in kitchen mixers, and its kitchen activity represents most of the company's total sales. KWC has a small market share of the total kitchen taps market, as its products are placed in the upper price range. HANSA only has a small percentage of its taps and mixers in the kitchen segment. DORNBACHT, imported by GILS AND GILS in Antwerp, remains present in the luxury price range of the market. The great majority of DORNBACHT's taps and mixers are sold through the specialist showroom retailer channel.

The Italian ZUCCHETTI is distributed exclusively in Belgium via the wholesaler VAN MARCKE. Other brands and products available in the Belgian market include distributors' own brands from Asia, Italy and Spain, and products by players such as RAFFETTI, PAINI, PERRIN & ROWE, RAMON SOLER, ROCA's ARWA, and SIMILOR KUGLER. IKEA kitchen taps and mixers are made by PAINI, which has a dedicated factory in Italy just to produce IKEA taps and mixers.

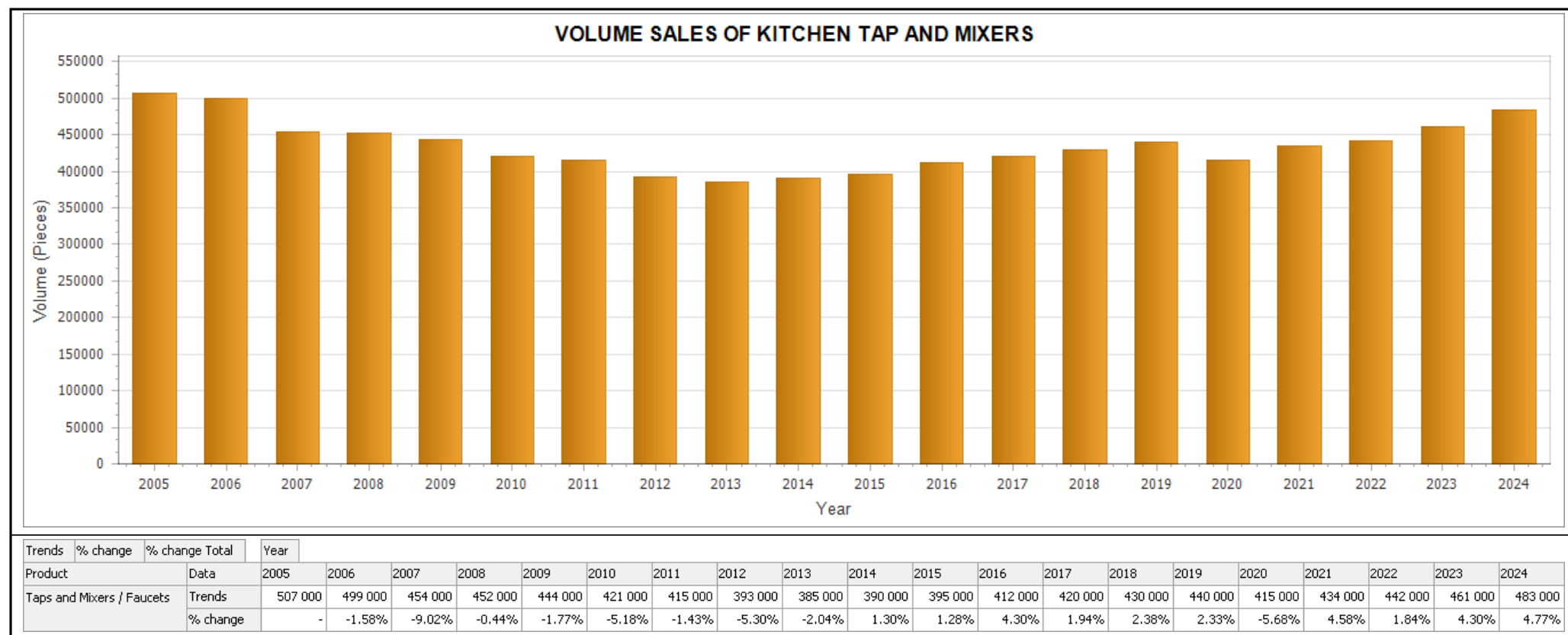
Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Due to the COVID-19 crisis, 2020 is expected to see a strong decline in sales of kitchen taps and mixers. Belgium faced a two-month lockdown, which affected the overall economy. As a result, new construction projects were halted for more than two weeks, thus delaying the installation of products. This should lead to a backlog in projects towards the end of the year. However, orders placed early in 2020 should be fulfilled. As in all bathroom products segments, sales should also be negatively affected by the fact that households are expected to delay non-essential projects, which could impact RMI sales. The full extent of the lockdown is complicated to ascertain, and manufacturers expect 2020 to record the steepest decline in years.

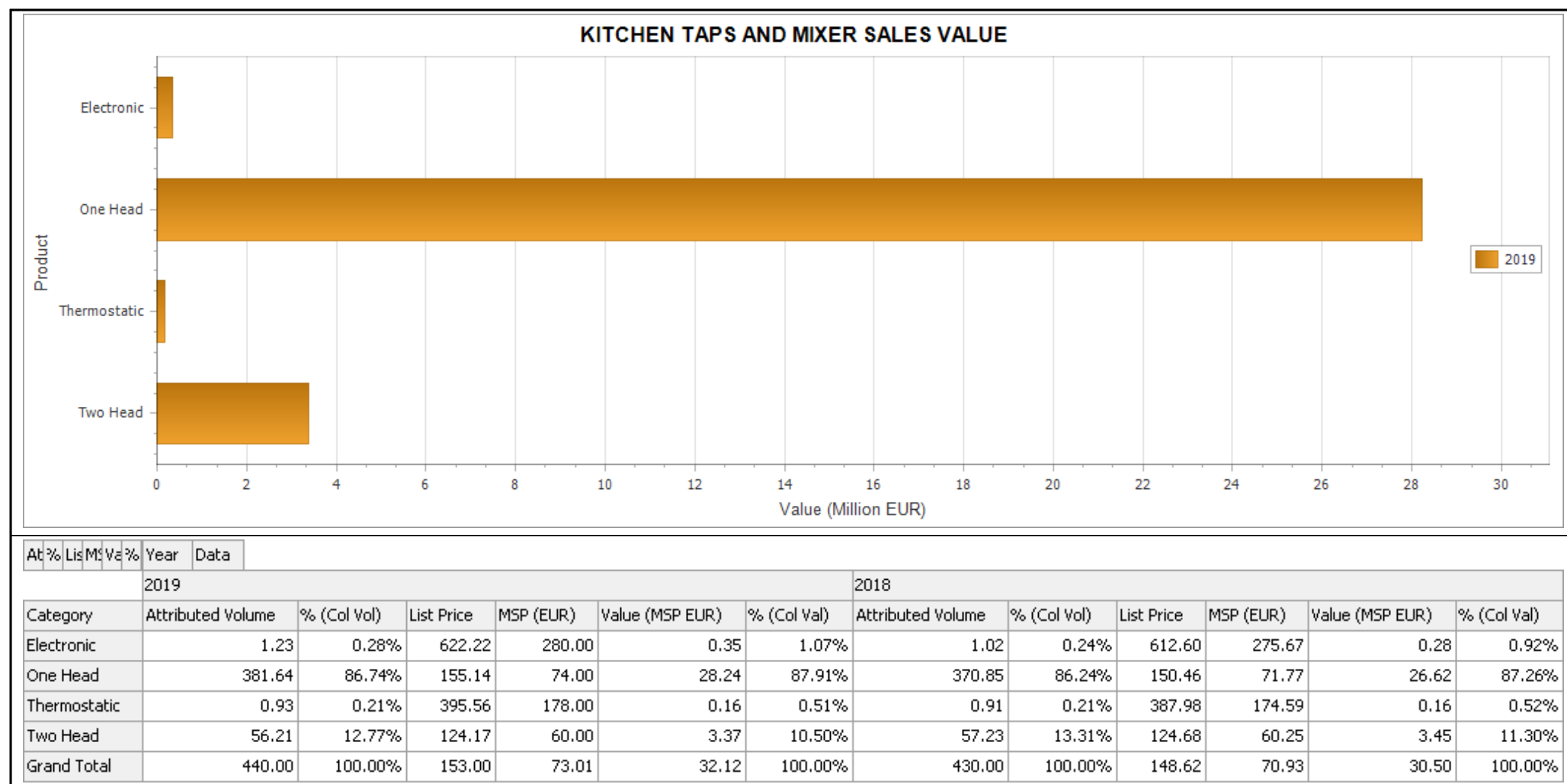
Demand should then pick up again from 2021 onward and grow steadily afterwards. Total sales for kitchen taps and mixers should remain positive, with most demand coming from the RMI segment. During the years following 2020, the economic climate should remain favourable, and it is likely that homeowners will continue to invest in new kitchens. The performance of the Belgian kitchen tap and mixer market is driven by replacement demand, and further boosted by positive consumer confidence and investment into new and existing dwellings.

9.2 Historical Trends and Forecasts : Kitchen TM
BE - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

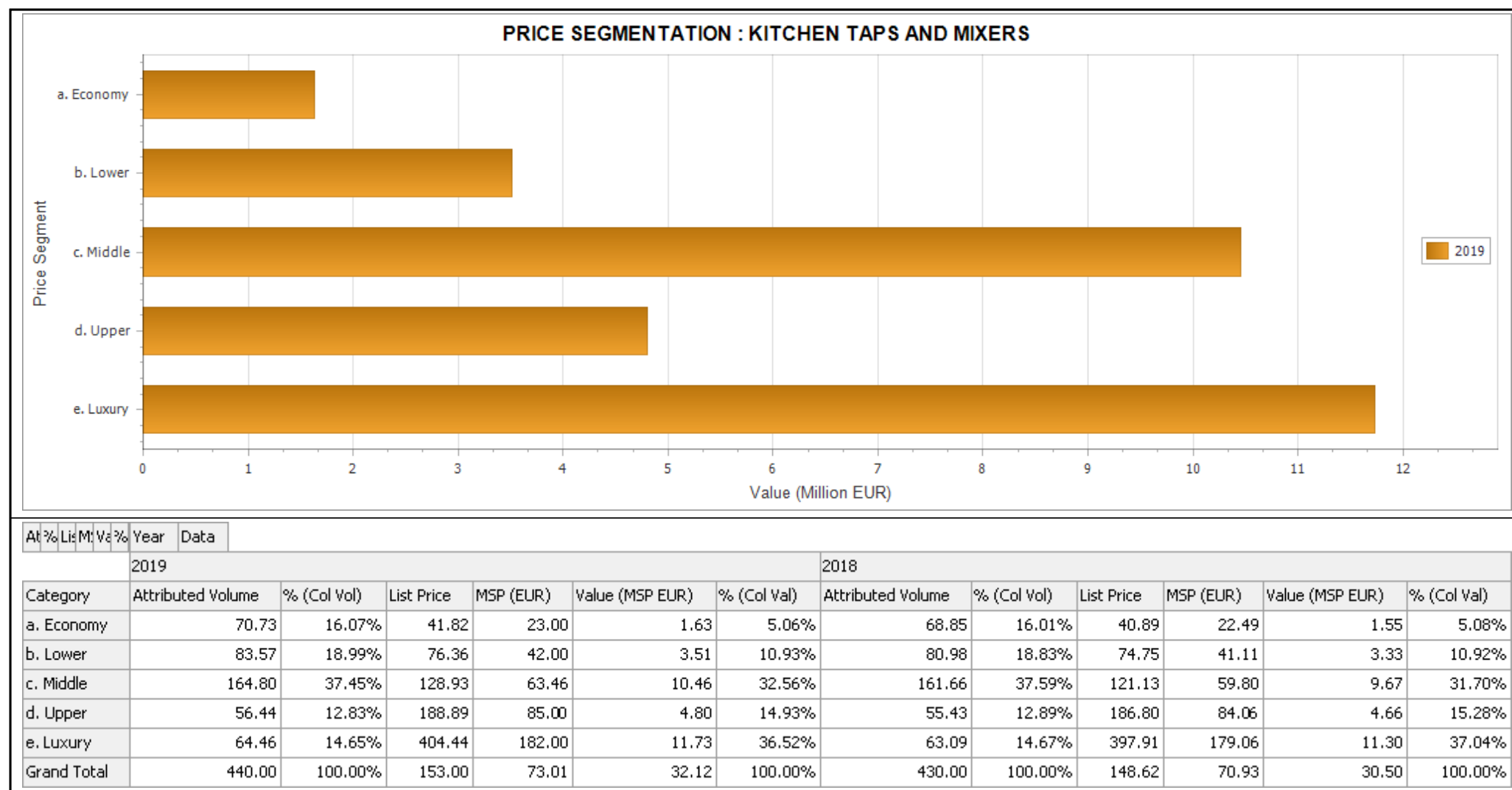
9.3.1 Prices and Market Values : Kitchen Taps & Mixers
BE - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

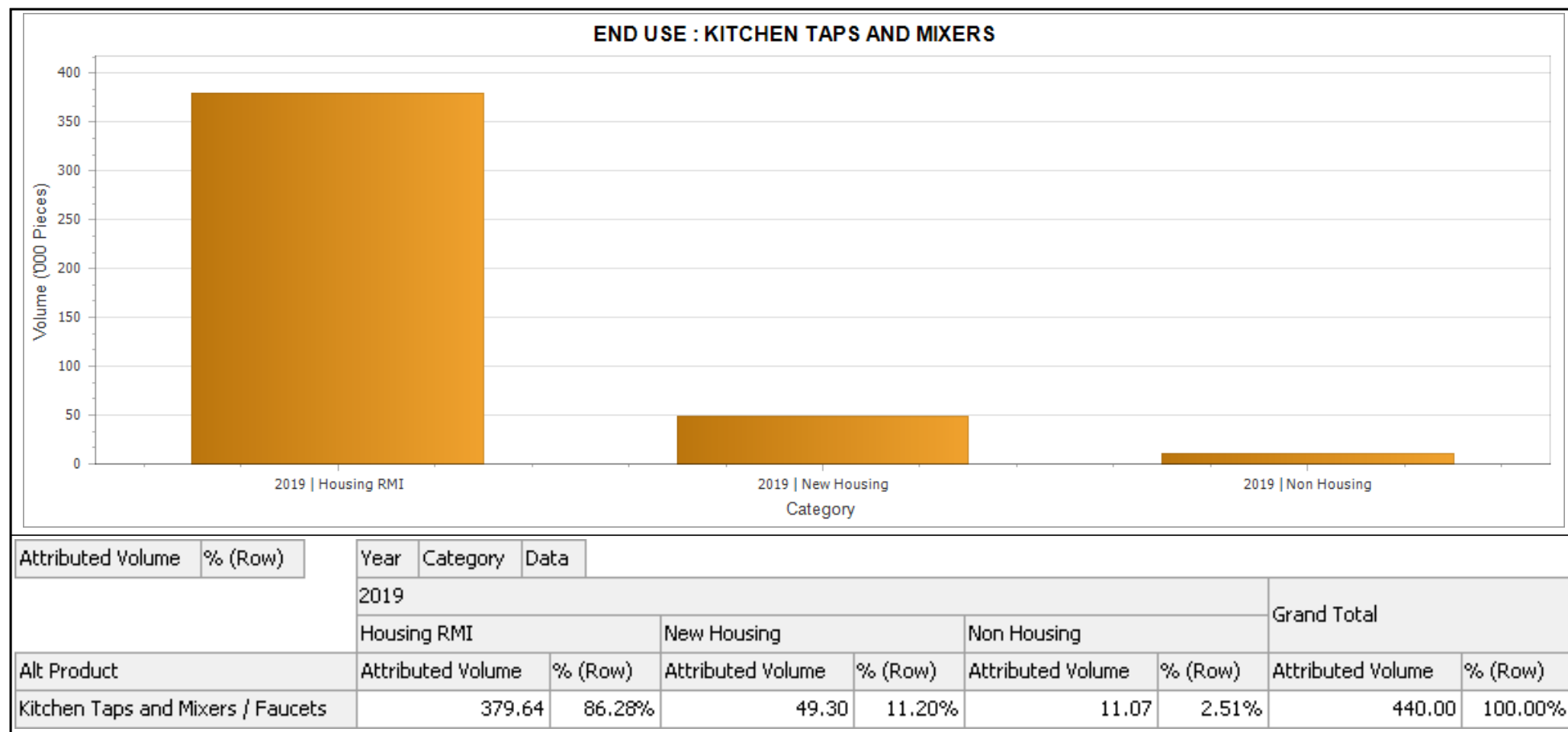
BE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

9.4.1 End Use : Base Year

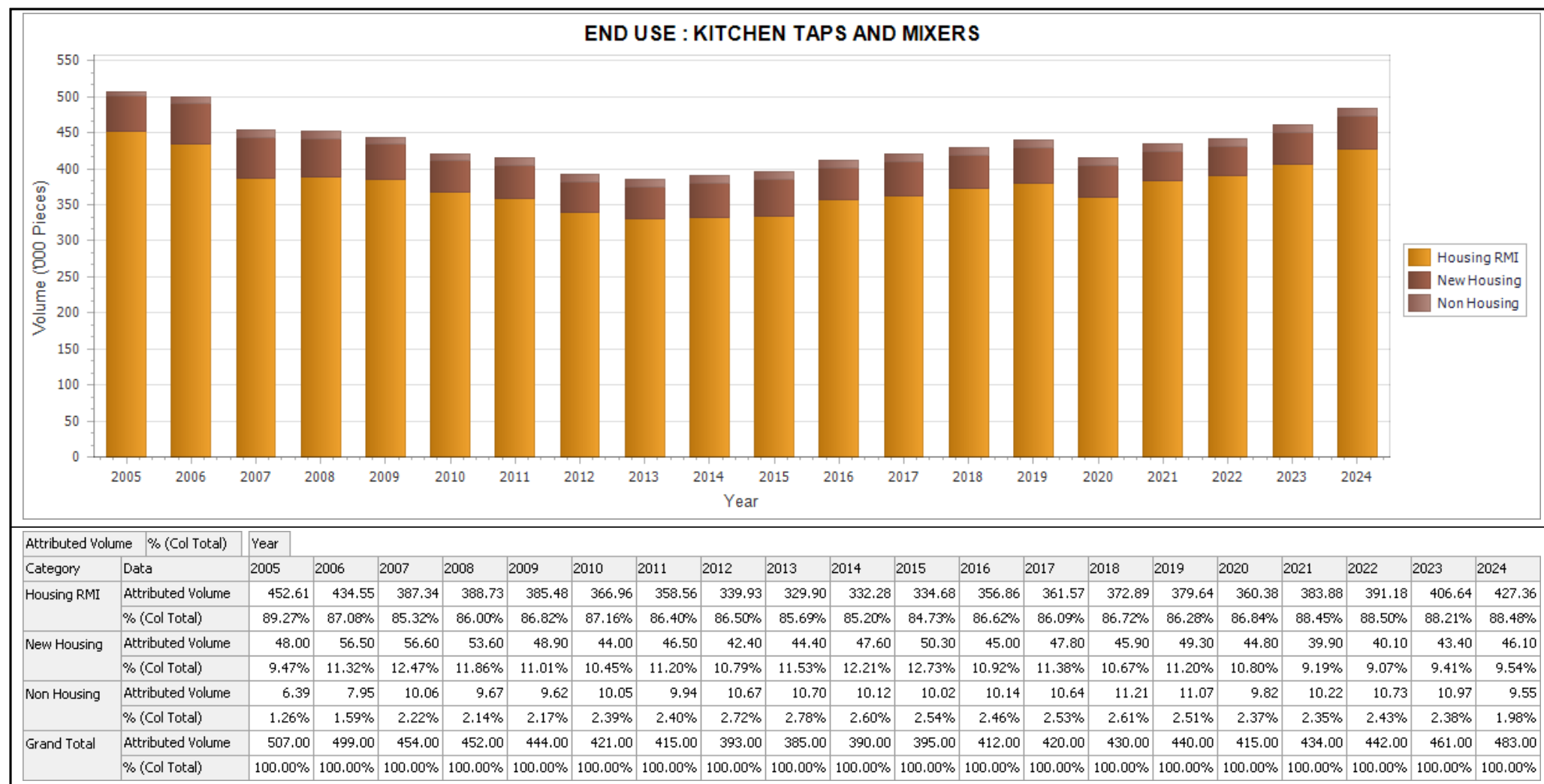
BE - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

BE - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

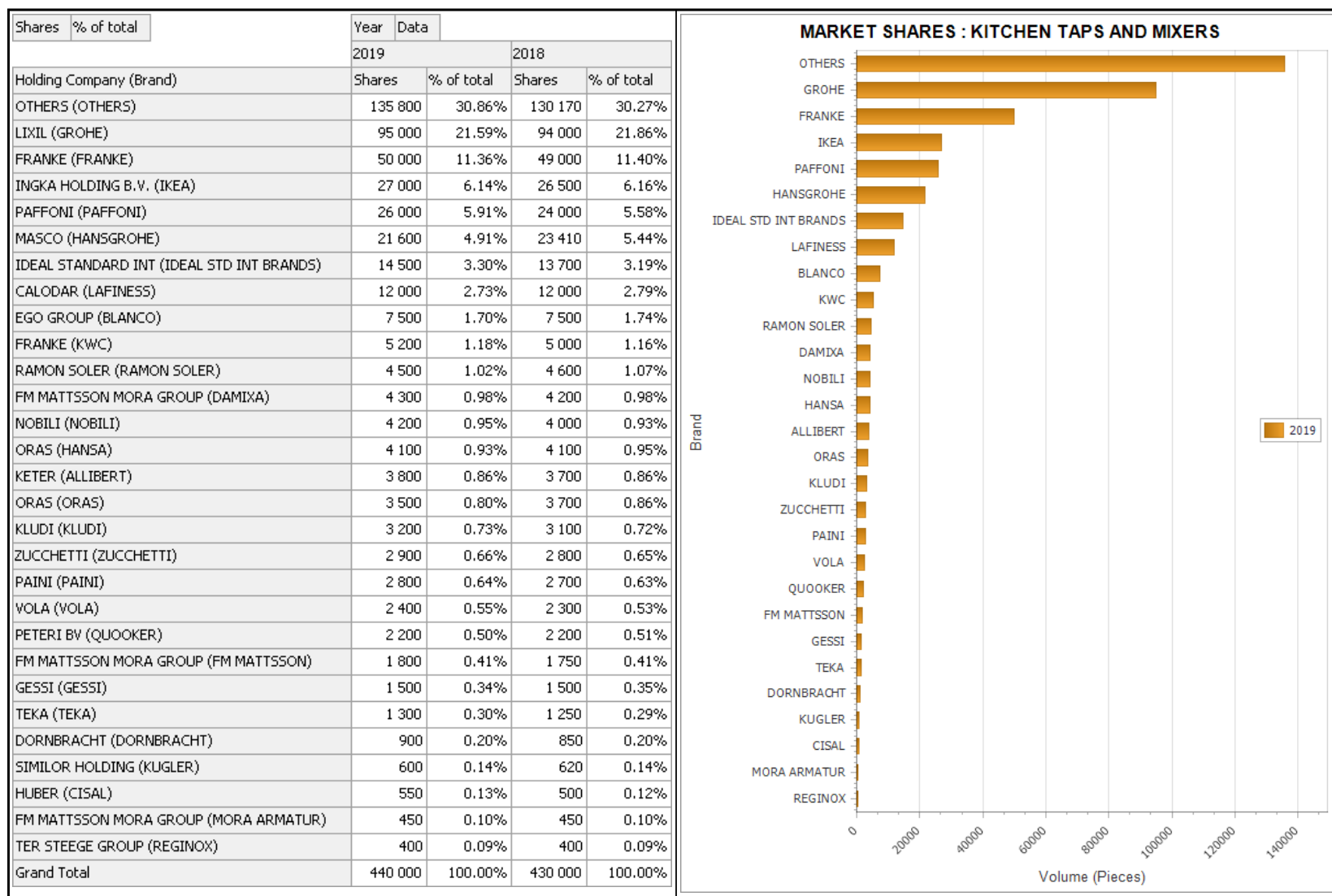


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

BE - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

67.6%
Wholesalers / Merchants
67.6%

Retail Level

Manufacturer	Wholesaler
3.1%	4.7%
Internet Retailers	
7.8%	

Manufacturer	Wholesaler
14.4%	14.6%
DIY Retailers	
29.0%	

Manufacturer	Wholesaler
11.3%	25.4%
Specialist Retailers	
36.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.9%	15.4%	0.8%	4.4%	5.4%
Installers				
27.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.2%	7.2%	7.0%	24.3%	31.2%	26.6%
Residential					
97.5%					

New Build			Residential RMI		
11.2%			86.3%		
Project	Non-Project		Project	Non-Project	
7.3%	3.9%		6.9%	79.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	0.2%	0.0%	0.4%	0.1%	1.2%
Non-Residential					
2.5%					

New Build			Non-Residential RMI		
1.1%			1.4%		
Project	Non-Project		Project	Non-Project	
0.7%	0.4%		0.6%	0.8%	

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

65.4%
Wholesalers / Merchants
65.4%

Retail Level

Manufacturer	Wholesaler
4.2%	6.8%
Internet Retailers	
11.0%	

Manufacturer	Wholesaler
13.9%	15.2%
DIY Retailers	
29.1%	

Manufacturer	Wholesaler
12.9%	22.8%
Specialist Retailers	
35.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	13.2%	1.1%	4.4%	5.3%
Installers				
25.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.3%	7.2%	9.9%	24.4%	30.3%	24.8%
Residential					
98.0%					

New Build			Residential RMI		
9.5%			88.5%		
Project	Non-Project		Project	Non-Project	
6.2%	3.3%		7.1%	81.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.2%	0.0%	0.3%	0.1%	0.9%
Non-Residential					
2.0%					

New Build			Non-Residential RMI		
0.9%			1.1%		
Project	Non-Project		Project	Non-Project	
0.6%	0.3%		0.4%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers

BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2019

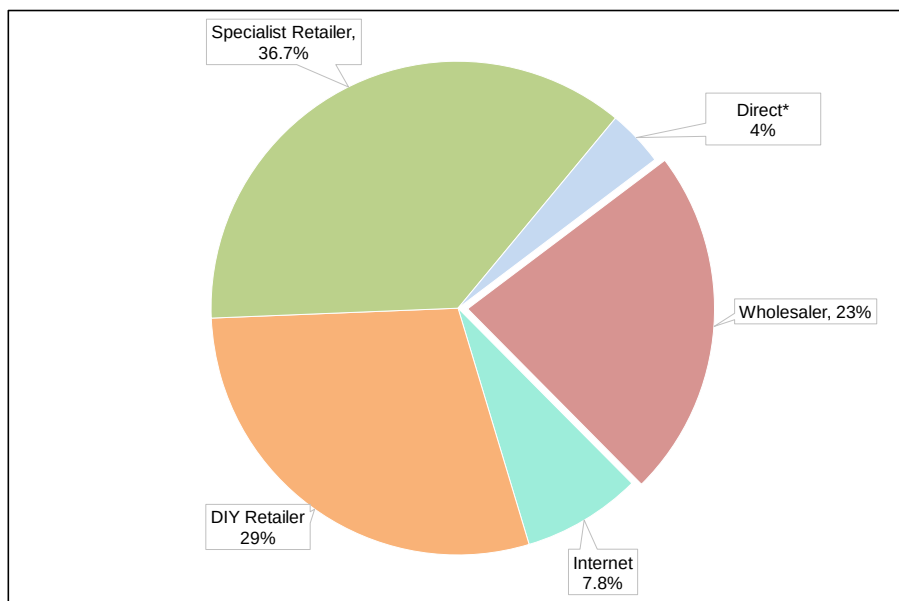
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.8%	7.8%	29.0%	36.7%	3.7%	14.2%	1.3%	83.3%	1.2%
100%					15.5%		84.5%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers

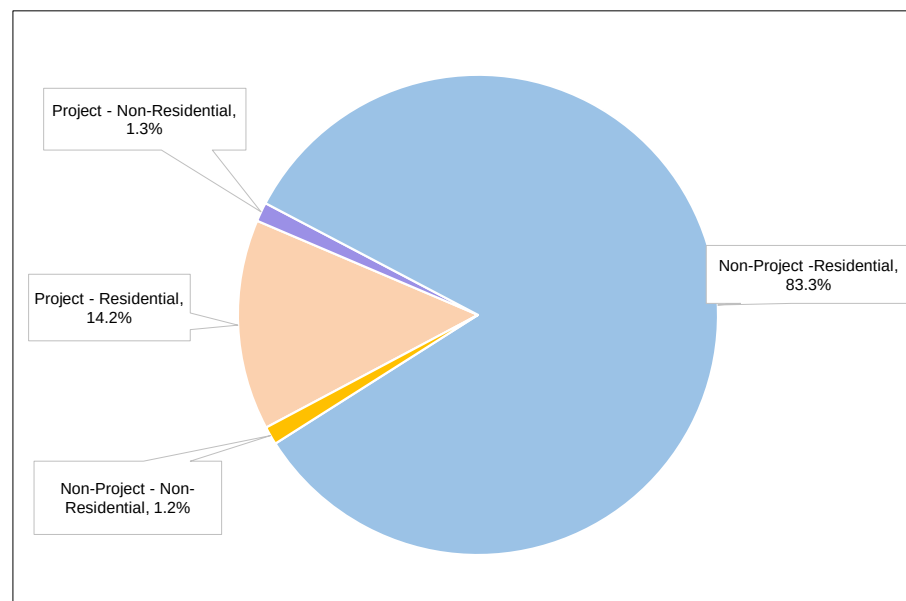
BE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.6%	11.0%	29.1%	35.7%	3.6%	13.3%	1.0%	84.7%	1.0%
100%					14.3%		85.7%	

BE - SALES OF KITCHEN TAPS AND MIXERS BY DISTRIBUTION CHANNEL: 2019



BE - SALES OF KITCHEN TAPS AND MIXERS BY POINT OF DECISION AND END-USE SECTOR: 2019

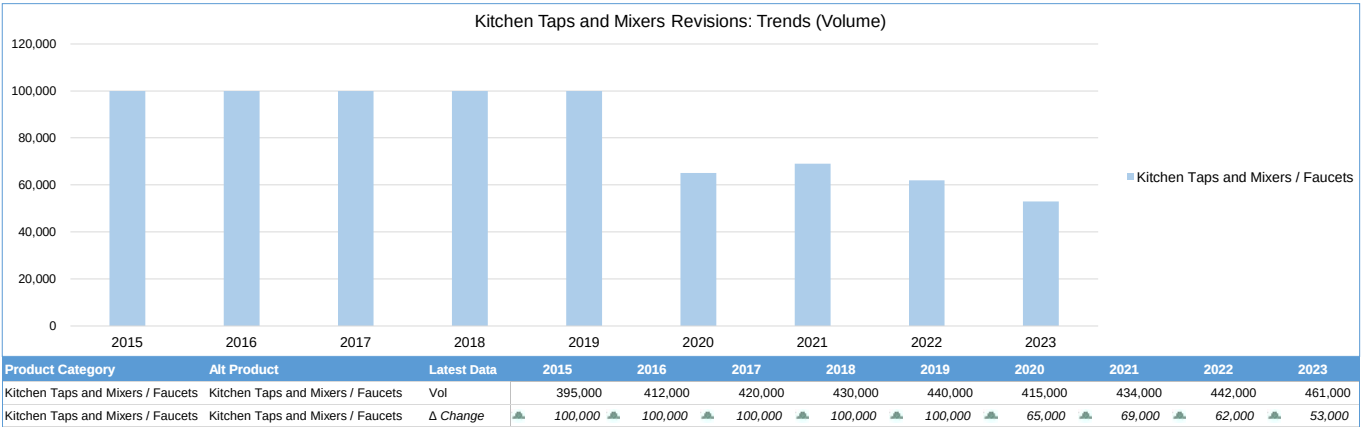


Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Belgian Kitchen Taps and Mixers Market (July 2020)

BE - REVISIONS IN THE BELGIAN KITCHEN TAPS AND MIXERS MARKET
Data Comparison: July 2019



Please refer to the Taps & Mixers section.